# KSB (KSB)

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# Call: Aug 2022

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Date: 22nd August, 2022

The General Manager The Manager
Corporate Relationship Department Listing Department BSE Limited National Stock Exchange of India
1
st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C-1, Block G P J Towers Bandra-Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB

Dear Sirs,
Sub: Intimation about participation in the Investor Conference

Ref: Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)
Regulations, 2015

In continuation to our intimations dated 9
th August, 2022, 12th August, 2022 and 13th
August, 2022 attaching herewith the Transcript of the Institutional Investors Meet held
and participated on 12th August, 2022.

Kindly take the above information on record.

Yours faithfully, F
OR KSB LIMITED

Mahesh Bhave
GM- Finance and Company Secretary

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KSB Limited Institutional Investors Meet

12th August, 2022

CO-RDINATOR: Ashwani Sharma - ICICI Securities

MANAGEMENT: Rajeev Jain - Managing Director, KSB Limited

Milind Khadilkar - Chief Financial Officer, KSB Limited
Mahesh Bhave – Company S ecretary, KSB Limited
Shraddha Kavathekar, Asst - Company Secretary, KSB Limited

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Ashwani Sharma: So, good morning, everyone. So on behalf of ICICI Securities, I welcome you all to KSB Institutional Investors Meet.

It's a pleasure to host KSB Limite d senior management today. As you all know, KSB is a part of a German giant, is basically engaged into the manufacturing of pumps and valves.

Today with us, we have a team, which is successfully running the company for so many years. So just to introduce , it's a pleasure to introduce the team on the dias, Mr. Rajeev Jain, Managing Director and Mr. Milind Khadilkar, the Chief Financial Officer.

Mr. Rajeev Jain, he's a mechanical engineer and has done business management in the International Trade. Before joining KSB India, he was handling -- as the
MD of KSB Indonesia for over a decade, where he took the company to new highs. And he was also Managing Director of KSB Singapore, and the Regional Executive Officer of the Southeast Asia.

Mr. Milind Khadilka r, he is a Chartered Accountant by education and has 35 years of experience in the finance and accounts. He has been associated with the company since 2017.

Along with Mr. Jain and Mr. Khadilkar, we have other team members from the Company Secretary, Mr. Mahesh Bhave and Ms. Shraddha Kavathekar.

I would like to now hand over the mike to the management to address the audience. Please, sir.
Milind Khadilkar: I think I'm audible? So good morning, everyone. And thank you ICICI for arranging such a wonderfu l gathering.

We'll start with the customary statements regarding forward -looking statements. This presentation may contain certain forward -looking statement relating to the company's future business developments and economic performance. Such statement s may be subject to a number of risks, uncertainties and other important factors such as, but not limited to, competitive pressures, legislative and regulatory developments, global macroeconomic and political trends, fluctuations in currency exchange rates and general financial market conditions, delay or inability in obtaining approvals from authorities, technical developments, mitigations, adverse publicity and news coverage, which could cause actual developments and results to diffe

r materially from the statements made in this presentation.

The company assumes no obligation to update or alter forward -looking statement whether as a result of new information, future events or otherwise.

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So this is the brief contents of the presentation, Organogram; KSB I ndia - Presents; KSB in India or the applications; KSB India - Success Stories/ Major Developments, Major Initiatives; Market Penetration - Top 10 Customers; Major Orders Received; Net financial position; Sales turnover overview and export business development. Also, we will cover the revenue trend, profit trend, return on sales trend, and initiatives in 2022 related to digitization, major investments, sales network expansion and brand promotion activities and ESG initiatives.

So first of all, the Organogr am, and we first reveal the senior management. We have Mr. Rajeev Jain, our MD first. Myself, heading Finance and Digital Transformation cell; Shirish Kulkarni Heads our HR Function; Sales and Marketing is led by Farrokh Bhathena; Nuclear Operations by Nit in Patil. We have the valves factory in Coimbatore, which is looked after by Manoharan Raja. Our Quality Head, Philip; Product Management and Product Services, Mr. Seshadri. Our Sinnar plant is Headed by Sunil Bapat; SupremeServ, the Aftermarket

business b y Rajesh Kulkarni; and Procurement and Foundry
Operations by Pradip Watve.

We have our presence -- we have seven manufacturing locations in India, four
zonal offices in all the metros, Mumbai, Delhi, Kolkata and Chennai, 12 branch offices apart from the z onal offices mainly in the state capitals of almost all the
states. Is it required? Five service stations in all the five major zones of India. We have about 200 plus authorized service centers all over India and distribution and dealer network of 1,000 pl us active dealers all over India. We also have a liaisoning office in Bangladesh for business in Bangladesh, and we also cater to Nepal and Bhutan as a market area through our dealers.

So this is a snapshot of our Shirwal factory, the latest factory which we
inaugurated in 2017. This is our Corporate Office and the oldest office in Pimpri in Pune. This is the inside picture of the manufacturing setup in the Pune factory. This is our central warehouse a few kilometers away from the Pimpri factory in Chinchw ad, where we have the spare parts and service business. And all types of
servicing and maintenance jobs are done here.

This is our Sinnar factory, standard products. Same again, Sinnar factory. This is our foundry in Vambori. We have two foundries, cast -iron foundry as well as
stainless steel foundries, mainly for captive consumption.

This is our Coimbatore valve factory. We manufacture Gate, Globe Check Valve in Coimbatore. And then this is our Associate KSB MIL Controls in Kochi, Kerala, where we manuf acture control valves. And our R&D unit, KSB Tech, which is also located in Pune and caters to all the Group technical requirements, research and development.

The applications of our product of valves and pumps include the energy sector, industry and wate r. We have all types of pumps from high -pressure multistage
pumps, vertical inline pumps, gate, globe check valves and ball valves, which are used in the boiler feed application, condensate extraction applications, sugar, paper and pulp handling, thermic f luid petrochemicals et cetera and also pumps


in irrigation, farmhouses, firefighting, drinking water supply and domestic
purpose.

We also have in the wastewater area, construction and SupremeServ. SupremeServ is our spare parts repairs, field service, mo dernization and
replacement. Whereas construction and building services for drinking water supply, firefighting and HVAC. And for wastewater we have applications in various types of municipal, industrial wastewater, sewage and effluent treatment, storm water drainage and be dewatering e

t cetera. So all types of non -clock
pumps, gate, globe, check and ball valves find the application in various
segments also.

Now the success stories and major developments. We received the order from NPCIL for eight numbers primary coolant pumps, RSR 400/2 Kaiga 5 & 6. Along with 10 electric motors and spare parts, the value is about INR5,000 million. We also have tested a good success of order intake of almost INR2,000 million from petrochemical sector during the past year. The FGD order of INR225 million from BHEL; a breakthrough in BB3 for both domestic market and exports. And we recently started the mechanical seal business and we are testing early success. Nuclear mechanical seal testbed commissioned at our factory and repair facility also inaugurated in our Chinchwad, that will be SupremeServ factory. So we are gearing up for the mechanical seal business very well.

And despite cyberattack, we had experienced the cyberattack early in the month
of April on our Group ser vers. And we, to some extent and for some time our
operations were paralyzed, but we quickly bounced back. And despite of the cyberattack, factories, branches, warehouses teams worked round the clock, in three shifts to ensure the sales.

Major infrastruct ure developments, localization of KSB mechanical seals
business, as I mentioned in the earlier slide. Investment for solar business growth, that is also taking place, machine replacements at EPD, the old machines have been removed and replaced. Office infr astructure at IPD with our
old offices now being renovated and made more efficient and environment -
friendly.

Investments for digitization initiatives, including robotic process automation, now we are getting into phase two. Advanced planning solution for production
planning at our Shirwal plant. We have also implemented mobile warehouse management, expansion of service network is in progress. Continuously we are expanding our authorized service dealers. Expansion of dealer network every now and then new dealers are coming on board and various investments also planned in ESG projects which will be also displayed later.

Market penetration, the top 10 customers for previous year as well as the current year. The list is still dominated by Bharat Heavy Electricals, Thermax, Rushabh Enterprises is one of our dealer, then ISGEC, Patil Engineering another dealer, RK Engineers another dealer, Larsen & Toubro, Pooja Engineering, another



dealer, NTPC and Thyssenkrupp. So these are our main customers now. Since we hav e also received the order recently from NPCIL, it tops the list in H1, '22. Indian Oil Corporation also is coming back. Petrochemical section has lot of good stories, Thermax is there. Wuhuan Engineering is again another petrochemical customer. Technip aga in petrochemical customer, Technimont and Andritz. These are our main customers as of now.

Major projects orders received in the Q2, 2022. Again you will see on the left side, the petrochemical segments dominating and then there are other like NRL Expansi on Project, HRRL Crude and Pipeline project, TSGENCO, J -18 expansion project of IOCL, Supply and Reactor Heat Pumps in Panipat, IOCL. Kiru and Kuther is the name of the project, Expansion project of IOCL, Gujarat, MB Power, and again NRL and Asia Pacific R ayon. So these are the main top 10 orders received in the last quarter.

Net financial position. Although the net funding or net fund position has come down compared to the same period in the earlier year it is mainly due to the advances which we have received from NPCIL are now utilized for buying equipment, raw materials and building inventory and also lot of investments in expansion in additional factory shed in Sinnar and other machineries et cetera. But still we are having a healthy cash surplus of mor e than INR3,000 million.

The business mix pie chart shows a very steady or same kind of minor adjustment here

and there. The standard pumps have gone up from 46% to 47%. Engineered pumps have come down from 23 to 21, SupremeServs and valves are also more or less maintaining the same ratio. So pie charts more or less remains the same.

Export development, again we are coming back. We had the exports dip in the year say 2018 and '19 or even in '20. But '21, we had good 20%, up to June '21 last year was about 19.6% and we are -- first six months we have got the share of about 16.6% of exports.

Revenue from operations, we are maintaining the increasing trend except for the COVID year of 2020. Other than that, we are continuously improving, and for the six months ended June '22 we already clocked revenue of INR8,661 million. Profit and loss, again the same increasing trend. In spite of COVID and cyberattack and many other obstacles, we have already clocked INR1,180 million for the six months ended June '22.

Return on sales, same story. We are improving for last two years continuously from '19 to '20, '21 and '22 and for the first six months, we have locked the ROS of about 13.6%.

Now major initiatives in 2022, on the digitalization and IT point. We have three vertical sales initiatives, operations initiatives and IT initiatives. Under sales, we have project cost information system, dealer management portal, SICCA value sale selection tool. And on operations initiatives, we have MIS automation, machine monitori ng and model workstations, advanced planning and scheduling tools. And under IT initiatives, cloud adoption, we will be progressively shifting



to cloud, instead of our on- premise service. Implementation of SAP, warehouse management as well as mobile wareho use management.

Data classification and data loss prevention is a very important aspect and upgradation of our LAN and Wi -Fi 6-ready really setup, because we all depend -
- many of our business processes depend on the bandwidth and the Wi Fi. So we are up grading our IT infrastructure network.

Major investments, we are building an admin bloc and guest house at Shirwal plant, because now the plant has more than five years of operation. The sales and operations process are well set up and we need the adminis trative support and facilities. Replacement of machines KBL vertical -- VTL, then Wotan boring and some VMC and advanced Lathe machines. 3D printer and infrastructure, digitalization projects, small, small but various projects where we are going to big way for digitalization.

Network devices, as I said that LAN and Wi Fi upgradation mechanical, field localization a new line of business you can see. Additional land in Shirwal for future purposes. Some of the network expansions activities, we recently opened a liaisoning office in Bangladesh. And it is looked after by a Bangladeshi national. And we are hopeful of getting a good success there. We also have media interaction. And you can see ET TV our MD, Mr. Rajeev Jain giving an interview on 24

June, 2022.

Some of the participation in exhibitions and sales promotion activities. We also had a dealer meet, a select dealer meet for the top dealers to explain our strategies and the planning.

Product launch, we launched Aqua Series pumps in May 22. These are 14 s elf-priming monobloc models were launched under the Aqua Series. The event was followed by a Gala Dinner. Again some sales promotion activities, conducting various nukkad meets, plumber meets, retailers meets. Some other promotion activities promoting bran d continuously in the market by conducting various outdoor activities. Following are the few activities conducted in the last quarter across the zones.

ESG activities, again we have taken it very seriously and committed the big way for ESG improvements a lso. So drip -- we have started the drip irrigation for gardening, tree plantation in and around our factories, biogas plant, we have installed. STP plants for reuse of treated water. Rainwater

harvesting by rechargeable method. So that is also we have put up. And we also have improved the lighting. We have replaced our traditional lights by LED bulbs in offices and shop floors also. Bicycles movement, in a big plant, earlier we used to move around by four wheelers, so we have encouraged our employees to us e the bicycle. So one is the fitness also and the environment also.

Installation of solar panels on the rooftop, wherever available to generate and save the energy. And we are also certified at various places under the green building certification. ESG initiatives continued, the employee welfare activities. We also have CSR activities. We are promoting CSR at all nearby -- all our



factory locations in Pune, as well as in Kochi, and Coimbatore and Ahmednagar. And we are continuously supporting many of the NGOs, old age homes, giving them with renovation in toilets, and girls rooms or dining areas and wash basins and so many things.

So some of the other NGOs like Tata SOFOSH Center, Grow Tree also we are contributing. And the hospital and medicare also we a re supporting. Some animal husbandry also, solar street lighting in near Ahmednagar, solar power generation in one of the NGOs to reduce their cost of power.

So that's it from my side. So happy to take questions. Thank you. Yes.

Question -and-Answer Sessi on

Unidentified Analyst: Sir, there's couple of questions. Sir, one is in case of gross margins, do we see this as the peak of inflation or the peak of raw material inflation and going forward that should improve? Or some guidance if you can give. And eve n after the fall in raw material prices, have you passed on the price decreases of raw material to the dealer channel. And also for -- if you can just give a similar perspective for B2B pumps as well?

Rajeev Jain: Yes. Good morning, everyone. Yes, materia l price increase were a cause of concern in the first half. And we could pass on some of it to the customers as well. We did not -- we could not pass everything, because we compensate that by our internal measures or internal operational efficiency measures, reduction of failure costs, digitization measures to make our processes lean, control on inventory and measures like that.

The last, I would say two months have shown an encouraging sign of the raw material prices stabilizing and kind of showing a cons istent stability sign, in some cases going down, in some cases remaining at the same level. So these are encouraging signs and hopefully that should help us to recover the gross margins in the second half.

Whether we have passed on the reduction to our dealers, customers, yes, not in all cases, in some cases, taking the feedback from our dealers. Yes, we have been able to do that as well. But I would say broadly, we have still maintained our prices, and we'll watch the situation in the weeks to come and t ake appropriate action.

Unidentified Analyst: And given the sharp increase in gas prices, especially in Europe, does that open up opportunity for the KSB export opportunity, which we do within our own associate companies. So I think largely exports are f ocused in Southeast Asia. So do we see making any inroads in Europe?

Rajeev Jain: Yes, there has been I would say increased activity to look for vendors in India, sourcing from India, from Indian vendors. These activities have definitely increased. Also with this geopolitical situation also with China, Taiwan and all these situation, I guess, the Group also looks to India as an alternative option. So these are things which are being discussed and how it moves in the future we'll

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have to wait and see. But there is definitely a discussion and activities in this direction.
Unidentified Analyst: And in case of nuclear pumps, if you can just come again with the timeline that we have? Have there been any changes for the execution cycle?
Rajeev Jain: Nu

clear b usiness, you see we received an order for the primary coolant pump at the end of 2018, beginning '19. Those were to be delivered in this year, by April this year, the original delivery. But due to all the COVID pandemic, these got delayed. We have also got extension from the customer. So considering all that, I would consider that their orders is on track. And we hope to deliver our first pump casing in the first quarter of next year.

So, I would see that as a good progress. NPCIL has been visiting us and they have expressed their satisfaction with the pump portion. The motors are from BHEL which, I would say we are in constant communication, and that should also happen in the first half of next year. So overall, I would say the progress of the existing or der is going quite well. And now, we have received the second order for the same primary coolant pumps, which is a good sign that, in this nuclear business, you need to maintain those competence and the vendors for long-term.

So this order gives us a consistent scope for continuing the activities, which includes investing in machines, which we showed in our presentation as well. And the pipeline for nuclear business is quite attractive. Apart from the primary coolant pumps, we have quoted a lot of other a uxiliary pumps in the primary cycle where we are quite optimistic. Apart from that there is a secondary cycle, which the business is also likely to be vetted in the coming months or maybe early next year. So overall, there is a good pipeline of nuclear inquiries and possibilities in the next two to three years.
Unidentified Analyst: Sir, execution should be INR200 crore next year and then INR200 crore a year after that, and INR100 crores in --??
Rajeev Jain: Hopefully, yes. Hopefully, yes. If we -- we ha ve an order of eight pumps, we target to deliver at least four pump sets next year. There are many variables to that. It's not only dependent on us. NPCIL also has to set up the testbed which is -- the testing will be done at the site. So if everything goe s well, then we are targeting four pump sets for next year.
Unidentified Analyst: So for nuclear, what can -- so let's say if we look at the order 2017- ‘18, we got the first order and after four -five years we are getting the second order. But considering the energy crisis and all what do you think can make this opportunity much more secular and in terms of receiving order from NPCIL. So there are I think two or three more projects, which can be worth at least INR500 crore each in the pipeline.

So why ar e the orders not -- it's not been much more secular than what we have seen in the past? So I think what we were guiding was that, there were INR1,500 crores worth of orders which can come. So INR500 crores have just come in that

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too after four or five year s. So on remaining INR1,000 crores order, what do you think can -- how early we can get those orders? Where are -- in the processing stage where it is right now. So if you're going to share a perspective there.

Rajeev Jain: Yes, this business is here to stay, the nuclear business. There is overall 12 power plants which have been announced. And yes, you are right, there was the bid of INR1,500 crores which was based on the site clearance and environmental clearance. So they called it a bulk tender. But the se got delayed and delayed.
This got delayed. It was bid somewhere in '19. And due to all these pandemic, the ordering got delayed. So the delay has had a consequence on the pricing validity and you have seen how the material prices have gone haywire in this period.

So finally, to maintain that continuity and to ensure that that there is no delay or time lag in the execution of overall projects, NPCIL decided to finalize one project immediately, so that again, I repeat is the continuity of the work is not disturbed. And the remaining two projects will be retendered and the schedule i

s in the third to fourth quarter of this year. And so it will happen in its process. It's only a process issue from NPCIL.
Ashwani Sharma: My request is to please introduce y ourself. Thanks.
Rajesh Kothari: Yeah, hi. Rajesh Kothari from AlfAccurate Advisors. Just wanted to know few things. One on the nuclear power, [indiscernible, 00:30:12.0] it’s a panel selling potential of INR3,000 plus. And then we will get the auxiliary pump where there are three to four players where they have not yet got approval on the primary side. So just trying to understand the competitive landscape here, the total opportunity, the competitive landscape for both primary as well as for auxiliary? And what if the other players gets the approval for the primary? Right now, KSB is the only approved vendor. So can you give some color on this?
Rajeev Jain: Yeah. And on the primary side, you have these primary coolant pumps which are the heart which cool the

reactor. These are -- these pumps are -- at present KSB
is the only qualified vendor, because of our references of having supplied to all other plants. These pumps are required high technical amount of engineering and it requires a good amount of, I w ould say, development process. KSB with its history, we are already ahead in the sense, we did that jobs are here in collaboration with KSB Germany. So we got a head start and we had the provenness.

So today, the potential is yeah, almost INR3,000 crores in this pump alone out of which, we have already got INR1,000 crores. And the remaining one, we have to see. At least we KSB are qualified. And we have to see if anybody else qualifies for this job in the future. And that is difficult for me to comment.

Apart from this main coolant pumps, there are auxiliary pumps in the primary circuit as well, where there are other manufacturers also. There are other manufacturers Indian manufacturers also. So that will be competitive bidding and we have bid for those j obs. We may be successful in some jobs. So we are


hoping that. So, that will add to the business portfolio of nuclear for the primary site.

In secondary, there are much more vendors cycle. But applications like boiler feed pump, NPCIL gave a development order to two vendors. And these are the main boiler feed pumps in the secondary cycle. And the KSB delivered this already 1.5 year back. This development order was completed by us and delivered. So we have already qualified for that application. And there a re many
other applications which are there, but those will be, I would say that will be all competitive bidding. And it is also maybe not ordered by NPCIL directly. It may go to EPCs like BHEL and others. So this is an overall scenario of possibilities.
Rajesh Kothari: So it means one is the primary coolant, where you have INR3,000 crore opportunity, INR1,000 we already received. Other is you said, in the auxiliary within that there is a primary. And then there are two to four players within that, am I ri ght?
Rajeev Jain: Yeah, maybe two to three.
Rajesh Kothari: Two to three. And who are these two to three players?
Rajeev Jain: One, it's -- one is Kirloskar Brothers, one was BPCL. And BPCL today's already closed down. That's the state government. And i t depends on who all decides to participate whether companies like Sulzer, Willow and they would want to participate or not. This is something which has to be seen. So these are all Indian entities who have their manufacturing base in India.
Rajesh Kothar i: And if like for example turbine pump, whether BHEL decides to make on its own, then what kind of risk do you see from BHEL kind of thing because --
Rajeev Jain: Yes. In that case we believe that NPCIL will follow the process. These pumps are not like any conventional other pumps. So the process is that a development order is issued and the manufacturer certifies or approves its credentials by developing that prototype a

nd tested under rigid or stringent conditions, which we have done. We are the only on e who has completed the process.

So yes, there could be pressure from BHEL, but I believe that NPCIL would not deviate from this process.
Rajesh Kothari: So just to conclude, NPCIL therefore, CY'23, you're looking at between '23- '24 and '25 INR500 crore s revenue, right?
Rajeev Jain: Yes, means -- can you comment there?
Rajesh Kothari: See basically from Nuclear Power Corporation --
Rajeev Jain: First order [indiscernible 00:35:29] between '23 and '24.
Rajeev Jain: Yes, two years.


Rajesh Kothari: Primarily between two years, INR500 crore order basically will be executed between two years. Am I right?
Rajeev Jain: Correct.
Rajesh Kothari: And the other INR500 crores basically will be executed from CY2-- ?
Rajeev Jain: CY'26 and '27.
Rajesh Kot hari: CY'26 and CY'27, okay.
Rajeev Jain: Yeah, as the time goes on, maybe it could be more. The initial, the order conditions are such that the first pump has to be tested extensively.
Rajesh Kothari: Understood.
Rajeev Jain: And there has to be 500 hours.
Rajesh Kothari: Then it becomes faster turnaround, okay.
Rajeev Jain: Yes, 500 hours. And if the casing has to be welded and it has to be removed and tested. But I believe that once the first two pumps are tested, then it becomes -- the process b ecome much faster. So let's say '23 we are targeting four. '24 could be more than four, if all goes well.
Rajesh Kothari: Okay. And going by last two years raw material volatility and nuclear power [Indiscernible 0:36:27], the incremental orders what we a re doing and also the

past orders, I understand there was a price variability close of 20% also, correct me if I'm wrong.
Rajeev Jain: That’s right.
Rajesh Kothari: So this INR500 crores, let's assume CY'23 is less than INR200 crores whether the margin s will be -- how are you hedging your raw material perspective and
what kind of margin one should assume on this nuclear power opportunity?
Rajeev Jain: Yes, this 20% price variation clause which is there, was sufficient enough for our existing order to mitigate that price increase. Because the ordering of the material was done quite early.
Rajesh Kothari: Long back, okay.
Rajeev Jain: So that helped us to kind of --
Rajesh Kothari: So you are adequately covered.
Rajeev Jain: We are adequately covered.
Rajesh Kothari: So NPCIL, one can assume the normal margin like company margin one can assume, or do you think it can be a little bit plus minus.



Rajeev Jain: Yeah. It's difficult to say. Why I say difficult to say, because NPCIL jobs are very comp lex and very high precision. If you -- if one component gets rejected,
it could have a heavy cost on one order. So unless it's all is completed, we never can say what margins we have. On paper theoretically, it should be a better margin. But ultimately, it depends on how we execute the order, and how
successfully we can do that. Otherwise, it could -- any small mistakes can really
ruin the margins.
Rajesh Kothari: Thank you sir.
Rajeev Jain: Yeah, thank you.
Unidentified Analyst: Yes. Just to expand on nuclear potential, sir, the primary coolant pump how the
business actually works? What I mean is the process design comes from what, your parent? And you are doing, just manufacturing part or how does that cycle work?
Rajeev Jain: I would say this primar y coolant pump has been developed by our team here in
India. Normally, the process for all the pump, is the technology support comes from Germany. But in the past, we have had a collaboration that we manufactured some parts and we kind of assemble those pa rts. Those was a
tripartite agreement between NPCIL, KSB Germany and us. So we got that experience. We had the start. And for this job, then we took it forward on our own. And we are dev

eloping this pump based on all the past experiences which our team had . And we are doing it locally here. That is 100% made in India
product.

And for the other products, secondary cycle, those are under technical license for that. And other primary coolant, auxiliary pumps, those are also coming from the past references an d the experience which KSB India had. If you recollect NPCIL and KSB, way back in 1970 set up our unit in Chinchwad. And it is since these three, four -five decades that we have been manufacturing. But Germany has
been manufacturing in partnership with us. So that know -how, that skill and that
culture, I would say, has been there in KSB. So we have just taken it forward and that's the reason also NPCIL did not award a development order for this primary coolant pump.

Otherwise their process is first develop ment order. They had the confidence in
KSB, knowing from the past deliveries. So we could -- the first order itself was a
direct order.

Unidentified Analyst: But in the first order have you taken any backup support from the parent?
Rajeev Jain: Sometime s it happens. Some consultancies or something like that, but nothing
major, nothing major. They are there for us in case anything happens. But our people are all the same who have been worked on that. So nothing very specific, I would say.


Unidentified Analyst: Okay. My question comes from the cost of rejection or failure, very high in
terms of nuclear.
Rajeev Jain: True, very true. Yes, you see KSB as a company, we always say that it's a pioneer in bringing new technologies into India, especially relate d to pump. If
you say boiler feed pumps, condensate pumps and the recent FGD pumps. All this technology has come first time to India, and it is through KSB. So in fact, I was in our plant two days back in EPD, and I got an interesting comment from
our youn gsters, because I was very appreciative of the way we were developing
this PCB.

So they said to me, sir, it's good that we did the supercritical boiler feed pump,
CSTD type, which is supplied to Tata, Telangana. And they said from those pumps, which we m ade, we learned quite a lot

and gave us a confidence. And if
you happen to see the pumps, which are there, the kind of welding fabrication of the casing, it is something I also said to them after spending 35 years in pump industry, I'm still learning. It is some kind of very good know -how which -- and
it's the culture. It's the culture in the company, which builds up and our Shirwal plant is quite geared up and having those -- that kind of skill set to do that
pumps.
Unidentified Analyst: What percentage would be localization in this?
Rajeev Jain: 95-plus. Some parts, raw materials, which we don't want to kind of compromise
in the first order, but those will also happen subsequently, some raw materials taking the vendor base of our principals, we have use d very special materials.
But processing and manufacturing 100% here, only some raw materials.
Unidentified Analyst: And testing?
Rajeev Jain: Testing 100% here. Testing, for testing the pumps NPCIL is investing in Tarapur, a testbed and the pumps will be tested in that premises. KSB will set up
a site office where we will do the storage, assembly, but the testing will be done in the Tarapur premises.
Unidentified Analyst: So your parent must be watching this progress, how you work? And nuclear has already been classified under ESG now, right. And Europe is now really starting
most of the nuclear reactors. And I think nuclear is somewhere getting attention as part of ESG. But right, so does that opportunity opens up for KSB India particularly, since no w, your parent is also observing you, watching you the
progress is being observed. And that will be a very big opportunity as we see in next 5 to 10 years. So how do you see or are you getting any discussions or any kind of --?
Rajeev Jain: Nuclear the con

fidence level of our parent company already was there for years. Because it's something which we have been doing for years. And as I mentioned, we have been associated with NPCIL for so many decades. So that confidence and the trust was already there. I think they have been seeing how we are executing that order. So there is no concern. In fact, it is more positive, and they are also on the same view that we will do this very successfully.



As far as opportunities are concerned, you'll see nuclear busines s export and
what I think what -- that is what you mean. It's not so simple, it requires a lot of
approval. There are political issues, you need clearances. It depends on country -
to-country relationships and all. So we are not looking at exports of this
business. There is enough in India to do and if we can get a good share of this
business, I think we will be booked for many years, more than five, seven, eight years.
Unidentified Analyst: So second big opportunity is FGD, right? And I think the penetration is very low as of today. So there how will you see the opportunity?
Rajeev Jain: When you say penetration is low --
Unidentified Analyst: I think there's lots of gigawatts yet to be converted. I mean, to put FGD in place.
Rajeev Jain: I think as my knowledge goes, most of the NTPC projects, they have been already ordered, or the implementation is a bit slow. But the ordering part and the finalization part that has happened for the NTPC. Now what are majors are the known NTPCs, state electricity board projects, the smaller ones, which recently also the government has extended the schedule, knowing the limitations of the supply chain and knowing it's not possible to do this in such a short time.

So to give relief to all those manufacturers, they have bit extended and given priority wise. So we are also comfortable with that, not that we were squeezed. We had built up enough capacity in Shirwal. And luckily -- or I wouldn't say --
means due to the fact that the energy coal business went down, that capaci ty was
available for us for this FGD business. So we still are -- for the NTPC business
we have almost more than 70% market share for NTPC business, where there is a lot of strict stringent requirements on quality provenness.

And for the non -NTPC jobs, the conditions are a bit more relaxed, but still we
are quite successful there, because this is something which nobody would want to take chances, because this is a high wear and tear pump. And it has tough conditions to meet wear life of 14,000, and in some cases, 24,000 hours. So that
know -how and all is there with KSB. We see this business a bit slowing down
but spread out to the next three years. It will not be the same like we did it last year and this year. But it's getting extended, maybe it goes up to 25, 24, 25.
Unidentified Analyst: And just last question on the PetChem side, the process pumps. Because someone did ask on the -- the cost of manufacturing is increased substantially in
Europe. And probably wasting energy also gets rationed the way it's unfolding.
So there is a very fast need for them to move to other countries to import pumps. And where -- because of your parent and KSB India also, in process pumps you
are -- so how do you see that opportunity unfolding? Because this could be a
very fas t opportunity coming in.
Rajeev Jain: That's true. The petrochemical business is something of an opportunity for us for three to five years, when I see the investment in India itself, we talk of up to $40 billion $50 billion coming in, in this sector wit h the kind of investments both

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government PSUs as well as private sectors who have announced their projects.
We see a huge potential in India, KSB with its product portfolio. We are basically a product company. And our growth success has been due to the number of products, which we have been developing over the ye

ars.

And we extend our range with API products, the range which was not there, BB3, BB2, this is the terminology used in this API. So we are continuously developing that products. And if you see today itself, this year, we have orders on hand of INR200 crores of this sector itself. So these are huge numbers and these give us encouragement that next two- three years, we are in the right place to do business.
Unidentified Analyst: This is a ver y high margin business.
Rajeev Jain: It's supposed to be high margin, but in India we have tough competition. There are a lot of -- in this sector, there are four or five international players who are present with manufacturing base here. So the cake is big, but so is the -- so are the manufacturer or the suppliers for this pump.
Unidentified Analyst: And so finally the service business, can it become 20% after five years?
Rajeev Jain: Yeah why 20% high, when I talk to my team, I say more than 20%, 25%. This is something will take time. Will take time because it needs investment in people. It needs investment in infrastructure, a lot of digitization efforts, automation so that we can capture the data. So it's something which we are going through that process. And I think the environment is changing in the sense that you need to be near to the customer and fast to provide that service. And for that, we need to ensure that we have all the data at our table that we can see where to go.

So, definitely in the near future 20% is a target. And when we say 20%, it is considering that a new business is also growing at a rate of 18% to 20%. So it's -- one may think that it is static, but one has to consider that there is an overall growth in the new business. So, yes, that is one of our key focus areas, key strategic area and we have branded that business as SupremeServ now. And then we are investing in that also.
Unidentified Analyst: Sir, if you permit me, one more question. On mechanical seals, I think that's interesting area. And how do you see that business and how big that business can be?
Rajeev Jain: Yeah, mechanical seal is a very interesting subject, which we are all very passionate about now, because this is a product which gives a huge potential for aftermarket business. So if you want to grow and succeed in aftermarket, mechanical seal is a must, I would say in my opinion because it connects us to the end users. It connects us to the end users where we don't do this business through EPCs or contractors. We go to the end users. And this is a business flow, this is wear and tear part which needs replacement.

So KSB has tied up with a company and now we started localizing the mechanical seal also. Till today we are importing those seals, but now we have

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started, localizing. And in the years to come we'll have local manufacturing. So we can expect that will be more competitive and more present in the market.
Unidentified Analyst: Your own manufacturing?
Rajeev Jain: Own manufacturing, licensed from G ermany, licensed from KSB Germany.
Unidentified Analyst: Thank you, sir. Thank you so much.
Rajeev Jain: Yes, please.
Ashwani Sharma: Please restrict yourself to two to three questions, because there are many requests I believe.
Rajeev Jain: Yes please. In the back. He raised the hand first.
Vipul Shah Yeah. Sir, so what is the CapEx we have done?
Rajeev Jain: Can you introduce yourself, sir?
Vipul Shah My name is Vipul Shah. So my question is sir, what is the CapEx we have done till date for this nuclear order? And what is the balance CapEx that we'll be doing for nuclear business?

Rajeev Jain: On an average, our CapEx in the year is INR80 crores. INR80 crores is an overall. If you ask specifically for nuclear, we had earmarked almost around €25 million to €30 million for this. That means including the plant, setting up plant and the machineries and development of the patterns and

things like that. But this is a continuous investment. Now that we have received the second order, you have seen in th e presentation, we want to replace our machines and get new ones.

So if you ask me a figure, maybe somewhere around INR200 crores would be a total investment so far. It's a very approximate figure, because some machines are common, which we use also for other applications. And it includes building,

testing. Yesterday, two days back, we inaugurated our mechanical seal testing facility, a unique kind of facility. And mechanical seal for these pumps are to dynamically balanced. And KSB is the only company which does that. And we set up a testing, manufacturing and the investment was more than INR10 crores for that. So all -in-all, it's a continuous process, I would say.
Vipul Shah So second question is regarding margins for this particular order. Since you ar e
the only approved vendor and chances of rejection are very high as you say. Shouldn't magic be a little higher for these orders?
Rajeev Jain: I wish it was. But we are always constrained.
Vipul Shah But you are the only vendor. So you can dictate your term --

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Rajeev Jain: Not really. I think this is a competitive bidding. And all the bidders are invited
domestic as well as internationally. So when we make the pricing, we are not the only bidder. It's only after the technical qualification that we become the bidder. And you see we have a history of supplies to NPCIL. And so we have to keep that in mind that there is already a price, which NPCIL has been buying. And that's the reason we have to be -- we can't dictate the pricing. It's all under
competitive.

Vipul Shah And lastly, sir, can you quantify the size of the FGD pumps in India? You said
market share is 70%, right?
Rajeev Jain: So we have got orders for, let's say, 250 pumps so far. And the whole size so far would have been ordered, would be m aybe 350, 400 pumps. So you take around
INR400 crores, INR500 crores market size so far. And the remaining still has to come. I would say another INR200 crores to INR300 crores.
Vipul Shah Thank you, sir.
Rajeev Jain: I'm giving very approximate figures . These are not scientifically calculated.
Unidentified Analyst: Hi, sir. On the cross margins, if you could help explain that you did upwards of 50% gross margins, which obviously has come now due to various pressures. How should one think about that how in terms of the trajectory of gross
margins? You will have pulls and pushes using of raw material is what you stated or stabilization. And then you have new orders, et cetera. How should one think about that not necessarily in the next six months to a yea r, but more from a
two to three year perspective, how is that going to shape up?
Rajeev Jain: Yeah, gross margins have suffered this year. But moving on, we intend to compensate that by our product mix as I mentioned, aftermarket business. Aftermarket bus iness whether it is spare parts or service has a better profit
margin. So we intend to increase that share in our business much more. So that is one area which we are working on.

And the second is of course, nuclear and specialized pumps, which are also at better margins provided we execute them well. So this is also about endeavor that those quality and that precision. And if we can do and reduce the failure cost of this product business, then we can have a good margin compared to our normal conventional business. So, those are the basic steps.

Of course, internal process improvement, digitization, whatever you may say, ESG measures, all these will kind of -- are ongoing parallelly to ensure that
overall, we are able to maintain a healthy bottom line.
Unidentified Analyst: And is there a need to change the PVC clause or any other changes in the contract, given the volatility in RM cost that you're seeing past one, one and a half years?
Rajeev Jain: Yes, true,

that is right. For the coming tenders, we want to -- we are discussing
with NPCIL to remove the cap on the PVC clause. And this will make us maybe

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more competitive as well. And this is something which is under discussion with
NPCIL.
Unidentified Analyst: And the other larger orders in petrochemi cals and other large orders, FGD, do
you need any changes there? And are you well covered in those orders too?
Rajeev Jain: So far we are well covered, but moving on this -- we have started -- you see a lot
of this petrochemical business comes from PSUs. And it's very difficult to
change or negotiate any term or condition? You get rejected on any single
deviation. So this we are starting. We have started some dialogue. We have had some discussions. How far we will be successful in re -introducing this PVC
clause in that depends. But yes, we are looking at the last one year, two years we
have started this discussion. You have to wait and see.
Unidentified Analyst: Is that just that the tender condition itself that comes out which is same for everyone that i tself does not have those clauses or that needs dialogue and
changes?
Rajeev Jain: True, and those are non- negotiable clauses. So they just ask a one line statement,

please confirm the terms and conditions. So all manufacturers are pressurized to follow t hem.
Unidentified Analyst: And in various parts of your businesses are there kind of areas where you've seen competition increasing or decreasing? Or is much more stable? How should one think about that across various business lines?
Rajeev Jain: Sorry, come again, the question?
Unidentified Analyst: In terms of various business lines, water, for other -- construction, have you seen stable competition, increasing competition, last three to four years? Is there any impact of that on the gross margin that one should be aware of?
Rajeev Jain: Yes, competition is always there. India is a competitive market with so many Indian players. The advantage with KSB is that we are present in all segments. You must have seen in our presentation. We are there across a ll segments. And our competition sometimes are focused in some segments. That gives them -- that gives us a competition in particular segments, we have to face those things. But I guess over the last five, six years looking at our growth, we have gained market share in this business, where we were not present in many products, like split case pumps, open and pillar pumps for distilleries. Distilleries is a good scope. FGD pumps.

So the market share would vary across sub segments and thing. But overall, as a pump manufacturer, I think we have moved up the ladder now in terms of total revenue. And that is a good sign that we are taking market share.
Unidentified Analyst: And all the internal measures that you highlighted, you're taking in terms of efficienc y projects, and digitization et cetera, is there a way to quantify the kind of impact on the original cost savings that you will have over the next one and three years?



Rajeev Jain: Yes. We have our internal measurements on these things, for example, fai lure cost or cost of non- conformance. We had at one time 3% of sales, and today it has come down to 1.5%, and we're targeting to bring it down below 1%. These are things which we can measure and quantify. But there are other measures like process improveme nts on digitization, removing manual times and efficiencies. So plus internal rejections on casting. So all those things are happening. It would be difficult to quantify those things, but that we would quantify more on the lead times and on time deliveries , which we are achieving.

So those are KPIs, we also measure our idle time, our general work time. So these KPIs are set in our plants, where we continuously monitor them and try to achieve our targets, whatever we decide.
Unidentified Analyst: And las t q

uestion from my side in terms of NPCIL, you highlighted that there could be some rejections. So you supply the first pump, there could be some issues, so it's only restricted to the first pump, or is it like how should one think about that?
Rajeev Jai n: No, it can happen. Human error, it can happen for even in second --
Unidentified Analyst: But the probability of that becomes less?
Rajeev Jain: That's right. Even sometimes our workers are scared to touch that part. Because if there is a mistake, th ey feel they made a mistake, so we don't penalize them.
But it's something which is a very, it's something like you're treating a very high value item, seal housing, or something special material.

But that advantage is that we give them the confidence an d they're very experienced and skilled. This skill comes over years of work. And this is something which we pride in.
Unidentified Analyst: Thanks so much. All the best.
Unidentified Analyst: Sir, couple of questions from my side. Firstly is confirmation on FGD. You said that 150 [ph] pumps, the total order [indiscernible 01:04:04.5] are. I believe out of that 150 we already delivered.
Rajeev Jain: Yes, around 160 we have delivered.
Unidentified Analyst: So basically the next thing is would be like 50- 50 every year?
Rajeev Jain: More than 50, I would say. So what is happened is now since the government has delayed these projects and priority 1, priority 2, priority 3, there is a tendency from the customers to delay in lifting those pumps. So if you w ere to have our way we will give 100 pumps per year. But we are constrained by our customers themselves lifting those pumps.
Unidentified Analyst: Okay. But it would be more than 50 at least in there.


Rajeev Jain: Should be more. It would be more than -- we have a capacity of more than 100.
And supply not only our internal capacity but our supply chain as well.

Unidentified Analyst: And second thing, as you said that 100 pumps like, 350 to 400 is the overall market. So like 100 pumps, so you have 70% mar ket share. So have you won some more orders in the FGD?
Rajeev Jain: Yes, this year also, we have got -- it was shown in the presentation. I think we are continuously getting those orders still under discussion. And as I said, being a company which has lo calized this pump

95%, not only localized but the
testing. Once you make the pump you need to have test facility as well. So that also we have invested. So this gives us an edge, competitive edge that you need -- that the customer has no doubt about KSB that not only they will make the pump but also give the performance because the efficiencies are in the range of 90%.

And another thing I mentioned was the wear life. There are very strict or stringent conditions. You need to have wear life of, in some cas es 24,000, in
some cases of 14,000. It's a very aggressive medium, this slurry. So all those conditions are there, performance guarantees. So that KSB is able to demonstrate and that gives us edge specifically for NTPC jobs. These get relaxed when there is non-NTPC. So we have been getting ready -- to answer your question we have
been getting orders continuously. And so far we are maintaining our lead position there.
Unidentified Analyst: Sir, one question to CFO sir. Sir what would be our total order inf low excluding
the NPCIL order in this particular quarter and what would be the closing order book?
Milind Khadilkar: We have clocked in almost INR1,000 crore worth of orders in the first half of the year. The carry forward as of today will be -- excluding the NPCIL order it will
be roughly about INR1,300 crores.
Unidentified Analyst: INR1,300 crore you mean closing order book, right?
Milind Khadilkar: Yes.
Unidentified Analyst: One last one last question sir. Your other expenditure in this particular q uarter
has reduced. So is this a steady state from here on? Becau

se I believe last quarter, there was some one -off INR30 crore you indicated some order for
INR40 crore or INR30 crore order got executed which was a low margin order where you have a higher c ost and all those things. So just wanted to understand
this other expenditure from here on should reduce, like [indiscernible 01:07:31.4?
Milind Khadilkar: I think post -COVID expenditures will not reduce. Now everybody is we are
travelling and we are bac k to normal life. COVID gave us that relief of doing
virtually everything. It indirectly helped us to save a lot of cost. So if you ask me a very general question, I wouldn't say cost expenditure would reduce. We


would reduce expenditure by our operational efficiencies. And this business of
ours is a mix of standard business and project business.

The standard business, you can predict the margins, you know very well. The
project is only -- those are monitored, but the real margin comes -- we know
when we finish the execution of the job, till the complete supply has gone and the pumps are commissioned because of various factors. So in short, I would say yes, expenses wouldn't reduce. But we tried to as a percentage of sales, we tried to kind of optimize it and continuously improve the duration.

Unidentified Analyst: And in your engineered pump business, how much percentage of your business will be a fixed price contract?
Rajeev Jain: Almost 100 -- except the nuclear order, all are with fixed price contract.
Unidentified Analyst: Thank you sir.
Jonas: Sir, wanted some understanding on the –
Rajeev Jain: Sir, just if you could introduce yourself.
Jonas: Yeah. Hi, Jonas from Birla Venture Fund. Just wanted some understanding on the export opportunities. So while this year you have localized mechanical seals.
If you can talk about certain product gaps that are still pending. And also, we've seen with many multinationals, which are sort of in a way diverting a lot of their factories that are in developed countries, back to India or elsewhere in Southeast Asia. Are there any such mandates on the anvil for India, in that sense?
Rajeev Jain: So your question is basically regarding exports?
Jonas: Yes, is there a target, like you said for services want to take it up to 25% of sales? We are at 17% in case of exports?
Rajeev Jain: Yeah, I guess if you look at the past years, we were hovering around 13% to 14% 15%. If you ask us a target, yes. 20% is something which we have kept as our internal target. Also co nsidering that the fact as I mentioned earlier, that we
grow in our domestic business also on a CAGR of 18%. So considering that if we maintain 20%, we feel it's a fair achievement. We have a lot of potentials to export. But one has to know that working in a global network and an MNC, where there are other manufacturing units, it's not free for us to export wherever we want. There are guidelines internally and there are markets, so that each plant is properly utilized, whether it is in China, whether it is in South Africa, Brazil, wherever. So all get equal opportunities.

But with India plant, since we have almost seven manufacturing plants, including MIL, the opportunities are more, the opportunities are more. And the group is supporting us to give us opportunities and market accessibility wherever they see these opportunities.

Jonas: So sir, are export mandates from the parent are geographical -based or product -
based? So as in do you have like global feeder factories that India could become
a feeder facto ry for a particular product, or it's just geography?
Rajeev Jain: It's more of geographical, because of nearness to the country, delivery times are crucial. Logistics are easier. So I would say more of geographical but sometimes it is product based as we ll, then, let's say some come -- we don't make one product or somebody else doesn't make than the access is given. Fo

r example we
make a product split case Gamma [ph 1:11:50] now we got a global market
access. Because no other KSB company makes it. So in s uch cases it's product -
based business. But primarily I would say for common products, it would be geographical -based region wise.
Jonas: Thanks.
Unidentified Analyst: Sir, just a standard extension to this that you answered on the split gamma that you h ave got a global mandate. Can you help us understand in the next three to
five years which are such opportunities, where apart from the geographical mandate that comes from the parent, from a product side, what are we working with? And I remember that in the past, that was not the case and since you joined probably that has changed right where we are pushing to make India as a global hub. So what is the pipeline? How big can be the opportunity and I know that domestic businesses is growing, but do you think that given whatever is going
on globally can export surprise us in terms of whatever our internal targets?
Rajeev Jain: Yeah. This is true, how we try to be visible or competitive inside the group is to
make products which others are not making yet. One is gamma I mentioned,
second is a pulp and paper product KNCBP, the big sizes. So we are also the sole manufacturer of that. Then in petrochemical business API business, the BB3 pumps, the BB2 pumps, we are taking the lead. That domestic market helps here
because when we get the domestic orders, we have a reason to develop these pumps. And then we extend it to the global market. So yes, I think we are working on our internal strategy where we have products which we are only the ones making in the group. And that would increase our opportunities and possibilities.

Having said that, having said that, I guess our colleagues or internal competitors in China, Germany, France, Brazil they also are as eager as us. So it's a good healthy internal competition.
Unidentified Analyst: Thank you, sir.
Unidentified Analyst: Yeah, one from my side, [Indiscernible 1:14:09]. Question was on the just help us understand the demand on the distillery side and solar pump site? Where are we today? And what is the opportunity we can see there?
Rajeev Jain: Yeah, distillery is very, very encouraging opportunity. You saw that the Prime Minister's goal of 20% blending of ethanol and 10% already achieved. And this has given a spurt in the investment in distillery. I've seen so mu ch activities and our plant in IPD, the oldest plant which was -- we transferred the products from

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IPD to different plants, suddenly has become the most active plant, in spite of
the products going out. That plant used to deliver INR120 crores to INR130 crores, and this year, we're targeting INR300 crores. And one of the reasons is
distillery. We have a good range of pumps, when it becomes to open impeller, and all those applications, so that is our strength.

So distillery is huge again opportunity, and w e will get a good share out of it.
And it should continue in the next two or three years. There's capacity being
built by a lot of players.

The second you asked was solar. Yeah, solar is something which is very exciting
for us. We are scouting for a partner. We are scouting to develop also ourself organically. But we have decided to go into this market as an integrator, not really as a pump supplier. So as I see the activities in Kusum Yojana, all are now getting momentum. So if we are successful in findin g the right partner, maybe it
could give us good returns in the short term.

Otherwise, organically, we are already gearing ourselves up to participate in this business.
Unidentified Analyst: Follow -up question. So on the distillery field, can you help me understand if
INR100 crore is the overall CapEx for the distillery, what would be the pump requirements of that sector. The solar piece, is it contributing meaningfully to our current revenues?
Ra

jeev Jain: Percentage of pumps in CapEx, normally would be we say, anywhere between
3% to 4%. I'm giving a very general answer. So don't hold me for that.

And on the second question was on the solar. Yeah, solar today is contributing only for the pumps. Obviously we are supplying to the integrators, so we targeted almost INR30 crores, INR40 crores this year. And we are on track, but
this is mainly to supply of pumps with motors, nothing more, and in some cases with controllers, but not more. We as I said if we can qualify to become an integrator, we get the rig ht partner that this business would increase multi -fold.

Charanjit Singh: Hello, sir. This is Charanjit from DSP Mutual Fund. Sir, first question is regarding the standard pumps. So in our earlier discussions, we had talked about increasing our cost compe titiveness on the standard pumps, bringing in more automation. Sir, we have to do a comparison in terms of our costing versus some of the smaller anomalies plus in the standard pump side. How's that standing right now, in terms of what are the initiatives we have taken in the automation side? That's my first question on the standard pumps.

And this market as of standard pumps, at what rate it is growing? If you can highlight the size of the market and the growth rate, that's my first question.

Rajeev Jain : Yes, standardized products for water segments the borehole pumps, the industry pumps we make in our Sinnar plant. And of course, automation is definitely one of the key areas where we are trying to improve.

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On cost reduction, you see -- I mentioned about the failure cost that by various measures in terms of improving our process, it's a general word process improvement, but there are many, many activities behind it, starting from supplier audit, supplier -- so starting from getting machined castings and not doing machining in- house, improving the standardization to improve the minimum quality levels and so that your rejections become less. And of course other measures, are -- one of the other measures is we doing for the low value products we are doing is contract manufacturing. That means we don't need make things in -house because we may be too expensive for that. We have our partners, sub- suppliers who do the manufacturing for us under our quality norms and under our supervision. And they can do it may be much more at a competitive cost than us, and only then we only play the supervision role in maintaining that quality and the upgrade. So these are some measures which we are doing.

On the automation front, there are a lot of measures. I mean, if I count them, we set up an automated line for submersible. 6-inch pump. Like all of these -- it's an automated line where all the operations, which were done by different groups now are done on one process line. And means there are sort of -- there's a long list of these things. And ultimately it helps us to increase our output and reduce our failure costs. So the same Sinnar plant which at one time was doing INR300 crores, INR350 crores today is targeting INR600 crores and with the fixed costs being same.

And I guess one of our key success factors has been the fixed costs going down as a percentage of sales. And that is all reflected by increasing our internal efficiencies and output.

Charanjit Singh: Sir, what rate the standard pumps market is growing, and what will be the size of this market?

Rajeev Jain: Standard pump market is a very generic term in terms of segments, so what all segments, the industry segments? I would say that the growth would be anywhere between 7%, 8% if I would be quantifying that. It is low in some sub-segments, it is high in other segments. If you count distillery as a standard market, it is growing aggressive. If you count let's say domestic pump segment market, it could be 7%, 8%. So it varies across but on an average if I were to put a figure it would be in that range around 7% to 8%?

Charanjit Singh: While you have talked about FGD and NPCIL, but on the industrial side, steel, cement and some of these core sectors, there has been some discussion in terms of projects picking up. A ny feedback in terms of how the outlook is looking on some of these core industrial sectors.

Rajeev Jain: Yes, good that you mentioned that, because see one of our top 10 customers you must have seen OEMs, OEMs like Thermax, ISGEC Krupp, ThyssenKrupp, these are our major OEM customers. And the investments in steel, cement, sugar are reflected in their order book position. If you see Thermax today also, if you read their results, they're also having a very healthy order intake growth. Same is

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for Krupp. Th ey're setting due to the infrastructure projects, and all these segments, which you mentioned.

So once our customers -- these OEMs have this other situation, it reflects a very good and a positive and healthy future for us for the next six months or one year.

Charanjit Singh: Sir just lastly, on the pricing side, we have seen various industries talking about price hike there, which they have taken. So if you can quantify what's the kind of price hike which would have taken on the standard pump side. And are you also

deliberating on further increase in the pricing? And how our pricing gap versus
the unorganized players, you know, post this kind of hikes which we have taken. That's all from my side?
Rajeev Jain: As again, it's not easy to put one figure a cross the price increase. But if you ask
again are very approximate, I would say, in the last six months to one year, the price increase has been on an average almost 10%, which we have passed on to the customer through the cost price has been much higher. It has been more than 15% on an average. But we have passed on at least 10%. And I don't think so we will do that in the future because now we see good stability and also some commodities coming down.

So I don't see in the near future we are doing -- going to increase any price. And what was your next question?

Charanjit Singh: The gap between the unorganized and the organized?
Rajeev Jain: That is a valid question. I think this this whole scenario has widened the gap. But ultimately, we don't -- if we start looking at unorganic sector, then we go away
from our vision and the value which we bring to the customer. So in the long run, I think that will not matter. It's the customers who would want to go to an organic or inorganic, I think they will still go. And we will not run after them. Our focus is to stay with customers who believe in a lifecycle costs and the right quality of the products.
Unidentified Analyst: Yeah. Sir, just if I can ask one last question. In Aqua Series which you have mentioned, so is it like we getting into these normal pumps or like Crompton V - Guard extra where currently we are not having --- we're currently higher price.
So with these pumps, do you want to put a lower price segment and get into that market especially you're lau nching only for TN and Kerala market? So what's the strategical thought? And what's the current market share and where do you want to take this market share.
Rajeev Jain: So yes, this is a huge market, domestic market. When I came to India, I could not believe that such a huge market exits for domestic market. We always felt that we have good presence in the pump market. But this domestic market maybe INR3,000 crores or more. And we were hardly present in this market. So we started our entry into this mar ket bringing out products. What we realized is
that this market needs a very huge basket of products. And that is what we are continuously doing. Not only products, we make it also colorful. You'll see that it's not the -- it's not only the boring blue, sometimes it's also sporty and smarty.



So we are getting into that consumer side of th

is business as well. And the idea
to bring this product is bringing a choice of products to the customer. We see that the customer is very choosy. Some need this feature, some need that feature
and it's all about features inside a pump, whether it is the weight, whether it is the size, whether it is the color, whether it is -- many factors, and we try to reach
to all those customers with this range. And since we don't manufacture it ourselves, we don't increase the complexity inside. It's only managing the
complexity outside externally with the customer.

So yes, our share in this market is low, we know that. And we -- by bringing out these products we intend to grow in this market also in our next three to five years.
Unidentified Analyst: You have pricing perspective, because these are mostly aluminum. And so are we trying to play that pricing in similar to our competition and --
Rajeev Jain: Yeah. We will not be the ch eapest in the market, but we will benchmark the top market share players in this market and make our pricing strategy in -line with that. Because this is a me -too product. This is -- it's nothing very something that you can sell on very high technical features. The customers are consumers who will look for cost optimization also. So definitely pricing strategy will be in -line
with the top three players in this market.

Unidentified Analyst: And will we launch it further into other markets currently or are w e targeting -- ?
Rajeev Jain: Yes, we are doing that. If you see last week, we had a dealers meet in Chandigarh which we launched these products. So we are going to launch this pan-India in a step by step way. The demand is so high we don't want to launch it and then face in our deliveries. So we are doing it step by step way.
Unidentified Analyst: What's the targeted market share strategically if you can --?
Rajeev Jain: Too early to say I would say. Because very low in this segment. WE will have a market share less than 5%. So I feel we need to improve our product basket and our dealer network. And then we can go in this market more aggressively and be a visible player. So I wouldn't want to give something which we are not fully ready yet, but it's on the way. It's something which is in our attention. And as I mentioned, contract manufacturing, this is one of the products which we are using that strategy also.
Unidentified Analyst: And in the agri pump also, it's a similar scenario for us. So can we expe ct something similar to this in agri?

Rajeev Jain: Agri, we are traditionally very strong or I wouldn't say strong, but very well known, and strong in some markets like north market. So agri is a more technical product sometimes like 6 -inch, 8- inch pumps. So there we are bringing in additional variants in the product. We are improving product quality further. So I would say that in agri, we have a complete basket, comprehensive basket.



Now, what we are focusing on in agri is five -star rating, this is a f our-star and five-star rating. If you see, go to the website, you will see maximum KSB -- KSB is the highest number of four -star five -star. So we are on that process to bring in a very high energy efficient agri pumps, and then drive this in the market with our efficient products.

Unidentified Analyst: And sir, lastly, Shirwal, we had this INR400 crore of thermal -related CapEx. And we had told that this some portion of that will be used for nuclear. So now you're telling that you're putting INR200 crore addition to that, so is it a total INR600 crore for nuclear, is that how we understand that?

Rajeev Jain: No, no. Shirwal was originally INR250 crores. That was our original plan. Out of that, we almost have spent almost all of it. And I mentioned INR200 c rores nuclear. It's not easy to classify under nuclear as such, because it's common for the facilities also. But we have spent more than almost INR250 c

rores we have utilized. And what you saw now is additional, we are investing in machines there, for repl acement of those machines. And we have bought some additional land for future expansion also. So it's a continuous thing, as the business grows the investments will increase and with other success rate, those investments will follow.

Unidentified Analyst : So it's kind of INR400 crore to INR450 crore total investment in that facility?

Rajeev Jain: Not INR400 crore to INR450 crore, it's INR250 crore. And we are planning to do further, a further INR200 crore. Yeah, it could be INR200 crore, if we get all the order, definitely it will be INR200 crore. But we go in a step by step way, depending on the business scenario. But as I said, there is no limit to investment, whatever is required case we will do. And we don't put a figure yet, because it depends on how the market dynamics change and what business gets priority.

Ashwani Sharma: We'll take last question.

Unidentified Analyst This Himachal facility, in Himachal you had this plan of this ramping up your services last two calls you were telling. You're pl anning to add -- there you're seeing huge service opportunities. So is that really planning in the execution phase? Is that happening?

Rajeev Jain: It has already happened. Himachal we supplied multistage pumps because of the heavy terrain. We have a goo d installed base and we set up a service station in Bandi. And the service station is already full. So it's a small step in our service business. So that's how we are targeting the installed base in Himachal.

Unidentified Analyst Just last question. Order book we mentioned INR1,300 crores. So if I exclude NPCIL, that's INR800 crore.

Rajeev Jain: So excluding NPCIL we are having an orders on hand of almost INR1,200 crore to INR1,300 crore, and additionally INR1,000 crore of NPCIL. So more than INR2,000 crores is our order book.

Unidentified Analyst Sir correct me if I'm wrong, was it INR900 crores last quarter?



Rajeev Jain: Yes, we have got a very good quarter order intake. The first quarter was also good and the second quarter is also good. And as ment ioned earlier, INR1,000 crore is already our order booking for the first six months and July month also has been quite good.

Unidentified Analyst And expected execution cycle for this?

Rajeev Jain: Execution cycle depends on the type of project business , it is normally 8 to 10 months. In standard business, it's three to four months.

Unidentified Analyst But this INR1,200 crore INR1,300 crores is only engineered. This does not include standard pumps?

Rajeev Jain: It's a mix of engineered and standard pumps, mainly engineered pumps. More share of engineered pumps, but as I mentioned this distillery business, these are good order intakes. So those we get -- if we get an order, it is a big project. One project could be INR50 crores with 700, 800 pumps. So it's a mix of that. But yes, majorly it would be engineered pumps.

Unidentified Analyst Sir, just one last question. Sir in case of solar pumps, we mentioned that we were looking for a partner and an integrator. And we also mentioned that we are only manufacturing some parts. So if you could just give a perspective let's say, how different we are from Shakti Pumps in the way they are doing their solar pump business and how we are approaching it? Just very confused on how --

Rajeev Jain: Shakti Pumps is f ar ahead. They have a good market share almost 40% 50% in this segment. So I wouldn't compare ourselves with Shakti today. We are at a stage, where we are only supplying our pumps and our motors, AC, DC and in some cases controllers to the integrators. Sha kti manufacturers or has

collaborations with all the suppliers and they act as an integrator since long. So we are not yet there. We are only playing in a market where we supply the pumps to the integrator.
Unidentified Analys

t So basically we don't take the [Indiscernible 1:35:41] risk of tenders is it?
Rajeev Jain: Yeah, we don't qualify for tender yet, because the tender asks you for a provenness as an integrator. So, this is what we are working on to have a consortium or partner with whom we can part icipate and get the references and then start making more things internally or have again a strategic partnership with somebody who makes controller or other things.
Unidentified Analyst Sir, this is only because we don't want to take working capital ris k, is that is how we are playing in this solar pump?
Rajeev Jain: No, because hurdle for this market is to qualify as an integrator. This is the bottleneck. We are not yet qualified as an integrator on the state governments' tender conditions. So till that time till we get qualified, we are working on to supply pumps to these integrators.


Milind Khadilkar: But our pumps are eminently qualified.

Unidentified Analyst Thanks a lot.
Ashwani Sharma: So we arrive at the conclusion of today's event. We thank management for giving us opportunity to host such a wonderful and patiently listening our queries and answering them. We also thank audience who made this event very successful. Thank you.
Rajeev Jain: Thank you, Ashwani.
Milind Khadilkar: Thank you.
Rajeev Jain: Thank you. I hope we could answer your questions.

# Call: Mar 2023

6th March, 20 23

The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C -1, Block G
P J Towers Bandra -Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSBPUMPS

Sub: Transcript the In stitutional Investors Meet

Dear Sir /Madam,

In continuation to our intimations dated 24th February, 2023 and 1st March, 2023 enclosing herewith the Transcript of the Institutional Investors Me et held and participated on 28th February , 2023 .

Kindly take the same on records.

Yours faithfull y,
For KSB LIMITED

Shraddha Kavathekar
Company Secretary

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Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R -Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300 Zonal Offices: Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635

KSB Limited (KSB)
Institutional Investor Meet
February 28, 2023



MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer
Shraddha Kav athekar - Company Secretary

Moderator : I welcome you all for the Investor Meet of KS B Limited. I t's our pleasure to have with us the KSB Limited Ma nageme nt today. As we all know, the KSB is part of KSB SE & Company, world's leading supplier of pumps, v alves and s ystems . In India , it got founded in 1960. The compan y is amongst the top 10 players in the industry, industr ial pumps and valves. It manufactu res the wi de range of pumps for agricul ture, wastewater management, energy, which is nuclear and conventional power , oil and gas sector. It also supplies pumps to other industr ies like paper, household sector, textile, p harmaceutical, landfill processing. With pleasure, I introduce the management on the right, Mr. Rajeev Jain, M anaging Director ; and in his right, Mr. Mahe sh Bhave, CFO of the company.

I would like to hand over the mike to management to address the audience w ith the brief presentation, which will be followed by Q&A. Thank you. And over to you, sir.

Mahe sh Bhave : Good morning all. Am I a udible ? Thanks for joining this and thanks ICICI Securities for arranging this . Before I start a cautionary statement regardi ng forward -looking statement s. This pr esentation may contain certain forward -looking statements relating to the company future , business development and economic performance. Such statement may be subject to number of risk s, uncertainties , and other importan t factors such as, but not limited t o competitive pressures, legislative and regulated developments, global macroeconomi c and political trends, fluctuations in currency exchange rates, and general financial market conditions , delay o r inability in obtaini ng approval from authorities, technic al developmen ts, litigation, adverse publicity, and news coverage which could cau se actual development and result ma y defer materiality from the statements made in the presentation . The company assumes no obligation to up date or alter for ward -looking statements, whether as a result of new information, future events , or otherwise.

So, toda y we'll be covering our organogram, KSB India presence, KSB India applications in India, success stories, major development in 2022, mark et penetration. Top 10 customers w ill discuss cust omer approvals completed in '22, order i ntake overview, net financial position, m ajor investments, revenue trend, profit tr end, EPS trend, branding activities exhibitions, and last but not least, ESG activi ties.


So we start with organog ram, Mr. Jain who is present with me, he heads KSB India. I'm heading Finance , Mr. Shirish Kulkarni , who heads HRD ; Mr. Bhathena , who heads Sales and Marketing ; Mr. Patil heads Nuclear Operations ; valves is headed by Mr. Raja ; Mr. Phil ip heads Quality ; and Mr . Seshadri heads P MPS ; Mr. Sunil Bapat who heads Standard Agricultural and Solar Pumps ; SupremeServ is headed by Rajesh Kulkarni ; and Mr. Watve who heads Purchase and Foundry Opera tion. So this is the senior management team .

We go to the regional presence of K SB India. So we have seven manufacturing locations. We will go in detail , four zonal offices, 14 branch off ices, five service stations, more than 200 authorized service stations, more than 1,000 authorized dealer who spread all over the country. And o f course, we have licensing office in Bangladesh, and we have business through dealers in Nepal as well as Bhutan.

So with this, we go to our Energy Pump Division, EPD which is in Shirwal , which leading to energy pumps, as well as nuclear pump manufacturi ng. We have Irrigation & Process Division , IPD whic

h is
in Pimpri , which is into standard as well as project pump

manufacturing. So this is inside the Pimpri plant photographs. We have SupremeServ and Central Warehouse in Chinc hwad . So here we are providin g services, that is o ne. Second is repair pumps, and third is we are the central warehouse. These are the i nside photographs of the Central Warehouse and SupremeServ .

Standard pump , Nashik , this is in Sinnar, in the Nashik and we have a manufacturing plan t for Standard Pumps, whi ch includes domestic as well as Agri. Foundry division , backward integration we have this CI as well as s teel foundry in Vambori, near Ahmednagar . These are the inside photographs of foundry . And we have valves factory in Coim bator e and these are some insi de factory photographs of valves factory. We have MIL as our associate company, which is in Kerala, which is in the manufacturing of valves and these are control valves basically. These are some of the phot ographs of MIL factory.

KSB Tech , yes we have engineering again, associate company, K SB Tech Private Limited. They're into engineering services and IT service support to the glo bal KSB Companies. This is situated in Pu ne City. These are some of the photogr aphs of KSB Tech office .

Going forward , KSB India applications. So we are into energy. So this is high pressure, multi -stage pumps, vertically line pumps that get



globe check valves and ball valves and applications are boiler feed application, condense r, extraction, et cetera. W e're also into a general industry, which includes end section pumps, process pumps, non -clog pumps, high pressure multi -stage pumps, et cetera. An application again, boiler feed application, oil and gas, sugar, paper and pulp , petro chem icals, et cetera.

Going to water and water , this include s submersible pump sets, Open Well Monoblock pumps, Mini Monoblock pumps, solar products, again GGC & ball valves . Appli cations are irrigation, farm houses, firefighting, drinking water supply, et cetera.

We are also in to wastewater. This is submersible motor non -clog pump s, horizonal non-clog and suction pumps. Again, GGC & ball valves, now th ese applications include s various types of m unicipal and industrial wastewater, sewage [indiscernible] [00:06:53] transfer treatm ent, stormwater drainage, dewatering, et cetera.

Construction submersible pump set, Open Valve Mono block pumps, Mini Mono block pumps, dewatering pumps, booster systems, et cetera. And applications, dr inking water supply, firefighting, HVAC, that is HVAC et cetera. Supreme Serv as we discussed , this is covered spare parts where we are have a central warehouse, repairs, field service , modernization, and replacement pumps, which is again, a very impor tant activity.

Yeah, moving forward, a success story. Good news, which is of course, we declared maybe few months back that now the IPR transfer is successful and we have got this transfer of technology from B PCL, this is a solar exclus ive. So we are now solar exclus ive owner of technology for the products manufac tured by BP&CL .

Movi ng a head, some of the other success stories and ma jor developments in '22. So highest order intake 20,456 mile for '22 in conventional business, hi ghest ever sale 18,083 mile in '22, similar plant, which is again cross ■600 crores and our Coimbatore plant, again crossed ■300 crores, s o these are all milesto nes which we achieved . As I mentioned, BP&CL IP Ri ghts acquisition , significant impr ovement in KSB voice employee engagement score. So this score has improved from 64 to 78. Again, a great milestone to achieve in employee engagement .

NPC IL order, which w e discussed last time , eight reactor coolant pumps worth ■5,013 mile for Kaiga 5 and 6 reactors. Good growth in



Mechanical Seal business. And we see a very good progress in sunrise sectors like firefighting, solar , defense, railway , life science applications. We are open to new branches in Patna and Guwahati and the licen sing office as we discussed in Bangladesh , new E2E solutions , that is for eSales rollout , that is completed in tegrate d website and web shop and new valves learning center , we'll see the photographs of the valves learning center.

So this is in augurated this year, and this is very interesting. Visitors can learn all about valves, not only virtually, but also through hand some work, through a comprehensive collection, cut models, assembly table and course material . Valves Steering Committee meeting, workshop and business promotion of control valves. So this was done in the MIL campus.

Yeah, m oving forward, market penetra tion. Top 10 customers you can see compared to '21, '22 few customers like Megha E ngineering, IOCL, they have come in our top 10 based , Thermax continues to be there, B HEL and we have certain de alers also like Rishab, Pooja and Patil and NTPC and Thyssenkrupp . They continue to be in the top 10 list.

Few customer approvals, which we got for our plan ts, Pimpri plants we got it from for Siemens and DGQA, Thermax et cetera. For E PD, again, for Siemens, DGQA, T hermax et cetera. And valves, we got this Mi tsubishi Japan that is approved by customer and PED surveillance audit as well as PE R. And foundry division, we have got approval from NPCIL .

Okay, this is an i nteresting slide, which gives us sector wise, industry - wise, order intake bifurcation. We can see the sta ndard pumps, which is actually reduced a bit from 48% to 46% compared to '21. And we can see engineer ed pumps, which is actually increased from 19% to 25%; Supreme Serv, more or less same 15% to 14 %; and valves, we can see slight reduction compared to '21.

Yes, net financial position, we can see a reduction. I will come to the reasons mainly as the CapEx, what we have invested from the internal accruals, including the IPR rights. So net financial position has reduced from ■358 crores to ■262 crores. Major investment , so this includes IPR right acquisition and admin building -related constructions and pat ent-related investment, employee cars and other miscellaneous CapEx. Of course, this include s nuclear localization investm ent also. That is ■17 million.



You can see the revenue trend. We are growing and from 14, 937 now we have achieved 18, 220 in revenue , this is revenue from operations . Profit, yes. So we are growing revenue, maintaining the profit growth also. So profit ha s grown from ■107 crores to ■240 crores compared to

'21. And you can see the growth , EPS this is again, you can see in 2010, we were at 33.5, just as a comparison from 2010. And now compared to 42.1, we have achieved 51.5 in 2022, some of the branding activi ties, Indian Plumbing C onference and Exhibition, which held in Pune. Then we had this Tech Expo at Vapi , Gujarat, Amptech India Pharma & Lab Expo which held in Visakhapatnam and [indiscernible] [00:12:52] which is held in New Delhi . So here, like footfalls , we had stalls and we had visitors from the respective industry and was a good interaction breaking ahead the business and networking.

Yeah, some of the ESG activities, environment activities. So, with aim to carbon footprint reduction of KSB India succe ssfully commissioned the biogas plan t for the food waste generated in canteen of EPD , which is in our Shi rwal plant. And of course, some of the other activities like we have this electric vehicle, which is there we are using for inter plant transfer, rainwa ter harvest ing and LED bulbs in our offices and shop

floors. Environmental initiatives, of course through plantation, deep irrigation and gardening, certified green building .

Social initiatives , we had some cultural events, in fact across all locations, s ports tournament, ou tbound programs, health and wellbeing , communication meet like open forum, and we cou ld see the results, as I mentioned in our KSB voice , we have improved the employee engagement score also. So with all these activities and involvement of employees is incr eased, which is a good sign.

Social initiatives, which includes again this is a continuation of employee engagement and welfare. We had good state -of-art of offices at Chinchwad , we have renovated our offices. And Secunderabad , you can see the beautiful p ictures of our new offices.

Social meetings , continues to be CSR activit ies which we always been . So this is a few photographs of Yashodhan Charitable Trust at Wai in Maharashtra and Pragati Girls School at Khandala, Maharashtra where we are helping these schools . Zilla Parishad Primary School again, so this is basically skill development proje ct. KSB has helped to develop RCC structure of two classroom s in both

the schools and both schools management expressed their gratitud e and appreciation for KSB Care Charitable Trust for helping on this.

Yeah, that's it. As far as the presentation is co mpleted, and forum is open for question -and-answer. Thank you.

Question -and-Answer Session

Rajeev Jain : Yeah, good morning everyone. And thank yo u for joining us today. Special thanks to some guests who have come from outside Mumbai. So thanks a lot for joining in today. Yeah, your questions, please .

Unidentified Analyst : Can you please pass on the mic, please . First in case of Nuclear Pumps, can you u nderstand the current sta tus of the execution, which we're expecting from Q1 of '23? Current status for that ? Also, the execution that we were expecting for the second ■500 crore s order ?

And the execution for the next ■500 crores order that we were expect ing from CY '26, current status of that. And are we on timelines or we are not. And we were expecting inflow of two more orders of ■500 crore s each, which I think the tender was not open by NPCL. So current status of that also, if you can share ? And w ith moderation in commodity prices, have there been a -- so there was an upward revision from ■400 crores to ■500 crores because of commodity price increase. Now that the commodity price were moderated, do you expect this ■500 crore s of order value to be r evise d downwards? Any view on that? So we had an escalation clause, I think, when the prize rose. And so any moderation, if at all there is ?

Rajeev Jain : Okay, I try to answer these questions. First of all, the existing order for G HAPV, I think it is goin g wel l on track , the -- due to all the past epidemic and all the issues we got a delivery extension up to May, April '24, that was for the first four sets. And this year we planned to dispatch two pump sets, if not one at least, minimum one . But we are hopeful to dispatch two. This first pump set we, the first pump casing, we should dispatch it maybe in June or July. The process is that this casing will go to the site, and this has to be welded because the test bed is being built by NPCIL. So that is a bit behind, but we have to wait and see how that happens.

But irrespective of that, our first casing should go by July. And also the motor should follow in that those month or the nex t month. So with that, we will complete our first unit, and then depending o n the progress in the test bed, then we can take it subsequently. Because the



first pump has to be tested. The first pump is more critical.

There is an
extensive testing, and that -- once that happens, then the delivery becomes smooth for the remaining thi ngs.

So to answer your question in short, yes, we are on time and we hope to invoice one pump minimum, maybe two in this year. And the next two, of cours e would go in the schedule. So we are on track as per the revised amendment, which we have received.

Unid entified Analyst : Okay. So basically then two pump sets by that you mean ■100 crores -- sorry ■250 crores is a possibility this year, but ■125 crores , we are reasonably sure of executing this year, starting from July ?

Rajeev Jain : If two pump sets mea ns around ■100 crores. There are eight pump sets for a value of ■50 crores each, and then the remaining accessories site activities and all those things.

Unidentified Analyst : So because of the testing of the facility, which NPCL that, so I think Q1 was the earlier timeline for execution for ■50 crores . So that has cause d this delay ?

Rajeev Jain : Yeah, it will go to Q2 or maybe early Q3, but that doesn't delay the whole order inset. Contractually, we are supposed to complete the first four pump sets in Ap ril '24. So contractually, we are on -- we had kept ourself a bit of a tight schedule for that.

Unidentified Analyst : And so we've acquired Bharat Pumps the technology.

Rajeev Jain : So one minute . I answer the second part.

Unidentified Analyst : Sorry , sorry, please go ahead .

Rajeev Jain : And the second part is tha t the new order that is for Kaiga , that is also started -- the execution is started . The execution becomes easier because all the document approval, all the initial I would say , requirements ar e met with the first prototype pump. And when you make the first prototype documentation, then it's only a question of manufacturing. And hence, the second order is also of eight pump sets is also on track. And we hope to complete it well within the timeli ne, which has been set, because as I said, the first pump is more critical.

Your third question on the commodity prices, I think this is a fixed price contract with a PVC clause. So accordingly, the first ord er is received. The second order is received ba sed on the condition, the



date, the enquiry was there, and it was finalized, so with a price variation clause. So that is as the commodity prices moves, it'll be there. So the remaining two projects which were postponed that we hope the tender should come out in this year, and we will bid whenever that comes out. It is expected in the second half of this year. So I think that answers your ques tion on NPCL .

Unidentified Analyst : And in case of Bharat Pumps , the technology right that we have acquired so. Can you elaborate on the strategy, the nature of pumps we are looking to produce the scale and the competition al margin profile, which that can come from these pumps ? And when are we expecting starting, executing these kinds of orders for our company?

Rajeev Jain: Yes. To give you on this topic, I think this is a -- as my col league Mahesh mentioned in his presentation, this is a bit of a good news, which has come our way. Bharat Pumps & Compressors Naini, Allahabad , they closed down and then they put their te chnology up for sale. And KSB bidded for this technolog y and was successful in the e-auction, which happened .

The company spent ■28 crores for this bid. And the reason we spent or we went for this bid because it offered a good amount of opportunities. The Bharat Pumps & Compressors had some very good products in various segments . They had license es from good overseas companies like ClydeUnion , some U.S. companies also reciprocating compressors from new pinon . And quite, there are 10 licenses in this deal. And KSB, we

see a good opportunity in the aftermarket business, that is where our company is focusing on as one of our strategic measure. So this vertical is one of our focus, and this BPCL acquisition helps us to get our larger, wider market access.

BPCL has applied many pumps to PSUs for special applications and the install ed base, maybe more than 4,000 pumps. And they were the sole kind of manufacturer in some speci al applications. And so there is a big opportunity for supplying spare parts and replacem ent pumps in this segment. KSB with its infrastructure, with its technical base, it is very -- I would say comfortable for us to easily adapt and bring in these pump as well as spares to our customers here.

So this is one big advantage, what we see for ourself. Second is some new product like reciprocating pumps, which is again, a niche market. And we are exploring t he possibility of doing this ourself . And of course there are other products reciprocating compressors and some



other components for cylinder s, whi ch we will evaluate what we have to do.

They also have pumps for a nu clear application, which KSB anyway has it. So KSB , we KSB are not looking at developing those products , because KSB is quite well ahead in those segments. We are only looking at t o serve the aftermarket with spare parts. So to answer this question, I think this is a big opportunity for KSB , which will last for many years ahead, where we continue to cater to an aftermarket, and also develop some products which are not there in the KSB mark basket for oil and gas , which I did not mention earlier, is there are some products KSB has been continuously developing products for oil and gas, and they had products already for the complete range in API market, and which KSB will maybe upg rade and we complete the product basket.

So that is how we look at this opportunity. And the present status is that we have already acquired the drawings. These were -- this was a big chunk of drawings. We have to get seven or eight containe rs full of drawings . We h ave put it in our Shirwal plant, and now we are, because these are all old drawings in paper form. And so transparenc ies, we are now putting them together and putting them in an electronic form, scanning it and putting it. So this will take some time. And hopefully, this year we'll do all that work, and maybe next year we will come out with the first sales.

But having said that, I think we are already started selling and marketing those things.

Unidentified Analyst : Also, just to follow -up to that, so com pressors we mentioned that we are still evaluating as an opportunity , because we have been a pump company. So to -- whether to venture in compressors or not is still under evaluation or…?

Rajeev Jain : Yeah, I just say it's under evaluation. Okay. Ye ah.

Unidentified Analyst : The question is on the standard pumps. So if you could just help us break between the Resi and the Agri part of it. What's the underlying market size of these two? And one, what has been growth of t he underlying market s for both Resi and Agri side? And in our previous meetings, you had highlighted that we want to penetrate deeper, and there were a lot of actions on the design and the cost side that you were initiating, so that that will help us increase our market share. So

where are we in terms of the market share movement? So these are the questions on the standard pumps .

Rajeev Jain : Yeah. In standard pump business, there are two verticals. One is the Agri and domestic, if you treat them as one, but normally they're treated sep arately. Agri market, domestic. And we have also a big vertical in industrial pumps . So industrial pum

ps, KSB is very strong
there in good terms of market share, also in building market as well as a little bit water market surface pumps.

But on the Agri an d domestic, historically we had a good position, but we slipped there and we lost our market. And we have been trying to get back into the market of these, which I've mentioned earlier. Now, this market is a big market in terms of size. We may be hav ing on ly a 5% market share there. And when I combine this markets , so there is a score for improvement, but what we have seen is, there is always a price pressure, and always it's a price driven market.

And somehow, we will never be the cheapest in the ma rket. And so we are rethinking our strategy on these things, because especially in the view of change in the environment requirements, we are more focusing on efficiency driven pumps. What I mean by that is, as part of the best and the B guidelines, now the Star rating criteria is more stringent . And today KSB enjoys or is in the leading position for the number of four star and five star rated pumps. And this advantage is sometimes not recognized or not visible in the market. It is sometimes there in th e governme nt tenders, sometimes not in the private market, not yet. And this is what we want to change our strategy to not go the price way, because there we compromise on the product qualities and cut corners. So we are trying to focus more on the bigge r size pumps that is the 6-inch, 8-inch, 10 -inch, and make them more efficient with design changes, getting in new technology and developing new hydraulics , so that we have all these pumps qualified in the star rating. And I think that is our focus in the futu re.

You asked the question, how much did we grow in last year? I think our growth was in the range of around 12% in these things. But of course, I should admit here that it was also held by a price incr ease on last year. And -- but irrespective of that, we contin ue to focus on a double -digit growth for this segment, which may not be very aggressive considering our market position. But as I mentioned, this is a very much price driven market. And we want to do something different to en sure that that this is not basically , we want to follow that, but we want to create our separate initiative there.


Unidentified Analyst : Second question is on the industrial side of the business. So how has been the order flo w movement that we have seen o ver the last four quarters? Bec ause when we look at some of the other industrial companies, while the revenue growth is looking good, but sequentially we have seen a slowdown in the order flow quarter -over-quarter over the las t three quarters. So how has b een, if you just carve the indu strial piece, which is the industrial and the process piece ?

Rajeev Jain: For us, industrial business has been very, I would say very good sector for us. In fact, if I see the figures last year, if I recollect, we almost did ■300 crores in this segment al one. And why I see this as a very growth and a prospective sector is because of the products which we are bringing in. Our strategy at KSB is basically, again, and a gain, I say, is a product driv en company. And with our acces s to German Group, availability of products, technology, we have been continuously bringing in products. We brought in the split case pumps, Gam ma, 10 bar split case pump, whic h has been very successful for us in the first year itself, we have sold around 500 pumps. So that is one produ ct which is helping us in the industrial as well as building segment open ing pillar pumps, which we have CPK SO for the ethanol projects, where ethanol processing is happening . We are very succes sful with all the key contractors .

And in fact, that pumps, we are selling more th

an 4,000 pumps per annum. So, this industry is helping us, and that's why we see a lo t of good development. A new initiative, which I should mention to you , KSB , I always sa y is a pioneer to bring in new te chnologies, and you must be reading a lot about Vande Bharat trains. And for these Vande Bharat trains, and all these locomotives, the pumps in earlier times to Siemens, ABB, Bombardier, these kind of locomotive suppliers w ere supplied by KSB Germany for t he cooling system of the tra ction unit.

And now we have started making the pumps in I ndia. We have got the first prototype orders also from Siemens. And so this is also a big opportunity for us in the future. And this will help us to bring a new business opportunity in these things. So in short, I would sa y kind of product basket, which KSB Group has. And this helps us to target a lot of segments. And hence I am very bullish about industry segment per se, and this will be o ne of our strong verticals for fu ture growth.

Unidentified A nalyst : Thank you.


Unidentified Analyst : Sir can we share like, what is the revenue breakup of Standard Engineered , Supreme Serv valves and other domestic? We used to share that in last presentat ion?

Rajeev Jain : I think we shared the order intake.

Mahes h Bhave: Order take we shared.

Unidentified Analyst : Order intake is there, but I think revenue is it possible ?

Mahesh Bhave: I think we shared order intake is actually sales for last year, so if you can clarify . The data points, we have what you sha red as order in take, actually revenue number for the last year [indiscernible] [00:35:11] .

Rajeev Jain : See that order intake and sales for Standard Pumps is not much difference .

Mahesh Bhave: If you can lo ok on that slide, I think there is .

Rajeev Jain: Is this what you are menti oning ?

Mahesh Bhave: Yeah. The numbers, what we say in order intake last time, what we show is these revenues .

Rajeev Jain: Yeah, but as I mentioned to you, order intake and sales, there is hardly much difference , because we sell these pumps, through our g odowns. So order intake and sales is normally saved. To give you a general answer to this, our Standard business is 45 %, 48%, this hovers around this Standard business, which we sell to our dealers , through our dealers, and someti mes also OEMs. So this i s our Standard business, project business still is in the range of 20% keeps on varying, and same with Supreme Serv and valves, these are all in the range of 15 % to 20%.

So this is how the distribution is the maximum segment is th e Standard business . Projec ts, depending last year was a good year where we had lot of projects for oil and gas , FGDs. So that becomes good. V alves is almost -- also the same around 18 % to 20%. And valves, we somehow I call the year '22 as a yea r of mileston es. Valves also Coimbatore we first time did ■300 crores from that unit. Standard Pump, Sinnar, we did ■600 crores. So these are some milestones which we have achieved, but a general distribution, I explained to you, it is somethi ng similar.


Unidentified Analyst: And secondly sir, just what would be the order inflow or order book, closi ng order book for the company, including the N PCL and excluding the N PCL?

Rajeev Jain: Including the NPCL, it would be somewhere in the range of ■2,500 crores , ■2,600 crore s.

Unidentified Analyst: And in this NPCL wo uld be ■500 crores?

Rajeev Jain: ■500 crores. So you minus that ■500 crores , the order intake without the nuclear would be some where in range of ■2,000 crores to ■2,100 crores between that.

Unidentified Analys t: Okay. And sir, last basically our vision t o bec ome a numbe

r one pump company. I mean, what is our ranking today and when we will be ?

Rajeev Jain: I normally case be, we have a year financial year closing of January to December. Maybe other companies, s ome companies -- pump companies have March as the year -end. So I wil l not be able to convey the ranking per se , it would be a bit early, but with a turnover of ■1,800 crores, which ended in last year '22 December, I expect maybe we are at number two on the ranking per se. And this is just an estimate. And yes, we have drawn our strategy in the coming years to grow our business and with the strategic initiatives, which are there to bring in new products, go in new segments, you saw our expansion of branch offices, sales offices, all those things are there in place. So if we do it rightly and in the way we intend, then I think we are on the way for our strategy.

Unidentified Analyst: Thank you, sir.

Unidentified A nalyst: Hi sir, my first question is relating to Supreme Serv. We've been talking about increasing the ser vice revenue to about 20% of the revenue over next few years. So initiatives you are taking to do th at, if you can highlight some of those in terms of Supreme Serv?

Rajeev Jain: Yes. Supreme Serv, we have mentioned that we want to make it at least 20% o f the total turnover. Figure wise, it doesn't look great, but when you see our produc t mix and the busin ess mix where we have so much in Standard business, 45% to 50% in Standard business, so it becomes a challenge. And when you grow in this Standard business that ratio looks a bit challenging.


But having said that, I would say that there are a lot of initi atives which we are continuously taking. One big initiative we took was the plant in Chinchwad . We converted it totally into Supreme Serv. We had in initially in our business plan to sell it off after the Shirwal . But we retained it and w e converted into Su preme Serv. What we do there is, we have now a Central Warehouse , and we stock our Standard pump spares , which today already is it at ■65 crores, ■70 crores where we were hardly doing much through the plants, because normally in the plants, the pumps get their priority and the spare parts, with their value don't get that priority enough. So we made a dedicated warehouse, and this is grow ing.

We are expanding. The pressure to increase the space is always there. So that is one of the big initiative, service station we put up in Baddi , I mentioned that earlier. Subsequent to that , we have been debating on to put on more service stations bec ause sometimes it's more efficient also to have partners who can do that, and we support them with spare parts. So that is a mix of growing the service business and the spare part business.

So, we are continuously digitizing this business. We have introdu ced a new product called KSB Guard. KSB Guard is something which we install on the pum p, and it gives us remotely all the condition of the pump and the wear of the pump, and we can monitor it, and we can monitor the requirements well in time for the ir spare parts also. So this is something which we have done. We have also the Chinchwad or the PPD, we call it that place. We have ramped up for winding, winding of the boiler circulation pumps. We have a dedicated center there.

Then one big initiati ve for Supr emeServ b usiness is mechanical seal vertical. And you must h ave seen that in the presentation. Mechanical seal is a component which goes in the pump. And so far KSB was buying this from third -parties, but since last one year, we have started using KSB mech anical seals, our own produced in German y. And the second is branded , KSB branded. So these are the two routes we have taken. In '22 alone, we sold around 16,000 seals Supreme Serv as well as going insid

e our pump, just to create that i nstalled base. So the se seals, mechanical seals now, we started localizing them. We have invested in our plant in Pune. So this year onwards from the second half, we will be having more than 60 %, 70% indigenous content.

So going -- moving forward, this will keep on adding the products in mechanical seal and also indigenizing them. So this is, I see as a future big vertical or hope for Supremes Serv business, because those are the

most commonly or the most wear out parts used in the pump. And that business is recurring an d continues. And last, but not the least, I mentioned about acquiring B PCL things. So with this, I think in the next two, three years, we have a good future for Supreme Serv, a business, which is comparatively at a much higher margins comp ared to a new busines s. So this is, I think we should see good growth in the next, I would say in '24 -- '24, '25 when we are settled with localization of mechanical seal, as well as implement BPCL technology inside our company.

Unidentified A nalyst : Sure. Sir my second question is pertaining to margins. Do you think there is room for margin to go from here? We understand external challenges, but what would you like to see in terms of internal drivers that can driv e margins up from here?

Rajeev Jain: Yes. Margins are o f course, a lway s top on our agenda. We always have this question of increasing the price or retaining it vis-à-vis the commodity price increase. So it's apart from that, that I think is a reacti on, which we do based on the commodity prices. Like for exampl e, you must be seeing that a lot of copper prices are increasing now, and this affects our motors, electric motors, what we make for submersible.

But apart from that, one major internal initiative we are doing is, failure cost reduction. This is the most , I would sa y easiest, I wouldn't say easiest, but something which is in our control. So, warranty costs, failure costs, manufacturing defects, and w e have targeted to over the years, at one -time, couple of years back -- three, four years back, it was 3% of ou r sales , which is quite high number. And today we have bought it down to below 1%. And that has helped our bottom -line. And we further want to go forward and bringing i t further down to almost 5.5%. And if we achieve that with our process improvements, digitizatio n inside our processes, proper supplier, vendor management, all these steps if we take it in the right way, then I think it is easil y achievable. So those are one.

Second is on -time deliveries, the LD costs . We have put a lot of focus on that aspects, LD costs were also high portion of our failure cost s. But by setting up a contract management department, we have been able to focus there. And I'm very satisfied personal ly on the amount of success and the progress we have got there. And those are the initia tives which we have taken, which come to my mind. And apart from that, in any wage agre ement, which we do with our workers and unions, we always demand productivity inc rease year-on-year. And



that is one of our requirements, which we will get full support from the union, and hence we are able to improve our productivity as well.

If you see, I've not shown the figures, but if you see all plants across the number of pumps , one is the value revenue. But if you use the number of pumps, which we are making has gone up much hi gher than the value percentage. In fact, in our plant in Pimpri where we used to make maybe 6,000, 7,000, we are making almost 10 ,000 to 12,000 pumps . In Sinnar , we will cross 2 lakhs pumps this year. So this is the kind of productivity incr ease, which we are getting based o

n
combination of all these measures.

Unidentified Analyst : Sir, what are your expectations from CY '24 in terms of the order intak e visibilit y? You did mention about N PCL orders later this year. Apart from that, any indus trial s oftness in any of your industries that you are witnessing? And what should be the CapEx for CY '24?

Rajeev Jain : So you have to make …

Unidentified Analyst : CY '23, sor ry.

Rajeev Jain : I would say that the order intake was great last year . A recor d, which helped us last year and wil l help us also in this year . Moving into this year, I would say that, the first two months are quite okay, but we see some, some little bit headwinds, but not so much. I'm not so much worried about that , because apart fr om the external envir onment, we internally are working on our strategy and to get market share, bring in new products. So I think that momentum will continue and we will have also a good order intake in this year as well. Apart from the nuclear business . Nuclear bu siness sometimes becomes difficult to predict because the time it takes, you never know. Today we expect it to come in the second half, but it is not guaran teed. It is the way the business is that maybe it goes in the next year .

But we don't make our strategy or depend on that , because that is something over the top of our normal business. So what we are focusing is mo re on our strategic measures, going into new market segments. I explained that Mechanical Seal business , Firefighting business, Locomotive business, the BPCL acquisition. Apart from that, we are also focusing on Navy and Defense bus iness, which is also a growing market , pumps required for surface warship , submarines. This is something whi ch is the need of the hour, and we are explorin g that as well, how we can participate in that business. And we -- sorry. T hank you. Thank you , Mahesh for mentioning that .



Solar business, which was also a success la st year, we did almost ■30 crore s of our business in solar, purely by supplying to integrators.

But if we start working as an integrator of ourself , then this business will easily double or triple. We had a plan to acquire a company in solar, which did not go thr ough because th e company which we identified, we could not be satisfied with what, when we do -- did a due diligence. So irr espective of that, we still are going -- growing in the organic way. And we continue to do that. We have developed our own DC motor now range, and we will intend to complete that product basket. With the development of DC motor now, we only have the controller, which is outsourced, and the panel of course.

So we intend to go in tha t organic way, develop our role range and parallelly l ook for acquisi tion also in case we can get it. But solar is one of our also hope and a good strategic pillar for the years to come. So with all these initiatives, irrespective of the m arket -- external market, I think KSB 's advantage always I've been sayi ng is that we a re present in all the segments . We cover a complete range of segments, You will see that as our positive advantage. So even if one segment goes down or there is some issue, there is something else which builds us out and gives us a chance to grow. And that has been one of our biggest tr ends in the group as well as here in India, that we cater to a big range of market segments.

Unidentified Analyst : And on the CapEx ?

Rajeev Jain : CapEx, I think on an average, we have been having in year '22, if you see, we almost d id -- almost ■100 crores CapEx. And that is what Mahesh also showed that our financial liquidity . Since we do all this with our internal accruals, it slightly goes down, but that is what we are intending to also invest in the right areas so that this growth story can c ontinue.

Unidentified Analyst : So the CapEx more or less would remain same ?

Rajeev Jain : Yes.

Unidentified Analyst : Okay. And la st question on FGD, how much FGD pump contributed in absolute numbers in CY '22?

Rajeev Jain : We dispatched almost 160 pump s, not totally 160, because something went in CY '21 as well. So I would say more than 100. We still have orders on hand of 150 pumps. We used to make at one -time o nly five ,



eight pumps per month, but n ow we have ramped it up to almost 10 to 12, and we wan t to go up to 15. When I say this, FGD pumps are not as simple as I make it sound, because these are big pumps, but the process has now standardized. Ev erything is standardized. The supply chain is standardized. The requirements, the specification, the qua lity requirements all standardized.

So now it's only making it and delivering them. The government have come out with a new schedule, a delayed schedule, becaus e they saw that it was not possible with the existing supply chain to deliver in such a short t ime. So they have relaxed the delivery schedule, which also helps us that with our order backlog . Now, we can conti nue to do that. And we continue to enjoy a very big good market share, if I may say so. And being the only Indian manufacturer who has an loc al content of 95%, and this is -- gives us a good advantage.

Unidentified Analyst : Sure. Thank you .

Unidentified Analyst : Hi, sir. Yeah, I just wanted to get some clarity on the CapEx like of this ■100 crore s, does that include that Bharat acquisition -- Bharat Pump ?

Rajeev Jain : Yes, yes. I think we showed at the chart, it includes normally our CapEx wo uld be around ■80 crores , but we invested around ■28 crores in this Bharat Pumps .

Unidentified Analyst : And the remaining ■80 crores is largely towards what, which is the large CapEx areas ?

Rajeev Jain : Mainly in capacity expansion, new machineries, investing in new -- high-end machineries for our energy business and nuclear business. And capacity e xpansion like, one 8,000 square meter shed, which we did last year in '22. That was the expansion. So we continuously, with our growth, we have to -- in the initial years, we could get more ou tput from our existing facilities, but now we have started inves ting in expanding the space and the capacity in all plants.

Unidentified Analyst : And so this growth of 11 % to 12% standard in value. So in volume terms, how much was the growth? Was it flat?

Rajeev Jain : No, as I said, it would be somewhere in the range of 8% and 12 %, the price increase I mentioned. But in the second half of the year when the price, commodity price became stable, we passed on some benefit also

to the market. So I would not say that it is flat. We definitely grew somewhere in the range of maybe 8% around .

Unidentified Analyst : And sir l astly, on this Vande Bharat , since you mentioned, what is actual use of pump in the Vande Bharat train, because it's you -- we leak actuall y water pumps ?

Rajeev Jain : Yes, sir. It is basically for the traction system, these locomotives, they have the traction below the carriage . And this traction system needs to be cooled, and for that cooling system, we supp ly those specialized pumps .

Unidentified Analyst : Sure. What could be the value of pump, which you' d be putting in Vande Bharat train? Is there any math s, you'd be aware of?

Rajeev Jain : I can't say that that is something which will take away our competitiveness. So I will not be able to disclose that information. Sorry.

Unidentified Analyst : Sir. So first question on the BPCL acquisition . We didn't participate in the first bid. We were fortuna

te that the first bid der kind of did some malpracti ce, and then we participated in th e second bid. So I'm just trying to understand the motive here. Was it to el imina te competition like Kirloskar from accessing NPC Ls drawings and the pumps there . Now that we have acquired, we 'd also try to leverage the designs and then get into recipro cating pumps , because those pumps were separated by NOV, Baker Hughes. And Secun derabad pumps has a huge market globally, almost 10 billion or 5 billion , if I'm right . So what was the thought process? And h ow can we leverage this ■1,200 crores going forward ? That's the first question .

Rajeev Jain : Yeah. To answer that question , the bidding took place first time, and we were not anticipating that the bid would go so high, and that is why the approval, which we took from the Board was for a lower amount. And we thought, we should -- we would be successful with that amount. But we were a bit surprised, when the bid ding took place and to the extent it went , right. And since we did not have any Board approval , internal approvals, we had to . We had to go out at an early stage. And now the success ive bidder did not do any ma lpractice as such, but he defaulted on his payment . He defaulted on his payment, which he was supposed to do as per the contract. And that threw up an opportunity that BPCL reauctioned that bid.


And so when the next bid came, we were well prepared with the approvals . We underestimated the kind of -- the value it would go to. And the second time we were well prepared and we understan d the whole value. And I said, it is not because of any nuclear, because their KSB already has a knowhow , which is, I would ra te it much bet ter than whatever is available being a global company and having a global market presence, a leading pre sence. But we were looking at aftermarket potential, the aftermarket potential. This knowhow has very much niche areas, niche areas where the technology spe cific, and there are not many Indian players or hardly an y Indian players. So that gives us a chance to participate in the aftermarket business, which the potential is huge with the PSUs. So that is wh at attracted us specifically for that market.

And some new technologies as reciprocating pumps, mud pumps, and those are areas w hich gives us a chance to bring in some new products also in the future .

Unidentified Analyst : Even in KSB Germany does not ha ve these products, I guess so?

Rajeev Jain : No KSB Germany also doesn't hav e.

Unidentified Analyst : So will we have the IP to export to globally or move to the parent ?

Rajeev Jain : Yeah, that we'll hav e to see, based on how we develop it first , because the recipro cating pumps is not our forte. We have to t ie up and we have to get that thing. So it's a bit early, but we are considering that , we are evaluating that. And also I men tioned about oil and gas products for the new business. One is the attractiveness in the aftermarket, but in the new business, there are KSB is on the way of developing new products. Not -- we did not do any acquisition. So this BPCL portfolio hel ps us that these products are available now, we have to upgrade them to the 11th edition, 12th edi tion API, and t hat's what we intend to do w ith the BB 1s, BB2s, and all those nomenclature pumps, which is there, we intend to upgrade. And so tha t makes our journey faster in having the complete range of pumps for the oil and gas market.

Unidentified Analyst : Okay. And what would be the size of th ese 4,000 pumps in terms of value, roughly?

Rajeev Jain: Yeah , let's say we are targeting a business, aftermarket business, maybe ■100 crores in the next three ye ars, it's some thing apart from the new business and other things we are targeting a

lmost that in the --

call it three years, which should and I think that payback will be fast once we develop it. And the future I think this …

Unidentified Analyst : Long -term should be muc h, much bigger than this?

Rajeev Jain: Long -term this is means I would not like to mention it, but it is going to be a very big benefit to the company.

Unidentified Analyst : Just on BPCL, the employees were given VRS packages, so maybe if

you could, recruit t hem for our own manufacturing, if you need their
experience of those products , just a suggestion .

Rajeev Jain: That is an option, which we are also thinking of.

Unidentified Analyst : Okay. Second on solar, would we directly participat e in Kusum, or you said that you we re looking at [indiscernible] [01:01:04] doesn't go through, why not just acquire for the empowerment for any small company for that matter?

Rajeev Jain: Yes. That is something which we ar e considering to participate as a joint venture consortium and get that reference. But we are waiting for the even joining as a consortium , it has legal conditions for us as KSB, we want to be associated with companies who have a good track record, because anything which we do , it become s also obligatio n on our part.

So we are very careful on that area. And the best, safest way is to do what yourself , it takes time. But we are open to opportunities. We are not going very in a way, which just for the sak e of getting a reference, but we ar e going since ■30 crore s is something which we can do ourself . It helps our plant loading. So we are not much worried. I think the solar business is here to stay, and it will take time. And this business only, quite a small fraction of the Kusum thing has been materiali zed. So there is time available, and we want to do it the right way. So we are not hurrying up into buying a reference or buying a integrator r eference to it, but we are keeping our eyes open and anything which comes our way, which we feel matches with our company culture and things, then we will do that.

Unidentified Analyst : Right. So, you said double, triple the ■30 crore business, but long - term, it should be much bigger market for us, right?

Rajeev Jain: It should be much bigger. If you look at the leading player, like other pump players, we're almost doing ■500 crores plus in this business .

So, opportuni ty is h uge to get a increased market share. So as I said, but it's a long -term thing. I think, it is here to stay and it is something not like FGD or something, which will be there for three, four years, and then it'll be after that. Solar, I think will be an are a for the future.

Unidentified Analyst : Last question, sir. I was expecting a slide on guidance, because you had guided for ■2,200 crores by 2024, which means a 10% CAGR from here. So do you reverse it upwards, put the number, any changes to the number -- significant changes to the number ?

Rajeev Jain: Yes sir good question. This is what I tell my internal team that in the '24 you may achieve it next year or this year. So, but yes, internally, we have not changed it because see, it is one part is, the target, but other part is also to have an internal organization who can sustain and support these things, it is all about getti ng the right people, right skillset. And it's not easy nowadays with the Indian market b eing very hot and a growing market, to get the right talent , skill and to get those people behind this business , it takes time and to train them, to retain them.

So thi s I think is also a challenge. So I would not make any assumptions now. I would still keep that even though in light of the year 2021, ending December, it may look n

ot a very ambitious one,
but I would say , I would still keep that, also because of the reas on I said. And apart from that, the capacity enhancement, which we have to

do in our plans, the process change. It all takes time. And we need to respect that and give it the right time so that ultimately the quality which KSB never compromises and which i s our brand image th at I think stays uppermost in our mind.

Unidentified Analyst : Great. Thank you . Thanks a lot .

Unidentified Analyst : So sir, can you quantify the trade of Mechanical Seals business and where do you see three years from now that busines s?

Rajeev Ja in: Quantif y the?

Unidentified Analyst : Mechanical seals started last year ?

Rajeev Jain: Yes, ye s. Correct , correct. As I mentioned, the Mechanical Seal s business. Now, there are two channels. One is what we give with our pumps, so and one is what we do in the af termarket. So total of this, what we sold almost was around in the range of 15,000 -- 14,000, 15,000 last year. I would say 20% of it was in the aftermarket. And

our pumps itself, we are -- I would say 90% of it , we are supplying with our own mechanical seals. So this is a process of sowing seeds, creating that install ed base for the future. So once our install ed base of our seals is there, then the Supreme Serv business automatically increases.

So the growth rates, which we are looki ng at, this business is in the range of 15 % to 20% pe r annum. And I'm sure, what we are doing today is we are importing the s eals from Germany, and we are branding them, also for the different products by K SB by buying it locally. So in the end, in our lon g-term, we want to ensure that the seals, which we buy from Germany, we can localize it, make become more competitive, and hence get more share. So that's why I say that, we are on that journey to continuously increase it. And definitely we would like to m ake it a growth of at least 15%, if not more .

Unidentified A nalyst : The 20% that you sold in the aftermarket , so what will be the value of that?

Rajeev Jain: Well, I don't recollect now. Maybe a few crores, few crores. I t is something which will take som e years to come to let's say if I say this business is ■10 crores, but to bring it to a sizeable number of ■100 crores plus, maybe it'll take four, five years . I just speak very generally. So today it's only a starting phase, today it's only a starting phase that we are more depending and creating that install ed base for us. And the business would be in this much value right now.

Unidentified A nalyst : Small con fusion regarding this NCPL order. So I think there are two orders of ■500 crores ?

Rajeev Jain: True, true.

Unidentified A nalyst : [Indiscernible] [01:0 7:59] .

Rajeev Jai n: There are two orders, one is GHAVP , Gorakhpur , Haryana that is the first order of ■500 c rores for eight pump sets. And t he second is for another site, Kaiga , which is also about similar amount for eight pump sets. So total, we have got orders of 16 pump sets for two sites.

Unidentified A nalyst : So can you quantify market difference between Standard pumps and Engineered pumps , if that is possible?

Rajeev Jain: Difficult to quantify. I would say each has its own strength. And of course, for the Standard business, our fixed cost become very less, like



Sinnar plant. So they have a good, let's say if I ben chmark our Shirwal plant and the Sinnar plant, which are the basis for Standard business and Engineered business . If I say to you that we are almost at similar level of margins, why because one has a lower fixed cost and the other has a good af termarket bu siness. We sell replacement pumps through our Shirwal plant and s

pare parts. So the margin in the end, in the end for the company is almo st similar .

Unidentified A nalyst: In terms of exports , could you just help us out at what's the number for this year? And how are you seeing the trend in that particular part of the business?

Rajeev Jain: Yeah. Export was not a great story last year. Two reasons. One is a very strong growth in the Domestic segment. Export did not grow as strongly as our domes tic. So co mpared to the previous year where we had almost 19 %, 20%, we had a revenue 15% to our sales .

Unidentified A nalyst: Absolute numbers, it wa s -- sorry ?

Rajeev Jain: Absolute numbers. You can calculate 15% of ■1,800 crores .

Unidentified A nalyst: And what do you see the progress on this site? Because there was an expectation that we'd be able to sell Gam ma pumps say across the world and so on and so forth. So just wanted to get a sense of what's your own strate gy and how are you thinking about this p iece?

Rajeev Jain: Yes, our export, the business in view of our enhanced product basket definitely should grow. This is something, both in Engineered pumps as well as the Standard pumps. The hope and the plan is the re. Normally we do exports throu gh our KSB entities. We don't do exports directly. So somehow it is a bit of also of internal selling, which we have to do. And you gave the example of Gam ma. Yes, Gamma, we sold around 50, 70 pumps not much a little bit below our expectation, but then I think as time goes by, as the range completes, we should be doing more.

We are expecting on solar business, also solar portfolio is another chance where we can grow. So we are striving to put a lot of focus on these business with our API basket getting enhanced with our interaction with our group companies , I think there is a good acceptance of our products and good future. Only because of little bit downturn in the project business in exports , we are a bit down in the past y ears, we always got one or two good projects in export , big projects. So those are missing and that affects our revenue.



But on the Standard business, I think in slow and steady, I think we are growing our business. The effect on the export has mainly bee n due to big projects.

Unidentified Ana lyst: In terms of, seeing India as a potential site for making more pumps or especially given the whole cost competitiveness, which we are seeing in Europe diminish because of energy cost s, et cetera. Do you see that as something that K SB is keen for, your parent is keen for? Or is this is going to be more of the same?

Rajee v Jain: Yeah, I think the par ent company always does a balancing act. It has to ensure that all the locations are eno ugh utilized and the capacit y utilization, and they're loaded enough. But the parent company has been supporting us to a very large extent to ensure that we have all the products for the domestic market. Indian market today is the most attractive market, and the market which is growi ng. And as I mention ed, the n ew products which we have bought. So there is a tremendous support from there. And I guess, the same competitive -- with our competitiveness , we definitely are working on and to see how we can get more access in the other terri tories , but I -- as I said it is, we need to ensure also that other KSB companies from China, Brazil, Europe, all have a good share and it's not hijacked by India .

Unidentified Analyst : Yeah. A couple of questions on exports. Like what was the reason for decline in the exports and ho w do we see going forward? And probably how are we positioned for servicing as a regional base near our, like we already licensing office in Banglades h and Bhutan. So is it that Indian entity becomes a sourcing base for the reg ional requirement? That

is on e first question on export s. What will be our peak working capital requirement for the nuclear execution? You showed some number, but we missed i t. If you can probably help us on that.

Number three, the tender, which you are mentioning for nuclear. Is it for auxiliary pumps , which last time you mentioned some 2 ,000 crore opportunities there. So is it for that or is it for another set of primary coolant pumps if you can specify ?

Rajeev Jain : Okay. The first question was on expo rts. Yeah . I explained that e xport business for the year '22 was down because of missing big projects. And moving into this year, I feel the first half will be a bit challenging because, a bit of a slowdown in the global project business, I would say. The standard business would conti nue. But with our initiatives,

which we are taking, when I say initiatives is a lot of meetings, invitations to our dealers , colleagues from overseas, we are conducting seminars, workshops, plant visits . Our people are travelin g to their regions.

I think that we should be able to maintain our export ratio. And I say in the ba ckdrop of domestic business growth . We should be able to be somewhere in the range of 15 % to 20% this year also. Once the project business picks up, I expe ct this to grow in the coming years, when we have already introduced a lot of our products and whatever we are bringing out.

Also in our exports, the group companies also look for components, supply from our foundry. As you may know, that -- in that China plus one, a lot of overseas companies are looking to India n suppliers. And India is also a case. Being India is also an attractive option for our group in terms of our foundry, which we have o wn foundry. So we are looking to increase that component busine ss also.

So overall, I say e xport is as equal in o ur focus. It's only a matter of time when these figures get a bit affected due to the project business.

Unidentified Analyst : Ideally which , what projects we serve? Is it power related or again, what?

Rajeev Jain : Both power as well as oil and gas. Since KSB here in India, we are exclusive ly making some pumps in the group. That is the actually split multi -stage BB 3, we call it BB 5. So these are products made only in India. And so this gives us a good oppo rtunity for export .

Unidenti fied Analyst : Is it a b oiler feed pump ?

Rajeev Jain : No, these are multi -stage high pressure pumps. These are used for boiler feed application as well. But in petrochemical or refinery or all, it can be hydrocarbon as well as boiler feed both application . It has to be as per EPF . And also energy , energy we supply to Vietnam super critical in '22 wind farm project. So these projects are few, I would say these are few, much few. And we are looking at global players like Siemens, tying up with them. So there a re efforts being done to see India can become a n option , wherever there is competitiveness. Recently we got an order from Çal■k Enerj i in Turkey for boiler feed pumps. So those are new customers, new EPCs, which we are developi ng. So these efforts will continu e. Your second question was on…



Unidentified Analyst : Peak w orking capital for nuclear and …?

Rajeev Jain : Yeah, nucl ear, I think working capital, maybe Mahesh, you can answer it and also on the cash flow.

Mahesh Bhave : So mor e or less nuclear working capital. Yes, there is announcement, but it is more or less covered by the advances what we received. So at least 2023 and no, we don't see any announcement challenge on working capital.

Unidentified Analyst : No. But you are basically in the current year also as per cash flow your working capital rates by increase

d by ■120 crores , ■130 crores ?

Mahesh Bhave : Yes. That is not, that is excluding nuclear because in the regular business also, since we are growing, so both receiv able as well as inventory has grown with the stocking policies and to support the growth in the business. But if you see the ratio to the sales of both receivable inventory, it is maintained actually ratio or even number of days that is maintain ed.

Uniden tified Analyst : So we get progress payments for nuclear.

Rajeev Jain : Yes.

Mahesh Bhave : Yes.

Unidentified Analyst : Milestone base?

Rajeev Jain : Milestone payment. And the good part is that we are positive in the cash flow and we hope to be positive in cash flow throughout the execution of the project. So that's our intention. And the milestone payments support us for that .

Unidentified Analyst : Last question was on the nuclear orde r. Was it , you were mentioning about ancillary or it's…

Rajeev Jain : Now on this nuclear business, the main -- the big business is this primary coolant pumps. But apa rt from that, in the primary cycle, there are other auxiliary pumps, which where we are also participating. So that is ongoing. That busi ness can be anywhere in the range of ■50 crores to ■100 crores for -- per site. So but that is, that business is competitive business that there are other players there. So

if we are competitive, then we get i t. And so we are targeting some share out of that business also.

Unid entified Analy st: But tendering has happened or?

Rajeev Jain : Tendering has happened . Now it is under the technical evaluation stage. Once that is completed, then they will finalize and in the second tender it is going to be re -tender ed now. There were two tenders. One, is under evaluation. I think KSB is in a good position there and that should get finalized in the next quarter. But on the other tender , it was there, but it has got re -tendered due to some reasons. So we will again, compete there with othe r pump supplie rs.

Unidentified Analyst : And what -- last question. What could be the opportunity, if you probably have say primary coolant ■500 crores in for eight pumps, what could b e the relev ant opportunity for auxiliary pumps ?

Rajeev Jain : Auxiliary pumps maybe yo u can take it as 10 % to 15% of the total PCPs, 20% maybe around that .

Unidentified Analyst : 20% of the primary.

Rajeev Jain : Primary.

Unidentified Analyst : Okay. Thank you.

Mahesh Bhave : Last one question sir.

Rajeev Jain : Maybe somebody who has not asked. If you don't mind . Anybody, maybe please go ahead.

Unidentified Analyst : Sir m y question was regarding the execution cycle of our order book. When we look at the historical trend, let's say before Q2, it used to be around six, seven mo nths. And you know, we should dissect it that Standard pumps execution cycle is three, four months and Engineered is like around eight, nine months. But that execution cycle has kind of tapered -off in last six months. It has been relatively lower in compar ison to the pa st. So is it that we are constrained by the capacity? Because in Q2 we mentioned that we had a ■1,300 crores order book, but like execution cycle in next month has been around ■960 crores . Well, historically it used to be six month execution cycle. So if you ca n just dissect it and help us understand , are we constrained by capacity or not? And if we are, then what is the peak potential of standard pumps and engineer ed pumps revenue excluding NPCL ?


Rajeev Jain : Yeah, I don't . I wouldn't say that we are constrain ed by capacity . Normally April to June is a very peak season for Agri business. This is the season where we would say the peak quar

ter where we can supply our Agri domestic business. Normally the trend has been 55:45 kind of thing s equally. It all depends on the how and when we get the project business.

But to answer your question in a simple way, yes, if we had more capacity, we could do more sales. That is definitely for sure. But that, we would like to go it in a very consistent way . This has to be more consistent and not one half or one quarter. So considering that, I don't think we have disappointed any customers of non -supplying or things like that. We may have little bit slipped on on-time delivery, but I don't think it's has been a major issue with any customers.

The priorities have been given and we have scheduled that. And to the point which you raised about the second half, I think maybe it can be always a product mix of more engineered pumps with high content there. And also we have had some supply chain issues, like for example, FGDs business , we import something, then there are man y approvals. But all in all, I wouldn't say that it has affected our business to grow 22% is a good achievement. And to expect much more would be a bit too much out of our existing capacity.

Unidentified Analyst : So, because where I'm coming from is that now that ■900 crores became ■1,300 crores , now that ■1,300 crore s is almost ■2,000 crores now, which is I think .

Rajeev Jain : ■1,800 crores .

Unidentified Analyst : ■1,800 crores . You mentioned ■2,500 and excluding …

Rajeev Jain : Actually you 're talking order inta ke?

Unident ified Analyst : Order book.

Rajeev Jain : Order book, okay. Yes. Yes.

Unidentified Analyst : Order book. So now with that, I think our fixed assets have not really increased in that .

Rajeev Jain : You'll see that, as I mentioned, all tho se ■100 cr ores inves tments. We are buying machineries , more automated machines. We invested in

space in Sinnar , a new shed. And in the coming months also, you will see new investments. So we are adding capacity. If you are adding capacity, you'll see a ll our locations almost all filled up, full utilization. So step -by-step we are increasing the capacity at this location.

Unidentified Analyst : So how do you see the execution cycle of our current order book with current capacity in place?

Rajeev Jain : Yeah, wi th current capac ity. I think, we should see a good growth year-on-year with this present thing.

Unidentified Analyst : Okay. Thanks a lot.

Rajeev Jain : Okay. We want to conclude . So thank you. Thank you for your very interesting questions. Your questions also help us to also introspect and give us an insight, but we hope that we have answered all the questions as clearly and as honestly a s we think ourself . Hope you are satisfied with that. And once again, thank you. Thank you for coming here and joining us for this session today. Thank you.

Mahesh Bhave : Thank you.

# Call: Aug 2023

Date:
8th August, 2023
T
he General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C-1, Block G
P J Towers Bandra-Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB
Subject: Transcript for the Institutional Investors' Meet
Dear Sirs/Madam,
In continuation to our intimation dated 27th July, 2023 and 04th August, 2023
enclosing herewith the Transcript of the Institutional Investors' Meet held
and participated on 04th August, 2023.
Kindly take the same on your records.
Yours faithfully,

For KSB Limited
Shraddha Kavathekar
Company Secretary

Mail to : (Head Office) KSB Limited (Formerly KSB Pumps Limited), Mumbai - Pune Road, Pimpri, Pune - 411 018. (India) Tel. :
+91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R- Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635

KSB Limited ( KSB )
Institutional Investors Meet
August 4, 2023
Page 1 of 27 MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer
Shraddha Kav athekar - Company Secretary
P
resen tation
A
shwani Sharma : Good morning everyone. My name is Ashw ani Sharma. On behalf of
ICICI Securities, I welc ome you all to the KSB Investor Meet . It's a
pleasure to host KSB Limited Management. So this is the third time
that we are hosting on a continuous basis. Just to give a small background. KSB Limited is a German Group company , is one of the
leading players in the Indian industrial pumps and va lves. It caters to
several industries like agriculture, wastewater, paper, textile, pharmaceutical, food processing, energy, oil and gas, et c etera.
T
oday with us we have the entire team. So with a great pleasure, I
welcome Mr. Rajeev Jain, Managing Director ; Mr. Mahesh Bhave,
Chief Financial Officer ; and Shraddha Kavathekar , Company
Secretary, and other team members.
N
ow, I hand over the mic to the management to address the audience
with a small presentation on the q uarter gone by. And then we'll open
the floor for Q &A. Over to you, sir.
Ma
hesh Bhave: Good morning all. Thank you Ashwin. Thank you IC ICI. And thank
you all for joining this. So before we start, a cautionary statement. This presentation may contain certa in forward -looking statements
relating to company's future business , developments and economic
performance. Such statement may be subject to number of risk, uncertainties and other important factors such as, but not limited to competitive pressures , legislative and regul atory developments , global
macroeconomic and political trends , fluctuations in curr ency rates and
general financial conditions , delay or inability in obtaining approvals

from authorities , technical developments, litigations, adverse publicit y and news cove rage, which could cause actual developments and result to differ materially from the statements made in this presentation. The company assumes no obligation to update or alter forward -looking statements whether as a result of new information , future events or otherwise.

S
o with this cautionary statement we start the presentation. We 'd be covering organogram about KSB Limited, its presence applications. We will discuss highlights for quarter two 2023 market penetration, top 10 customers , orde r intake , review we will be discussing . We will

 have an overview on net financial position , update about NPCL order , major investments. We'll be discussing revenue trend, profit trend, digitalization update we'll be discussing and branding activities as we ll as ESG.

W
e start with organogram. Mr. Jain who heads as a Managing Director of KSB Limited and it is supported finance and DTC , which I am heading. HRD is headed by Mr. Mohan Patil , who recently joined for us as a senior member. Mr. Bhathena, who heads Sales and Mark eting ; Nuclear Operation is headed by Mr. N itin Patil; Valves Factory and Business is headed by Mr. Raja; Quality and ESG is headed by Mr. Philip ; PMP S Product Management is headed by Mr. Seshadri ; Shraddha, s he is with us, s he heads as a Company Secretary ; and Standard Agricultural and Solar P ump a similar business , which is headed by Mr. Bapat; Supreme Serv is headed by Mr. Rajesh Kulkarni ; and Purchase and Foundry is headed by Mr. Watve. So this is the senior team.

A
s you are all aware our regional prese nce we have seven manufacturing locations, four z onal offices, 14 branch offices, five service stations, 200 plus authorized service centers, 1000 plus authorized dealer of pump, valves and systems. We have a Bangladesh license office and business through dealers at Nepal and Bhutan. So this is the regional presence in Nutshell.

EP
D this is Energy Pumps Division , Shirwal so

me of the photographs
outside view as well as inside view. This is IPD , Irrigation and Process Division in Pune. We have some more photographs of IPD. This is the inside view . Supreme Serve and Central Warehouse, t his is at Chinchwad , Pune where we have an excellent center. And this is a Central Warehouse photograph inside of the unit . Standard Pump Division , this is in Sin nar, Nashik. This is the outside view and this is the Standard Pump factory from inside view . We have a foun dry at Vambori near Ahmadnagar. This is the inside photographs of the foundry. Valves Division , this is in Coimbatore , Tamil Nadu. This is the inside view of the Va lves Division. We also have a M IL Control Limited , which is the associate company , which is in Kerala and into Valves Manufacturing again . This is the inside view of ML.

R
ecently we have inaugurated our Kolkata office. So we are owning this office now and we have already moved to the new office. We also have an associate company KSB Tech Private Limited which is into an engineering services and IT services and this is providing the
services to the group. This is in Pune City, KSB Tech .

 S
o coming to next t opic, applications . So we are into energy , industry, water, wastewater, construction and SupremeS erv. So energy , the products which covered high pressure multistage pumps , vertical

inline pumps, GGC and ball valves , and applications for boil er feed
applications, condensate extraction, et cetera.
I
ndustry a pplication we have end suction pumps, process pumps, non-
clog pumps, high pressure multistage pumps, confirming API 610
latest addition, GGC and ball valves .
A
pplications, again for boiler feed applicati ons, oil and gas, sugar,
paper and pulp, handling of thermic fluid, petrochemical, et cetera.
Into water, submersible pumpset, openwe ll monobloc pumps, mini -
monobloc pumps, dewatering pumps, solar products, GGC and ball
valves again . And applications are i rrigation, farm houses,
firefighting, drinking water supply, et cetera.
N
ext application segment is wastewater . Submersible motor, non- clog
pumps, horizontal non- clog and suction pumps, G GC and ball valves .
Application into various types of municipal and industrial wastewater,
sewage, effluent transport and treatment, storm w ater drainage,
dewatering, et cetera.
C
onstruction again, submersible pumpsets, open well monobloc
pumps, mini -monobloc pumps, dewatering pumps, booster systems,
GGC and ball valves . Applications are into drinking water supply,
firefighting, HVAC et cetera. Supreme Serv this is into spare parts. So
we have segments like spare parts , repair, field services,
modernization, and replacement pump that is footprint pumps . These
are our segment s under Supreme Serv.
M
oving ahead, this is on mining business update. So license
agreement signed for seven sizes . Order based developm ent under
progress for five sizes. Prototype testing done in July '23, expected
good forecast ' 23 to '25. A nd vertical pump and rubber line pump
under the discussion. So these are the photographs where these LCC pumps manufactured, assembled and tested at IPD
plant that is Pune.
S
olar business, further update . We have been discussing this . So
business on tra ck and expect t o surpass the budget in 2023. Expecting
good business in 2024 on account of SECI that is Solar Energy
Corporation of India tender participation and participated in 15 states. And another update is DC motor manufacturing
capability establishe d
 till 10 HP. Controller development under progress. First prototype
expected by September '23. So this is on solar update.
C
oming to overall highlights for quarter two 2023. So quarter two
order intake at ■6165 crores growing by 26% over quarter two of
2022. Re

ceived F M packager certificate for firefighting pumps . Solar
business a s we discussed qualification for SECI . SAP Wareho use
Management Implementation , this is under digitalization , we'll be
discussing again. Export business around 4 Mio USD t hat is ■32
crores appr oximately export order. What we got is from Petrofac,
Algeria in June '23. Zonal office w e have seen the p hotographs. So
that has shifted to new location now. And prototype order railway
segment which we discussed last time that is received from Siemens
for Vande B aharat train.
M
oving ahead , top 10 customers continues to be Thermax into energy ,
Megha Engineering i n Petrochem , IOCL , BHEL and again into
energy , Rushabh Enterprises some of the dealers , ISGEC Heavy
Engineering, NTPC and some of the dealers like Patil , Pooja and
Thyssenkrupp also.
Y
TD June continues to be Thermax , Megha, K C Cottrell into energy ,

Petrofac, Algeria will be discussed the export order. And some of the
dealers. Rushabh, Patil. And of course, NTPC and hydraulic
engine ering .
Or
der intake overview . Distribution , this is for domestic business.
YTD June '22 versus YTD June '23 s o if we see more or less standard
pumps w e are around 42%. Engineering products that is around 26%.
Supreme Serv it is 14% and valves it is 18%. Net financial pos ition, if
you see without nuclear t his is from ■233 crore which was there in '22.
And we are at ■222 crores YTD June '23. So despite of more working
capital with the g rowth in the business. We are maintaining the net
financial position.
T
his is update on NPC IL order that is GHA VP project status for RS R
400 pumps. So plan to deliver two pump- motor unit in last quarter of
2023 to T arapur for testing . Major investment whic h are completed in
first six months. Land upgradation. IT hardware, so a lot of
digitalization and IT related work . Kardex . Again, machine w e are
replacing the old machines so those CapEx . Nuclear infrastructure for
TAPP . Kolkata office w e discussed . Shirwal office building that is
admin building , which is under construction. Other office ren ovations.
 Pattern s, tooling dies that is the ro utine CapEx and other around 91
million .
Re
venue trend which you are aware. So last year we closed 18,420.
and in first six months we closed at 10,089 t his is million INR. Profit
before last year we were ■240 crores and up to June six months we
have achieved ■138 crores into PBT.
So
me of the digitalization updates . So Paper Lite Organi sation , we are
into digital IBR approval , pre -dispatch inspection, purchase
requisition process which we have digitalized and avoided the
paperwork , customer experience upgrade that is into solar pumps ,
SAP Warehouse Management we discussed , and advanced shipment
notification B2B.
S
ome of the branding activities , exhibitions. So this is IPS Techno
Galaxy 2023, KSB participated at NTPC IPS Techno Galaxy 2023
exhibition , Agree Index, Coim batore this was another exhibition
which KSB participated .
E
SG update. So 2022 year end that is 4398 MW H what is under
energy saving and around 3474 metric ton of CO2 that is the reduction numbers. And ' 23 this is estimated where we are estima ting 6286
megawatt and energy saving into CO2 it is 4965 and you can see the photographs where we have installed solar system at various plants.
A
nother energy saving some of the measures like we have an
electrical vehicle , which we use for interplant tra nsport. B iogas
installation at EPD that is another example and garden decompos e
machine at IPD plant. The se are a few other examples. We are
working, there are many projects like this .
Te
a plantation into our plants as well as around other surroundings. S o
3,000 plus plantation in manufacturing location and 28,237 plantation in surroundings . Water management, rainwater har vesting. S

o you can
see the photographs in our EPD , Coimb atore, Vambori and Sinnar
plant. So 77 plus Mio litters , which is these are all pits where
rainwater harvesting is being done already.
Fur
ther ESG activities into governance. So we had an awareness
session on prohibition of insider trading regulations where the external consultant as we ll as internal secretarial team, they

have given a kind
of a training and knowledge awareness session to all the managerial

staff about undesignated persons , which is ar ound 150 employees on
various SEBI regulations, code of practices on UPSI, et cetera.

Further ESG activities into social activities. So you can see the
photographs like badminton tournaments, monsoon trekking, women
Day celebration and cyclothon as they say.
Training and engagement. So we had technical meet at ONGC Ha zira,
technical seminar - UPJN Allahabad , seminar in Uttrakhand Peyja l
Nigam - Haridwar , and technical presentations in D hanbad and
technical seminars in Synthite Industries Private Limited . Training to
KSB companies and dealers. So we had this event in Indonesia, Jakarta, Thai land were and of course Bangkok. So we have pre sented
our product feature in this training session.
CSR activities. Of course, KS B always been in a very big way into
CSR activities. So these are some of the photographs and events
where we have provided support to skill devel opment program for
BSc Nurs ing for underprivileged girl s in rural area. Pragati school ,
Shirwal where again this is for children to encouraging them to pursue the education . Seva Sahayog school , Pune distribution of school bags.
Some o f the further woman skill development , beautifi cation and
fashion designing support. Further environment activities where we have provided garbage van donation at our Kesurdi , Shirwal plant .
Pimpri police station where we have constructed the ladies restro om
and donated the water purifie r. This is the government GPP is a
government polytechnic college in Pune where we have established fluid mechanics and machinery lab for the students. You can see the E SG rating under CRISIL so latest CRISIL ASG
rating KSB . So environment, social and governance. Overal l score is
51 and company has published Business Responsibility and
Sustainability Report , BRSR report in April ' 23 for the financial year
ended '22. So companies are main leaders to voluntarily publish the
BRSR for the financial year ended December '22.

Yeah. So that's all as far as presentation is concerned and forum is open for question- and-answer. Thank you.
Ashwani Sharma : So can raise your hands and ask the questions. Mi c will be c irculated .
Yeah please.

 Unidentified Analyst: Hi. A couple of questi ons, Rajeev. O ne is on the nuclear side. So what
revenue you expect in this year '23-'24, because it's going for testing.
So in '24-' 25 what revenue you expect to recognize? So I'll ask other
questions later.
Raj
eev Jain: Yeah. The first pump is near completion. The process is that we'll
send the casing first, which has to be welded at their test site, which
will happen in this or next month latest. And then the motors and the pumpsets will be that we expect t o send it out by the last quarter. If
everythin g goes well. When I say eve rything goes well, means they
have their test bed properly made for testing of the pump, which is also on work under progress. So it's not yet ready. So the testing part, the test be d, the completion part, all those are kind of c hallenges still
to be compl eted.
S
o the revenue we expect is next year, most probably. And to be a bit
on the conservative side, I would say two pumpsets complete out of
the four . The official delivery is fou r pumpsets by April '24. But as I
mentioned abo

ut the challenges, so we expect scenario, a best case scenario of two pumpsets by then. But if the things change and things happen as per plan, then we are ready with the four pumpsets by April '24.
Uni

dentif ied Analyst: In revenue terms?
Raj
eev Jain: In revenue terms, two pumpsets would be half of whatever the order
value, around ■500 crores. So it would be ■200 to ■50 crores.
Uni
dentified Analyst: Second is Raj eev on the exports. So what is the export perc entage in
revenue a nd how do you see next two, three years? Because you're
receiving good orders now in exports ? I mean, the last time we met,
you were a bit conservative on exports.
Raj
eev Jain: True . Yeah. Export w hat has happened is that if you've seen our
journey, we have added so many products in our range, in our basket,
and especially for the petrochemical market, refinery market we call it
API pump spanner, which are required.
W
e now have almost complete basket which was missing some years
back , whether it is a BB 3 pump, BB 2 pump, the vertical V S6 pumps.
All those ranges we have completed , we have backed orders. We are
creating that PTRs plus with the acquisition of BP a nd CL, all the
other m achine ranges are also availab le now.
 So that gives us a very good position in the market with the
completeness of the product range in this sector and this success, we
have started seeing now, the first is already mentioned in ou r
presentation is the order from Petrof ac for Algeria.
T
his was almost a $4 million order. A couple of more orders are in the
pipeline or received, I'm not yet sure. But these are all in the Petrochemical sector. So, what I want to say is in this segmen t now,
our competitiveness, market accessibility has impr oved much more.
A
nd in most of these products, we are the only manufacturer within
the group. So that gives us an addition leverage in the sense that BB 3s
for one example, BB 5, these are p umps made only in India by the
KSB Group, that is pertaining to the Petrochemical refinery market.
T
he other market, the energy segments also with the condensate
pumps. There are boiler feed pump, condensate pumps and cooling water , in these three big pa ckages , the condensate pump again is made
only in India within the group.
S
o all the power plant projects, whatever they are, with Siemens, with
G and the other big contractors there, there we invariably get the
condenser extraction pumps. And that's bee n our success also in the
couple of months, we are going into new ter ritories.
W
e got some orde rs from Calik Enerji in Turkey that was including
boiler feed. So these are new customers, which we are exploring, some EPCs in Spain, the U .S. market. So with our product range,
basically it's our product range and the fact that we make it the only
one in the group for condens ate extraction pumps.
T
he boiler feed is served out of Germany, even though we make and
in some cases we get those business. So this has given us good
opportunities in export, apart from the fact that also for standard business, standard pumps, this we do through our inter -companies
where our water pumps, process pumps, all those pumps, those are regular dealers or small OEMs busin ess.
S
o yes, I would say export is looking up and I hope that we can have a
better hit rate than before and this should hopefully continue.
U
nidentified A nalyst: Any target you have for revenue terms, percentage to your total revenue?

 Rajeev Jain: Yeah, ideally we are targeting 20. We reached that target some years back then. It 's not that the percent age went down. But that was more because the growth in the domestic market was very high. It was absolute terms. The export always grew, but not in the same proportion as the domestic. But now I see it's a v

ery recent thing. So I am bit guarded on that. Let's s ee. But I am optimistic that exports should pick up with our enhanced product basket.

U
nidentified A nalyst: Last question on firewater pumps. I think we are new in the category, right? So where are we now and how do you see tha t coming into commercial over next three years because t hat's a big opportunity.

R
ajeev Jain: Yeah, that's a big opportunity. I agree. For long we have been not very present in this market. We saw that opportunity and we again star ted developing products for that. Some years back, if you remember, Gamma pump, we introduced 10 bar split case pump.

S
o that helped us to make some inroads there. Very small entries. Then now we have started making the Omega pump, which is the 16 bar pump for high rise buildings and higher pressure. So those pump is also available.

W
e got our plant also approved for FM mutual factory mutual certification as an assembly packager. So as an assembly supplying FM systems, we are already approved and in the future we want to bring th e FM products as well.

Th
at's a process which will hap pen over a period of time. So I would say we are at the beginning of this journey and there are established players there and we hope with our market presence and with our product portfolio, we will tr y to take some share out of that market.

A
shwani Sharma : I requ est please restrict your question to two per person. Thanks.

U
nidentified Analyst : That was an associated question. Would you now with your portfolio more complete in some sense, could you help us understand how your competitive landscape is and how we stand inside because API 6110, I think possibly the cryptos, and we also had large. So if you can help us understand vis-à-vis BHEL , Kirloskar , all the larger competitors, how do you sign?

R
ajeev Jain: I think the competition for these products is quite high. There are a lot of players in the market , if you talk about API pumps. So it's a very competitive field. There are international and Indian manufacturers



who are very strong in this market, who have been presence sin ce long.

So that competitiveness remains. And when the market was good a couple of years t oday the domestic market with some major projects slowing down, CPCL projects slowing down. So it's a very, I would say volatile market in that sense that it's like project business.
It's sometimes good, sometimes not so good. So I can only say it's a comp etitive market. Our position on that is always we don't want to have these orders with lower margins. We want to select or to participate in those where we can we f eel it is profitable for us and not necessarily that we go fully for market share there.
So competitiveness is there. Our position, I can't guess it. It fluctuates a lot. A t some point we may be good, some point. So today I can say that we are bit more fo cused on export. Tomorrow, if the market picks up locally, we may be there.

Unidentified Analyst : And in your in-house with KSB Group, would you stand to gain more market share in terms of export opportunity because given now wi th

complete basket plus may be beside the opportunity per se has gone up
once you address the entire addressable market . So would you say
both growth and margins will see an upward in ward from there ?
Rajeev Jain : Yeah for sure, for sure I see that opportuni ties I mentioned that,
especially in the Middle East Africa market somewhere in Europe,
countries like Turkey, Spain, EPC contractors. So definitely we expect much more business compared to the past with our complete portfolio.
And this is something whi ch has to be seen in long -term sustainability
because as I said, this moves very fast in the sense sometimes some contractors are successful, sometimes others are there. You need to be on the approved vendor

list.
So all those things have to match and then the music is played. So
those things are getting better, I would say. And I feel the market
opportunities and scenario is better for us today.

Unidentified Analyst : Hi sir, yes please. You very explain ed this export success that is
mainly because of our internal capability has inc reased o r you see
external things also changing in whom you are replacing? What has changed? If you can talk a little bit more on that.


Rajeev Jain : It is both the factor of internal and external , I would say . When I say
internal I explained the product portfolio, the qualifi cations, the PTRs
and the experience what we are getting . Externally, KSB has
reorganized themselves into market segment areas , so the verticals are
in market segments. That means you have dedicated focu s on the
market segment s. So one is like energy, one is like petrochemical, so
with this segmentation there is more focus in each of these areas and
that helps to develop the overseas organizations in that focused manner.
So you have dedicated people with key accounts and handling those
customers and having that competence in those segments. So with this
sales channels, network and development and with our product development it's a combination of both that we are able to get a bit of better hit rate.
So I think it's a development on both sides and when you have those
products and when you qualify automatically, the interest also increases overseas and then they put resources and then we work together with the overseas KSB offices. So this business ca n be direct
from the customers but wi th full involvement of the front end local
office who take the lead in discussions with the customer.
Unidentified Analyst : Sir, also you mentioned that domestic growth is faster or higher than exports , which industry or w hich segment you feel giving us r eal more
visibility or maybe little sustainable?
Rajeev Jain : Yeah, I guess we have been mentioning that in the past. It's a growth all around. We see the investment in all segments per se. I give
examples. One was E thanol segment, Distillery segment whic h helped
us with our standard pumps to grow. And this growth has been phenomenal, especially for our Pune IPD plant where we at one -time
we used to do 150, 200 crores, but today we are doing 300, 350 crores .
It's almost do uble because one of that exampl es which I gave it's like
locomotives I mentioned last time with the new investments in locomotives, Vande Bharat and KSB having the process that I think
one of the biggest advantage of KSB is for every application you will find the product within the KSB portfolio.
And that helps us to also grow in this segment. The other remaining segments, sugar , pulp and paper, chemical processing, all these
segments has been quite good for us. If you talk of energy, FGD

market business has been come at the right time wh en the coal market
went down and we didn't have those boiler, big boiler feed pumps.

We got those FGD pumps for example. So that is there. Then the domestic market, especially refinery projects, so many

projects ,
Greenfiel d, Brownfield, all those projects came up where we could
participate and get a good share of the API business as well in this segment.
Then of course, apart from that investment in water, wastewater and other segments which we entered new, for example, fi refighting is
something new which we are. So i t's also that we are getting into new
segments apart from the fact that somewhere the market is helping us
and somewhere we are entering new segments.

Unidentified Analyst : The last question is on this storage hydro projects which announced b y
Torrent Power and NHPC and related to or not later, maybe anot

her
opportunity on stormwater management and this flooding across the world and across the country. How you see the opportunity and our
preparedness , our scope of work ?
Rajeev Jain : Yes, sir. For the hydrogen storage , I think our parent company
Germany is quite active there and developing products, developing relationships to the key OEMs there. So that is happening and there is a good orders globally for KSB. And in India , we have got a coupl e of
orders, not major but I think whenever the Indian market matures in
this segment, we will be ready there with our products, with our
relationships to the main technology providers with OEMs. So this is something which is there for the future and the products will
be also available with KSB. And ye s, the flooding aspect is a recent
phenomenon which we are seeing in the newspaper globally as well in China. So in India , we are not having yet those products, the dew aterin g, the
flood control products whi ch are truck mounted. So those are available
in some other locations of KSB like Indonesia and some countries. So
we are studying that and if feasible we may introduce those products in the future as well. So this is someth ing which the environment and
these global effects are coming which are making such opportunities
in dis aster management available.
So we are studying those and I would say that in future we may come up with those products.


Ashwani Sharma : Yeah, next par ticipant please.

Unidentified Analyst : Hi sir, thanks a lot for the opportunity . First question is if you can give
us the breakup of the overall order book non- nuclear, what would be
the closing order book for the first half other than nuclear?
Rajeev Jain : Other than nuclear order book or order on hand a round ■1,200 crores.
Unidentified Analyst : And in this ■1,200 crore order book major would be the engineered part, right?
Rajeev Jain : It's a mix of all, it's a mix of standard a nd engineered. So I woul d say
since we are present in all segments , so the proport ion would be
similar to what you saw as the breakup.
Unidentified Analyst : And in engineered order book like earlier, the bulk part was through
the FGD. Now what could be driving that basically the engineered
business ?
Rajeev Jain : The engineered busines s is a mix of FGD , a mix of refinery API
pumps , it's a mix of high pressure boiler feed pumps for utility power
plants or the OEMs which are there. So it's a mix of both I would say energ y as well as petrochemical refin eries .
Unidentified A nalyst : Lastly like normally FGD pump used to call I mean we used to price
at around ■3 crore per pump. So let's say this boiler feed pump or API
pump, w hat would be the average pricing?
Rajeev Jain : It's very di fficult to say. These are very engineered pumps and it's a
mix of pump as well as a lot of aggregates behind it. So there is no fixed price list per se. It's a very customized pump, so the cost, the
price totally depend on the features. One needs the instr umentation,
one needs the certification, the quality requi rements, the testing, so it's
very difficult to pin down an exact value to it.
Jonas: Hi, sir. Jonas from Birla M utual Fund. Two questions. Firstly, on the
industrial demand for pum ps, so you seein g that FGD ordering is on
its way down. The States still r emain, but at least the C entral utilities
are done. You alluded to pet chem and oil and gas in the near -term

being volatile, and we are seeing that the ethanol opportunity is also on its way down. S o if you have to take an ex -nuclear view on the
outlook for industr ial pumps over the next two to three years, what
would be the key sectors that you believe will come up and sort of not

just supplement the degro

wth that we may see in these existing
busine sses, but even help you further grow?

Rajeev Jain : Yeah, I personally don't se e a degrowth happening in, for example,
distillery, ethanol, these things. These maybe would continue for some years, I say, because looking at the first phase success, I think the government has preponed the targets or bought down tar gets much
earlier. So I expect that investment to continue and see.

As I have been always mentioning that KSB is present in all segments, in all market segments. So there may be ups and downs in some segments but there are opportunities always in other se gments which
would c ome up. You mentioned FGD. Now FGD we were init ially
present only with the main pump absorber the big pumps . Around that
there are many other smaller pumps in the p rocess side , which we
were not participating. So with our mining pumps now we are also started participating in those process pump as well. And you saw in
the presentation that we are localizing this pump also. So with that competitiveness , we would partic ipate there. We have built in
additional segments like mechanical seal b usiness. Last time we
explained that we are also enhancing our port folio with localizing of
mechanical seals and that segment also we are growing .
Solar segment, which was what we ent ered or we wanted to enter a
couple of years back, but remaining on sola r. I would say we wanted
to enter through an acquisition. But fortunately for us now we are empaneled in the Seki and we are already approved in nine states , nine
states and out of the 13 states and almost there are 6 lakh pumpsets or
the systems which are available . And we expect to get a good share
out of that.

So there are so many other business opportunities. Solar I mentioned.
Supreme Service something which we are focusing on, the aftermarket aspect, the spare parts. Mechanical seals . Segment wise firefighting is
one thing which we mentioned. Locomotives is ones , we are looking
at Navy defense as well. So there are segments other than that which we are looking into and we ar e ensuring that if one goes down then we
have other options available. And tha t is I think KSB's strength that
there may be up and down in some segments, but then we are present .
And even in nuclear , it's not only about the main coolant pump, it's
about t he other primary or pumps in the primary cycle and as well as
secondary.

 Unidentified Analyst: But then there are strike rate sort of falls because of existing
compet itors also?
Raj
eev Jain: Yes, those will always be there I think. But the main thing is there are opportunities and opportunities for all I think players. And if we get a reasonable market share, it helps us with these market opportunities which are available. And today I see this outlook quite good for the
next two, three years, that somehow or the other we'll have
opportunities in those other segments. Like FGD you m entioned, it is
not sustainable for long time, but if the new business goes down, it gives opportunity in the aftermarket of FGD. So that has parallel ly
started now.
S
o out of the pumps which we supplied 150, around 20 pumps are

commissioned. And as the pumps get commissioned, it starts
generating the aftermarket revenue. So something goes down, something comes up.
Uni
dentified Analyst: Thanks a lot for that. My second question was on the reversible pumps
that are probably used in PSP projects, the pump storage projects. Currently, they're fully imported by another MNC. Do we have a play there? Because we don't see that in the parents product profile as well.
We were going through the BPNCL product profile where we did see
some reversible pumps, but they w ere very small in terms of megawatt
terms. If you can talk about , do you plan to address that opportunity or
that's not an opportunity tha

t a pump manufacturer would look at?
Raj
eev Jain: At present, we are not looking at that opportunity. I've not review ed or
we have not reviewed that. So I would say at present we are not reviewing that opportunity. I'm not sure how big is that opportunity ,
but and how big are our imports, but at present, KSB are not looking
at it.
Uni
dentified Analyst: If I can squeeze in one more on the gross margin. Last two years,
we've seen our gross margins sort of come off from the average 48 %,
47% to about 43%, 44% . We understand there's an impact of raw
material prices there, but how much of an impact of that is there even on sal es mix as in the split between standard and engineered and how
much of this can sort of mean revert if raw material prices sort of stabilize or even go down from here?
Raj
eev Ja in: If you see the trend of raw material prices, we have seen quite a bit of stability in the last three, four months. And this stability has given us
confidence. And also we are negotiating with our partners to reduce

those from those pea ks, which happene d last year. So even the
vendors feel confident when they see consistently a s tability on these
things. So we are getting some good agreements there. So I expect
some amount of small benefits coming out of easing of commodity
prices . Small, I would say.

And we have to also know that we are entering into new segments.
We have a lot of strategic orders where we want to create references. So this puts pressure on those margins as well. But overall, yes, we hope to maintain or recover slightly those gross marg ins in the coming
time, because we see basically that stability in those commo dity prices
as well as I mentioned earlier with our growth in other areas, we are
not going after very low priced projects . And we want to stay away
from those projects. So we hope the gross margins definitely should
be better, if not the same.
Unidentifi ed Analyst : Thank you, sir. This is [indiscernible] [00:46:42] . I just wanted to
understand on your export mandate, so how does that work? Do you supply to parent in most of I m ean, I believe that you're allowed to
supply directly to few of the neighboring countries. But apart from
that, how does the relationship work? Are you allowed to supply directly to those customers, or you have to go through the parent?
Rajeev Jain : So our export is always through the KSB companies overseas, when I
say always throug h them means the cus tomer contact. The final
discussion, negotiation, clarification is done by the front end KSB
company. The contractual part can be a mix of both. It can be thr ough
the local company or direct with the customer. It generally depends on values. I f it's a big value contract. Then it happens directly. And if it's
sometimes for small, medium -sized contracts it happens through the
local KSB companies.

Because as you see the trend globally is also local content. Many countries are insisting on a local content. So in partnership with our
KSB companies overseas we collaborate and some part of the pumpset accessories assembly they are doing at their end and we supply by sharp pumps . So it's a mix of both .

Unidentified Analyst : Sure. And the second question is around our outlook of ■2,400 crore ,
■2,500 crore turnover by next year and ■2,000 crore order inflow . Any
change in those outlook? Do you think it can be bettered or given the
environment we are in?


Rajeev Jain : I think whatever we have set our goals for future . We are quite w ell on
the way , I think, and we should continue in this good way. And if the
market supports us, then we should be able to meet our goals, targ ets,
whatever we have set for ourselves.

Unidentified Analyst : Sure. Thank you so much.
Ashwani

Sharma : Yeah, gentlemen at the back .
Unidentified Analyst : Hello, t his is [indiscernible] [00:49:06] . The questions are mainly on
solar. What is our play her e like we have the stainless steel
submersible pump and the controller both? And would we be like
selling directl y to retail farmers or we'll be more selling it to say ECC
contractors like Tata Power or Ad ani just any ?
Rajeev Jain : Yes, again for solar business it's a mix of both these things , we sell our
bare pumpsets also all to these contractors. And in future, w e are also
venturing into making the systems complete. That means including panel, including controller, including the pumps and other accessor ies,
and also maintaining them at site. So these systems, and that's what I mentioned, we've got empaneled for th at. And we see opportunities
coming our way for that.

For the product per se, we have the stainless s teel product, the pump.
The DC motor we have already started manufacturing up to 10 horse
power. And the c ontroller is something which we outsource. But t hat
also in the future maybe we make it in house. That depends on how
we can get the know -how and how we can develop i t. At present, we
outsour ce it.
So I would say it's a mix today . Most of the solar business es, what we
are doing is selling the pumps, pumps only, bare pumps and the motors. But moving ahead next year, I think it will be also a mix of systems.
Unidentified Analyst : Okay . Just an extension that the next KUSUM III order could actually
be very large, around 8 lakh pumps or so. Within that, do you see
space for a quality conscious player like us to make some margins
also, because though the orders are large, it's a v ery, very cutthro at and
less quality conscious market. Like h ow large can this be for you?
Like c an it be a ■100 crore, ■200 crore business in the K USUM III
itself or more?


Rajeev Jain : Yeah, it could be in that range. That potential is there. And yes, you're
right, the c ompetition or the margins are very competitive there. But I
think there is room for a quali ty player like us and to sustain those
margins with the volumes, of course . And proper reengineering
making those things some in house and proper sourcing . I think s till
we can have reasonable margin, not something similar what you make on products. That d efinitely is not possible , because the accessories
portion is bigger than the pumps or the bought out portion is more
than your own manufactured.

But having a tight control on your fixed cost, having our network and
everything. So, yeah, I think the margi ns are making it feasible for us
to have that kind of business excellent .

Unidentified Analyst : Right. Thanks for that. And lastly, on the BPCL acquisition that we did. I saw we sold the compressor part and obviously we 've kept all the pump designs and al l. So any updates o n that like have we like been able to commercialize more? When do the first spare part business come out of that?

Rajeev Jain : Yes, it's been a g ood journey for that BPNCL acquisition, so called. We bidded for around ■ 28 crores. And we have sold the compressor part to a compan y by our internal process. We sold it for almost ■10 crores out of that. So one -third or more than one -third we recovered by the sell. And the remaining ones we have got so many inquiries now. We have started getting so many replacement inquiries, spar e part inquiries, and if you ask me, the inquiry bank almost we have the offers on the table worth more than ■20 crores already.

Our team is visiting all the customers who have those pumps and the first orders is already received. I have received orders , almost small orders up to ■10 lakhs. For example, BPC L Kochi, we participated in the bid and we were successful for a long -term contract. That means a contract fo

r two years and then the first order s for, and they will place the orders gradually. So this is just one example I mentioned. Similarly, there are other customers IOCL and other units of BPCL.

So we are very optimistic th at the opportunity is very good and customers are happy that we have been successful here, because they were looking for a good quality company to have this product and take it forward.

Unidentified Analyst : Thanks. And last, if I may , just a follow -up to the gentleman from Birla . He asked a question that on the margin front. See, we have not



done any significant CapEx and our revenue has grown maybe t hree-folds in the last five years or six years. Is that pushing the margins to the edge or is there s ome scope for bottlenecking , because you are managing like just too much of r evenue within the same space si nce the last six years?

Rajeev Jain : Yeah, that's right. The margins are, as I mentioned, when you go into new segments, you have to take some stra tegic orders to get references PTRs , but our focus is always on profitable gr owth . And so far as much as we could squeeze in the revenues out of our existing fixed costs, we hav e done it. But in future, all those investments, big expansions capacity, we wi ll be really focusing on profitable growth. It's not just the top -line that w e want to do. We are leading in terms of our profitability as a pu mp company , since many years, and we want to maintain that leadership in profitability.

Unidentified Analyst : Hi. Thanks for taking our question. Can you just elaborate a little bit on this FGD opportunity in the aftermarket ? As in the replacement cycle , I think in the last three years, we 've suppl ied a lot on the pump side. Now, can you just share with us what is t he typical replacement cycle? What are the number of hours? Because they proc ess sulfur, it's a very , very highly corrosive process. So I would assume spares , services, repairs would be a much short cycle than a lot of other pumps. Most of our pumps typica lly last a lifetime , right? So if you could just highlight a little bit about what is the kind of opportunity size that you're looking at once the entire kind of supply is done on the FGD side?

Rajeev Jain : Yes, you're right. I think this is handling a ve ry abrasive limestone slurry and other slurry. So the wear life, as per the s pecifications or the expectations on the contract are minimum 14,000 hours , and in some cases more. So this is what our pump is designed for with special metallurgy. It is beyond nor it duplex stainless steel. It's with a much higher hardness. Also, the ca sing lining, the specialized lining , which we are doing under know -how transfer. So this all enables plus mechanical seals made by KSB, all this enables us to qualify for those kind of stringent conditions.

So lot of pumps supplied, almost more than 150 pumps already supplied. Unfortunately, the progress of commissioning has bit slow
there. And as I mentioned, almost now 20 pumps are commissioned.
And yeah, as soon as those 14,000 hours are fulfilled, we can expect
the aftermarket business in terms of impe llers, all the wear parts,

mechanical seals, the casing lining repairs, all those things to start
happening.

In fact, we have started getting orders for some parts like mechanical
seals and all replacement already. So this revenue, I think will start
much better in the next year, I would say, with these pumps getting
commissioned in the next six months, if let's say even 50 odd pumps
get commissioned, so then after 14,000 hours running , then we can see
good replace ment and this will continue because of the nature of the
application.
Unidentified Analyst : At some point of time, would y

ou expect this to become like a ■50
crore , ■60 crore annual annuity business?
Rajeev Jain : Yes, sure. That is the reason. This business is a very long -term
sustainable afterm arket. And those figures with our installed base, so
far we have got more than orders for more than 250 pumps. So once
all of them are commissioned, th is business potential i s there.
Unidentified Analys t: Can you also elaborate a little bit on the address able market for us on
the mechanical seals and the valve side? I think so far we've discussed
a lot o n pumps, but not much as…
Rajeev Jain : Good that you mentioned that and divert the discussion to other things is. On mechanical seals , we ventured into this new product. Last year
we sold almost 5 ,000 in the aftermarket. This year we are targeting to
double that. And this is a product which is the first one which wears out in a pump.
And so the opportunities are much more there. So we are improving our net work, our stockings, our product capabilities there also we
started localizing these seals.
We are making them in our Pune plant. So the opportunity is
immense. I said we are targeting to double and maybe in the future go much higher. So it's just the sta rt of the thing. And the biggest
advantage we have is that we have our active market.
That means our pumps, if they go with K SB seals, then we already
create a future market with that. And that's what our intention is also to supply as much pumps with K SB seals so that in future we can
service them as well.


On the valve side, if you ask, one of our success story ha s been valves
in Coimbatore, that unit today it is growing and this year they should
meet all the targets. The profitability is much more than what we had
budgeted. So all the margins, which we kind of have pressure on due
to the engineered and the project business. The standard business, the
valve business especially, and I would like to mention Coi mbatore is
doing quite well and they are showing a growth of more than 15%,
20% in revenue every year -on-year and a profitable growth and their
profitability fo r many years has been on the lower side.
But I think they have also entered to the double -digit profitability with
their top line revenue grow th and maintaining a good control on the
fixed costs within the same premises, within the same things , good
efficiency imp rovement, internal efficiency improvement, process
changes we are able to churn out much more revenues and it has

helped the bottom li ne. So valve has been a good story. We have been
able to add traded branded valves, traded products. Valve business is like a complete basket. You need to have a good complete range which we have done over the years with ball valves, butterfly valves whic h helps our dealer network to have the complete
range.
So that has been one of the good success stories for the company and
it has helped improve the overall company performance as well.

Ashwani Sharma : Next participant please.
Unidentified Analyst : Sorry, just one last question. Any update on M IL Control s, the JV that
we have where any plans to merge it in the li sted company or expand
it further or anything that you can share about that company because usually we don't end up talking about that company ?
Rajeev Jain : Yeah, nothing that I know of that is running independent. It's a control valve company, it's a dif ferent product , complete compared to us. It's
also doing well with profitability in the range of 11% bottom line .
It's in control valves , main ly Globe control valves. Recently, they have
acquired the ball valve range from our group company, KSB Brazil.
They are making their own developing their own smart positioners. In
fact, I was there yesterday for our board meeting there also. So a lot of good progress there. They are on their own. They ar

e developing
products for their market , there's no plan of any c hange in technology
or joint ventures or anything of that sort.
 T
hey are having their organic growth together with their own
products, and they are also registering double -digit growth and
maintaining a very good profitability. So, a good partner for the group.
In fact, one of the product you must have seen is the auto recirculation valves, which they developed, which goes with the boiler feed pumps.
A
nd in the country, it was imported from German companies, which
now is totally indigenized. And they have almost sold 300, 400
numbers in this year itself.
U
nidentified Analyst: Thank you. A ll the best.
U
nidentified Analyst : Hi sir, on BPCL, t here was also an opportunity to export that product s
plate, given that it's not existing with a global parent. Is that
understanding right?
R
ajeev Jain: Come again, please.
U
nidentified Analyst: With the BPCL, the drawings that we were trying to digitize, I believe
that is a product which is absent from even the global parents product plate. So is there any export opportunity that can emanate out of it?
Could you just give us some sense of what that means in an overall context over a three to five year perio d?
R
ajeev Jain: Yeah, sure. I think the BPCL products fill in a lot of gaps in our
product range globally. S o that's an opportunity. We will have to
upgrade them to the API latest editions because those products are
from the old versions of API and this will have to be done, which is our intention also to fill in the gaps where KSB doesn't have a product portfolio.
S
o right now we are focusing on the installed base of BPCL. But in
the years to come we will definitely look at the missing products which are readily available in their range portfolio and adapt them and
qualify them for being a part of our portfolio for the new business.
Uni
dentified Analyst: And even in that time horizon of three to five years, even in the domestic 4 ,000 pumps I believe is installed base, do you think it can
result into ■100 crore kind of an aftermarket at some point or it's too low an amount?
I
mean, could you just give us an idea of , because we have zero idea
on that ?

Rajeev Jain : I wish it is like what you say, but we a re taking in small steps where we feel there is a good opportunity and it takes a lot of efforts because over the years the customers have diverted to some small players, some to pirates and it takes a lot of effort to bring back those customers to our fol d, with our quality, with our reliability and w ith firm reliability, I would say cu stomer. So that all efforts will have to be done. It's not easy. So those efforts are going on. And yes, I would say there is a good business opportunity. It's difficult to quantify it, but definitely I would say it's w orth the investment which we did. N ot only in the aftermarket, but as I mentioned, the new business, the product portfolio, oil and gas, even in nuclear, there are some products like reciprocating pumps, which we are looking at.
So the opportunity is imme nse. And to quantify it today would be difficult, but it's a good opportunity.

Unidentified Analyst : And recently, I think the Global Chairman had visited us. Any incremental conversation about them shrinking their global manufacturing footprint shifting because you did mention this time that there are a lot of pro ducts where India is the only manufacturing hub. Could you just give us some idea of how that manufacturing global footprint will kind of shift over the next five years?
Rajeev Jain : Yeah, I thi nk KSB being a global company, they have to balance out all the manufactu ring network globally. We have manufacturing in China, Brazil, Europe. So each on

e of these entities or location region had their own competence of the product , they are catering to.
So the group is happy with our performance. They had visited us and they are encouraging us with lot of new product licenses. You must have seen that all these new products which we are bringing out whether i t is a pump for Vande Bharat locomotive whether it is a product for FGD , whether it is a product for firefighting , whether it is for mining , all those support we get from the group that it is all this know how and I would say international well proven know how are available and they supported us for our local market .
And exports is something which is done on a very strategic level to see where each location s is competitive. So that is done and handled with a Group directive that they give all the global loca tions a chance to participate in the export mar ket. But India market is s o huge that we
 are happy with the domestic opportunities and the growth which we get.

A
shwani Sharma : We will take last two more questions.

U
nidentified Analyst : A couple of questions. One on the nuclear power heat tinkering , last time you mentioned that there was some kind of which is [indiscernible] [01:09:36] seem to be heat and what is the status on that, number one ? And number two, the order book number, what you mentioned ■1,200 crores looks like it is a bit lower than last year at ■1,300 crores. So that was second question. And then third question, if you can give us a sales breakup, like to get a perspective, which segment has been growing well for us because Q2 numbers are up 32%, half one is up 25%.
A
nd maybe I'll request if you can pull up the slide of order int ake, which was the breakup, it will help us. Thank you.

R
ajeev Jain: The first question was on the fleet tender. I think out of the 324 pumps, I think the eight pumps were decided with us. The remaining tender for 24 pumps, the inquiry has to come out depends on NPC IL schedule. Maybe this year, maybe next year, whenever. But it should come out in the next coming months. That is depending

on this.
U
nidentifi ed An alyst: Total of 24 and eight is already c ompleted .
R
ajeev Jain: The first eight GHP we came an d the next tender was for 24 pumpsets.
Out of that 24, eight pumpsets were finalized. That was Kaiga. And the remaining 16 ha ve to be retendered. So those will come anywhere
in the future. Very hard to predict.
U
nidentified Analyst : But these are all boiler feed pumps and primary …
R
ajeev Jain: These are primary reactor coolant pumps, the main reactor coolant pumps, PCPs , primary coolant pumps. This is in the primary cycle.
And apart from these pumps, there are other pumps in the primary cycle as well as s econdary cycle. So that for the first project GHAP V,
that will get finalized, there are some tenders which have been submitted, some under discussion, some will come so that business is
also separate from these main pumps.
U
nidentified Analyst : For the fi rst Kaiga …

Rajeev Jain : First for the GHAPV, there will be other pumps other than the main
pump which are yet to be decided both in primary as well as
secondary cycle and the main coolant pumps for the other sites for the fleet tender, those I think I mentioned that it will come somewhere in the future.
Unid entified Analyst : And on the sales growth rate of 8%?
Rajeev Jain : Sales growth, this is the order intake growth. Y eah, please go ahead.
Mahesh Bhave : Order intake if you see June ' 22 is around ■9, 000 plus million and
June '23, what we are talking is ■11,000 plus million. This is without
nuclear .
Unidentified Analyst : Sorry, current year, how much you said?
Mahesh Bhave : Current ye ar is 11,000 -- ■1,100 crores.
Unidentified Analyst : Against

900?
Mahesh Bhave : Against, yeah, 9000, correct, 900.
Unidentified Analyst : No, if you can also give us a sense on the breakup of the revenue
because earlier you used to share and basically it will help us to know which segment …
Mahesh Bhave : Breakup of r evenue, you mean sales breakup? This is order intake
breakup.
Unidentified Analyst : Yeah.
Mahes h Bhave : So break up of revenue is roughly 45% plus is a standard business, it is
hovering around 45 to 50 and around 35 to 40 is a project business and remaini ng is service and service and spares business.
Unidentified Analyst : [Indiscernible] [01:13:12] .
Mahesh Bhave : Yeah, roughly , it keeps on changing actually share. Share of the
revenue I'm talking .
Unidentified Analyst : And the growth, it change signific antly in la st six months and what is
driving this strong growth ?

 Rajeev Jain: It's not changing. The percentages are almost similar. There is no
particular segment which is outgrowing or growing much more appreciably than the other. If you look at all our plants, they're equally
all grow ing in that same way whether it is standard or engineered. So
that share of standard, what Mr. Bhave mentioned and the project engineers, that almost remains same with maybe a variation of 2%, 3%.
U
nidentified Analyst : And what would be export share?
M
ahesh Bhave: Export as discussed, this is presently around 15%. And as we
discussed, because of the growth in domestic, it was 20%, maybe three years before. And that is what we discussed that we

always have a target to reach to that level actually 20%.
U
nidentified Analyst: I have one question on the order book which is a bit lower at ■1,200
crores versus ■1,300 crores .
R
ajeev Jain: That information is not correct. ■1,200 crores is increase in order book position compared t o last year , we mentioned last year was ■900
crores. So there has been a considerable increase in th e order booking
and order land situation.
Uni
dentified Analyst : Thank you.
A
shwani Sharma : Yes. Lastly, one question from my side. So in your standard pum ps if
you could just tell us the end markets which are the end market s which
are showing you strong inquiry pipeline so whether it is water, agri ,
wastewater. Can you comment on that?
R
ajeev Jain: Again, I would not single out any market. Agri market is in our standard business we include Agri domestic, that is what we call as residential, we call it commercial building services which is building services , then we call it general industry. So thes e are all segments and
plus small bit of water , wastewater , small because water wastewater is
a combination of smaller and bigger projects. So in all these segments, we see an equal double-digit growth everywhere.
S
o again, very difficult to single out anyone. These products are made
in our Sinnar plant, in our Pi mpri plant and the growth in both t hese
plants is almost similar . So I would say all these segments and when
you talk of general industry I mentioned it is distillery, it is pulp and paper, it is sugar, it is thermic fluids applications , so all these
appli cations are there where we are there. In commercial building
 services of course you have HVAC, you have firefighting , all these
applications are also there. Since we are vent uring into all these
applications, growth is there in all these segments .
A
shwani Sharma : So one last, in FGD last time you said that you have around 169 or
170 order book yet to be supplied. How much is that now in the order
backlog?
R
ajeev Jain: Yeah, now our order intake is 250 plus , 260 to 270 pumps out of
which we have maybe supplied somewhere between 1 00, 150, so
more than 100 is still available in the backlog .
A
shwani Sharma : Okay, thanks. So thank you. So we h

ave reached to the end of the today's Investor Meet. I thank the management for patiently hearing
our queries and answering . For closing remarks , I request Mr. Jaideep
Goswami , the Head of Equity at ICICI Securities .
Jai
deep Goswami: So I take this opportunity to sincerely thank the top management of
KSB Limited to this Analy st Meet and investor interac tions , it is very
useful and very informative so thank you so much for your time and
look forward to hosting you again in next quarter.
R
ajeev Jain: Thank you.
J
aideep Go swami: Thank you.

# Call: Nov 2023

Date: 10th November, 2023

The General Manager The Manager
Corporate Relationship Department Listing Department BSE Limited National Stock Exchange of India
1
st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C-1, Block G P J Towers Bandra-Kurla Complex
Dalal Street, Fort Bandra (E) Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB

Subject: Transcript for the Institutional Investors' Meet
Dear Sirs/Madam,
In continuation to our intimation dated 2
nd November, 2023 and 8th November ,
2023 enclosing herewith the Transcript of the Institutional Investors' Meet held and participated on 8
th November, 2023.
Updated link for the audio/video recording of the meeting is: https://youtu.be/PpVQz8pweUc
Subsequently the same will be available at www.ksbindia.co.in
Kindly take the same on your records.

Yours faithfully, For KSB LIMITED

Shraddha Kavathekar
Company Secretary


Kse6J
KSB Limited (KSB)
Institutional Investor Meet
November 08, 2023


MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer
Shraddha Kav athekar - Company Secretary
Nitin Patil - Vice P resident of Operations and Nuclear Head

Presentation
Shraddha Kavathekar : Good morning a ll, I Shraddha, C ompany Secretary , welcome you all
at our Shirwal plant , KSB Limited. So, this is for us is also a good and
unique experience. We are going to host a hybrid event for the first time with the help of ICICI team. So, I will hand over the

mic to ICICI who is hosting the event for today.
Ashwani Sharma : Yeah, I'm audible. Yeah. Thank you very much. And my name is Ashwa ni Sharma. And thank you very much for giving us the opportunity again. I think this is the fourth time in the last 18 months that we are hosting Investor Meeting for KSB and we really appreciate the efforts that management is putting up. It's again, just to give you a small background on K SB, so KSB is a German [indiscernible]
[00:01:07] , it's one of the leading company in India i n which has a presence in the pumps and valves division, they are catering to very, very varied group of industries like oil and gas, power, paper, then many general industries.

We have a senior management and with a great pleasure, we welcome the senior management starting with Mr. Rajeev Jain , who's the Managing Director, Mr. Mahesh Bhave, Chief Financial Officer, and we have a new guest this time, Mr. Nitin Patil, VP Operations and Nuclear Head. So, we invite you on the dais to give the small presentati on and after that we'll open the floor for Q&A. Over to you.

Nitin Patil: Thank you. Thank you for providing this opportunity. W arm w elcome from the plant Shirwal , that is energy pumps division to all the investors and industrial community. Welcome to one of the best plant worldwide for pump industry especially in engineered pump business. I'm sure during the second half you will enjoy the tour to the plant and see the state- of-the-art factory and best -

in-class machinery which we have here which I 'm proud to say that it is one o f the best worldwide in any pump industry.

So I will take you through some salient features of this plant. So this plant we started in 2017, we call it as energy pumps division because it mainly caters to pumps from energy that is c onventional as well as

nuclear and oil and gas which all com bine together, constitutes the energy portfolio for KSB.

Some of the salient features which I will take you through is some salient features of this facility, some success stories, some major orders which we have deliv ered from this plant and sustainability at EPD because it is our business philosophy that the business what we do is a responsible business from sustaining the environment and the resources.

So I will take you through that and some CSR activities which we are doing in and around this plant because it is our philosophy that we have to give back to society because we are using the resources locally here. This plant as I said was established in 2017 with an area of 100,000 square meters which is the total are a and built up area is approximately 30,000 square meters. As I said this is best -in-class state-of-the-art factory. We recently also got IGBC G reen Factory platinum rating for this plant as well as our new office. So we are proud that it is not easy for a manufacturing facility to get a platinum rating. Since we had from inception, from design incorporated the elements which are required for such a rating, we could get this.

The shop floor here you will also experience during your plant walkthrough is equipped with the evaporative cooling system, air system where it is far more comfortable for the workmen to work because in peak summers the temperature here go above 45. So there is a difference of seven, eight degrees between the sho p floor and outside tem perature. So that gives a very comfort feeling to the workmen when they are working. We also have a rooftop solar here of 1,000 kilowatt which is maximum permissible for any manufacturing plant captive that is rooftop solar.

This pl ant is also equipped wi th a lining facility for FGD pumps which in past few years we have delivered. So this is a very specialized technique of lining the pump which our people or our employees here are able to do it . And our test bed here is a digitized

test bed where all the r eadings are taken digitized and the customer
can be shown it online as well as and we also have the mechanical seal
manufacturing facility here for nuclear pumps that is reactor coolant pumps. This we have localized as part of our localization and Make in
India initiative.
When you go through plants , you will also see that product wise the
bays have been designed so that the workflow is lean flow with



minimum flow I think we get a maximum productivity. So from the
design itself it is designed that way and all big processes or big pumps
which are processed here are especially restricted in one bay so that is the movement is more efficient. I 'm also proud to say that within KSB
Group, we have some quality certification apart from our S tandard
ISO certificatio n we have something called M ade by KSB where the
KSB , our headquarters people, our colleagues from head quarters audit
our plants worldwide and Chinchwad plant is the third plant
worldwide and first plant outside of Europe to get a three star M ade by
KSB E xcellent certificate.

It reflects that our processes are in line with our principles as well as they are in line with the design philosophy which a product is designed with. So it instils confidence in our customers that our processes are in line with what are they designed to be. So this is one
of the , I would say a landmark certificat

ion for us is the third plant
after a plant in Germany and a plant in Luxembourg. We also recently inaugurated our admin or office building , we had divided our
investments in to phases here , so one of the last phase I would say
from the original plan we completed a few days back.

So this building also is a unique shape with KSB logo if you look from the top, it is designed with that philosophy . Again as I already
said it is we got the platinum rating of global excellence , the building
is also designed with maximum daylight use , conserving resources,
very high efficiency, lighting fittings and sensor based operation is put into the plant to conserve resour ces and there are lot o f collaboration
zones where employees can collaborate with each other.

And as far as possible natural stone wall cladding, local resources, local produce has been used in making this office. There are some glimpses of shop floor, di fferent bays are shown and our bays are also
divided product wise so during your plant visit you will be able to see that. Some glimpses of machinery which we have state-of-the-art, I
would say high accuracy machines which are normally required for highly engineered pumps. So li ke cylindrical grinding machine which
we recently bought, we have 5- axis HMC , then VMC again different
kinds of VMC s, VTL and CNC lathes.

Our testbed, I am proud to say that is one of the most advanced test bed
in pump industry. We c an do all the tests whi ch are required for pump
industry, right from performance test up to six megawatt. And the
infrastructure is built in such a way that in future if the market demands, it can be increased to 10 megawatt s as well. We are able to



test a ll kinds of pumps from I would say 5, 10 kilowatts up to 6
megawatt as of now. But whenever it comes and the requirements of
market comes up, we are ready for up to 10 megawatt. And normally in general pump testing, a lot of pump, the normal tests are performance test, NPS H test which we are in any way able to do it.
But we are also able to do special tests like visual cavitation test which not many pump industries have in India, hot water test and string test.

So during your shop visit, you will also be a ble to see the setups f or
some string tests where all the equipment is assembled as it is going to be assembled at site or unitized at site. So you will be able to see, we are able to do thermal shop test. Again very few companies will have that. And our t estbed also is equipped with a 6 megawatt VFD. So we
are able to test at whatever speed range the customer wants.

And from the voltage perspective also right from low tension LT 2,
HD 3 .3, 6.6, 11 KV, we are able to test it here. And I think COVID
has also taught us to be more productive I would say. So remote
inspection also has been now introduced after COVID where the customer if they are not able to travel, especially overseas customer, they are able to see the test pump testing remotely. As I already s aid,
the main segments which this plant s caters to is nuclear power plant,
thermal power plant and oil and gas industry.
The main products which we deliver from here are displayed here
which is this SDA, SDB and HG ring section multi- stage pump right
from medium pressure to hig h pressure range and then CSTC, CSTR
or CSTD are barrel type that is double casing multi -stage pumps again
for boiler feed as well as hydrocarbon applications and as you are already aware we also make pumps for FGD here that is
[indi scernible] [00:11:19] that is KWP pump and we also do
condensate extraction as well as pumps for nuclear power plant , one
pump is displayed on the right side of you that is RSR.
So some success stories I would say . As you are all aware that thermal
coal p ower plant business was not looking good but however I think
KSB being flexible having l

ot of products in its basket would grab this opportunity and cater to this segment and this plant is able to produce
the large pumps for FGD business which is required.
FGD process mainly re moves sulphur dioxide from the exhaust gas
stream in coal fired power plant. It is mandatory for all plants to have this. So, we are able to deliver pumps from here. Now, we are able to

completely localize these pumps here including the lining as well as
all castings, forging et cetera.

Some of the new products which we recently introduced is this is actually split case multistage pump what we call API pump for BB3 application and as well as extended range in vertical pump for VS6 that is WKTR. All the major EPCs we are already approved , some
sample list is here which includes Indian as well as global E PCs. We
also recently received an order for safety class pumps from NPCI L,
that is around ■550 million for vertical safety class pumps which we
recently received , which these pumps will be made here and the
picture which you see is picture of reactor coolant pump being hydro
tested.
Some of the major orders which we delivered from here in past few years is we have delivered export order for Vietnam P ower
Corporation that is Van Phong in Vietnam , CSPD pumps and then we
also delivered eight pumps for 800 megawatt NTPC Telangana from
here and also for Harduaganj in UP .
And there are many examples of other critical pumps for LPG handling boiler feed , then crude h andling pipeline pumps if you see.
RSD, YNK and this pump, I would proudly say that this plant we
local , 100% localize this pump as part of development order and we
have delivered that already to NPC IL and this some more photographs
of an oil platform pumps delivered to H eera and Neelam platform and
to HPCL. These are large orders which I have tried to show and some export orders as well.
As I said sustainability at KSB is at the heart of the way we do the business. So all our plants are equipped with sola r power plant. So
here we have one megawatt solar power plant rooftop solar which occupies approximately 15 ,000 square meters. We have planted more
than 1,000 trees , when we took over this land for development or
making the factory t here were not a single tree in this area for the
100,000 square meters area we acquired or we took from MIDC, but
we have planted more than approximately more than 1,000 trees here which saves around 18 to 20 $CO_2$ reduction per year.

This during the design of this plant itself , the topography was mapped and we ensured
that no water from inside the plant will go out.
So all the water which is collected through rains et cetera is fed back
to the earth and then we also have the biogas plant here and as I also said that since we are here and using the local resources , it is our duty

to give back something to the local society also. So we also undertake
lot of CSR activities. So some of the CSR activities are shown here
like donation of an ambulance, donation to schools, donation to Sa tara
Police Public School we recently donated a bus and then some donation to an NGO for chapati making machine et cetera.
And also the nearest village which is Kesur di we also keep working
with them and check out what is their need. Like for example wast e
collection van was recently donated. We also renovated Zila Parishad
Primary School nearby and CNC simulator lab for ITI. We are it is under construction where we feel that this the pool of talent which will be developed there it w ill be a n easy input to us for in future whenever
we need employees for our work. So that is it from my side. Thank
you.

Shraddha Kavathekar : Thank you, Patil sir for overview of this plant. I now request Bhave sir
to give management presentat

ion.
Mahes h Bhave : And ICICI team for arranging this again for us and thank you all for
taking all your busy time here , almost investing full day traveling
from Mumbai and other places and coming here. Thank you very much and warm welcome. So, I start with cautionar y statement which
usual ly it's a mandatory statement regarding forward -looking
statements from the company.
So, this presentation may contain certain forward- looking statement
relating to the company's future business development and economic performance. Such statement may be subject to number of risks and
uncertainties and other important factors such as but not limited to competitive pressures, legislative and regulatory requirements. Global macroeconomic and political trends, fluctuation in currency ex change
rate and general financial market conditions, delay or inability in
obtaining approvals from authorities, techn ical development s,
litigations, adverse publicity and news coverage, which could cause
actual developments and results to differ materiall y from the statement
made in this presentation. The company assumes no obligation to
update, alter forward -looking statement, whether as a result of new
information , future events or otherwise.
So with this mandatory statement, as usual I will be covering the organogram of the company, KSB locations. I will be covering
overview of KSB , highlights for quarter three results. We will be also

discussing about the customers, the major customers, the order intake
situation, financials, ma jor investments and E SG activities.

So we star t with organogram. Mr. J ain, who is present here is a
Managing Director of KSB Limited and the team if you see CFO, this
is Ma hesh Bhave ; and Mr. Mohan Patil , who heads HRD. We have
Mr. Bhathena , who heads Sal es and Marketing. We hav e Nitin Patil
who is again present today, who hea ds Nuclear Operation and other
three plants of pumps. Walls, it is headed by Mr. Raja, our Coimbator e factory. Quality management is headed by Mr. Philip.
PMPS is headed by Mr. S eshad ri. Shraddha , who is again present
here, our Company Secretary . Then Mr . Sunil Bapat, who heads our
Standard Agricultural and Solar Business . So basically, Sinnar plant .
Mr. Rajesh Kulka rni, who heads SupremeServ division. And we have
Mr. Watve, who heads the Purchase Division. We move ahead about the presence in India slide. And you can see
here that we have seven manufacturing locations, four z onal offices,
14 branch offices and six service stations. We have around 200 plus authorized service cent res, ar ound 1,000 plus

authorized dealers in
pumps, wa lls, and systems. We have a Bangladesh Liaison office. And we also do business through dealers in Nepal and Bhutan. So this is the geographically coverage of the business, what we have.

Moving ahead, this is the Energy Pump Division Mr. Patil has already discussed and showed you about this plant. And you will be of course visiting this today, physically. Recently, we inaugurated our new admin building, where in the hands of our Board of Directors . The flagship plant is our IPD, w hich is irrigation and proc ess division, which is in Pimpri, Pune. So some of the photographs of IPD plant from inside. SupremeServ and Central Warehouse , this is in Chinchwad. We also have a training cent re, which we called as excellen ce centre in Chinchwad. And some of the photogr aphs are inside, where we have a Central Warehouse to store our spare parts.

We have standard pump division that is in Sinnar, Nashik , which is mainly handling manufacturing of standard pumps. This is a real photograph and we have inside photographs of ou r Sin nar fa ctory. We have captive foundry, which is in Vambori , which is again in Maharashtra. And some of the inside photographs of the foundry.
As we discussed, we have a valv

es factory in Coimbatore , Tamil Nadu. And these are some of inside photographs of our valves factory.
We also have a valv es manufacturing unit that is M IL control in



Cochin, Kerala. So some of the photographs of our M IL factory. KSB Tech, this is our associate company and this is mainly handling the engineering services and IT servi ces. An d they are catering mainly to all group companies worldwide. And this unit is in Pune City near Ruby Hall.

Again, recently in KSB Tech also, we have inaugurated new office in the same building in Pune City on 5th floor. So, photographs of those inaugurat ion. With this, we move ahead with the overview of applications in various sector. We start with energy. So, application in energy. KSB pumps and valves ensure energy efficiency and reliability helps to achieve optimal performance and safety in power plants. If you see the products, this is high pressure multi -stage pumps, FGD pumps, GGC & ball valves . Applications are FGD, hydrocarbon services.
We also have an industrial application. So, variety of inde ed in the species of life and products covers e nd suction pump, process pumps, non-clog pumps, high pressure multi -stage pumps, confirming API 610, GGC & ball valves. Applications are in oil and gas, paper and pulp, thermic fluid proce ss application and hy drocarbon services. We are also into irrigation where optimized product from specialist for entire water c ycle. So, the products covered are submersible pump set, Open Well Monoblock pumps, Mini Monoblock pumps, dewaterin g pumps, solar products, GGC & ball valves . Applications are irrigation, farm hous es, drinking water, supply, etc.

We are also into wast ewater where we call clean solutions and products covered are submersible non- clog pumps, horizontal non-clog end suction pumps, GGC & ball valves . Applic ations covers various municipal and industrial wastewater, sewage, effluent transport and treatme nt, stormwater , drainage, dewatering, etc.

We are also into construction sector and this is we are having in all solution which represents a sound foundation. So products covered are hydropn eumatic systems , firefighting pumps listed as well as no t listed, HVAC pumps, panels for primary and secondary and the applications are firefighting, HVAC, pressure boosting, water transport and drainage , and the SupremeServ.

So SupremeServ is an aftermarket business wh at we have which of
course covers the spare par t, dedicated sales management, repair and
field service, modification, replacement pump that is put pin pumps. So these are the areas covered under SupremeServ division.


With this, I move ahead to highlights for quarter three. So, as already mentioned by Mr. Patil, we have backed an order ■551 million for
auxiliary pump with Nuclear Power Corporation . This is the major
highlight. We also have an order acceptance of ■278 million and as
well as ■12 million respectively for UP and Haryana. This is in the
PM Kusum scheme for solar systems. Orde r inta ke is of course, there
is a good growth through the E2E, that is, e -sales business module.
There is a good growth in this order booking from this e -sales facility.
Valv es division recorded highest ever or der intake, that is 3,173
million. So, these a re the highlights for quarter three.
Top 10 customer, if you see the '23 list, more or less Thermax
continues to be our customer in energy sector. We have a few dealers
here, Patil Engineering. Mega Engineering i s another leading
customer in petrochemical s. We have JKV Engineering, NTPC,
Rishabh is again a dealer, Risha bh Pooja, TecniMont SPA is into
petrochemicals, K C Cottrell in energy sector and Hydraulic
Engineering in g eneral industry.

This i

s the p ie chart for order intake YTD September '23 versus YTD
September '22. And you can see more or less, the standard busine ss
remained at, in fact, slightly grown to 43% in ' 23. Engineering
products, this is 24% slightly decrease d. SupremeServ 14% and
valves , if you see this is increased to 19%. More or less, I would say
this, the mix remain more or less same for '23. Yes, export is again a
good news, a good growth story. You can see the YTD 24% growth in export.

Coming to net fi nancial position, so we are maintain ing roughly
around ■207 crores position with nuclear as of September ' 23. You
can see the revenue from operation, there is a continuous growth
barring the 2020, which was a COVID year. You can see the growth
in '21, 14,973. Last year we close 18,220 and S eptember numbers you
can see which are published number 16,446. It's a continuous and
good growth on revenue from operations.
Similarly for profit before tax, a good growth, you can see it from 20 it is a gain rising from ■ 154 crores to ■197 crores, we closed at ■240
crores last year. And September, you can see we already ■202 crores
for nine months. So, again a good growth in profits . Top investment,
Shirwal admin building , which probably you will be seeing today.
This is recently inaugurated as we discussed. IT upgradation, we are
doing a lot of IT upgradation in the company. And the patterns,

tooling and dies, which is again relat ed to our plants. Nuclear
machine, grinding machine, which we are adding. And nuclear
infrast ructure for TAPP. And Mumbai office recently, we have added
a new, its expansion of the existing office. We have gone for a new sales office in Mumbai.
Lot of ESG initiatives, energy management. You can see the
electricity consumption, solar, which of course, covered by Mr. Patil also LPG and diesel consu mption. So, 2022 versus ' 23 YTM, if you
see the energy intensity, which is measured in MZ, public turnover,
that is mutu al. And you can see the improvement in the parameters.

Focus areas of energy audit. S o, this covers transformer, pumpi ng systems, chillers, washing machines, air compressor, DG set, lightning system , and furnace. So a lot of work is going on into energy audits and various improvements into ESG.

Solar generation, of course, which is again, this plant, Mr. Patil covered in this slide. So you can see the KWH number, which is on the increasing trend again. CSR activitie s, which Mr. Patil covered for the EPD and plan , but I'm covering at the overall company level, if you see women's skill deve lopment activities where Honourable Chief Minister of Maharashtra, he was also there and felicitated our team. We have activities like school bus donation to Sat ara Police Public which is covered. A lot of activities in training and engagement. You can see technical meet at ONGC Hazira, UP [00:32:07] , various seminars in various forums and we also have our Indonesia, Jakar ta and Thailand dealer and distributor meets and various trainings with them.

Exhibitions. So, we continue to participate in lot of exhibition. So, recen tly concluded RenewX Renewable Energ y India Expo, which was conducted in Greater Noida and of course, Anutec Expo in Mumbai where we participated FCEI Expo in Mumbai , which happened in August 23, and we have a Bhabha Atomic Research Centr e that is BARC vi sit at EPD. So this team visited EPD in August '23.
Again, the dealer conference continue to be, so this quarter if you see Waze Zone, we added West Zone Dealer Conference. This is again conducted in August '23. So photographs of this conference. Yeah, that's all from my side and we open the forum for question -and-answer.


Question -and-Answer Session

Unidentified Participant : Firs

t we will take the question from the room and then we will move on to the virtual questions. If anybody would like to ask a question we will pass on the mic.
Unide ntified Analyst: Yeah, hi . Thanks for taking my question. Just one question from my side more on the NPCL side. Last time you mentioned that in this quarter we were supposed to deliver the first pump, which will go for testing and then it will decide the c ourse of further deliveries as such.
So if you can give some colour on that line whether the first pump has been delivered, how the test results have been, and how do we see the further delivery on the orders on NPCL s ide? That is one.

And second question is, in terms of overall opportunity s ide, both on the primary as well as auxiliary side in N PCL orders, how do you see the opportunity ? What could be the total size and by when we can see these culmina ting into the tenders and award that ? Thank you.
Raje ev Jain : Thank you. First, to clarify on the question on the pumps which were planned to be dispatched in the last quarter. The status is that we have dispatched one casing to the site, the second will be dispatched in couple of weeks. The process is that once the casing is dispatched then we have to weld the casings on the test bed there and then the motor will be delivered and the pump will have to be tested.

So we are waiting for N PCL to finish their test bed. So there is a bit of lag there and we expect that to be done only in the fir st quarter of next year. And the motors will also be delivered by then the first quarter and hopefully we could start, we could finish the welding of the casing by March or April , and then subsequently we will start the tes ting of the first pump.

So that i s number one. Number two on your questions on the enquiry

pipeline or the orders pipeline. For primary and secondary you saw that we already received the order for the auxiliary pumps in the primary cycle that is received for the first GHAPV project and for the turbine island pumps those will be in BHEL scope and those will be boiler f eet and other auxiliary pumps for which and the condensate
pumps for which we think the enquiry will be floated early next year.
It is not y et floated and then it will go through a process of nomination
and selection by BHEL for the Turbine Island pumps. Per project if I say very difficult to quantify , but if I take pump -by-pump or project -

by-project it could be it could be ranging for the nuc lear isl and it could
be somewhere between ■50 crores to ■100 crores per project around
■50 crores a nd there are 10 projects like that.

Unidentified Analyst: Yeah , hi. Can you just talk on the opportunity on the export side?
Rajeev Jain : Yeah, export has been a good development for us. We have not sh own
that slide, but quarter -by-quarter, we have increased our share of
export bus iness to the total order intake. We received some good
orders in the oil and gas segment. This project s, as you know, that we
have enhanced our range in API. I think Nitin Patil showed you in our
presentation the products which we have added. S o today w e have a
better competitive situation that we have a complete, almost complete product basket that allows us to participate. So we have received orders from some internationa l EPCs, Technimount and others.

So the order intake today up to September stands more than ■300
crores for the whole company. And that is a good sign if we look in year-on-year. Up to nine months, it's almost 18% of our total order
rate.
Unidentified Ana lyst: But what is driving that. Is it just an enhancement of product range or
something is, if you could just elaborate little ?

Rajeev Jain : Yeah , primarily it is enhancement of product r ange. Secondly, the
KSB Global Organization that the organization structure is such th

at we are more active globally in all these projects and with KSB network of KSB companies around the globe. So we sell mainly for our standard business through the KSB c ompanies. And for the project
engineer ed business, we mainly do it directly with customers , with the
involvement of local companies. So that would be another factor.
There the organizations support which we get globally helps us to participate more. Thirdl y, I would say that our efforts to there is also
one more , we are re gularly getting approvals on the approved vendor
list of major customers.

So this is a continuous effort where we can get more inquiries and more accessible market. So this is another ver y important aspect
where we also invite customers who visit our plant s and get approved
them for their business. So all these activities help and of course KSB
being a global organization, we have a very good access to the market
through our KSB network.

Unidentified Analyst : On the standard pumps is the export via the KS B local entity , is that
largely because of cost or anything else?

Rajeev Jain: No, it is the local entities do value addition that they package the
pumps. So we give them the bare shaft p umps , they may put the motor
and the skid and all , so that helps to be competitive and many
countries are focusing on made locally. So this gives them the value addition which they need to get qualified with their customers. So they buy the bar e pumps and then package.
Unidentified Analyst : And in this order intake, any breakup that you could share between the standard and the engineer that we have, that one. And secondly, for
the standard pumps, is there any other group entity that we compete with when we are supplying or?

Rajeev Jain: Yeah, regarding the mix of standard and engineer ed, I would say it
would be 50:50. T his is something which I'm saying without checking
the exact statistic, but it is should be around that. And yes, KSB has a
global network in manufacturing network. So we have very well equipped networks or factories in China, in Brazil, in these countries. So these are the main factories outside Europe, China, Brazil and India.

So the group has assigned a territory and depending on everyone 's
competency in that product, so they allocate so that we have proper loading for each factory globally.

Unidentified Analyst : And exports are largely to which region?
Rajeev Jain: Our exports are mainly to Asia, South and Middle East Africa.
Unidentif ied Analyst : Thank you.
Rajeev Jain: Yeah, first of all, we have a defined territory rule, a global supply
chain matrix, we call it. So whichever products we can export to which regions. But that is just as a guideline. There are market segment leaders wh o, depending on the customer choice, preference
and they can and seeing the competitive situation, then they involve the KSB different factories for providing the products.

So, for example, there is a project coming from Middle East and they know who are the approved vendors on the vendor list. And if there are Indian ven dors, then the global team definitely gives the inquiry to
KSB India and then we participate in that bid. It is not the German

factory which participates. So, such teams are assigned in th at regions
who decide what is the optimum place to give the inquiry.

Yeah, as I said, basically there is a defined territory. There is a defined territory. No questions asked. We can do that without asking anybody. We can do the exports, which are dependi ng on the product. It is not.
It is based on the product. As I said, each factory has a product
competence. And some products are made only in China factory.
Some are made only in India. There may be overlapping products also where the

y define it. So there is no defined territory as such depending
on the product.
For exam ple, a lot of our products are allowed to be exported to Asia
South. Asia S outh means Singapore, Vietnam and all those countries.
And for API products where good acceptance of Indian products are there, we can export also to Middle East Africa, if I give y ou a very
generic answer, but specifically product wise, these are defined, but these can be overruled or these can be extended based on the market
segments, possibility and opportunities they see.
Yes, most of it. If I would say from a group perspective, then the
maximum range is available in India. And I would say that next would be Brazil. These are the two companies who have the range, but India with the BB3 pumps now and the BB4, and VS4 and VS6, we have a comprehensive range. And as you know that we took over the BP &CL
acquisition also, which gave us some missing pockets of products like BB1 also. So I would say in the group case, India has the very
comprehensive complete range.

Unid entified Analyst : Your project s business as a percentage of mix went up, your margins
went to 18%. Correct me if I'm wrong, but I think currently that number stands at 26% in terms of the order book, the projects business that you have. Where do you see that going by FY '26, if the cycle is
turning?
Rajeev Jain: Yeah, I t hink you should have looked the figures in totality when you
mentioned 2004- 2008. The company was stagnant and those area we
never, we did not grow. And we did maybe selective business in particular things. And 18% what you mentioned was only one particula r year. It was not throughout the years. So your figures need
to be correct in that perspective. Our focus growth in the future trend would be mainly in standard business and aftermarket business.

These are our two future strategic business es. Project bus iness would be in areas which would be our strength and where we could have a good margin level. Where we would be able to compete on our strengths and achieve good margin levels, I would say. So as a product mix, I would not see this project business going far ahead. It could range ho ver around 30% of the total portfolio, but we would focus more a lot on standard business and the SupremeServ business, which is our core and some part of val ve businesses also project business. So if you count that, it would be a little bit higher, but I would say this would be the mix. NPCIL is outperforming.

Unidentified Analyst : Okay, thanks .

Unidentified Analyst: Sir regarding the export, are you also se eing any trend where there is a relocation of exports from China to your territory or the thinking of the global group who have more factors in India?

Rajeev Jain: Yeah, this is more relevant in the supply chain as we see it. Definitely we see a lot of activities in locating vendors, castings and vendor chain. And this is happening and this helps us also that if the supply chain is in India, it has to bring the new products faster in the market. So that definitely is there. On the product side, on the sale s revenue side, we as I mentioned earlier, this is balanced by the g roups seeing that all the loading of all the plants is done and finding an optimal solution in the sense knowing the market acceptance price level. So there I think it is more of market dy namics which decide the plant at which we can do that.

Unidentified Analyst : Could you break the export between product and the components for the supply in your space?

Rajeev Jain: Components would be a small percentage , since there is a trend globally also to increase the local content. So India offers the possibility with our foundry and local supply chain to supply components to supply SKD and as well as part assembly. So that is if you ask me at present that w

ould be not more than 10% of our total exports. Again I make a very general figure and spare parts of course is good, it can be improved but if we talk pure of components and this would be around 10%.

Unidentified Analyst : So balance is 90% is the product of the export?

Rajeev Jain: Yeah, 90% w ould be product plus pairs.



Unidentified Analyst : Okay, so if I get it right the component portion would be growing faster than the product side?

Rajeev Jain: No, the product side, the component side is internal selling to KSBs. It is not growing fast be cause it requires a lot of competence to be built up in the local KS B companies, infrastructure to be set up, assembly, testing, approvals. So that is just started. For example, in Saudi Arabia, we are starting that. So plus the supply chain also ensures t hat we have the foundries in different locations and regions to insulate the risks which are there.

Unidentified Analyst : Second on the segments that you get into energy industry, irrigation, wastewater, could give some colour that in the last two to thre e years which have grown better and where it has been subdued and if there is any change in the outlook from here onwards ?

Rajeev Jain: Yeah, it's very difficult to answer this question because we as KSB are focusing on all these segments. And I always sa y that has been our strength, that if one segment is going down then the other i s up. So if you ask me, for example, our strength always has been general industry and due to distilleries, the investments coming in those plants, we were able to have a very healthy growth in the general industry. If we look at water, wastewater, this is also a segment which is always offering a lot of opportunities and investments. So there also we grow from a small share and we are almost going up to ■100 crores in that busi ness as well.

A segment which offers a good possibility for us is in the future is building segment where we mentioned that we are bringing in firefighting pump sets. We are doing the portfolio. We have the case be range of smart p roducts, IE5 motors and the systems. So this is one segment which we are looking forward to. In water segment , I did not mention is about solar. Solar is some segment specifically for irrigation which will offer a good potential for growth. And these

are the segments of course, SupremeServ business is
somewhere we are continuously focusing on to improve our share of that business in our total and valves. And the project business, energy business and the petrochemical business, this is of course very much market driven depending on the situation at that time. So there we
focus based on the market situation.

Unidentified Analyst : Just one last question on the margin side. Last quarter you had mentioned that with the stabilization of the comp etitive places, w e

could expect an improvement. Together with your comment on the standard product and SupremeServ , if you could give some understanding that next two, three years how the margins should behave ?

Rajeev Jain: Yeah, margins with the stability in the commodit y prices this whole year and it continues , this gives us a good chance and possibility to keep our margins at a good level which they are at present. The challenges in the project business and this has to partly affected us in some low margin project order s but that we have compe nsated with our standard business and aftermarket business.
So going forward that's why I said our focus is always on standard business , our SupremeServ business and also importantly is the valve business. This year if you ask me , our valve business has been the most successful in ensuring the margins are at a very , very good level because of a lot of internal effic

iency improvements and this unit in Coimbatore will continue to have those good margins in the future and if we add , if you start doing NPCIL s ales next year that should also help in our good margins.
Unidentified Analyst : Thanks for the opportunit y sir. Can you speak about Vande Bharat project like what's the opportunity size , has the revenue are we deriving any revenue from Vande Bharat right now and what's the cost of one pump per I mean per cost pump if you can share those details would be very helpful.
Rajeev Jain: Yeah , I'll not be able to share the cost of one pump that would leak out our prices but I can assure yo u that we are on a good way , Siemens who have got a big order for these locomotives, they have qualified us as the supplier for those pumps in these locomotives for the cooling of their traction system. And that first prototype order is being delivered with the long -term contract . And this helps that all the orders or the order which Siemens has got, we would be in a very favourable situation to supply for all those locomotives. KSB Germany was a regular supplier to these locomotive suppliers, whether it is Alstom, Bombardier and ABB and all these customers. But the market trend moved that these pumps were being ordered in India or started getting ordered in India. And so this pump, E taseco ,
we got the technology from KSB Group and we made the first prototy pe and we released it. A nd the first prototype also for Siemens is released after testing in Germany. So that gives a good confidence that for all these international players, for the global market, we have a

very good situation. Not only for the Indian ma rket, but also for the global. The size and these things would depend, but it would be a sizable sum. It would be a sizable sum. You are aware of the investment in the locomotive segments which is happening.
So we would be in a good situation to get a han dsome market share here, I would say. So I would not be able to quantify exactly, but it would be a sizable sum.
Unidentified Analyst : And a ny comment on the margins?
Rajeev Jain: Margins would be good because above average. Because these are standard pr oducts. And when you have a USP that the good multinationals are qualifying you in this process. So they pay for that quality as well. So I would say the margins would be fair more than our competitors.

Unidentified Analyst : And s econd question is a follow -up on margins. Like ea rlier we used
to enjoy 47% of the gross margin. Currently , they are around 43% ,
44% range. So can we go back to 47% your comments on that? Since you mentioned that the raw material position is now stable.
Rajeev Jain: True, true. I think our aim is to go to that levels. It is always a mix of
engineered business and standard business. We can't ignore the engineered business because that becomes the aftermarket business in
future years , for example, FGD. Now we have taken FGD orders at
low margins because we know that if we get our install ed base and
footprints it may not help us in this year or next year, but in years to
come, it will help us in the good margins.
So it's always a balance of these things, but what you say is achievabl e
and is our aim to go b ack to those levels because that is achievable by
our company with the product mix and the market coverage we have and also the export business which we have. So export business, aftermarket business, standard business are good marg ins, plus valve
business I mentioned that it has already grown into a double -digit
profitability, which for many years was hovering less than 5%. And to
add it above all, if we start delivering nuclear pump sets in the future
years, it is definitely possib le to those .

Unidentifi ed Analyst : And your comments on the receivables post, we supply the NPCI L
order. So what t

ime should it take for the receivables from NPCI L?


Rajeev Jain: Fortunately, the payment conditions within NPCIL is based on
milestone payme nts. And so there is, ot herwise, if you see the projects
in oil and gas, those have long retention periods, majority of the payment is hose supply. So those are very unfav ourable payment
condi tions compared to NPCIL . We get almost 35 % to 40% before
dispatc h and immediately after dispatch we get the remaining . And
some few 5% or something is retention. So we don't see that as a major issue . With N PCIL, they have been fair based on the progress
we make. They have been fairly.
Unidentified Analyst: And last question. How many FGD pumps have we supplied so far ?
Rajeev Jain : Almost 250 we have supplied. And I think we have a backlog of almost 100 more something. So now it is a bit slowed down, but it's good that we have supplied so that customers can commission it and
we can start looking at the parts business.
Unidentified Analyst: Thanks for answering my questions .
Unidentified Analyst: Hi, just a question on the Siemens order. Do you have any idea what
would your market share be in product we'l l be catering in Siemens
order for Vande Bharat ? How many other vendors have they
approved?
Rajeev Jain : I am not sure , but today as far as I know we are the only ones who
have been approved, but I would not be able to 100% confirm that.
We will have to check that , but it could be from a normal business
perspective they will at least approve two vendors . And so our share
should be good I would say.
Unidentified Analyst: Just to f ollow -up on another question. Do we have any inclination
from like the parent company wher e they are saying, okay, India is
obviously more cost competiti ve. Are they specifying like they want
to focus more on India, asking other factories to slow down, or is it that they have to keep everyone happy in different regions?
Rajeev Jain : Yeah, you 've answered that question. I think they have to keep
everyone h appy and loaded, and that's what I mentioned, because they
have plants all over the globe. But having said that, I think they also look at the market opportunity. A s I said, we have a market se gment
organization, and we can make deviat ions depending on a project -to-
project. When I talk of project business.

But on standard business, it's clearly defined th en we follow that
metrics. Unless we can make a case, for example, if we want to export
submersible pumps to Africa and we have t o justify with the kind of
price levels and the competition , and then it is open for us to export
out. So these are the base, going through a proper process of assessing
these.

Unidentified Analyst: Sure. And lastly, I know it's a little tricky question, but in terms of
now we're in an upcycle in some sense, what could be like a peak asset terms on gross block? Peak asset turns , I know it's a little tough to ,
because it's a product based, but is there any like peak ass et terms we
could do on our gross block?
Mahesh Bhave : Turn to the gross block.
Unidentified Analyst: Yeah.
Mahesh Bhave : I mean to the turnover, you're saying. So if you see our net block is around, roughly around ■350 crores . And the turnover, if you see
around ■2000 crores , so that is the ratio. It will continue because if
you see the investment every year, we are planning around ■70 crores
to ■80 crores, that is the investment plan, which will continue actually
roughly ■80 crores to ■100 cror es per annum.
Rajeev Jain : We are investing almost ■80 crores to ■100 crores every year. And till
today I would say our return on investment ROIC is almost 20% plus
as well. So that is our returns and we continue. We will continue that
inve

stments. You see that capacity enhancement is also one of our key
aspects.
Unidentified Analyst: And last one, FGD, for example, what would be like our ste ady state
like AMC kind of revenue for post after that every year?
Rajeev Jain : Yeah , it depends on how fast these plants are commissioned. B ut I
would say pure FGD business , it would -- it can be ranging from ■25
crores to ■50 crores per annum. But again, this revenue may be value
wise small, but the margins would be quite good in that.
Unidentified Analyst: So this is just the O &M part in some sense ?
Rajeev Jain : Just the O&M.
Unidentified Analyst: Perfect. Thank you so muc h.


Unidentified Analyst: Hi, just a question on the standard pumps. So you mentioned that
standard pumps are going to be a growth driver goi ng ahead. So just to
understand what would be the growth drivers, will it be new product
that you will be launching or is it distribution, reach expansion? Any
thoughts on that?
Rajeev Jain : Yeah, both of them. Expansion of our product range, bringing in smart produc ts, more energy efficient products, completing the product
basket. When I say , one is energy efficient products, self -made. One
is, for example, if I say energy efficient, submersible pumps, we
today, KSB is leading supplier for four star and five star ra tings. And
we want to continue to bring more four star and five star products in our submersib le product range. So bringing in for building segment I5
motors and pump drive systems. So this will be one opportunity forward.

And then also bringing a lot of label to products where we close the product gaps. And continue to expand into new products , we
mentioned that railways and other segments, LSA, food and beverage segment, navy , defen ce segment. So these are segments which we' ll be
adding products. So it 's going into new segments, firefighting and all
the segments bringing in new products.

And the advantage with KSB is with our deale r strength of almost 800

plus. You bring any product or you bring any, go into segment , the
dealer network is al ready there. And it helps to expand the dealer
network, because once you bring product for more segm ents, then you
can attract more dealers, good dealers for you.
Unidentified Analyst: Got it. Just a clarification on the dealer network, you said 800 to 900 you have right now. Is it like fully matured right now in terms of your
reach or there is further s cope to add more?
Rajeev Jain : There's a lot of scope to add, because specifically for the a gri and
domestic market, today a dealer may cater to three, four, five districts in a state or maybe somet imes 10 districts. So something, there is
always a room for optimiz ation that you can have more dealers
handling in that particular di stricts or a smaller number of districts,
which would help us a good market coverage.
Unidentified Analyst: How many numbers on how many deale rs you can reach? I mean,
going at how many de alers you can add per year or?


Rajeev Jain : But I would not put too much emphasis on that. We look for quality
dealers. In our dealer category, we have this category A, B, C, D. So if I can make it 1,500 or 2,000 with C OD dealers, but that woul d not
help us . So I would rather focus on quality dealers, A category dealers
more, who would be more financ ially sound and the coverage would
be better.
Unidentified Analyst: Just one last follow -up question. What is the one capital cycle on the
standard pump side on the receivables and the inventory?
Rajeev Jain : How much, around 100 …
Mahesh Bhave : The cycle is less compared to project business. So it's around 100,
three months plus.
Unidentified Analyst: Got it. T hank you. Thanks for answering.
Un

id entified Analyst: Yeah . Thank you. Just a follow -up on that is, if you can give us a
differential in working capital between standard and engineered and export and domestic sales, if any d ifference?
Rajeev Jain : Yeah, I wouldn't have the statistics readym ade, but working capital is
around, overall for the companies around 30%. And of course, for
engineered pumps, it is more than the standard business, definitely. So, the receivables, the inventories would be higher, it would be similar because we also have go downs and do that , but…

Mahesh Bhave : As we discussed standard business, it is on lesser side and project
business we carry receivable mainly, this is carried in the project business majority .
Unidentified Analyst: What would the EBITDA margin d ifferential be between standard and
engineered and export and [Technical Difficulty] [1:09:24] ?
Rajeev Jain : Definitely standard would be mor e and we actually do the EBITDA
margin plant wise. When we segregated, we have six different plants and we do it differ ent plant wise. S o, that definitely shows that the
EBITDA margin in our Sinnar plant and va lve plant is higher than
these project plants . So, this is a general guideline I would say and
means in a plant like a standard business, it would be 15% plus for example. And proje ct business could be 10% or 11% something .
Unidentified Analyst: And export and domestic?


Rajeev Jain : Export and domestic would also be similar differential w ould be two
points I would say between export and domestic.

Unidentified Analy st: With expor t being higher ?
Rajeev Jain : Export would be higher .
Unidentified Analyst: What is the current order book including nuclear order?
Rajeev Jain : Current order book including nuclear would be around 2,200 crores .

Unidentified Analyst: And i f we exclude the nuclear ?
Rajeev Jain : 1,200 crores .
Unidentified Analyst: 1,000 crores still pending , okay . If you could talk about opportunities in the oil and gas . We have been hearing some slowdown in the sector . Since we -- it's a part of our engine ered pumps . If you can talk about what is the outlook that we are seeing from the oil and gas side ?
Rajeev Jain : Yeah , difficult to say in oil and gas , because it's very fluctuating or very -- it's not steady . If you ask me today dome stic market is a bit slowdown there are projects like CPCL and others which are now getting up , but I would say the opportunities are a lot and more on export today and we would like to focus on that for example the Mongolia re finery where India is doing that. A lot of project s which are there in the Middle East, which are awarded f rom ADNOC or Aramco . So those all projects are much more, we are looking forward for that. We are trying to get ourselves enlisted on all these big customers.

So I w ould say the outlook is good for exports, because general acceptance from these customer s is good for Indian product. We have a comprehensive range and we have a very good sales organization in front. So I would say , we are m ore looking forward for the export. The domestic market is very crowded, the competition is very high. There are four or five manufacturers who are present in the domestic market. And this makes a lot of pressure on prices. So I would say the export mark et would be our outlook.
Unident ified Analyst: Some more inputs from your side on the nuclear opportunity. So we already have two orders. How is the other orders are moving? How the tender pipeline in this be side is the government really serious about

executing or bringing up large capacity in the nuclear, which can actually benefit eventually us. So what is your assessment on that?

Rajeev Jain : Yeah , if you ask m e, I think

government is definitely serious. The investment is there, there is no kind of major hurdles there. It's only due to the inherent process of this business that it goes very slow. And this I think N PCIL also acknowledges that the progress . I'm s ure if you ask their management, they would also agree that there could be a lot done to improve the speed of those projects.

But ha ving said that again , I wo uld say a lot of factors are there where, for example, it starts with the ground availability or earmarking the ground, then the suitability, and all those stringent tests have to go through. And you know the outcome only once you finish those tests. So one can't always say or blame NPC IL, but it is also due to the external circumstances , which affect that thing s. There is a trend in NPC IL that they want to kind of offer EPC packages, want to speed up these things. And that's why they have given BHEL this fi rst job of the turbine island. And on the nuclear island, I think they are evaluating also for the piping and e very package to also give it out to an EPC basis.

So there are initiatives to speed up the process. But I would say in general these orders co me with the lead time of almost two to three years. All these orders are three years minimum because of th e quality processes , because of the selected vendors. So in our normal business, I would say one year would be the maximum for our normal business, which would be the time. And the delivery time of nuclear orders is minimum 2x to 3x .

Unidentified Analyst: And next year what kind of revenue do you see from nuc lear order?
Rajeev Jain : Yeah, if everything goes well, maybe around ■100 crores.
Unidentifie d Analyst: ■100 crores since '24 and after that ?
Rajeev Jain : After that, if once that the first one and two pumps go, then it will be much faster. Then it would be doubling in those years after that, at least double.
Unidentified Analyst: So 100 crores then 200 crores, 250 crore kind of revenue we can build.

Rajeev Jain : Yes, it's the first the pump gets tested, approved that the first pump has
to run 500 hours, get that tested, then the second pump, and then all the pumps are identical. So then those f irst hurdles are gone, then
definitely I would say 25 onwards, it would be much faster or at least double.
Unidentified Analyst: Yeah, those were my questions. Thank you.
Rajeev Jain : Yes.
Unidentified Analyst: Yeah, in terms of our capital allocation p olicy, so let's say if you make
■100 of cash flow from operati on, how much would go for dividend,
CapEx and retention? And if there are any plans of inorganic, if at all?
Mahesh Bhave : And you must have seen that we mainta in a particular percentage of
our profit after tax, and that is how it is generally maintained. But it
depen ds on the respective approvals and regulations. Otherwise, else
everything goes into mainly the business and expansion, as we discussed around ■80 crores to ■100 crores for the inve stment. That is
how it has been allocated and rest with the working capital.
Unidentified Analyst: Right . Thanks.
Unidentified Analyst: So what will be the level of independence enjoyed by the Indian entity as compared to the group entity?
Rajeev Jain : How do you define that independence?
Unidentified Analyst: Like the choice of products that you want t o supply [Technical
Difficulty] [01:17:13] plus the depe ndence on for C apEx or the kind
of products that you want to develop?
Rajeev Jain : Yeah, we have internal procedures that there are levels of authority
and approvals. So if let's say we want to have a product for the Indian
market, our experiences that almost every ti me we get the approvals
based on our business plan. So there is n ever, I would say a hurdle or a
resistance or anything [indiscernible] [1:17:50

] .

For the Indian market , we get that 100% support and C apEx
investments a nd all those of course go through the normal Board
approval, Indian Board approval, German Board approval proces s. But
as I said, there's never been such a big issue because everybody
understands the potential the Indian market offers and all this growth

which you see and this investment which you see has been fully
supported by the German Board as well as th e Indian Board .
Unidentified Analyst: And the follow -up would be that what role does Paharpur family and
ThyssenKrupp Investment play at the board level or help the
managemen t person?
Rajeev Jain : I think they are Board Members and the nor mal, the ThyssenKrupp
has no Board Member in our -- ThyssenKrupp is not represented in
our Board , but Paharpur , Mr. Swarup is our Chairman . And so all the
Board related issues are discussed according to the Board resolutions.
A day -to-day management is done by KSB and all t he Board related
issues is involving all the Board members.
Unidentified Analyst: Just a second quick, my last question rather. What percentage of end
consumer C apEx is towards pumps?
Rajeev Jain : End user C apEx towards pump in a t ypical project it could be 3% to
4%. These are very general answers. It could vary from project -to-
project , but it's a type of product. I just give you a rough idea.
Unidentified Analyst: We mentioned about KUSUM in one of our slides that we have got
few projects , KUSUM . How big d o we see, do we see some states
doing well? How is the competition intensity also fairly high there? So how are the margins, how are the products and how are the ordering
moving overall on KUSUM ?

Rajeev Jain: You saw in our presentation, we got one LOI of almost ■30 crores ,
■30 crores was our order. And this is just a letter of acceptance. The process for KUSUM is once you get there, then we have to visit those
states, the farmers get their acceptance and then the ordering happens.
So that process is ongoing, but it's good that this market, the solar market has moved quite well for us compared to what we w ere a
couple of years back. And the progress is quite good that we have qualified on the PM K USUM Yojna, we have qualified as a system
supplier. And we have already been awarded in two states. And we
have participated in 13 states. And we are further expecting much more success or orders in other states as well. And so it's a good opportunity for us that KSB with their products , brand image has got a
fast acceptance.

And we should be start supplying complete system, the pump and the motors we have been sup plying for quite some time. But the complete
system, I think we should be supplying from early next year. And

there is quite good optimistic hope that we can get quite a sizable
number of system orders in the next two to three years. The margins are reason ably okay, quite good. Even though the bought out portion
or the non- manufactured portion is quite high, we make the pump and
the motors and the other items like controllers, panels and the installation is done by others. In spite of that, we are able to m aintain a
reasonable good margin, I would say.
Yeah, that's the possibility. The markets, the market is huge. And so that is definitely a possibility.

Unidentif ied Analyst : When partners, multiple authorities of the state level, separately ?
Rajeev Jain: Those we have to manage properly, our project management so that ,
we can ensure that that is not affected to that extent. That is on our
evaluation as well and w e are creating proper team infrastructure in
our Sinnar plan t, so that we monitor this regular ly.
Moderator: We'll now move to the questions from the virtual audience. First question i

s from the line of Ravi Purohit. Ravi, please go ahead.
Ravi Purohit: Hi, thanks for taking my questions. So I have three questions. One is, I think lately we've se en a lot of thermal C apEx being announced in the
country and we used to be very strong in boiler heat pumps back in the day, maybe in 2007- '08 November thermal Ca pEx expansion.
Moderator: Hello, Mr. Ravi from VC Participants. You may please ask your quest ion.
Ravi Purohit : Yeah, am I audible? Hello , am I audible?
Moderator: Just give us a second. We're trying to resolve the issue.
Ravi Puroh it: Yeah. Hello. Am I audible?
Moderator: Hello.
Ravi Purohit : Yes, am I audible now?
Moderator: Yes, please continue.
Ravi Purohit : Okay, thanks . Yeah, so my questions were I had three questions. First
one being there is a lot of traction in thermal CapEx and you were
pretty strong in boiler feed pumps and had a pretty strong portfolio

back in the day 2007- '08. S o do we think that no, we could be getting
some of the orders back in this round of C apEx that is being
announced on boiler feed pumps. And of course, with these thermal
CapEx , I'm presuming that GD pump order will also be placed for the
newer plants. So, if you could just throw some light on that. My
second question is on this export business that you had mentioned and particularly you mentioned about this M ongol refinery.

I think M egha Engineering has probably won the order for them. And
hopefully I think they are doing about a billion dollar worth of orders in Mongol refinery area. So and when you say 3% to 4%

is the pump requirement, is it fair assumption to ma ke the $30 billion, $40 billion is the potential size that you're looking from a typical size of these kind of projects. And third question is on recently , our parent KSB AG had a C apital Markets Day and in that presentation of September 23, they had menti oned that they are pretty strong in hydrogen as well. And they received more than $22 billion, sorry €22 million worth of orders already in this. So, and there is a lot of CapEx that is being happening right now. And there are talks in India itself also r ight on a lot of C apEx in hydrogen. So does KSB India , KSB Limited in India have those technology or t he product profile already with us and are we kind of looking at that opportunity? So those are my three questions.

Rajeev Jain: The first question, it's still having an echo. [Technical Difficulty] . Can Mr. Purohit listen, can you hear me?

Ravi Purohit: Yes, I can.

Rajeev Jain: Mr. Puro hit, if you can type, if you can hear me, because these answers are for you. Okay. Good. The first you said thermal, thermal power plants, you see the S uper Critical 660 , 800 megawatts, those projects have drastically red uced. We supplied the pumps, boiler feed pumps and other plant from this plant for this Tanda and Telangana and Ghatampur , Ghatampur, we supplied the CEP cargo. So those all projects have been in the coming time, those projects have drastically reduced and those projects, even the EPCs have reduced. Now you have only BHEL and L &T who are participating there. And BHEL has been quite successful who have their own pumps. So for the pumps for the S uper Critical, we are not very optimistic. Neither we are making our strategy on that.



But whatever projects are received by the private EPCs like L &T or anybody , that we will participate. And the normal smaller boile r feed pumps which put captive waste. So those are done by OEMs like Thermax and HDX. And we have a ve ry good share there. More than 70% I would say for those pumps. In fact, if you look at our mid- sized boiler feed pumps, HD pumps, we almost have more tha n 400 pumps orders this year as we

ll as last year, which is slowing down a bit now.

But that we count it as our daily bread and butter business. These are not project business. The real project business I already mentioned that those only few now and we compensated that by FGD business and nuclear business. The second question was on, I'll come to the green hydrogen one. The hydrogen aspect, it's right. It's good to hear that you could also or you have kept a track of the KSB SE investor meet. And it's tru e that the KSB is one of the leading suppliers to this segment for green hydrogen and the electroly ser market. And with the success of KSB G roup, the same products are available in India and we see a lot of our activity starting. The market is not yet mature as what we see in the European countries. But we already have around ■2 crores to ■3 crores for ou r pumps supplying to electroly sers, manufacturers who are setting up base or who are collaborating with L &T, with Reliance and all those companies. So we have made a start there. We have an inquiry pipeline of much bigger inqui ries. So as the market matures, as the inquiry bank increases, I think our share will be very good. And as I mentioned, we have the products not only for green hydrogen, I would say wind energy also.

We have bagged one or two orders and in fact, KSB suppl ied pumps for 12 megawatt big windmill energy plant. And we have been supplying for smaller ones, but we are creating references globally. And this will help KSB India also to go into international customers as well as local customers based on differences and experience of KSB Group. The second question I if you can repeat.

Ravi Purohit: Yeah, this goes on the Mongol refinery.
Rajeev Jain: Our potential is high and you must have seen in our slide that Megha Engineering was one of our top 10 customers. We have been quite
successful wi th them. I also presume or that they are happy with our
order execution and the way we are executing those orders. And I
believe that they would definitely give us a fair share of this business. And we KS B have also a strength that with our global organiza tion.

We have access to our KSB Mongolia local representatives. So giving
a comfort to the end user with our local support as well. So yes, that is
one of our good target projects for the future.
Ravi Purohit: Okay, thanks a l ot sir, all the best.
Moderator: Yeah, Mr. S riram, are we able to -- are you able to hear us?
Sriram: Yeah, am I audible?
Moderator: Yes, please go ahead.
Sriram: Yeah, I just have one question. Within your standard pumps, how
much would be the industr ial pumps? Can you give the value for the
last year and for the nine month ended September?
Moderator: Value for in dustrial pumps in?
Sriram: CY 23 and for the nine month ended September '23. So, CY '22 and
September '23.
Rajeev Jain: [Technical Difficu lty].
Sriram: Sorry, y ou are not audible.
Rajeev Jain: General industry business, what we have as a part of our standard
business is almost ■300 crores.

Sriram: And any change this year compared to last year?
Rajeev Jain: You can put it in the chat box. Yes, we are growing t here around 15%
to 20%. Ge neral industry includes sugar, pulp and paper, distillery,
and such industries, heating syste ms. So our growth in that segment
has been quite good. And I mentioned it earlier, distillery has helped that with the investments and th e new plants coming up. So I would
say it's almost been a 20% growth in that segment.
Unidentified Analyst: [Technical Difficulty]. We can claim higher wages .
Rajeev Jain: Yeah, I think our plant is at the high est level .
Nitin Patil: Our thermal plant is at the highest level now. Other plants are at
different stars, but there is a potential there. But I think we will re ach
there, a ll other

plan ts also .


Rajeev Jain : Three star is the highest rati ng. And as he mentioned, only three plant
work I've approved. Other plants are [Technical Difficulty ] [1:35:56] ,
so we have scope for improvement.
Unidentified Analyst : [Technical Difficulty] [1:36:06] .
Rajeev Jain : That is again dif ficult to quantify. It gives us more opportunities. And
opportunities , it's not o nly business, I would say it also is other
internal efficiency improvements in terms of failure costs on time delivery . And all these factors help us in our cost optimization plus
access to th ose export markets. It would help us to give that difficult
to qua ntify how much it would be. But it gives us a good base.

As I mentioned earlier, a lot of export business, especial ly project
business, even internal depends on the plant a pproval. And this is a
nature of our business that customers would like our plant a part from
the product. And they come and see the process. So once you get a
three star, customer is export or foreig n customer, he already

[Technical Difficulty] [1:37:06] comfort feeling that we are three star.
And so the approval process becomes very easy of international customers.
So I would sa y that would be the major takeaway if once we have that
three star ratin g, then we would be on a lot of international customers
approved list. And this always this talk of country of origin, then
would vanish based on these [Technical Difficulty] [1:37:33] .

Unidentified Analyst : [Technical Difficulty] [1:37:35] and share serv ices payments to the
parent and in what period they are decided . Once they are, let's say
fixed currently , when is the next review and after that review for how
many years that stands?
Mahesh Bhave : So royalt y payments that depends on the product -wise lic ense
agreement what we have with the par ents will depends on agreement
to agreement product wise .
Unidentified Analyst : [Technical Difficulty] [1:38:05] percentage of sales , around 1.5…
Mahesh Bhave : Yeah, 1.5, roughly overall .
Unidentified Analy st: [Technical Difficulty] [1:38:13] services payment that you m et to the
parent ap art from royalty shared services or some other technology
service that you avail ?


Mahesh Bhave : IT servi ces whatever parent supports us , so thos e are IT related and
technical support related payments what we make.
Unidentified Analyst : '22?
Mahesh Bhave : By '22, again that would be maybe roughly around €1.9 million or
roughly around €2 million total, yeah.
Unidentified Analyst : Put together .
Rajeev Jain : Both put toget her 2 .5% of sales.
Mahesh Bhave : Yeah .
Unidentified Analyst : And broadly it will remain there.
Rajeev Jain : That is something which has to be discussed. Today both the Royal B
plus shared service charges plus ITs, technical support, all these
constitute whatever we call relat ed party transactions. So today that
approx imately it is 2 .5, but as time goes on it depends on the sc ope of
services we receive. You see the group has global IT services and if
you participate more than those get affected. The royalties depend on the pr oduct licenses which we take and as we take m ore and more
products, the share has to change. So it's a b it of, it's not a fixed thing.
It depends on the kind of servic es we take and the product licenses we
take.
Unidentified Analyst : [Technical Difficulty] [1:39:45] related etc, can we a t a higher
royalty?
Rajeev Jain : No generally those royalties are fixed. Those ro yalties are not changed
and if you talk about electroly sers, those are basically standard pumps.
Those are not big pumps . Unfortunately those are [Technical
Difficulty] [1:40:03] . He is muted.
Shraddha Kav athekar : Hello

? Mr. Mahesh [Technical Difficulty] [1:41:03] ?
Unidentified Analyst : Hello, am I audible .
Shraddha Kav athekar : Yes.


Unidentified Analyst : Sir, is it pos sible to share nine month revenue segments and revenue
distribution from Standard Pumps , services business , export and so on
[indiscernible] [1:41:22] basis?

Rajeev Jain : Revenue business [Technical Difficulty] [1:41:28] . It would be more
or less the similar percentage of standard being around 45% engineered around 26% , valves around 19% , and Supreme

Serv around
15%. This would be the broad difference. It changes one or two, three
percentage here and there, but this would be broadly the distribution.
Unidentified Analyst : Sure. And so without the contribution of nuclear business , still we
have green 27%...
Shraddha Kav athekar : [Technical D ifficulty] [01:42:01] .
Rajeev Jain : Yeah, he raised his hand again.
Shraddha Kav athekar : Yes, Mr. Mahesh.
Unidentified Analyst : Yeah , I mean, without the contribution from nuclear bus iness, we have
reported a very healt hy growth of around 25% in last ni ne months
compared t o last year. So this performance, I mean, what is the reason
behind this kind of such a strong growth?
Rajeev Jain : Did you mention nuclear business ?
Unidentified A nalyst : Yeah, without contributi on from nuclear business, still we have grown
very substantially in less than nine months .
Rajeev Jain : This gr owth has come again in across all the parts including valves
and this is a s I said in the non- segment s. [Technical Difficulty]
[01:43:12] . And also in the petrochemical sector based on our oil and
gas products it [Technical Difficulty] [1:44:04] IPD, Pimpr i plant and
Shirwal plant. So to answer your question, I would say it is across all
segments where we are participating and this compared to last year.

Going in future, I mentioned there are some segments like solar. One is, another is mec hanical. But this , up maybe in the next years to come
but so far the product mix and segment mix remains approximately same with plus minus 2% or 3% .
Unidentified Analyst : Thank you so much.


Rajeev Jain : [Technical Difficulty] [01:44:46] pumps with , yes, definitely . I think
pumps with IE4 and IE5. Today the r ealisation for us I guess is not so
high because these, we are importing it from our overseas group
companies , once we localize it and make it maybe the reali sation
would be better . But definitely there is a good market and acceptanc e
for such high specification motors and we buy these motors from our
Italian plant.

I mention ed that opportunities are increasing more and more e nquiries
and KSB h as the complete product portfolio for this market,
electroly ser market and all [Technical Difficulty] [01:46:12] .
We are not present in that segment. [Technical Difficulty] [1:46:36] .
It's, yeah, there are few players, it's a different technology, but we
have not participated in that as a pump, as a turbine or as a storage.

Yeah, it's a question I would be happy if I could answer that , because,
yes, the action is there. We are being inf ormed that that the e nquiry
should be out in couple of months, but I guess that all depends on the
progress at each site and the plans progress. They try to optimize it
with the active progress in the site. For example, the GH APV project ,
if that gets dela yed, then that affects the future planning as well.
Unidentified Anal yst: [Technical Difficulty] [1:47:52] in India , is it a large market ?

Rajeev Jain : Hardly anything.

Unidentified Analyst : Anything about the import of the pumps? We as a country do it in a FY '22 or FY '23?
Rajeev Jain : Sorry .
Unidentified Analyst : As a country, do we impor

t pumps still?
Rajeev Jain : We import very specialized pumps, very special, but our import is
very, very less. It would be for KSB less than 3% or less than
anythi ng. We only take some pumps which we don't manufacture
ourselves and w e import sometimes components also from our plants.
Unidentified Analyst : My last question is, what do you think about the pricing o f the current
scheme and why it did not set the last time and the optic was very poor last time, last tender. Do you think the optic will in

crease materially in
this particular tender?


Rajeev Jain : Yeah, I think after the price revision, which has been accepte d, there is much more interest from the supplier s. And yes, price was one of the main reasons why it was not moving. B ut after the rate revision, I see quite a bit of interest amongst all the suppliers. And we also find it fair enough to work in this seg ment.
Unidentified Analyst : Thank y ou.
Rajeev Ja in: Yeah, m aybe before just you start, I would like to thank all of you to travel to this wonderful plant. It's our showcase. And we always say that even in all the German visitors who come, they're very impressed and a bit jealous also, I would say that w e have such a great plant here.
And in fact, we had them last two week s back also. So I thank you all.
I think it will give you an insight into what we always talk. And when you visit the plant, you will see all those nice machines, the facilities and why we claim that this is one of the typical str engths of KSB that we outs ource very l ess. All these high tech things and technology things we try to inbuilt ourselves and these machines, which we will show you not many or hardly there in India. It would be ea sy to do this business by outsourcing but we have never followed that path.
And we have our own foundry and we believe in the quality for high-engineered business, doing it ourselves. And this factory visit will help you to understand that philosophy which we work on. Thank you.

Ashwani Sharma : Yeah. So that brings us to the today's interesting session. Thank you very much, KSB management for again giving us the opportunity.
And a big thanks again to the investors to take out the time and make it success. One announcement, so we'll take 10 minutes break and then we'll hav e lunch. And after that, we'll go for the plant visit. Thank you.

# Call: Mar 2024

Date: 08
th March, 2024
The General Manager The Manager The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India 1
st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C-1, Block G
P J Towers Bandra-Kurla Complex Dalal Street, Fort Bandra (E) Mumbai 400 001 Mumbai 400 051 BSE Scrip Code: 500249
NSE Symbol: KSB Subject: Transcript for the Institutional Investors Meet
Dear Sirs/Madam,
In continuation to our intimation dated 28
th February, 2024, 29th February, 2024
and 05th March, 2024 enclosing herewith the Transcript of the Institutional
Investors Meet held and participated on 05th March, 2024.

Kindly take the same on your records.

Yours faithfully,
For KSB Limited

Shraddha Kavathekar
Company Secretary

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KSB Limited
Institutional Investor Meeting
March 05, 2024 11:00 AM IST

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MANAGEMENT:
Rajeev Jain - Managing Director Mahesh Bhave - Chief Financial Officer Shraddha Kavathekar - Company Secretary

Presentation

Moderator: Good morning everybody. I hope I'm audible. So thanks Shraddha. On
behalf of ICICI Securities, we w elcome you all to the Analyst M eet of
KSB Limited.

We are pleased to host today Mr. Rajeev Jain, Managing Director , Mr.
Mahesh Bhave, Chief Financial Officer and Shraddha Kavathekar, Company Secretary. We'll start with brief opening remarks follo wed
by Q&A.

Over to you, sir.
Mahesh Bhave: Good morning. Good morning all and welcome to this event from
KSB Limited. So I hope screen is visible and I am clearly audib le to
all of you.
Moderator: Yes, sir. Yes.
Mahesh Bhave: So before we start, cautionary statement regarding the forward-
looking statement. This presentation may contain certain forwar d-
looking statements, company's future business development and economic performance. Such statement may be subject to a number of
risk, uncertainties and other im portant factors such as, but no t limited
to competitive pressures, legislative and regulatory developmen ts,

global macroeconomic and political trends, fluctuation in curre ncy
exchange rates and general financial market conditions, delay o r
inability in obtaining approvals from authorities, technical developments, litigation, adve rse publicity and news coverage, which
could cause actual developments and result to differ materially from
the statements made in this presentation.

The company assumes no obligation to update or alter forward-looking statements, whether as a result of new information, fut ure
events or otherwise.

So with this, we start today's agenda. We will be talking on Organogram, KSB locations, overview of KSB, highlights of quart er



four. Then we will be talking about our customers, order intake , of
course financials, the key numbers, major updates, as well as E SG
initiatives.

This is the Organogram where Mr. Rajeev Jain, who is present he re,
Managing Director of KSB Limite d and supported by myself as a
CFO and DTC Head. Mr. Mohan Patil, who heads HRD. Mr. Prashant Kumar, who heads Sales and Market ing. Operation-Nuclear is head ed
by Mr. Nitin Patil. Mr. Raja, who heads Valves Factory and Valv es
Business. Quality Management is headed by Mr. Philip. Mr. Sesha dri,
who heads PMPS that is Product Management Related Profile. Ms. Shraddha Kavathekar, who is Compa ny Secretary. Mr. Sunil Bapat,
who heads our Standard Agricultural and Solar Farm Business. Mr .
Rajesh Kulkarni, who heads SupremeServe. Mr. Pradeep Watve, who
heads Purchase as well as Foundry, and Mr. Mukesh Pattewar, who
heads the Contract Management Division. So this is the Senior Management Organogram.

Our presence, as you are already aware, and this is near to you , we
have seven manufacturing locati ons, four zonal offices, 14 bran ch
offices, and six service stati ons. We have more than 200 author ized
service centers, more than 1,000 authorized dealers of pumps, v alves,
and systems. We have a liaisoning office in Bangladesh. And we are
doing business through dealers in Nepal and Bhutan. So that is the
spread of business.

Here, some of the events, like inauguration of the new admin bu ilding,
Shirwal which we had. So this is done on 2nd November 2023. Thi s is
an IGBC certified green building, and the momentous event is inaugurated by all honorable Board members.

This is some of the glimpse of new admin building at our Shirwa l
plant. You can see the aerial view.

Moving ahead, this is the IPD. This is Irrigation and Process D ivision
plant in Pimpri, Pune. So some of the photographs of IPD plant. This
is photographs from inside the factory.

Moving ahead, SupremeServe and Central

Warehouse. This is our Chinchwad plant, and some of the photographs. This is the train ing
center. This photograph is inside the factory of our Chinchwad Central
Warehouse.



We have a Standard Pump division in Sinnar, Nashik. Some of the
photographs of Sinnar. This is the aerial view, and we have photographs from inside the factory.

We have a Foundry Division in Vambori, near Ahemednagar. So some of the photographs of foundry.

We have our Valves Division in Coimbatore, Tamil Nadu. So some of the glimpse of valves factory.

W e a l s o h a v e a M I L C o n t r o l , w h i c h i s i n K e r a l a . S o s o m e o f t h e photographs of MIL. This is ins ide view of the factory.

We have a KSB Tech Private Limited, which provides a comprehensive area of business technology, engineering services , and solution tailored to meet all the KSB Group companies. So some of the photographs. This is a state-of-the-art design center, whic h is into engineering and IT servi ce providing to the group.

We have additional floor inaugurated in again in November 23 of KSB Tech. We had a visit of Global Management Team, and we are honored to host Mr. Bubel, Head of Administrative Board, and Dr . Stephan Timmermann, CEO of KSB SE Germany. So they visited us in November 23. Some of the photographs.

Moving ahead, overview of busine ss application in various secto r. So energy, application in energy, KSB Pumps and Valves ensure ener gy efficient and reliability, helps to achieve optimum performance and safety in power plants. Our products are high pressure multi-st age pumps, FGD pumps, GGC and ball va lves. Applications include boi ler feedback pump, condensate extrac tion pumps, FGD, hydrocarbon services, industrial application variety indeed is the spice of life, and in this case of our pumps.

The products include state sucti on pump, process pumps, non-clo g pumps, high pressure multi-stage pumps, confirming API 610, GGC and ball valves. Application includes oil and gas, sugar, paper and pulp, thermic fluid, process a pplication, hydrocarbon services.

Irrigation, application in water , optimized products from speci alists. For the entire water cycle, products include submersible pump s ets, open well monoblock pumps, mini monoblock pumps, dewatering pumps, solar products, GGC and ba ll valves. And application inc ludes irrigation, farmhouses, drinki ng water supply, et cetera.



Wastewater, clean solution, produc ts include submersible motor non-clog pumps, horizontal non-clog an d suction pumps, GGC and ball valves. Application includes various types of municipal and ind ustrial wastewater, sewage, effluent, tr ansport and treatment, storm wa ter drainage and dewatering, et cetera.

Construction, so KSBs all-in sol ution always represent a sound foundation. So these products includes hydro-pneumatic system, firefighting pumps, listed as w ell as non-listed, supported by lean and efficient processes, dedicated sales management and spare part repair field service. This includes fiel d service, modification, repla cement and footprint pumps.

Moving ahead, highlights of quarter 4, 2023. We have first breakthrough order for reciprocat ing pumps, received an order f or FGD. This is another breakthrough. Received first order of FM package firefighting pump set a nd indigenized KRT pumps. Receiv ed LOE from MSEDCL for solar pumping system under PM-KUSUM scheme in Maharashtra and succe ssfully installed first range of order received from PM-KUSUM schem e in Haryana and orders under execution include Rajasthan and Gujarat States. So these are so me of the highlights.

Moving ahead, top 10 customer, more or less the list remains sa me barring few additions. So if you can see in the 2023, Thermax, IGSEC

and then we have couple of dealers, Patil Engineering, Megha, Rushabh, NTPC, Pooja Engineering, Deraz, K.C. Cottrell and Hydraulic Engineering. Thes e are our top 10 customers.

Moving ahead, order intake, you can see the pie chart. If you s ee the order intake pie chart, standard products. So this is from 43, more or less it is to 44% of the share what standard products is having . Engineering products, SupremeServe and Valves. So more or less this share remains same in '23 compared to '22.

Orders on hand, OOH, situation, you can see a good situation fo r OOH. You can see the chart 21, 8,376 and it has grown by 25% in '22 and further growth of 12.3%. So in '23, we have 11,755 Mio INR. So it's a good OOH situation overall. T his is of course without nu clear.

Export performance, we have a CAGR of 23%. You can see the actu al of 23%, it is 16%. So it's a good growth in order intake in exp ort as well.



Coming to some of the working cap ital slides. I hope I am audib le and you can see the screen. So inventories, you can see a good improvement in inventory in last month. And we have now 5,640 million. Receivable due to the growth in sales, this is 4,970 m illion, at December end. And a good net financial position. You can see th e net financial position 2,746 million compared to 2,623 million at December '22.

This is the chart which is showing ROCE and this is depicted fr om 2014. You can see a good growth in ROCE and 2023, it is 23.5%.

Moving ahead, EPS, again a good growth. You can see it has agai n -- rise from INR51.5 to INR58.8 per share. Revenue from operation, again a good growth. December '23, we could close INR22,472 Mio compared to INR18,222 Mio in December '22. Profit, we continue with a good growth in profit along with the revenue growth. So we can see that INR2,749 Mio, which is again a good growth sto ry in profitability.
Okay, major updates. NPCIL order , GHAVB project status for RSR 400. So first pump casing dispatched to site in November '23. F irst rotor assembly is ready. You can see the pictures.
Some of the ESG initiatives, group captive solar. We have enter ed into a power purchase agreement signed with Sunsure Energy. So as yo u see vendor is the Sunsure Energy, the location is in Solapur, Maharashtra and capacity is 6.65 megawatts. And supply nearly o ne crore unit of green power annually for 25 years. And you can se e the tonnage CO2 offset and this is like equivalent to 3.5 lakh tree s. So this will give a lot of cost saving opportunities as well as the ESG , a good ESG measure what we have initiated this year. Carbon emission reduction 2022 scope one emissions, 22% we have achieved and you can see scope two emissions, this is 8%. Energ y audits at IPD, WPD, CBE and FD plants to find out energy saving measures. Accurate measurement of emissions scores, awareness created in process owners. So these are some of the measures an d company is moving towards the ESG targets. ESG training module and certification, so this module in audio- video mode which is implemented across all the members, all the staff , ESG-related interesting games and puzzles. An employee has to p ass the test by scoring more than 80%. This is a good measure where all

the awareness and followed by the test. So making a very seriou s
effort towards ESG. Yes, this is another focus of the company that is on gender div ersity,
various measures, formation of gender diversity project team. Diversity ambassador which is al ready done. A female friendly environment, engaging social couns ellor, special recruitment dr ive for
female candidates. So these are the five initiatives for improv ing the
diversity. Various engagement activities, you can see participation at Ind ia
Energy Week. This was in Goa and this

was inaugurated by the Honorable Prime Minister. You can see the photographs. The seco nd
event is the Second Hydrogen India Summit '24 which happened in
New Delhi. Some of the exhibitions, KISAN EXPO, Pune 2023, so one of the
largest agri fairs across India organized in Pune from 13 to 17
December, .23. Paperex Expo. This happened in Noida, 16 International Exhibition and C onference on Pulp, Paper and Alli ed
Industries. And this was -- ha ppened in 6 to 9 December in Noid a.

Further events on exhibitions like KSB at VSI Expo, Pune, and t his
has displayed a wide range of pum ps including the Etanorm, KNCP P,
CPK. This is specifically designed for ethanol distilleries and valves
designed for sugar plants. And then we have ANUTECH Expo in Mumbai. This is again from 7 to 9 September, 2023. Again VSI Expo 2023 in Pune, Internationa l
Mining Expo that happened in Kolkata. FSIE Expo. This has happened in Mumbai, so from various ranges. Bhabha Atomic Research Centre visit at E PD, some of the photographs.
We of course continue to have dealer conferences. We had East Z one
Dealer Conference, more than 60 plus dealers participated. This
happened in December. North Zone Dealer Conference. This happened in November and more than 100 dealers attended this. S o
major highlights, key product launch which is Ultra Plus and 3 and 5
HP single-phase monoblock pumpset, KSTP sewage pumps displayed the extensive range of n ewly developed product.
CSR of course, Women Entrepreneurship Development Program, EDP, 40 women established their businesses out of which 30 rece ived
seed funds. Some of the further CSR initiatives. Yeah, thank yo u.
That's all on presentation.


Shraddha Kavathekar: Yes, you may start the que stion answer now, please.
Moderator: Kunal, please go ahead.
Kunal: Yeah, hi, thank you, Mohit. Hi, thank you so much sir for the
opportunity. My first question is pertaining to the domestic ma rket.
Sir, if you can give us some sense about how are you seeing tra ction in
various end markets in the domestic market? Which are the speci fic
areas you are seeing more traction? Any slowdown that you are s eeing
which could be election-related slowdown? Basically, some sense on
how are you seeing the domestic market shaping up?
Rajeev Jain: Good morning to all. I think related to your question on domest ic
market, I think we see good movement or good situation at prese nt
related to our standard business. When I talk about standard bu siness,
it's mainly industry, general indu stry, building service market , whether
it is water, wastewater. These segments are doing quite well.

What is a little bit slowdown is the petrochemical oil and gas market
where we see less number of projects. We also see that also in the
FGD business where those projects have slowed down. And of cour se,
nuclear anyway, goes on its own pace. I would say standard busi ness,
which is almost 50% of our portfolio, we see good progress on t he
market, still showing good visibi lity. Only on the project busi ness
side, there is a bit of, let 's say, we are expecting…
Kunal: Sir, your voice is not very clear.
Rajeev Jain: Yeah. Could you get me or should I repeat?
Kunal: Only the last bit. I heard til l you are seeing some slowdown in the
project business.
Rajeev Jain: So project business is, especially in the oil and gas and FGD m arkets
and the coal market, of course, was slow for quite some time. B ut

FGD market was a relief for us in the last couple of years. Tha t has also a bit slowed down. But we e xpect them bouncing back coming in the second half of this year. So the first half, I guess, will be slow on these projects.

Oil and gas, there are some projects which are moving and we sh ould see good visibility in the second half. But on the standard bus iness, which I say standard business, it will be the

small contractors and unions that continues.



Shraddha Kavathekar: Yes. Next question, please. Yeah. From Anjali.
Anjali: Good morning, sir. Am I audible?
Rajeev Jain: Yes, yes, we can hear you.
Anjali: So my question is regarding the nuclear power program. So we ha ve been hearing that the government is now again focusing on the addition of nuclear power capac ity. So what are your thoughts o n the same?

And also Kirloskar Brothers are a competitor or peer, if we may call it. They have also said that small module reactors is the way for t he addition of nuclear power in the country. And we are also seein g some of the headwinds in the other sources of power, like wind and s olar, because there they are lagging in the capacity addition. What d o you think that -- would it be a big t rigger for the growth, for our company's growth, for pumps manufacturers? So if you can just give a broa d perspective for the next two to three years on the same, and if you can see any order visibility i n the near term as well.

Rajeev Jain: Yes, nuclear is a very, let's say, a very important segment for us, KSB. We are one of the few manufacturers who are qualified for this business. And we have been very successful, not only in India, but globally as well. And we are alr eady having an order on hand of INR1000 crore plus for this busin ess. So we are looking forward for the implementation of all the p rojects which have been announce d, especially on the 700 megawatt plants for the remaining sites. That is one aspect.

We are looking forward for other projects also, like for the re actors. Also EDF is one more opportunity which may come up in other discussions. So nuclear, if you ask me the visibility for the n ext two to three years, considering the pace at which this business moves, w e should get a good share, dependi ng on how the project implement ation goes. But I am hopeful that this momentum or whatever business we have got, we should be able to c ontinue that business and parti cipate more in other aspects as well. It's both on the nuclear island and also on the turbine island, which the contract has gone to BHU. So t here also we hope we should be able to participate whenever that com es up for discussion and finalization.

So overall, I would give a good visibility. And this will not b e only for two, three years. I think it will be for years, moving down the line,



five, six -- five to 10 years, that I see a continuous good vis ibility. It could also happen in exports a s well, if the things go well, be cause we, with our capability and all the know-how which we have gathered , I think it will open up some opportunities there also.

And related to SMR, yes, we have our group as well as us. We ar e reviewing this, studying this. A nd accordingly, a lot of custom er visits are happening, as well as the discussions that are happening wi th the relevant parties. So I think it will come. It's a little bit st ill time. But it will come eventually with the face of privatization, as well as going into SMR, the discussions that are happening. And we are also preparing ourselves for those opportunities.
Anjali: Thank you, sir. That's all the questions.
Kunal: Yes, thank you for the opportunity again. Sir, I just wanted to check on SupremeServe. For SupremeServe , we had this target of taking the SupremeServe contribution to more than 20%, 25% of the revenue over the next few years. Just wanted to get some sense on where are we on that journey, and what are the key initiatives that we ar e taking to get there?

Rajeev Jain: Yeah, SupremeServe, that is the aftermarket business, is one of our most important road drivers, not only on the top line, but more importantly on the bottom line, where we get

our maximum profitability from. And there ar e quite a number of initiatives which we have taken apart from the regular market. Yeah, request is k indly mute after you ask the question, because then the audio quality is not good enough for anybody to hear.

I would say SupremeServe, we are taking all the necessary initi atives in our regular products of retrofit, replacement, so that busin ess goes on as planned or as usual. Other new initiatives which we have taken, and we are seeing good success is one is BPCL acquisition. If y ou remember we did that acquisition a couple of years back, and we have started reaping the benefits now.

We, in fact, also, as we mentioned in our presentation, we got the first reciprocating pump order. Most of the PSUs, they have qualified us as the proprietary supplier for this aftermarket and all the insta lled base of BPCL. So I think, step by step, we will continue to grow in that business related to the BP CL install base products.


Another initiative is mechanical seals. We did almost a busines s of 10,000 seals we sold in the aftermarket. And we want to double it this year. So the mechanical seal business is also moving quite well , and the advantage that we have is that we are a pump for OEM itself . So it gives us a good starting advantag e of increasing our installed base.

So that is another initiative which is helping our SupremeServe business. And of course, the other initiatives of the boiler ci rculation pumps, repair, the big supercritical plants, the nuclear busine ss, aftermarket business related to mechanical seals, so all those are good opportunities which KSB is banking on and progressing as well. We have started getting orders, for example, in the nuclear power plants I mentioned about mechanical seals and some replacement pumps in the turbine island. So I see SupremeS erve being a very important an d a critical segment for us. And yes, we definitely want to take it beyond 20% and further. Right now we ar e somewhere between 15% and 20%, mainly because our product mix of standard business is qui te high related to domestic, agri and all.

So the percentage becomes a bit lower in totality. But we are o n a roll, I think this percen tage will grow.

Kunal: Sir, my second question is pertaining to nuclear power. If you can just tell us how much of nuclear power revenue will be booked in CY2 4

and CY25? That is my question. Thank you.
Rajeev Jain: Nuclear power, I cannot make an accurate forecast, because this business, I think it has their own complexities or dynamics and it depends on the site progress, site availability and all the com pliances and the process being completed. So I think we will do good. We are expecting some good orders. And I cannot quantify the numbers f or this year, next year. But as I said, once these orders come to the finalization stage, we shoul d have a good share of that.
Kunal: No, sir. Essentially, what I meant was that out of the current order book, how is our execution schedule? I think this year we were supposed to supply two pumps, right?
Rajeev Jain: Yeah, that is on track. That is on track and we are still booki ng and expecting to supply two pump sets this year.
Kunal: Sure. Thank you so much, sir. And best of luck for the future.
Moderator: Thank you. Dhawan, please go ah ead with your question.


Dhawan: Yeah, sir. So my question is on the recip pumps, so can you sha re the industry size of these recip pumps? And what is our overall the target market?
Rajeev Jain: As you know, KSB, we are focused on the centrifugal pump market . Reciprocating pump came as an opp ortunity due to our acquisitio n of BPCL know-how. And so this market is a limited market. But whatever installed base is available for

BPCL, both in oil and gas as well as nuclear, is what we are targeting.

For oil and gas, as I mentioned to you, we already got an order from one of the PSUs for a replacement. And for nuclear, we are maki ng the prototype to get ourselves invested and qualified for all t he future 700 megawatt power plant s which are coming.

So on both these segments, we have those opportunities. And yea h, it is not as big as a market as a centrifugal, but there are not m any players in this recipr ocating market also.
Dhawan: In absolute terms, can you share the numbers? From oil and gas, how much could be the order inflows or the opportunity size? And fr om the nuclear, the 700 megawatt power plant you mentioned. So what co uld be the per megawatt size?
Rajeev Jain: I will not be able to quantify th is right now because we will h ave to see as it goes and how when we start participating on it. So th en we will have a more clear picture. But as I mentioned, for each 70 0 megawatt plant, you need these pumps.

Not as big as our existing primary coolant pumps or the other p umps. But these pumps are also require d, I would say, on some percent age of that value. And in oil and gas also, I would say it is more of a replacement market and the install base. And for the new ones, it is still some time till we supply, till we get a good proven tech record of these pumps. Then only we will be able to act also in the new business. At present, I will not be able to quantify this share now.
Dhawan: Sure. And in the nuclear business, have we supplied any pump in CY23? Because I think we were guiding roughly one pump for this fiscal. So have we done anything?
Rajeev Jain: No, in CY23, we did not supply a ny pump. In the CY24, in this calendar year, we are exp ecting to supply two pumps.


Dhawan: So I just wanted to understand more in the nuclear business. I think what are the challenges you are facing in this business? Becaus e I

think we are downgrading the guida nce every year since I think last two, three quarters. So I just wanted to understand more in ter ms of the challenges we are fa cing in this business.
Rajeev Jain: In the nuclear business?
Dhawan: Yeah, yeah.
Rajeev Jain: I think the challenges are nothing new. These are the challenge s associated with this business that this goes in its speed of -- each stage of pump manufacturing is very exte nsive, very detailed. And it takes time, not only for the pump, but also like motor supply like th is year for this order, we are getting it from BHEL. So that process is lengthy, very detailed. And at each stage of, let's say, it's document a pproval or testing, that process is very detailed. And especially so becau se these are the first pumps being made in India. So it takes that time. Secondly, the challenge of having the testbed at Tarapur, which NPCIL is building. So that als o is getting built in stages. An d it has to be synchronized with our pump manufacturing that when our pump is manufacturing the casing, for example, those you have to weld i t. And the welding is very critical.

So that whole process takes tim e. Then you have the first pump testing for 500 hours. So all these challenges are related to the suppl y of the first pump set specifically. And because this is where this pum p will be first time made 100% in India , that qualification process ti ll the pumps are tested, finally, it is going to be lengthy. But once it is completed, then the remaining seven pumps should be much faster , much smoother, depending again on the site availability. The si te progress is also very important f or this business, especially t his Gorakhpur, Haryana project, whic h is delayed due to some reason s.

So once the site also is in line, then the things move faster. But knowing this, the challenge, I would say, was only the pace of pro

gress, which is the complete, I would say, something associa ted with this nuclear business. But h aving said that, I am quite op timistic that there are other opportunitie s which we are participating a nd we are hopeful that that will help u s meantime as well till the ot her projects catch up.
Dhawan: Got it. Got it, sir. And the last one, I missed the export numb er. What was the exports in this year, CY23 total?


Mahesh Bhave: It was 16%.
Rajeev Jain: It was almost around INR382 crores.
Dhawan: Okay. Got it, sir. Thank you.
Unidentified Analyst: Hi. I just wanted to understand the order that we received from Siemens. So Siemens received an order to supply 1,200 locomotiv es to Indian Railways. If you can just give us some color on, have you received some orders and how much time will it take to manufact ure pumps that will be required for Siemens? And what kind of order s can we expect going forward? Thank you.
Rajeev Jain: I guess you are referring to the l ocomotive business. Siemens, we have been in discussion with Siemens that we are finalizing a long-t erm contract, a contract which is fo r almost, I think, 10 years sup ply of these pumps. It could be more than 2,000 units. And again, it h as gone through a qualification process. T he pumps have been taken from our KSB, our parent company and we have localized it. The pumps hav e been tested also in Germany, al so through Siemens requirement. So all that is settled. And I think y ear-on-year, we should start gett ing this business starting this year for the next 5 to 10 years. And thi s will continue based on a long-term agreement.

And similarly other manufacturers have also started. We have st arted discussions with them. So this will be something also an additi on and

a good segment for us in the coming years.
Unidentified Analyst: Understood. Thank you, sir. Just one more question. We recently got
empaneled with MSEDCL, Maharashtra Discom for pump supply. Just wanted to understand, this is a letter of empanelment. Doe s this
mean we will receive order or we will have to wait for the Maharashtra Discom to start with the tender process or somethin g like
that?
Rajeev Jain: Yeah, the process is once we receive the letter of award that m eans
this much quantity is our share for the whole state. But that d oesn't
mean that we have got the order. It's a letter of award. And th e next
step is that our installer netwo rk, our network of installers, they go to
the farmers and then they collect the orders from the respectiv e
farmers who are then handled by these installers. And we supply the
complete pump set and they install it. And we'll have to work o n that
to meet those farmers, convince and get the final orders from t hose
farmers through the government.


Unidentified Analyst: Understood. Thank you, sir. That's all from my end.
Shraddha Kavathekar: Next question, please.
Unidentified Analyst: Yeah. Hi, sir. Good morning. Thanks for the opportunity. Sir, m y
question is on the margin. If I look at the gross margin, it ha s been
quite under pressure during the quarter. Our execution has been very
strong. So I just wanted to understand what was the reason for such a
compression in the gross margin and what is the outlook that yo u give
for the margin going ahead?
Rajeev Jain: Yes. The gross margin for us has been under pressure because of
specifically related to project business, which we have taken o rders in
the last one or two years. These projects are related to oil an d gas
where the competition is very high. So those orders got execute d in
these quarters. That was one.

Second was the FGD business where the margins are very tight. B ut
the upside to this FGD business is that we can recover those ma rgins
in the aftermar

ket because this is a very high-admissive applic ation
and so the wear and tear is high. So we have knowingly taken th ese
orders at lower margins so tha t we have a good install base tha t will
help our SupremeServe business in the future months to come. An d
w e a r e s e e i n g t h a t a s a n d w h e n p lants are getting commissioned of
FGD, we start getting those spare parts and other related compo nent
business. So these were two.

Then the third thing is we are going to a lot of new strategic segments
and new products and where to break those entry barriers, to ta ke
those strategic orders, even in oil and gas, because important is to
build up the PTR. So some part of this margin is coming to thos e
strategic orders, which we have knowingly taken to create a ref erence
and open doors for the future. These are in across wastewater s egment
also for higher motor ratings. These are in oil and gas, I ment ioned.
And these are also in other segments for where we are, like exa mple,
in firefightin g application.

And so one of our segments which we are going into is firefight ing,
which where the pump constitutes a very small part, 20%, 25% of the
whole assembly. And there the margins cannot be as good as the pump
or the product itself. So a bit of a product mix makes the diff erence as
well. And that is, I would say, the main reasons.

Going forward, the situation in the project business will not c hange,
but we intend to compensate that by growing, one is SupremeServ e

business, where we are creating that install base I mentioned a bout
BPCL business, mechanical seam business, FGD business. These would be our three main additions to the SupremeServe business. And
going forward, we are also looking to the export business. So w ith our
enhanced product basket, we feel we have much more market acces s
to our KSB offices.

And we should be able to increase our export business, which ar e
somewhat better margins than the domestic business. So I think going
forward, that should help us time to recover a bit of gross mar gin that
we have lost.
Unidentified Analyst: Thanks for the detailed answer, sir. Sir, was there any contrib ution
from the KUSUM during CY23 revenue? What was that?
Rajeev Jain: Yes, there was some contribution. I think almost INR30 crores, what
we invoiced last year. And thi s is what we did in CY23.
Unidentified Analyst: Okay. And sir my final question is, the two nuclear pumps which we
are targeting to supply this year, what can be the ball park re venue
from these two pumps?

Rajeev Jain: I think we mentioned it last time, it would be around INR100 cr ores,
total. And the pump size is around INR50 crores.
Unidentified Analyst: Okay, sir. Thank you very much for the answers.
Unidentified Analyst: Hi, sir. Thanks for the opportunity. So my question is, we are not very
strong on solar business. So but in this quarter, we have won s ome
orders. So where do you see this business going in the next two , three
years, sir?
Rajeev Jain: Yeah, we see we are looking forward for much better market shar e or
better orders in the coming months and years. We have participa ted in
the solar business as a consortium to get qualified with the mi nimum
criteria of supplying 1,000 pump sets. So -- and we are partner ing with
some partners to go in different states. So as and when we get the
PTRs, our chances and our possi bilities to participate in almos t all
states will be better.

And so we will definitely look for ward for a better business an d orders
in the coming year, at least '24 and '25 as well. This is an ar ea of
growth for us or a potential gro wth for us. We a re going in tha t step by
step. As I said, first creating ou r references, developing our own
products in terms of controllers and as well as getting the kno wledge

or the experience in all the related accessories and maintainin g these
pumps and systems for five years. As we go more and more of thi s
learning curve, I think the bus iness should increase.
Unidentified Analyst: And sir, my second question is, will it be possible to quantify t h i s
locomotive opportunity in numbers?
Rajeev Jain: At present, I will not be able to do that. It's something which is under
finalization and discussion. So at present, I will not be able to do that.
Unidentified Analyst: Okay, thank you, sir, and all the best.
Rajeev Jain: Thank you. Thank you very much.
Moderator: Hi, Sanjay. Please go ahead wit h your question. Sanjay Kumar?
Sanjay Kumar: Yes, sir. Thank you. First on the reciprocating pumps. I missed it. So
what was the application for this pump, sir? Is it the sucker r od pumps
used in oil and gas?
Rajeev Jain: Yes, sir. It is for a PUC in oil and gas. And we highlight it b ecause in
our history, in total KSB, that is the first order for a recipr ocating
pump. Though it is not our core area. But due to the acquisitio n of
BPCL, what is good is that the customers have faith and confide nce in

us that we could be a reliable partner in terms of quality and delivery. And hence, we got this order of INR70 million for the first ord er as a replacement. And this should set a good precedence for us in th e replacement market i n the oil business.
Sanjay Kumar: Is this the sucker rod pump, sir?
Rajeev Jain: I'm not so sure. I think it's the mud pump, which is there.
Sanjay Kumar: Okay. And any plans to export this pump globally since the pare nt doesn't have this tech, because t his market is huge globally?
Rajeev Jain: True. I feel that I am not mentioning it because I think, as I said, this is the first time we are making it. We need to get the competence inside the company. We are also, as I said, making it also a prototype for the nuclear NPCIL so that we go through that process and qualify ourselves.

And once we gain that experience in both oil and gas and nuclea r, I think the opportunities globally will be there. You are very ri ght. But I think first we need to establish ou rselves in the local market.


Sanjay Kumar: Got it, sir. Second on valves, carbon capture, FGB, green hydro gen, all of these need a lot of valves is what I was told. Any plans t o increase valves capacity? I was also told that the Coimbatore p lant has restriction in terms of expansi on physically. Any plans do we h ave for the valves business?
Rajeev Jain: Yes, I think you're right. We are presently at the limit of our capacity in Coimbatore for valves. We are looking at options. My request i s kindly mute your mic so that…

So Coimbatore, we are looking at options for increasing the cap acity in-house by adding very multi -- we call that 5-axle machines, so multi-operation machines to increase the capacity. We are looki ng at the possibility of looking at a new site. We are looking at out sourcing. So all these options are on the table. Our team is working on t his to see how we can further grow the valve business, which is one of our very important segments.

Last year, we ended almost very near to INR400 crores in that turnover. So the market is big. Our market, as you know, is muc h
bigger than the pump market. We are there in a trade movement c hain [ph] [00:54:01]. What we have also added is the traded valve se gment, which is butterfly valves and valve valve. So with our traded b asket, the turnover is growing. But yes, there is a restriction of spa ce capacity and we are addressing that in our present ongoing discussions.

So we will take some measures in the coming months to ensure th at we enhance the capacity for future growth.
Moderator: Hi, Sagar. Please go ahead w ith the question. Sa

gar?
Sagar: Yeah, hi. Am I audible?
Rajeev Jain: Yes, yes. We can hear you.
Sagar: Yeah. Hi, sir. Thank you for ta king my question. So firstly, on t h i s locomotive order, just, if you h eard it correctly there is 1,00 0 units that is supposed, 1,000 units of pumps that we would like to -- or w e would be supplying to Siemens over a period of 5 to 10 years. I s that the right number?
Rajeev Jain: It could be more also. Couple of…


Sagar: Couple of thousands. Okay, but you are not able to quantify the

amount as of now.
Rajeev Jain: Yeah, right now we can not quantify the amount. It is just an es timate.
And it all depends on how the things progress. These are long-t erm
businesses, long-term contracts. It involves a lot of qualifica tion,
meeting the requirements. So all that is in process.

And once everything is finished, and it depends on the progress of the
business, Siemens also makes the progress in manufacturing.
Sagar: Understood. And on the green hydrogen part, if you can give us some
color that in one of your presentation slide, we had mentioned that we
are supplying some pumps for g reen hydrogen globally, I think. So
when this opportunity arises in India, what can be the opportun ity for
us?

And is there, is this like a di fferent kind of concept which is required
within the green hydrogen space? And if yes, then do we have th e
capabilities or skill set? If you can give us some color, it wi ll be really
helpful.

Rajeev Jain: Yes, as a pump manufacturer, KSB Group or KSB Germany, I think is
leading in this green hydrogen bus iness with the volume that th ey are
doing today. And this is one of their focus segments, of course , in
Europe. And their experience and their supplies to major suppli ers of
electrolyzer manufacturers and t he big companies helps us as we ll.

And we have also done some few million Indian rupees of busines s
here. The products are similar, almost similar to what we have in our
range. There is one specific product of magnetic drive pump, wh ich is
used for the electrolyzer and that we have localized. But I thi nk some
variants of it like the block vers ion and all, we need to local ize it. So
all the know-how is available, I would say, in our parent compa ny and
that is we localize it step by step.

And as and when this business starts coming in or established i n India,
which is already happening, I th ink not only green hydrogen als o and
wind energy, but these pumps already we have in our local portf olio.
So with the good references of our parent company, with local manufacturing and with our netwo rk, I think this segment will b e quite
substantial in the next 10 years. If we start with next year, ' 25, '26, I
think the world will be much better.


Sagar: Yeah, understood. So let's say India has about 5 to 6 million t ons of
green hydrogen target over the next 3, 4 years. What is the siz e of
opportunity from pumps a ngle that can come in?
Rajeev Jain: Again, very difficult to give or put a figure behind it because there are
a number of variants. It depends on the progress, depends on al l these
business, a lot of it depends on the overseas references, recommendations. So it would be t oo early to put a number behin d it.

But as I mentioned, that we have the product basket. We have a good
backup and this steadily will grow. It will not be a very big n umber in
'25,'26, but something which is a beginning and in the future y ears will
be more substantial. So I wouldn' t be right if I put a figure b ehind it.
Sagar: Understood. But fair to say that we would be like -- would have the
first mover advantage in green hydrogen space because we have t he
parents' capability and know-how with us versus our competitors .
Rajeev Jain: I would say that.

I would say that it is a big advantage and ho w we
leverage that locally is very important. It will be [inaudible]
[00:59:44] separate and all.

Sagar: Perfect. Thank you so much, sir.
Moderator: Thank you. This is the last question we'll take. This is from N ikhil Abhyankar. Please go ahead.
Nikhil Abhyankar: Thank you sir. Am I audible?
Rajeev Jain: Yes.
Nikhil Abhyankar: Sir, my first question is regarding, can you give us a ballpark breakup for the revenues that we have booked from nuclear power and oil and gas segment?
Rajeev Jain: For nuclear power, we mentioned last year we did not book anyth ing. Therefore, we are only planning in this year the major ones. Th e nuclear aftermarket are smaller , but the major ones are the pum ps.
Mahesh Bhave: Yeah, thank you. Go ahead.
Nikhil Abhyankar: Yeah. And, sir, the revenue growth that we have seen over the p ast couple of years has been very s trong. So should we expect the s imilar growth rate to continue at least for the next year?


Rajeev Jain: Yes, our enablers [ph] [01:01: 09] and our audit book position i s quite healthy, and we are looking for a continuous growth similar to what we have done in the past two years in the coming years as well. Of course, having said that, it would also depend a lot on the mar ket this year, being especially election year.

But apart from that, I think a ll the new initiatives which we h ave taken in solar, mechanical seal, SupremeServe business, BPCL acquisit ion, those will continue to help us fo r t h i s g r o w t h i n t h e f u t u r e . P roject business is something which is a bit of a concern, especially a s I mentioned, for oil and gas and energy. But we are trying to compensate that with our export business.

So all-in-all, I would say we a re looking forward for a continu ous similar growth momentum as we have had for this year.
Moderator: With this, I think we have come to the end of the session. I wo uld like to thank the management for giving us an opportunity to host. A nd thank you, everybody, for joining in.
Unidentified Analyst: Sir, will this recording be shared?

Moderator: Yes, it will be. Yes, it will be. Thank you.
Unidentified Analyst: Thank you. And the concall, the t ranscripts of the call?
Moderator: Yes. Yes. Yes. All will be uploaded. Thank you. That's it. Than k you, sir. Thank you.
Rajeev Jain: Thank you.

# Call: Aug 2024

Date: 7th August, 2024
The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C -1, Block G
P J Towers Bandra -Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB
Subject: Transcript for the Institutional Investors Meet
Dear Sirs/Madam,
In continuation to our intimation dated 2 9th July, 2024 and 0 2nd August, 2024 enclosing herewith the Transcript of the Institutional Investors Meet held and participated on 02nd August, 2024 .
Kindly take the same on your records.
Yours faithfully,
For KSB Limited
Shraddha Kavathekar
Company Secretary
Mail to : (Head Office) KSB Limited (Formerly KSB Pumps Limited), Mumbai - Pune Road, Pimpri, Pune - 411 018.
(India) Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R -Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635

KSB Limited (KSB)
Institutional Investor s Meet
August 02, 2024


MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer
Shraddha Kavathekar - Company Secretary

Presentation

Unidentified Participant : Welcome all to KSB Institutional Investors Meet of KSB Limited today. KSB is one of the worl d's leading manufacturers of industrial valves and pumps. Today with us, we have on the dais, Mr. Rajeev Jain, Managing Director and Mr. Mahesh Bhave , Chief Financial Officer and Ms. Shraddha Kavathekar , Company Secretary . Thank you and welcome. And over t o you sir for your introductory comments and then you can have a Q&A. Thank you. Welcome.

Mahesh Bhave: Good morning all. We start with the cautionary statement regarding forward -looking statements. This presentation may contain certain forward -looking st atements relating to the company's future business developments and economic performance.

Such statements may be subject to a number of risks, uncertainties, and other important factors, such as but not limited to competitive pressures ; legislative and re gulatory developments ; global macroeconomic and political trends ; fluctuations in currency exchange rate and general financial market conditions ; delay or inability in obtaining approvals from authorities; technical developments; litigations ; adverse publi city and news coverage, which could cause actual developments and result to differ materially from the statements made in the presentation.

The company assumes no obligation to update or alter forward - looking statement s whether as a result of new informat ion, future events, or otherwise. So, today, we are going to cover , this is the agenda, the organogram, the KSB location, overview of KSB, highlights of quarter two, 2024, top 10 customers, order intake details, financial details, and ESG initiatives.

So organogram, you can see Mr. Rajeev Jain, who is with us today, Managing Director of KSB Limited , myself Mahesh Bhave work as a CFO and DTC Head, we have Mr. Mohan Patil as HR Head, Mr. Prashant Kumar as S ales and Marketing Head, Nuclear Operation is headed by Mr. Nitin Patil.


Valves, our Coimbatore factory that is headed by Mr. Raja, Quality Head is Mr. Philip, and Mr. Seshadri heads PMPS, that is Product Management , Shraddha who is with us, she's Company Secretary.

Mr. Sunil Bapat, who heads Standard Agriculture & Solar as well as foundry. Supreme Serv is headed by Mr. Rajesh Kulkarni and Mr. Mukesh Pattewar, who heads the Contract Management . So this is the senior team, what we have. Moving ahead, we have, you can see on the screen that KSB Limited, this is established in 1960 headquartered in Pune.

And having a six manufacturing plant, six service stations, 350 plus service cent res, I mean the dealer networks and 22 warehouses. We have four zonal offices, 14 branches, and around above 1,100 plus dealers. We also have a MIL Controls, which is our associate company, which is located in Kochi, which is into manufacturing of valves.

KSB Tech Private Limited is another associate company, which is into engineering services and IT enabled services for the group as a captive service provider. And we have a Liaisoning office in Bangladesh. So this is a overall group companies. EPD, our Energy Pump Division in Shirwal, you can see the photograph. And last year, we have integrated our new admin building, in this sta te-of-art plant, which is located in Shirwal. This is the flagship plant, which is we call irrigation and pumps process division, which is in Pune.

And the inside view of the Pune plant, mainly Pimpri plant. We also have at Chinchwad , which is again in Pu ne, which is into a Supreme Serv that you can see the photograph, which is a Supreme 's Excellence C

ent re Academy, what we have for the training and development. This is the central warehouse, which is located again in Chinchwad. Standard pump division in Sinnar, Nashik which is mainly into manufacturing of standard and domestic pumps. You can see the inside view of our S innar factory. This is the kind of overview of the factory.

Valves division, in Coim batore. The inside view of the Valves factory in Coim batore, Tamil Nadu. We spoke about MIL Control, which is the associate company in Kochi, and this is the inside view of MIL factory. KSB Tech, we discussed , this is a state-of-art design cent re catering to the whole group worldwide into engineering service support and IT service support. This is located in Pune City. This is a photograph where we inaugurated, renovated our Jaipur sales office

recently. So, moving ahead, on the application in various sector. So first is energy. KSB Pumps and Valves ensure ener gy efficient and reliability , helps to achieve optimal performance and safety in power plants. So products include high pressure multistage pumps, FGD pumps, GGC valve and ball valves, and applications are FGD hydrocarbon services.

Industrial sector, vari ety indeed in the spice of life as it is in the case of our pumps, end suction pump, process pumps, non -clog pumps, high pressure multistage pumps confirming API 610, I mean 610, GGC, and ball valves . Applications, oil and gas, sugar, paper and pulp, therm ic fluid , process application, hydrocarbon services.

Next sector is irrigation sector. Optimi sed product from a specialist for the entire water cycle, what we call. Products are submersible pump sets, openwell monobloc pumps, mini -monobloc pumps, dewaterin g pumps, solar products, GGC, and ball valves. Applications are into irrigation, farmhouses, drinking water supply, et c. Wastewater, clean solutions. Products are submersible motor non clog pumps, horizontal non clog end suction pumps, GGC, and ball valves .

Application, various types of municipal and industrial wastewater, sewage, effluent, transport and treatment, storm water, drainage, and dewatering. Construction. So in all solution, always represent a sound foundation upon which you can build. Hydro Pneumatic system, fire -fighting pumps, listed as well as non -listed, HVAC pumps, panel for primary and secondary, and the applications are fire -fighting, HVAC, pressure boosting, water transport, and drainage.

Supreme Serv, so it is a decentrali sed customer centre setup supported by lean and efficient processes, dedicated sales management, and spare part repair field services. So what it covers is basically service, spare business, and of course, the modification, replacement pump, footprint pumps, et c.

Movi ng ahead from applications, this is the highlight and low light for quarter two, 2024. So good growth in distillery and vegetable oil sectors with prestigious orders. Valves division achieved highest sales in quarter two, highest order intake for H1. TSG R egulation Audit has been carried out by CESI Agency for China export market for valves without any major observation.

Added spare parts of more products, that is MEGA and MEGACHEM , to E2E workshop, web shop in continuous efforts to

enable online ordering for all our product and spares. So this is a web shop what has been there added actually. Approval of KSB mechanical seal by our major customers. So these are the highlights. Moving ahead, top 10 customers. So you can see, not much of a difference. The onl y difference can be a solar business, which is added our customers.

So Thermax, the PSU's like HPC L, BPCL, dealers like Rushabh, Pooja, Patil. And as I said, Dakshin Guj arat company for solar and Maharashtra Energy for sol

ar. IGSEC continues to be in the private sector and Toyo E ngineering.

Order intake. So this is domestic plus exports in INR Mio 's. So order in hand without nuclear, you can see a very robust steady order on hand, ■11,948 million. This is YTD June 24. Export performance, this you can see, 24 YTDs around 11%, and we hope to maintain the ratio of 15%. This is a pie chart which is showing a sector wise percentage of orders. So more or less you can see the standard pump s, we have grown from 42 to 52 , engineered pumps, you can see a reduction because standard pumps is on a more growth path.

Valves is more or less steady. Financial, I mean the numbers are already with you. This is only on net financial position, which is substantially improved. You can see from ■2,746 million to ■3,152 million as of YTD, June '24. Inventory, also there is a good improvement, good reduction to control the working capital as of end of June '24. So we end up at ■5,636 million. And receivable, we end at ■4,896 million.

Revenue from operations, you can see YTD June, we recorded ■11,902 million, p rofit before tax, six monthly, we recorded ■1,483 million again which is a good maintained and improved , you can see from the numbers. Some of the ESG initiatives , so downtrend observed in alm ost all environmental parameters like electricity, diesel, LPG. So you can see 50% reduction in KSB India Scope 1 emission in H1, 2024 and 29% reduction in Scope 2 emission , that is H1 2024 which is a very good, kind of development.

We have Idea Managemen t. These are the highlights where employees use idea for saving and process improvements etc. So 927 ideas and saving, you can see ■4 million plus saving, and around 416 employees contributed to this. Some of the highlights, idea campaigns and training sessions. Again, they give distribution events for idea management. So some of the photographs. So this is again a group

captive solar project update like we discussed last time. Construction work is completed. You can see from the photographs.

Obtained work completion reports from all the relevant authorities. And onsite pre -commissioning test for the transmission line, p ooling substat ion, and remote end GSS Bay are ongoing. So, we expect to conclude this by mid of August. These are some of the events we have All India Dealer Conference , this is 2024, this time in Kochi, Kerala. And, the d ealers who are our partners, who are instrumenta l in growing the standard business. So all the top dealers, they have participated.

And this is also Mr. C hairman , Mr. Swarup who has also attended this, conference. Yeah. So Valves Dealer Meet in Chennai. Some of the photographs and we of course had a West Zone Sales Meet. Some of the exhibitions, KSB Agri Intex Expo , which happened in Coimbatore. So this is one of the premier agricultural trade fair held in Coimbatore in July this year.

Chemtech Expo, which happened in Mumbai, Bombay Exhibition Centre a nd there we showcased our latest pump technologies, including the product range, what is mentioned here. So, these photographs, where our KSB U.S. Managing Director, Mr. Luis, who visited and he's the President of KSB North America. And he came to visit In dia to leverage collaboration between the two nations. So these are some photographs of his visits.

Success story , we're very proud to share this success story where KSB Shirwal plant Energy Pump division was credited with the distinguished ISO 19443 2008 Certificate. So the certification is KSB is becoming the first company in Indian pump industry to earn this accreditation, and the certification encompasses the development, production, marketing, and servicing of pumps, ancillary components, and system for nuclear applications, specifically for product systems classified as ITNS. So the

I mportant to Nuclear Safety. So, thank you.
That's it on the presentation, and then we move to a question -and-answer session.

Question -and-Answer Session

Kunal: Thank y ou. Good morning. This is Kunal from B&K. My first question is relating to the growth that we have seen in the first half. I'm not referring to even the first quarter, the second quarter. We've done about 10% growth, which seems to be slightly on the lower side.

So is it the capacity constraint that is restricting this growth or there is external factors especially on the domestic side that is leading to some weakness in growth in the first half?

Rajeev Jain: I think it's mainly due to some project orders, which could not be delivered due to constraints at customer end, maybe payments or their project delays. So we hope all that will be recovered in the second half.

Kunal: Okay. And because, if I look at your order inflow, we've almost done equivalent to w hat we have done full last year, which essentially points to a very strong growth. So is it a fair assumption, that we will be able to deliver mid -teens kind of growth easily for the next few years?

Rajeev Jain: Yes. I think, our order booking is strong a nd we are targeting that we continue this growth, what we have achieved in the last seven, eight years. We want to achieve the similar growth in the coming years also.

Kunal: Sure. But capacity is not a constraint, right? We have enough capacity for this year and next year also to grow?

Rajeev Jain: Yes. We have enough capacity. As you know, we have bought additional land in Shirwal last year. We have two space still available yet to be built in our plant in Sinnar . We are building the last shed. So capac ity is a continuous process of increasing, investing not only in the space, well as in the machinery also. We are replacing our old machines with better productivity or efficiency machine, multi axis 3-axis, 4-axis, 5-axis machines. So all these actions ar e being done parallelly with the order info.

Kunal: Sure. My second question is pertaining to margins. While this quarter we saw margins reco vered to 14%, last two quarters we had struggled and come down to almost 11% margins. We've also seen gross margin improve d. So if you can highlight what was a leading to lower margins and now what is the gross margin level we should work with? Is this number that we have reported around 43 .5? Is it a sustainable number? And is it fair to assume that some of the low m argin project business that was dragging the margin down is more or less behind us?

Rajeev Jain: I think one should not evaluate on quarter -to-quarter. It does not give a true picture , because our business it depends a lot on the product mix, project busi ness, standard business, aftermarket business. So if you

look at year -to-year, we have been very consistent on an EBITDA of 13%, 14%, and that is what we feel is our target in the long -term sustainable to maintain that. And, yeah. I guess quarter -to-quarte r, it will always differ, depending on what share of business gets reali sed in that particular thing.

But overall, it's a mix which will be continuously changing. And since we invest a lot into new business, new products, so that kind of development costs also get built in. When you bring in new products, you take new initiatives on market development. So the initial phase, of course, come with its associated cost, and that is basically for future till you get enough volume in that.

So having said that, t hat continues to be there as a part of our present results. But in future, I think that will result into the growth, what we are planning. As I said, we want to continue this growth, and that depends totally on what we invest today in this product s.

Kunal : So, I appreciate the 13 %, 14% range that we are talking about in the long-term. But we also historically have spoken about increasing the share of SupremeServ overall target is to bring it to 20 %, 25%. Nuclear aftermarket is a high margin business. FGD a ftermarket is a higher margin business. So once all of those lever start to play, is it fair to assume that we can even take this margin range up further?

Rajeev Jain: I don't think so. Reason is the Supreme Serv business is increasing, but that's always our other business is also increasing, the standard business. Plus, you mentioned FGD. FGD is not a very high margin business.

Kunal: The aftermarket on FGD ?

Rajeev Jain: The aftermarket. Yeah. As the aftermarket increases, the margins will be better. But our Project business, the business for Oil and Gas, for Energy, these are very competitive business. And just few minutes back, I mentioned the investment in new product, new businesses which we do. Those development costs also are to be considered overal l, because the growth is coming out of new segments also. And it could be Solar business, the investment which goes into Solar business, the investment which goes into mechanical seal business.

So these are the investments which are a good part of our pre sent day development costs. And so that increase in the Supreme Serv business compensates all that , so that we can maintain that healthy things. And



Nuclear business, whenever it comes in the sense that, hopefully, next year, the first few orders will have those associated costs due to the whole process of the development. Once it settled down in the future years, I think that would have a better product mix for the company.

But in the near future, I would say in the next one, two years, I would say a stabi lity of 13 %, 14% is a fair target for us.

Kunal: Sure. My last question, pertaining to the nuclear power order. So where are we in terms of order, sales booking there? This year we were supposed to book about ■100 crores from nuclear power. Are we on track? Is there any further delay on that?

Rajeev Jain: Yeah. Basically, this first two pumps or the first pump takes time because of multiple factors. So it's not totally in our hands. The site needs to be ready. The site and the site Gorakhpur , Haryana, has got delayed. So there is not much sense of urgency, but I don't say that is the main reason. The thing is also at the customer's end, the test rig has to be ready for doing the testing. So that work, since I b asically say this is the first time all these things is being done.

So many things, don't -- are not planned in that way and it new tests get coming up, new tests get added up. And it's fair , because we are making this pump first time 100% in India. And s o even if there are not contractual requirements of testing, we need to hono ur that it's in the good for the company as well as the customer. So all those things are being accommodated.

I would say, the order is progressing well. There is no hold up. It's only accommodating new requirements, new testing, as well as some kind of little bit delay in also setting up the test bed. But I expect all these things also to get over by this yearend latest, and we should get the sales revenue in the first half of the next year. That is what I would give from a present situation.

Kunal: Okay. So, now we'll be able to book next first half, not this year?

Rajeev Jain: Not this year.

Kunal: Okay. Thank you. I'll get back in the queue.

Unidentified Analyst: I have a qu estion. Which are the two, three sectors you are very bullish on? Because as you mentioned about solar, the government's Kusum Yojana is seeing traction for the last six months. Two, three



players have done wonderfully. Their utili sation levels are going u p. States like Maharashtra, Rajasthan are seeing traction. So how do you see solar playing, hydro playing, or any other sector that you think there is compression also, but there is a lot of ordering possible?

Rajeev Jain: Yeah. You mentioned it. Solar is I think one of our also sectors which we are looking forward to. We entered the solar segment a bit late, but we have got a good progress this year. Already, we have achieved a sales turnover of almost ■80 crores this year in this business as an integrator, mainly. And we hope to achieve a turnover of ■150 crores in this business by this year end. So this is a good progress for us considering the fact that we just entered in the segment one or two years back. And the biggest advantage is that we have already supplied 1 ,600 systems in this thing, and that entails us to be qualified on our own strength. And so we can participate in our own capacity in the future tenders, which are expected in Assam, in Maha rashtra, in Punjab, all those areas. So we are well prepared there.

We see this market growing much faster than the other segments. And that learning curve, what we had this year, I think it should be almost complete in this year. So and once that is done , then maybe we will focus a lot into our local value additions, manufacturing to increase the local content, and that will also bring our competitive situation much better.

So, on that front, I would say work is being done in parallel to manufacture our own controllers and other accessories. So this should happen in the early part of next year. The prototype testing, everything should be finished this year, and we could release it by the end of the year.

So Solar segment is definitely something which we are very optimistic on. Other segments, as you know, KSB is well present in all segments. I would say, if you have to list it out, I would say water, wastewater. Wastewater is a very important segment. When I meet customers and

the kind of investment and t he projects going on in this segment is
quite encouraging. They say only maybe 10% of the effluent, what we
waste we generate, we treat in India. So the scope of this business is
quite high.

And we have developed products, our submersible motor pumps and
also the other application pumps in this segment. So wastewater
treatment and sewage treatment, I think this is another sector which to
us is a very good growth , which we are looking at. The building

service market, that infrastructure development, the inv estment in
infrastructure. So all those segments are going to bring us a good hope
for the coming years.

Otherwise, KSB, as you know, we are present in all segments. Better
is energy, oil and gas, industry. Industry has been our forte for long.
So in thos e segments also, we did well in the distillery. Distillery, of
course is a bit slowed down, but continuing. Pulp and paper, there we
are focused. So I would say all segments are looking, quite okay, but
if you were to single out someone, I would put it as solar, I would put
it as wastewater, and to an extent building services also.

Apart from, of course, the project business always has its ups and
downs, suddenly.

Unidentified Analyst: Yeah. Thank you . So given our late entrained solar, safe to assume
that the margins would be lower for the next 1, 1.5 year there?
Margins would be lower in solar given our late entry competition. So
the next 1, 1.5 year, the margins would be lower for solar?

Rajeev Jain: I don't think so. The margins are, of course, lower relatively compared
to our Product business, because in this business more than 50% is
bought out. Our own value addi

tion may be 25 %, 30%. But having a
good volume gives us a chance to also have good partners, good
supply chain. So I don't think margins wo uld go down. In fact, we are
aiming to make it better with having the supplies done, having the
experience gained, and doing more of locali sation or in house
manufacturing.

So that is our goal to improve the margins with improvising our
supply chain as we ll as increase locali sation.

Unidentified Analyst: Thank you.

Unidentified Analyst: This is Sagar . Just going follow -up on Kunal's question on nuclear. So
just wanted to understand if there are any contractual liabilities , which
could come to us in , because of the delay in supply of this to us ?

Rajeev Jain: The contractual delivery the delivery period official contractually was
April, May this year. So which we are in discussion with NPCL for
extension of delivery due to all these reasons , which I mentio ned, and
that will be done mutually with them.

Unidentified Analyst: But there is a risk that in case if they do not agree to ?


Rajeev Jain: Yeah. That risk is always there. I would not term that as a high risk. It would be a low risk for in my opinion.

Unidentified Analyst: Okay. Got it. And my last question would be on the SMR, Government of India in the budget spoke a lot about SMR. So what are your thoughts on that? And can that be a very big opportunity for us?

Rajeev Jain: Yes. For KSB, yes. KSB in SMR, you know our group is very well much ahead, and in fact on the brink of booking a good order for SMRs for supply to, in fact, U .S. also. So that SMR technology for pumps and all is very much available in the group KSB. And of course, we here in India would have access to that knowhow and technology once this becomes to that level or developed here in India.

Unidentified Analyst: But that's different from the pumps that we supply to the nuclear?

Rajeev Jain: That will be totally different than the pu mps we supply.

Unidentified Analyst: So nobody else has that, in India.

Rajeev Jain: Maybe others have it. I 'm not sure internationally. People may be having it.

Unidentified Analyst: But domestic, in like, domestic competitors?

Rajeev Jain: I'm not so sure.

Unidentified Analyst: Understood. Sorry. Just last question on the green hydrogen part. The last time, I think you mentioned that green hydrogen also, we would be developing the pumps for that. And, this year, you are expecting some revenue booking from this year?

Rajeev Jain: We have started that revenue booking. It is low because the market as in India is also growing gradually for that. So we have already booked orders in the range of small orders in the range of ■50 lakhs to ■1 crore. These are specifically no new pumps, basically. They are pumps from our existing range, which we have developed locally. And only these pumps have some special treatment and special quality requirements, which are established by our group and then we follow that requirement for the customers, international customers also locally.



So this segment also, we have elaborate product range. We don't need to develop today per se. We are developing small products. It's like the magnetically d riven pump, Bloc type versions and things like that. These are small developments which are underway. But having said that, I don't think we have any new product development on this. So I think whenever the market or the inquiries come, we will participate in all those enquiries.

Unidentified Analyst : And any sense on how big can the opportunity be for green? Like, India is talking about 5 million tons of green hydrogen. So in terms of pumps, what can be the opportunity?

Rajeev Jain: The

pumps , the opport unity will grow as the capacity and the install and the locali sation will happen. But, the pumps are not big. The pumps used are small pumps here in those process. So if you compare to energy plant and a nuclear plant where you sell a pump for very big values, the values here would be much small. But of course, the volume would be much bigger. And the size of the business would totally depend on how fast we grow and implement all those CapEx and investments here in India.

Unidentified Analyst : Thank you.

Sagar: Hi, this is Sagar from Phillip Capital . Can you share your thoughts on the export outlook in general, like in terms of the order execution, any, challenges that you 're witnessing and any new launches that you plan ahead, that is one?

Second on how is the progress on the new businesses like railways and fire -fighting pumps? Your thoughts on that as well.

Rajeev Jain: Yeah. Export is always a good opportunity for us because being a global company, having the global network, and having a good cost, production sites here. So that is continuously an endeavo ur by us. Recently, we are taking initiatives to go , sell our submersible borehole pumps in the African market. That's a new initiative which we are doing. We are participating in a lot of energy proje cts, and we are successful in getting some projects in Greece, for example, and also one project in USA. So the group is taking a lot of initiative in developing this market overseas, and we are being preferred as a supplier for these energy projects.

So these initiatives are continuing, and I see a good possibility because we have a very comprehensive product range. It depends on

how we are doing the marketing internationally, and that is with our new organi sation based on segments. It is happening very w ell. We also booked a good valve order from Poland, which was booked partially last year. This year almost €4 million, so these opportunities are growing, I would say.

Growing because, because of the organi sation, global organi sation and secondly, because of the product range which we are developing. And as you develop these references, the acceptability and the confidence also increases. So export will be continuously an opportunity which we will target everything. And it takes a lot of efforts in terms o f quality, meeting the delivery requirements. And those are much tougher conditions than the domestic market.

And our expectations on quality, surface finish, packing, delivery times, those are not comparable to what is expected from the domestic, even th ough we try to keep similar qualities and everything. Your second question was on the newer segments. Yes. Fire -fighting , I mentioned this all these new developments we are doing. Our plant in Pune has got qualified for FM as assembler.

We are bringing in , FM and UL licensed products. We are under the stage of development, prototypes. So all those activities are going in parallel. We have already done some business of ■25 crores in this segment in this year up to first half, which we want to double it.

And, once we have the complete UL and FM range of products, I think, this business will definitely go up. Fire-fighting is a segment with awareness is growing, complianc e is growing, and so I think this market will be huge and continue to grow in future. And other segments, yes, we are also participating in other segments.

Navy, defen ce, we have got some orders where we were not participating. Pumps for submarines, pumps for Navies. LSA hygiene products, which we have started selling non -metallic pumps. These are small segments. What I intend -- what I want to say is that, we are looking at all opportunities, whichever we can fill the gaps and grow in these markets.

Saga r: Railway pump

business has started?

Rajeev Jain: Railway has been good success. We made the breakthrough long -term contract with Siemens. These pumps are so critical. And following Siemens' example, we got also orders from ABB now. So the progress



is we ll. And I think step -by-step for all the locomotives and Made in India, I think we would be a good supplier at least with the international players. So that is a business, which is doing well, I would say from today's perspective, and the growth will depen d totally on how our customers grow and invest and succeed.

Sagar: So I just have one follow -up question on my first question. In exports market, is there any product gaps which you would like to fill in next one year? Can you highlight that as well? Than k you.

Rajeev Jain: Yeah. Product gaps keep on happening in API product range, whichever products are still to be developed. We will develop that. So product development is a continuous process. It is happening, because the product range is vast and KSB h as the complete basket of product baskets. And we are looking at the vertical turbine pump now. So there are many products. The list is exhausting, and those development is continuously happening.

Nirav: Hello, this is Nirav from ASK. Would it be possible for you to share some insights on the pipeline that we have for thermal power?

Rajeev Jain: Thermal power? The coal?

Nirav: Yeah. Coal fired.

Rajeev Jain: Coal fired, I think you've seen recently there is boom in this coal fired, but maybe a bit unfort unately for us, there is only BHEL who is one who is successful as an EPC. All the other private EPCs, GE, Toshiba, Doosan , L&T , all they have not been so successful. So and BH EL makes their own pumps. So for us, the opportunity is not there if BHEL wins t he contract. The only opportunity comes is FGD pumps, which we are the main supplier to BH EL. So for the coal thermal plant, I would say the opportunity for us is mainly on the FGD pumps and the small auxiliary pumps.

Nirav: Adani Group is also quite aggr essive in that space, and they have given only supply contracts to BH EL. So can we get orders from them as well?

Rajeev Jain: No. BH EL, when you give the supply there, as I said, BH EL makes the pumps.

Nirav: The scope is mainly to the best of my understa nding, limited to BTG.



Rajeev Jain: Correct. But those pumps also are supplied by BHEL. Adani would not buy the pumps directly, I think.

Nirav: Got it. Thank you.

Mohit Surana: Thank you for the opportunity. Mohit Surana here. Just wanted to ask about t he nuclear power order. Last time you mentioned we have an order book size of around ■1,000 crores. The first couple set of pumps that we have supplied, there's a delay. And you said next year, we'll be likely booking those. Also, what about the balance ■900 crores? How much time will we take to book?

Rajeev Jain: Those will be delivered over a period of two to three years. So '25 to let's say, '27, these deliveries would continue. Our order booking for nuclear is more than ■1,000 crores. It's almost, ■1,300 crores. We booked for Kudankulam as also an order. So that would go next year. So that would be a good sign.

Next year, I think we should achieve a good sales revenue from nuclear , if all goes to plan because that project is on fast track, and we're ge tting a good support from the customers in expediting. So that plus the pumps which have got pushed to next year together would give a good healthy revenue from this nuclear business next year.

But, based on the orders on hand, I would say they would go u p to '27, But there are so many other orders on the pipeline which will happen. So for the next seven, eight, 10

years, there's a good optimistic pipeline of these business.

Mohit Surana: So I just wanted to understand the timeline. So whenever a new orde r comes from a new nuclear power plant that is being built, will that take same amount of time that has taken this time? I mean, like the first set of pumps that will be delivered for a new nuclear power plant, will that take another two years for testing and then the whole process ? I mean, because it will have different specifications.

Rajeev Jain: It is very normal. Only the first time it takes that much time, that provenness. Once you establish the provenness, there's no reason to repeat that test again .

Mohit Surana: Understood .

Rajeev Jain: So this is the first time a pump is being made 100% in India. And the customer also wants to make sure, and when it is Made in India, we



were reporting in Germany, they wouldn't have asked so many tests. They woul d accept it because it's coming from Germany. But now it's Made in India , there are tests which are being added because, not even in the contract, but it's fine for us. It's good. It also helps us to learn more. And we're going through that phase. And once we're done, then we'll be thorough 100% expert. But, the remaining things then automatically get solved.

Mohit Surana: Understood . So just another question on the margin front. So your valves margin has, we have seen expansion in that valves margin. Have we reached the sustainable level of margins there or we can see further improvement or, if you can give some insights on that ?

Rajeev Jain: I think we have reached a very good level in valves. You remember valves was always a very, up and down. It was so metimes even in red. And today, it is at a level of double -digit, not even double -digit, 12 %, 13%. It's a good sustainable level because we have achieved that improvement in our supply chain, our internal process, and all those has been standard , standard layouts and a lot of internal improvements. And that process is being continued now. We are replacing old machines , trying to improve the productivity, where we used three or four manpower. We are going to do it with one.

So all those improvements over a period of time, digiti sation, the warehouse digiti sation, the order processings digiti sation, introduction of S/4HANA , all those things are happening. So, I think the internal efficiency will be there, and these margins definitely should be sustainable.

Mohit Surana: Understood, so just one last question. If you can give some sense on the order book size potential from Siemens and ABB with respect to the locomotives order. So last time you mentioned it will be a long - term order for eight to 10 years, which will also include the servicing component. So if you can give some sense of the order book process.

Rajeev Jain: I will not be able to give any value on that. It may be a UPSI or it may be helpful to my competitors also.

Mohit Surana: Understood, no pro blem. Thank you.

Vipin Goel: Yeah. Hi. Vipin Goel from Mirabilis.

Rajeev Jain: Yes. Yes.



Vipin Goel: Yeah. So I had question on this Kudankulam award that we recently won. So this was in May, I suppose, when the news was out. And in terms of the nature of the order, is it like usually different from the fleet mode reactors that we do? Because this was a part of the strategic type up with Russia and then we have a Russian entity as well. So is it like that something has changed on a strategic level? The nomenclature also has kind of changed from to a fast track from a fleet mode. So has the opportunity size or the strategy in terms of the tendering has changed?

Rajeev Jain: I think it's a different not comparable to w

hat we have for heavy water orders for the NPCL. This Kudankulam order is completely different product range, specifications, different from a different customer. So I would not make a comparison of that. I think it's a separate order with separate specification, separate pumps. The difference is it's on a fast track. And as I mentioned, because those projects are got delayed, and there is a real push to finish that earlier. So that motivates us that there is some hope that this can be invoiced or turned into revenue next year.

But in terms of execution of the orders, since it's a first time customer, we are going through that phase. But our first opinion is that there is urgency on both sides to speed it up. So and since it is first time again, though them understanding us, us understanding th em, those issues will be there. So but at the end of it, ultimately, they want some pumps definitely next year. So they will also make that effort apart from us to make that happen.

Vipin Goel: And does this change the overall opportunity size, the number that we used to mention ■3,000 crores? So has that increased?

Rajeev Jain: Could be. But I reserve the comment right now , because the time it takes to develop other segments opportunities. But in general, nuclear is a very big opportunity, I would say. It's not only about existi ng projects, Kudankulam light water reactors. It's about SMRs. It's about also smaller nuclear plants. Now to fill that energy need as I have understood that there is also a possibility of the smaller 250 megawatt and other plants being introduced to fill the gap in the meantime, which are very well established. All the engineering and the provenness is there. So that also could be an opportunity.

So nuclear is a big opportunity in general, I would say. From every aspect, there is positive will and announc ements and investments. It's

only thing whether how fast we can implement it. That is the only question which comes to it.

Vipin Goel: Suppose in today's newspaper also, NITI Aayog 's ex -CEO had commented on inclusion of private into the overall system. So does that also change any of the moving parts for you or is it like that even if private gets involved, then there's a possibility of more MNCs coming in and setting up their own reactors, which will be on this SMR basis ?

Rajeev Jain: Yeah. I'm not sure about MNCs coming in setting up reactors, but private sector would definitely help. You must have also seen that other EPC contractors are being successful in the bidding recently for the Kaiga ones also. So, traditionally, what is happening is the busines s, NPCL does it , used to do themselves everything that they are now giving it as a lump sum EPC contract to bigger EPCs. So the idea is to speed up those process and the projects.

So private participation and setting up, the intent is to have more partner s, more players, and also speed up and increase the capacity. That is the basic intent. So we are also preparing ourself to be future ready. I mentioned that we have increased the capacity at our existing plants. We are investing in new machines, space, bu ilding up sheds, recruiting people because competency is very important, experts and people with knowledge are know how in this nuclear things.

So all that is giving parallelly , because it takes time to develop that total overall competency.

Vipin Goel: Sure. So just one last one on the solar piece. Do you record it under the standard pumps division or is it under the engineering pumps?

Rajeev Jain: Standard pumps.

Vipin Goel: So is that also the reason why H1 has done relatively better?

Rajeev Jain: Yes. Yes.

Digant Haria: Yeah. Hello. So this is Digant Haria from GreenEdge . My question is , since 2019, Chinese competition has no

t been a problem for us or for the entire capital goods ecosystem. Do you now see any signs of Chinese activity happening esp ecially in India in some pockets of pumps or not really?


Rajeev Jain: Not really.

Digant Haria: Okay. Second question is on the BPCL acquisition that we did. It's almost 1.5 years now , so any colo ur you can give on how many designs have we actually local ised and of the 4,000 installations which they already have how much have you been able to reach in terms of spare parts sales? Any such colo ur on that?

Rajeev Jain: So I'll paint that colo ur. We are very bullish on that acquisition , because they have a g ood install base 3,000, 4 ,000 pumps. And to develop, we got seven containers of drawings to convert these drawings into electronic forms. And then converting them into 3 D models, converting them into patterns is hell lot of work, and that is what is being done. And apart from that, it becomes so satisfying if you are enlisted as the proprietary supplier in all the PSUs.

So these are the successes , which we have gained in these years. It's not that we acquire and we start supplying the next day. I'm trying to explain how this whole thing is working. It took us a lot of efforts to be a part of the PSU's vendor list and as a proprietary vendor. In this year, we set a target of ■25 crores, what we should get.

And on half yearly, we are on track. We got our fir st order for reciprocating pump. Can you believe it? That we never have made reciprocating pump in our , and the customer gave the confidence, and we are building a completely new reciprocating pump. So this business has opened a lot of opportunities for us , and where we are very well on track, and we are going step -by-step, because it is a pump being made from scratch. It's only the drawing which we have. We have to make this drawing to a proper form, convert patterns, make patterns, find suppliers who can do those things.

And the progress is very good, as I said. So it will be like our good profitable, sustainable long -term business for many years to come. And we are very fortunate, and along the way, you get a chance to develop some new products like a re ciprocating pumps, and where you don't have say. So there are many other pumps , which we will develop, which even KSB does not have in its range. So that's matching your colo ur, I hope.

Digant Haria: Yes. Thank you. And last question is on the valves division. What part will be captive? What do we sell outside to others? And is that part specially selling to outside KSB ecosystem? Is that a big opportunity for us or not really?



Rajeev Jain: Sorry. Valves , captive means ?

Digant Haria: We use it for our ow n pumps.

Rajeev Jain: Those are very small for those piping system. Let's say we give an API pump, you have those piping and small , small valve s. So as far as possible, we try to use our own valves . But that is not a very big quantity compared to our tota l business, very small quantity. But we ensure that all pumps which go from KSB, have KSB valves installed on it. And so I would say captive in our internal market is very small. What was the second part of your question?

Digant Haria: How fast is that op portunity growing, the non -captive part of the valves?

Rajeev Jain: The valve is a huge market. So many players in that market. And, I'm very happy that we are growing. Valve has been a really true success story for us today. Last year we did ■350 crores turnover. And on the

same plant, which was for years doing ■100 crores , ■150 crores , with
a lot of product basket, branded products also. So the opportunity for
valves is huge , because there are very few good players, I would say.
Mor

e is the smaller players, and the market is quite big. So I see the
same, if not more, the same trend of growth continuing there.

Digant Haria: Yeah. In early last year, you mentioned that foundry availability was a
challenge for this division. That problem is solv ed, right?

Rajeev Jain: That problem was a temporary maybe. So we are making our supply
chain better to having two vendors developing two patterns. So we are
making it robust so that we don't have such kind of issues.

Digant Haria: Thank you.

Unidentifi ed Analyst: Hi. I have a follow -up on exports. We did mention that we have
developed new product range for exports and we have also booked an
order from Poland. So how does the relationship with the parent
work? Are we allowed to bid directly for a lot of these orders or parent
bids for these orders and we supply to them?

Rajeev Jain: No. It is a mix of everything. The decision for our participation in
projects or business, the decision is with the parent company. So we
have a supply chain metrics where it is identified which countries we
can export, which we cannot. And the countries in which we cannot, if

the opportunity comes up, the parent company refers to us in case they
feel that the products from their side or any other location cannot be
competitiv e, then they add our name, and they refer the enquiry to us.

So it is all guided, balanced by our central department, so that there is
equal loading of factory loading for all KSB entities in the global
manufacturing.

Unidentified Analyst: But, from Indi a, we are directly allowed to in the SAARC region ,
right? That we are allowed without the …

Rajeev Jain: Only in Bangladesh and Nepal that is off . Sri Lanka is part of
Singapore territory. Myanmar is a part of Singapore territory. So only
what is under our responsibility is Bangladesh and Nepal and Bhutan.

Unidentified Analyst: Okay. Thank you .

Unidentified Analyst: Hi, there were certain pumps which were technology transferred to us,
BB3, BB5 and CHTRa . So how has been the update? How has been
the offtak e of those pumps from the global market? Point number one.

Point number two, do we expect further technology transfers from
parent to India, which will specifically will be manufactured in India?

Rajeev Jain: Yeah. First question, BB3, we are quite succe ssful. We've got good
orders from Taiwan and other export countries. So that business is
growing. It is good that we are developing references, and then this
will allow us to participate in Indian market also. So we are satisfied
that the initiative , which we took in developing BB3 that has given us
good positive results. And, yes, transfer of technology, absolutely no
question that the principles will support any of our request. Because in
KSB, the advantage, of course, is there with the manufacturing site in
India, which helps to can supply globally.

Unidentified Analyst: Understood. And the second question is the pumps you are talking about from Siemens and ABB, is it for the local needs or is it for the global needs of Siemens and ABB?

Rajeev Jain: I think it's both , but mainly to the local need. Today, what they are doing for the big market which is growing in India, they are doing that. But when they enter a rate contract, we would never know where these things are going. I am presuming that it is mai nly for the domestic market , because our domestic market itself is growing huge. But, I am also sure that once they have tested out in the local market,

they have good references, then they would not mind using it in the exports market as well.

Unidentifi ed Analyst: I understand the Siemens part for the locomotive, but where does a pump will help ABB?

Rajeev Jain: ABB is also in the same locomotive market.

Unidentified Analyst: Understood. Okay. Sure. And the next question is on the FGD. How much orderin g we can expect on the F GD side , since we have a dominant market share? How many pumps are yet to be tendered out?

Rajeev Jain: I think the most of it has been ordered out so far based on the, if you ask me, maybe it's already 70% has been ordered out bas ed on the existing power plants, which had to be done . The remaining would be ordered out in the next two, three years mainly state governments once. But the good opportunity would come in the new power plants, which are going to be built in the next five years. So that would add a new FGD plants. So I think, maybe in a two year, couple of years' time, this market would again grow depending on the implementation. Now the future growth depends on how fast these coal power plants are implement ed. So far, it w as for the existing sites, which was easier, because you have to just put a FGD plant but setting up a whole greenfield project would be much longer.

Unidentified Analyst : Understood. And just last question from my side is on the sorry -- lost my chain of thought. Sorry.

Rajeev Jain: Thank you. Yes, please.

Unidentified Analyst: Can you talk about opportunity for river linking and the flood control?

Rajeev Jain: Yes, flood control, we are studying a possibility of rental business. We are studying the po ssibility of developing a rental business, which is under consideration, those which can be mounted on trucks and can be taken to different locations, a self -contained system. So those under our thinking. But other than that, for normal flood control proje cts, we have the necessary pumps. We have those motori sed pumps which we have supplied to Kolkata Municipal Corporation, where those are submersible pumps, Ama can type. So those product range are there. We are bidding for many municipal corporations, speci fically in the Eastern zone. So that will continue on that.


Unidentified Analyst: Second is, basically, are we seeing some competition coming in the nuclear business?

Rajeev Jain: Maybe you know it better. Competition is always there. Competition, in any business is always there. So nothing new about it or nothing strange. Competition is healthy. It keeps us more efficient and improves our own efficiency. So I would make only a general response to your question. I think competition, we should expect every where.

Unidentified Analyst: I wanted to understand the service business. When we do the service business for projects, do we have the capability to remote control those pumps and, monitor the performance? And do we, like over a long period of time, do we keep that data with us to be able to help the customer to improve the performance of those pumps? And just want to understand this segment better, like how we ?

Rajeev Jain: Good question. I think this is where the service business is changing. Now we hav e developed products, which are mounted sensors, which are mounted on the big pump specially. And all the data is collected and given back to our head office. Head office means in Pune. And we have, people working around the clock who are monitoring this d ata and analy sing this data. And if they find that the pump performance is deteriorating, for example, if the vibrations are increasing, if the temperature is increasing, we can give an alert to the customer that there's time for a change of a spare part o r overhauling.

So that all has started happening. And, this is the change which is happening in the industry that we have started offering the remote services. Sitting in our offices, we are monitoring their pumps at their locations. So this is something which is a change. And this is becoming quite

common now.

Unidentified Analyst: So, can we do it for other companies' pumps as well or we can do it?

Rajeev Jain: Yes. Yes. Everything. Means, the devices are the same, and what they have to measure, the pa rameters are the same. So whether it is our pump or competitor's pump, it hardly matters. So it's possible. And in some cases, maybe we are doing that. But today, we have established a team of, in fact, three engineers who are setting it. And we 're not doing it domestically. We 're doing it internationally also for all the customers globally. And that's why we have two people working in shifts because of the time zone. And not only that, they also provide



some solutions also, diagnosis as well. So this is th e change which is happening in the service industry today.

Unidentified Analyst: My last question is on valves. So could you give a like how big is this segment and what is our market share and which are the sectors , which really are the contributing ones for this business?

Rajeev Jain: It's very difficult to make a prediction , valves overall could be ■20,000 crores plus whatever because valve is a huge market. We are focused on the Gate, Globe, Check. Gate Globe check, domestically. And there our share is quite good, 8 % to 10%, for the products which we have. But having said that, I think the market is so huge. Now we entered into ball valves. We 're not manufacturing it, but we are partially assembling and label ling it. And that itself, that business is for us, around ■70 crores. And the ball valve market is a huge market. So I would say opportunity is huge, but we intend to go in a gradual way, to grow this business.

Because apart from growth, you need to also generate your capacity insight, where we have the plant. So I would just say that the market opportunity is huge for this. And there are I menti oned it, there are very few, good quality players. So it becomes a good chance for us to increase our share also there.

Unidentified Analyst: If I may, one last small question. On the railways, you've talked about Siemens and ABB opportunity, and you're n ot able to share the total value because of the competition. But could you share like value of like a single train set? Like, what would be the ?

Rajeev Jain: You're coming around the same question in another way. These things are very confidential, the pr ice information.

Unidentified Analyst: Usually, we talk about 1 % or 2% value of pumps for any kind of project. So is it a similar kind of ?

Rajeev Jain: Could be. Could be. Normally, you're right. It could be 2 % to 3%, the pumps portion in any refinery or any other projects , or similar things you can assume. Yeah.

Unidentified Analyst: So just a question on services business again. If you could just explain very basically, if ■100 is a cost of a pump, over the life cycle of the pump, what is the service o pportunity and over what time frame? Is it ■20, ■15? How to think about the service opportunity for pumps?



Rajeev Jain: Service opportunity, more than service opportunity, the spare part opportunity. Service opportunity, the customer doesn't want to pay you for the service. He will say [Hindi Language] [1:07:40]. That is our Indian setup. The people don't want to pay for service. So you combine it with spare parts. Because, in spare parts, you cannot service. If I charge him ■10,000 per day, he will not pa y me that service. So to judge that, it is very difficult. And our span of life, we focus more on the spare parts, replacement, and that depends on the application. If it's a rough application, abrasive, corrosive, then the business opportunity like FGD. That's a huge opportunity. Means, you can recover the cost of the

pump in two, three years, for example.

But if it's a water pump or a chemical pump, then it may take some years to fulfil the 100% of the pump value, maybe five, six years. But if it's energ y pump, boiler feed pump, then the pump runs, KSB pump runs for years and years and years. And the opportunity example, we supplied the pump NTPC barred 600 megawatt. And the opportunity came after 10 years, 12 years. But when the opportunity came, it was a good value, similar like to this. So it varies from application -to-application. It varies from the pump types and things. But whenever it is come, it is a good windfall of business for all of us.

Unidentified Analyst: So when we talk about taking this i ncome from 15 % to 25%, is it the existing stock of pumps that's why the life cycle is coming towards an end or it's like market share from other pumps, which have been not KSB pumps. How do we when we think about 15 % to 25 %, what is the math behind it or w hat is the framework behind it? That's what one was trying to …

Rajeev Jain: The maths behind this is to take the business away from small players who are doing this business from pirated spare parts who are doing this business , because maybe we have not -- availability. Our delivery times can be long, so the customer is forced to go and take this from a pirated person in the market. It could also be from a competitor's pump where we try to replace. So there are a couple of factors. One is your increased in stall base. Your increased install base in a recurring spare part requirement, like FGD again I see. So that can be one area which gives us promise.

BP&CL a pump which is highly engineered, which is prone to wear and tear, and which is very speciali sed. The customer will come to the proprietary , because it is related to the performance and engineered pumps. So that acquisition which we take helps us to give that confidence that it'll go from 15% to 25%.


Third important thing which you have all missed to a sk me is about mechanical seal. We have gone into mechanical seal manufacturing. This market is huge market. Today we are doing, maybe business of ■15 crores , ■20 crores, but this mechanical seal is the first item , which wears out in a pump. And we have added this mechanical seal in our portfolio. So this business is also going to grow exponentially. So this is going to be our aftermarket business.

And the other regular business, which was being served by others , because of our non -presence, being in a passive mode, all those things we are changing. And lastly, competitor pump is always going to be there. That is always an opportunity if we are bette r than our competitors in terms of our response time, our competency, our knowledge and infrastructure. The customers would definitely prefer us.

So this way, I'm not worried about 20 % to 25 %. I feel, on a group level we do 32%. But we have a lot of stand ard business in our portfolio, borehole pumps , which the customer doesn't repair, they replace it. So that get hidden. But if we achieve 15 % to 20 %, I don't see a risk at all or any questions in my mind. This is mechanical seals, BP&CL business, all the wa rehouse which we have made in our central, Chinchwad plant. Warehouse which we are doing now ■100 crores of standard business. Water pumps, where we used to take 14 weeks, 16 weeks for delivery. They get it ex stock from the warehouse. So they have no reason to go to some other one and get an impeller made from this foundry or that foundry. So all that is a part of our Supreme Serv business, apart from many other initiatives , which I've not talked about. So that gives me absolutely no in fact, I am very bullish on that SupremeServ business.

Unidentified Analyst: Two more questions. One is on the va lves, you mentioned ■2

0,000
crore market. Pumps is a ■20,000 crore odd market. How related are these two businesses?

Rajeev Jain: Valve market is much bigger.

Unidentified Analyst: Much bigger?

Rajeev Jain: Much bigger. I don't know whether pump market is ■20,000 crores . I estimated it between ■15,000 crores , ■16,000 crores . Valve market can be ■20 crores , ■25 crores . I've just given an approximate figure. Don't, you may take the experts who do the analysis on this thing. But

in general, if you have one pump, you have so ma ny valves around it, so valve market is definitely bigger than the pump market.

But again, it depends. There are in valves, you have very standard valves, throwaway valves, it's a big segment, so you have to see where you position yourself.

Unidentified Analyst: And the last question is that it's a very fragmented market. Pumps is a very fragmented market. You have players from Coimbatore, Rajkot , all sorts of applications. Do you see a consolidation happening or this will remain a fragmented market?

Rajeev Jain: I think, it may remain as it is except that the quality or the level will improve over a period of time. This is what I expect as the customer expects also, because Indian market is a very price sensitive market. And slowly , slowly the acceptance or as the energy conservation gets that importance, the sustainability gets importance. So customers now are looking at the life cycle cost than the initial cost. So this awareness is improve changing.

India has been traditionally a very price sensitive. And I mentioned about firefighting, the data awareness is increasing. Sustainability awareness is increasing. Even in our own plants, customers, we are doing energy audits to replace the pumps. So as the awareness increases, the pump suppliers who are all from small locations will also have a challenge to increase their efficiencies or their qualities. So I think that will happen over a period of time. Two, three decades back, this chunk was very big, but they have established themselves, the ones who surv ive long , and they come in the elite group of the pump suppliers also. So that happens, and that will happen in India. Yes.

Unidentified Analyst: Hi, on e question on the Solar Pump business. What is your aspiration to on Solar Pump business? Can we expect this business to be 5 billion, 10 billion over next two, three years, given that the opportunity is huge?

Rajeev Jain: $5 billion ?

Unidentified Analyst: ■500 crore.

Rajeev Jain: ■500 crores no doubt.


Unidentified Analyst: What are the working capital requirements and challenges, and how are you managing it?

Rajeev Jain: Working capital is a challenge, not like product business, but KSB is a very strong company, financial company, process wise strong. So [Hindi Language] [1:16:21] to bring it in the proper way. So working capital is definitely an issue. I fully agree with you that we can try to solve it by having our own manufacturer, local manufacturer. But 50% is that PV panel, whose prices are valid only for seven days, whose payment terms is only two weeks. [Hindi Language] [1:16:47] . That is all the challenges. So it depends on our efficiency [Hindi Language] [1:16:52] . That is also a challenge. And t hen fulfil all the documentation requirement and formalities of the government. So this is to improve our own internal process, but that challenge will be there compared to our product business , because we are supplying a system there.

Unidentified Analys t: On the energy pumps, does the client gives you a combined order for the supply and O&M ? Less the SupremeServ…

Rajeev Jain: Sometimes. Yes.

Unidentified Analyst: Sometimes. Is it happening

more often? Is it do we think that chang ing?

Rajeev Jain: Normally, [Hindi Language] [1:17:27] . We don't do a EPC kind of a turnkey job. [Hindi Language] [1:17:33] we have to replace a pump. If we go to our energy power plan t [Hindi Language] [1:17:37] . So then they say you take a complete lumpsum turn key job and do the whole thing. But when you give a new pump, they already have teams there at the site. So they only need our expert supervisor who will just guide [Hindi Language] [1:17:51] and that way it happens.

Unidentified Analyst: Understood.

Unidentified P articipant : Yeah. Thank you. I think we've run out of time completely. I would request, Mr. Goswami to just thank the management and end the presentation .

Unidentified Participant : Thank you . I think it is a very nice fantastic conversation on various bus iness aspects. Really our pleasure and honour to host the top management of KSB Pumps. And we wish to continue this lofty tradition year -after-year. So thank you very much for excellent session today. Thank you so much.



Rajeev Jain: Thank you from our sid e also. You have been with very nice questions and inquisitive questions, and I hope we could have clarified most of them. Thank you very much.

Unidentified Participant : Thank you.

# Call: Nov 2024

19th November, 2024
The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C -1, Block G
P J Towers Bandra -Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB
Subject: Transcript for the Institutional Investors Meet
Dear Sirs/Madam,
In continuation to our intimation dated 06th November , 2024 and 14th November , 2024
enclosing herewith the Transcript of the Institutional Investors Meet held and
participated on 14th November , 2024.
Kindly take the same on your records.
Yours faithfully,
For KSB Limited
Shraddha Kavathekar
Company Secretary
Encl. as above
Mail to : (Head Office) KSB Limited (Formerly KSB Pumps Limited), Mumbai - Pune Road, Pimpri, Pune - 411 018. (India)
Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R-Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635


MANAGEMENT: Mahesh Bhave - Chief Financial Officer
Rajeev Jain - Managing Director

Presentation

Mahesh Bhave : Good morning , all. So we start with a cautionary statement regarding forward -looking statement. This presentation may contain forward -looking s tatements relating to companies ’ future business development and economic performances.

Such statement may be subject to number of risk s, uncertainties and other important factors such as but not limited to competitive pressures, legislative and regulatory developments, global macroeconomic and political trends, fluctuations in currency exchange rates and general financial market conditions, delay or inability in obtaining approvals from authorities, technical developments , litigations , adverse publicity an d news coverage, which could cause actual developments and result to differ materially from the statements made in the presentation.

The company assumes no obligation to update or alter forward -looking statements whether as a result of new information, fu ture events, or otherwise. So with this , today, this presentation will be showing you the company organization, all the KSB locations, overview of KSB , so quickly so that you can understand, highlights of Quarter 3 2024 and top 10 customers, we will discus s about order intake, bit of financial numbers and other initiatives including ESG and CSR.

To start with the organization, Mr. Rajeev Jain, he is a Managing Director and he is with us today . And we have a senior team, myself Mahesh Bhave , I look after Finance and DTC; we have Mr. Mohan Patil who heads HR ; Mr. Prashant Kumar , who heads Sales and

Marketing ; Mr. Nitin Patil , who heads Nuclear Operations ; Mr. Raja , who is the Business Head of Valves division; Mr. Philip , who heads Quality ; Mr. Seshadri , who h eads PMPS , that is Product Management ; Shraddha , who is with us , she's the Company Secretary ; Mrs. Sunil Bapat, who heads Standard Agricultural & Solar Pump division; SupremeServ is headed by Mr. Rajesh Kulkarni ; and Contract Management is headed by Mr. Pattewar .

So, this is about KSB associate companies quickly . KSB Limited , this is established in 1960, I mean headquarter ed in Pune, Maharashtra , and if you can see the network, six manufacturing plants, we will be

seeing some photographs going ahead in the slides about the manufacturing plants, six service stations, 350 plus service centr es, 22 warehouses all over India, four zonal offices, 14 branch offices and 1,100 plus dealer network.

We also have a KSB Tech Private Limited, which is a captive engineer ing and IT service provider to the group company. This is headquartered in Pune, Maharashtra. This is the technical design centre and our IT s ervice provider as I mentioned.

KSB MIL Controls Limited , so this is acquired in 1997 and headquartered in Kerala , and this is into control valves manufacturing. And we also have a Liaisoning office in Bangladesh.

So some of the pictures, this is for our energy set of art plant in Shirwal . This is the Energy Pump division. Last year , we inaugurated a new admin build ing in our Shirwal plant. So some of the photographs of the admin building. This is our flagship plant that is Irrigation and Process division. This is Pune. Some of the inside photographs of IPD , that is Pimpri , Pune factory.

We also have a unit , which i s also old unit converted into a SupremeServ and Central Warehouse . This is in Chinchwad , Pune , near to our Pimpri factory. Some of the photographs of our Central Warehouse , where we do t he spares business from inside. This is Sinnar, Nashik and Standard Pumps division factory. Some of the inside photographs of our Sinnar factory.

Va

lves division, Coimbatore, Tamil Nadu , where we have a valves factory and some of the inside photographs of our valves factory. Similarly , as I mentioned MIL control, this is i nto control valves , this is associate company and this is situated in Kerala. KSB Tech we discussed. This is Engineering and IT Service provider. It is a design centre situated in Pune.

Moving ahead , we look at the business and we look at the overview and the applications of pumps and valves . To start with , this is energy. So KSB Pumps and Valves ensure energy efficiency and reliability helps to achieve optimal performance and safety in power plants. Products cover high -pressure multi -stage pumps, FG D pump s, GGC and ball valves, and applications are FGD hydrocarbon services.

Next application is industrial application , where we have variety of pumps ranges in this industrial application , which includes end -

suction pumps, process pumps, non-clog pumps , high -pressure multi -stage pumps , confirming API is 6 10 and GGC and ball valves. A nd applications are oil and gas, sugar, paper and pulp, thermic fluid, process applica tions and hydrocarbon services.

Moving ahead irrigation , another important application segmen t, optimized product from a specialist for the entire water cycle and products incl ude submersible pump sets, open -well monoblock pumps, mini monoblock pumps, dewaterin g pumps, solar products and GGC and ball valves. A nd applications are into irrigation, f armhouses, drinking water supply, et cetera.

Wastewater, this is for clean solutions and products are i nto submersible, motor non -clog pumps, horizontal non -clog end -suction pumps, GGC and ball valves . And applications, various types of municipal and indu strial wastewater, sewage, effluent transport and treatment, storm water drainage, dewatering, et cetera.

Construction , KSB, we always say we have all -in solutions in the construction segment. So products are hydro pneumatic systems, firefighting pumps li sted as well as non -listed, HVAC pumps, panels for primary and secondary. And applications are into firefighting, HVAC, pressure boosting , water transport and drainage.

SupremeServ , this is after sales business, we say it is customer centre d setup support ed by lean and efficient processes, dedicated sales team. So this includes repairs, field service, modification, replacement, footprint pumps.

Moving ahead, highlights for Quarter 3. So this is our top 10 customers. You can see September 2024, Thermax con tinued to be in our top 10. Maharashtra State Electricity and Maharashtra Energy, this is basically into solar business. And some of the dealers including Pooja, Patil and some of the EPC like ISGEC , Megha E ngineering ; and PSUs like HPCL and BPCL.

Highlig hts. A very good news is the voice overall engagement score and this is 88% and participation is 100% . So this is an employee engagement survey and this shows that all the KSB India employees are very well engaged . And this is improved from the last score , which was conducted 2 years before.

KSB launched a B pump in IFAT Expo, that is IFAT E xpo new addition in the wastewater segment . So this is again the launch we will

see the photographs , this is again a good development I would say . Of course , digiti zation, we continue to be in digiti zation mobile Warehouse Management , this is benefiting the real time inventory , improved data accuracy and enhanced decision -making . Advance Planning and Scheduling , APS, tool is also implemented , which will be enhancing the production tracking and scheduling for the on -time delivery . So these are some of the digiti zation developments .

Order intake. T his is without nuclear, you can

see very steady growth
and this year YTD you can see ■11,186 million is the orders in hand actually – sorry, I mentioned order intake , but this is orders in hand, OOH. This is order intake and segment wise you can see a good focus on the standard business which is improved from 43 % to 48 %, engineered is 16 %, SupremeServ is again 15 % improvement and valves is also good increase to 21 %.

Exports , this is depicted in the percentage, you can see this is from 16%, now YTD is 12 %, so some pressure this year. Financial , this is working capital position, as you are aware ■308 crores is the net cash position, September 2024, continued to be a good cash position in fact improved compared to last year .

Inventories are under well controlled, number of days also reduced in YTD September . Receivables continued to be monitored c losely, there is a bit increase due to the solar business what we started. So revenue trend, again , you can see a very good continuously increasing revenue trend you can see from 2022, ■18,220 million; 2023, ■22,472 ; and September 9 months we are ■18,067 m illion .

Same in the profit before tax , a very good continuous increase, you can see from 2022, 2023 and YTD September 2024 that is ■2,282 million .

Moving ahead from financials, some of the events, this is again a very important event into the ESG , where we have inaugurated and started open access solar power project and this is inaugurated by Dr. Bross, who is our CTO of KSB Germany. So this is a remarkable project , as I mentioned, 6.65 megawatt peak and is set to generate approximately 10 million kilowat ts of power annually. So you can see 50% of KSB India ’s current total power requirement is getting covered under this open access. This is a milestone development I would say and you can see the 71% of the total KSB ’s requiremen t is with renewable energy now.


We had a strategy meet at Oxford Golf Resort, Pune , and on the 8th of August , this was Expedition and Vision 2027 , where the top management like 80 key business people we made and discussed on the strategy . Yeah , IPA Neerathon , which is conducted in s outh and this is organized by Indian Plumbing Association Chennai chapter , and a very powerful message about the Run4Water, and even an event emphasized on importance of water conservation .

Yeah, exhibitions , this is Krishi Mela Expo at Dharwad , you can s ee a very overwhelming p ositive feedback on the quality, durability and reliability of our products and further solidified our reputation as a trusted partner in the agricultural sector. IPA, again, successfully conducted and we participated in ChemT ech Ex po 2024 at Bombay Exhibition Centre in Gore gaon , where we showcased our various products including non -metallic pumps , Mega chem, Mega chem pumps, Mega chemSO and other chemical pumps .

Yeah, IFAT as I mentioned in the highlights , India Expo 2024 at Mumbai , and this was conducted in from 16th to 18th October . This is a leading trade fair for water , sewage and solid waste and recycling . Yeah , as I mentioned , this B pump , Vertical Turbine pump , B pump , our newest addition to the Waste water segment . This is very important . The response to KSB ’s participation was very positive with visitors and f ellow exhibitors expressing their appreciation .

Some of the ESG initiatives that we have already seen that 70% of the KSB India ’s need are covered with renewable energy n ow. So we discussed about solar open access ; we have various energy saving projects ; we have most of the factories we have rooftop solar projects ; regular en ergy audits are being conducted; supplier sustainability assessments are being conducted ; and reduc tion in compressor air leakages, th ose projects are also going on.

The very prestigious VDMA Manufacturing excell

ence award that is
under CSR Large category, 13th VDMA Mechanical Engineering
Summit on 18th October, we got this award. I would say this is a very
prestigious award and the activities are vouch what we are doing in
CSR.

Yeah , this is so me of the CSR projects, handing -over of playg round
and kitchen equipment to Apulki School for mentally challenged
students. You can see the photographs and deta ils. ZP Primary School ,
again , a very important event under CSR project , where this school is
a girl and Vambori is a very small village , and we could contribute



and construct this school blocks and where you can see this is for girls
and this is a milesto ne kind of a CSR project and it is very well
appreciated by the local – I mean , within the locality . And, of course ,
this is appreciated by the commissioner and ZP CEO , Ahmedn agar,
they were also present in the inauguration.

So with this , thank you , and I end my presentation. And session is
open for question -and-answer .

Question -and-Answer Session

Manish: Hi, thanks for a great presentation. Manish from PineBridge . So I just
wanted to check you mentioned that receivables have risen partly ,
because of sol ar. And the top two we found out that the customers
include Maharashtra : A, the reasons and if those receivables are
coming down ; second , if you could just highlight the level of
integration that you have on the solar side ?

Rajeev Jain: Yeah, there is a v ery detailed process for receivables for solar one has
to complete the whole process and documentation and the certification
and upload that , so that took a bit of time and that is all done most of
it. So, I think , we are expecting these things to come dow n by the end
of this year . So it's kind of a learning curve , where we understand the
whole process of what needs to be fulfilled and the request . And the
level of integration , in the sense , we are making the pump sets
ourselves, the controllers, we are int ending to bring out our own
controllers in next year .

And the remaining , of course , the panel is outsourced and all the other
installation is done by the installers, our network of installers. So that
network we are building up and that is growing month b y month , and
once that is also settled and we have a comprehensive one , then it will
help us to enhance our business in this segment also.

Manish: Is this something to do with the elections that things got postponed or
is it like monsoons which causes pos tponing , because we are hearing
conflicting th ings from different industries?

Rajeev Jain: I can 't comment on that whether it is there . But first is , we have to do
our own homework. So, once I complete my own work , then I can
blame the monsoon or the elec tions. But till that time, I can 't say that.
I'll have to ensure that all the installations are done completely to that
satisfaction and uploaded. Those documents have to be up loaded for
making that process.

Manish: How much portion of a turnover, app roximately, would be from this? And how big is the segment? Because there are people talking a lot about that. And number two is, of the proportion of rec eivables, how big is this part? There are ■500 crores that you just m entioned into the presentation.

Rajeev Jain: About the business this year, we will do a revenue of maybe ■120 crores out of solar this year.

Mahesh Bhave: Yeah, receivable, not much, actually. What I mentioned is, as ri ghtly mentioned, by Maharashtra, so maybe around ■80 crores to ■85 crores. That is what, yeah, it 's not a very, very big number. But this is a different business and different terms, actually. That 's what we have to be closely monitoring this documentation, as I m entio

ned.

Kunal: Hi, sir. Kunal from B&K. Sir, you mentioned that export has been a little weak this 9-months. Can you highlight the key reasons for the same and how is the outlook and the pipeline looking as far as exports? Because , I remember , we're tal king about we 've been working closely with the parent. And we have enhanced our product profile for the export market as well. So if you can talk a little bit about that as well .

Rajeev Jain: Yeah, exports have been down this year. One of the reasons is definitely Bangladesh. Bangladesh crisis has affected that for us. Second is the geopolitical situation in some regions. But the outlook, I wouldn 't say is we are pessimistic on that. I think the outlook is good. We have introduced products which are solely manufactured in our factories. And we are expecting good orders in the project business, in the energy segments from countries like U.S., where we have a global strategy. KSB has been not so strong in the U.S. market , but now the thrust from the group has been in this North America, especially U.S. market. So we definitely expect to have good benefit out of that in the energy segment. Other countries like Spain also, we are successful with EPCs in Spain and Turkey.

So, I think , the project business someti mes takes time. But it is happening, I think, in these coming months, in fact, we have booked one order yesterday only. So things continue to happen, and we have got good pipeline of inquiries. So that will happen. That is on the energy segment. And in the petrochemical segment , in the region Middle East, we are expecting, since I mentioned we are continuously developing API products, the gaps which we had, whether it is split -

case pumps, horizontal split -case multistage pumps. Now, we have the BP& CL range which we are upgrading.

So, all those things will plug those gaps which we had, and it 's a process. And , I think with those additions in the product basket, we will have much more competitiveness in this project, especially in the Middle East for the p etrochemical. And energy, I gave you the markets where we are there. So this is a process which will happen. And apart from that, there is day -to-day business, standard business, which will continue.

But, overall, the main reasons I would say I mentioned tho se two is Bangladesh, geopolitical, and also there is a lot of thrust in third in many countries to do local value addition and localization. So make in Indonesia, make in Saudi Arabia, these are the trends worldwide. And that, of course, means that the co ntent from our side gets reduced instead of a pump , sometimes we give only components. So these are all factors which are changing. But, overall, I ’m optimistic that we will continue to gr ow our business in all exports.

Kunal: Sure. Sir, my second questio n is around service business. We were talking about a target of bringing our service business to about anywhere between 15 % to 20 % of our revenue. And we had chalked out certain initiatives around that. So if you can talk about where are we in that journey ?

Rajeev Jain: You see, KSB ’s business product mix is standard plus engineered pumps , and this aftermarket business more is relevant for the engineered pumps. For standard business , it is more of replacement to the product rather than the parts and all. S o the opportunity for us is in that engineered business and for that , I think , we are doing pretty well , I would say that our aftermarket business s hould grow quite well this year, specifically , with the measures which we are doing . We have set up a centra l warehouse in our Chinchwad plant , where our spares fo r standard pumps is increasing.

I talked about BP& CL acquisition and now already this year, we have orders worth ■20 crores on hand. We

have made a reciprocating pump order, which we got first time, s pare parts for reciprocating, spare parts for old BP &CL. So cumulatively, orders on hand already for ■20 crores in this short span of time, which we hope to continue and get. So that will be another good avenue for growth.



We are also focusing to make spa re parts in our Chinchwad plant to make it independent from our manufacturing , so it gets a focus and the speed in that way for meeting the market requirements. We are focusing on system efficiencies and doing energy audits, supporting the customer to get value from our products, doing retrofits job s for competitor pumps as well.

So all those activities, localization of mechanical seal. Mechanical seal is one of the main – another segment , which will grow strongly. We are step by step localizing these seal s. In the first one or two years, we imported those seals. But , now, almost 80% we have localized for our standard pump business. We will do the engineered seal in the next two years. And , also, the seals for the nuclear business. We have got a facility. N ow, we are making 100% local , so all the past install base. So in the coming time, normal as well as nuclear mechanical seal applications, we will have this opportunity .

So these are multiple avenues where we intend to grow our SupremeServ business, I’v e not mentioned the regular business. The regular replacement pumps, the spare parts and all those things would anyway continue .

Kunal: Sir, in the next two, three years should as FGD and nuclear starts to contribute, because their service intensity both in FGD and nuclear is very high. So should that also help significantly scale up the SupremeServ business?

Rajeev Jain: Very true. I think I missed to mention FGD, but FGD is definitely with 400 pumps, odd pumps now we have supplied , and lot of plants are n ow going into commissioning stage. These plants have been supplied or pumps have been supplied with spare parts . So it may take some time till those spare part requirement comes up, but at least I think that 2026 onwards the revenue generation from FGD bus iness would be good. So this is the phase of commissioning and operation, but after 12 months, I expect all these wear and tear parts requirement to go up . So 2026 onwards, that would be also a good revenue segment for us.

Kunal: Sir, on the nuclear busin ess part, what are the updates? Are we on track for next year 's booking revenue of about ■200 crores, 250 crores from nuclear?

Rajeev Jain: Yes, yes . I have been assuring every quarter it will happen next quarter. And I was hoping that it will happen this year. But this

business needs both push and pull. So far, it 's been pushed only , there was pull lacking . But since that GHAB [ph] project got delayed due to site reasons. The pumps have been supplied. Those are getting on the way to get fitted on the test bed. The test bed is a bit delayed . From our side, the pumps are already on the Tarapur site. So we expect the testing to be finished by March, because the first pump would need 500 to 1 ,000 hours testing. So assuming that the testing gets over in March, the motor is also supplied .

So then , by that time, I presume the site also will get the clearance and that pull thing which I mentioned starts happening. So we are hoping at least two pump sets to be invoiced in the last quarter of next year , third or fou rth, I take fourth. If everything goes well, it could be third quarter. So that would be – that is our goal and , of course, the Kudankulam order which we booked last year , ■267 crores. We are hoping 50% of that also gets invoiced next year . So, yes, ■250 crores would be our target only from nuclear bu

siness . Apart from the aftermarket business which we are doing , that is a small ■15, ■20 crores business which we are doing in aftermarket. That would also add on to it this business .

Kunal: Sure. Sir, in last question, if I may, you talked about the dealer meet and Vision 27. Any snippets from there you can share about direction in which we are thinking, key drivers, any numb ers, targets that you have set?

Rajeev Jain: Yeah, Numbers will evolve out of that. We are looking for continuous growth as we have done in the past yea rs. Dealer business is our core business and dealer business has been historically the strength of KSB . So we 'll continue to strengthen that. To strengthen that, we need to have a comprehensive product range. And the products we are contin uously adding.

If you see, year -on-year, we recently launched the B pump, which is not the vertical turbine pump, which i s not per se a dealer product . But we are going to launch the – we will come out with fire fighting products, which we already have. We 're going to add portfolio, we 're working on listed products and things like that. So product additions will continue to h appen .

So, we will definitely ensure that the dealers have a much better product basket and much more accessible market. So that is a continuous thing, which we are building up year after year. And so , I

think that 's on track , since that is a core part of our strategy. So all well on that front as well.

Kunal: Thank you so much , and best of luck, sir.

Unidentified Analyst: Yeah, sir, just one point. I know what you were explaining on the export side . If you can just help us understand that what is the arrangement we have with KSB on which markets are open to KSB in India ? Like, you also said that in some of the markets there are now localization requirements . So are you having any conversation with KSB for supplying certain p umps or components to globally ? We are seeing this trend across a number of European companies. Because of strong demand, they are looking for vendor base, right? So if you can just help us understand both , what the equation is and if some of these things are in conversations ?

Rajeev Jain: You see, KSB is a global company with multiple manufacturing sites, manufacturing sites in each continent, starting in USA, w here we have the mining. Brazil, Europe , we have a lot of manufacturing sites. Middle East , Africa, we have South Africa, the n India, Pakistan, China, Australia. So there are multiple factories all around the globe. So KSB ensures that the distribution or the export supply chain ensures the optimal loading of all factories, considering that all the factories meet their local req uirements also and are optimally loaded .

So we have an internal supply chain where product wise each manufacturing location is given the territory to export in that particular territory. For us in our region Asia West , we are 100% for other India and neighbouring countries like Bangladesh, Nepal , this is all under our responsibility. But other than that we have specific products which are allocated to us , where we export some products are coming from China, some are coming from our si te for the Asia - Pacifi c locations .

Apart from that there are many initiatives to have, there are semi manufacturing locations like Indonesia, Thailand , which do a lot of value addition. So sometimes we supply components to them and they have to show 40 %-50% local value additio n, and then they get the preference to sale when they have these things .

So I am just giving examples. Similar things are also happening in Middle East , specifically Saudi Arabia , where we supply components, SKDs and they assemble it and then they build u p the pump themselves with small components also from their si t

e. We also do



SKDs to countries like Chile and South America and all. So it is a situation and case to case based where it helps to build up local value addition, it helps them to also reduce t heir inventory by having an interchangeable SKD components . So all these things are part of the portfolio what we are exporting.

Unidentified Analyst: Great sir. Thanks. So I mean we should say, I mean the take away we should have is that there is in a ca se be such an organization that cannot be like a centralized sourcing arrangement from India or any other countries like that?

Rajeev Jain: Correct.

Unidentified Analyst: Okay. Sir, I think my second question is on the dealer side. I mean, we are assumin g that the standard pumps is what is, you mentioned that it is a very important category. Sir, could you like comment a bit both on the growth in that segment and the margins in that segment for you .

How has that been – because, we are not able to really f igure out how has that segment grown, if you can share something ?

Rajeev Jain: The standard bus iness segment comprises of agri market, domestic pumps, domestic residential pump, commercial building segments, industry, general industry, water market, waste water . These are the segments and the chemical market. These are the segments where we the products which we sell and, in our terminology , we call them as the standard business.

Unidentified Analyst: And these are sold through dealers?

Rajeev Jain: Most of them are sold through dealers. I would say, yeah, 80% or more are sold through dealers only, more than that. There are specific exceptions where those customers are big, like Thermax and OEM . They would want to deal with us directly. So those exceptions are there where the bigger OEMs we deal directly. So in standard business, typically what happens is : one i s the big pillar is the dealers, the sales channel ; the second is the OEMs ; and third is the small contractors. Some small contractors could also be many times the dealers act as the contractors and sometimes it could be other contractors. So these are main three channels through which we do the standard business . And the market segments also I explained earlier. And the products which we sell in thes e segments and through these sales chan nels are our standard business.



And so growth, of course, these are our daily bread and butter business . Typically , 55% to 60% of our portfolio, if we add up of all is a standard business. 50% to 60% it keeps on vary ing. And it is a profitable, very profitable business, because you have less overheads. You have sell through the dealers, and many times the dealers do the customization . So we avoid all those areas where our overheads are high. The dealer is able to do i t more efficiently. We can sell standard.

Here our EBITDA margin is higher compared to our engineered project business, excluding nuclear . So nuclear is, I wouldn 't count in the engineered or the project busin ess, nuclear would be separate.

Unidentified Analyst: One last thing on a margin point of view. Sir, what I 'm doing is I am say comparing the CY 2018 margin with CY 2023 margin . Just…

Rajeev Jain: World changes in this 4 or 5 years. But, anyway, please.

Unidentified Analyst: But I do ignore the COV ID period , because that is a very aberration , a lot of costs were not there , some years, I mean . I'm broadly saying pre-COVID to our last full year reported. So what I 'm seeing is that our EBITDA margin has improved, but our gross margin has come off and t he employee cost and OpEx, right? They had a lot of – those ratios have come down.

So in the last call, the last discussion we had you explained that because of the

billing, I think, recent years of the engineered pumps, like FGD and all, which are lower margin, that is having an impact on the gross margin . I just want to get your view going forward, right, given the book that you see, right ? What could be our , A, trajectory of gross margin? B, do you expect similar operating ratios jaw to be there? And fi nally, we are trying to understand what the trajectory of the margin could be from here on ?

Rajeev Jain: To give you a simple answer, I would say that we are aiming to keep the EBITDA level in a similar range what we have today, because we are still aimin g for a very high and aggressive growth. So that would mean sometimes what happens when you go for growth, you go for segments, different segments, which are not similar margins like your product business , for example, solar business . Solar business, which we do today would not have the same EBITDA m argins as our product business.

If I go for, let 's say, firefighting pump sets, it wouldn 't give me the same EBITDA level for like my product business . But then we tried to

compensate that EBITDA through our st andard business, through our SupremeS erv business, through our valve business, maybe through our nuclear business. So , overall, I would say keeping that we still want to grow aggressively, we are targeting that the EBITDA margin would be on a stable consis tent level overall .

Dhavan: Hello, sir. This is Dhavan from AlfAccurate Advisors . So y ou mentioned there are many sub -segments in the standard pumps. So if you can share the market outlook on those pumps, I mean, from those segments, how much growth we ar e witnessing right now, and what is the pipeline going forward , plus there is the competition also ? So how do you see the growth in the standard pumps? And then under the engineer ed pumps, given that the export is bleak, so out of the overall engineered bu siness, how much is the exports? And under engineering segment also if you can share segment wise details as you hav e shared in the standard pumps.

Rajeev Jain: I think we shared it in our presentation the mix of that . But to give you the outlook , I think , this year many factors we can say election and election keep on happening in our country whether it is central , state, so it has a bit slowed down in this quarter the outlook compared to the previous ones , but I think that is not so significant . We are s eeing a good amount of optimism in the waste water market , those investments are coming in industry .

The distillery segment is again coming back , though , there are bit of a downturn in the chemical , and paper , and other industries . So some segments are loo king up , some segments are not as good as they were , I would put it that way . Domestic segment , the real estate sector we have to see how it performs in this present financial scenario with all the inflation and the personal loan getting a bit tight all th ese factors do play a role .

But, overall , I would say since we are there in multiple segments and I named some of them what happens with us is some segments are positive and some segments may not be there . So it is a continuous thing and I always say KSB has this unique USB that you name a product , you name a pump , and we will have it , whether it is a small domestic pump or it 's a cooling pump for the reactor . And ever ything in between is available.

So there was a time when FGD was booming, and we t ook pa rt in it. And now if FGD goes down, there is solar, where we are participating in this. There is standard business continues to happen . We are

continuously bringing in products. For example, now in firefighting market, our market share is very low. So irre spec

tive of the market
outlook, we have an opportunity to grow. So this is something which we are looking at . Waste water, we are enhancing our product range, coming out with higher ratings of submersible pumps. And we are getting a much more accessible mar ket there. We have come out with the vertical turbine pump now to cater to the market which we were not participating earlier .

So I feel market outlook , I would summarize is some segments are good, some segments are not so good that is again thing of cycl e, but overall , I have good optimistic view for next year as well. And basically our strength is the product basket , which we are continuously adding, increasing and which will we continue to do both in agri as well as domestic market, in building services , firefighting, chemical, we have got the non -metallic pump also, as well as the market for life science applications. So with this all these introductions I think we have a good outlook for the standard business and we have a very well established dealer distribution system .

Dhavan: Got it. And the solar pump would be a part of standard business only?

Rajeev Jain: Yeah, today , we make that in our Sinnar plant , so we kind of term it in our standard portfolio. Since these are application wise going for irrigation which is a part of our standard business application and the system more or less is standardized . The bill of material , everything is very standard , and there is no big inspections or somethi ng like that. So even though it' s a bit integrated system , I would say , it is a standard system.

Dhavan: Got it. G ot it. And in the engineer ed segment if you can share thoughts segment wise and export business in the engineer ed pump?

Rajeev Jain: Yeah, in engineered business there are two segments in engineere d business or project business. One is the energy segment and one is the petrochemical oil and gas. So in the energy segment , as you know coal market, a ctually in India , I would say , the coal market globally going down , but in India there is it will still with this 80 gigawatt announcement by the government, which will happen in the next seven years.

But what happens in this coal market, the BH EL is the dominant player, EPC. And unfortunately for us, BH EL makes all those pumps themselves . So it was a very pleasant news recently that L &T won

those 800 megawatt supercritical. So we are hoping to be back in business with this boiler feed pumps and the condensate extraction pumps, which we supplied for TANDA, Telangana , and one more project . So we hope that now , of course , it will be very competitive, but we hope that we have an opportunity. If BH EL wins, then we don't have, except FGD, we don 't have a chance to supply pumps.

So a coal market, hopefully next year we will have an opportunity to participate on th ese supercritical. Other than that is basically aftermarket which we are focusing. FGD will be there in smaller numbers, much smaller numbers than before. But energy market is now the tide is more in the nuclear side now .

The nuclear side with the ongoing 700 megawatt orders on hand and the government 's initiative to set up 220 megawatt reactors, 50 reactors almost with private participation. There , we feel we have a good chance , because we have all the 220 megawatt with KSB pumps supplied in India . It's a proven technology. So there is an opportunity for KSB , even though it 's a bit long -term that will happen in the five to seven years. But it will continue to happen, sustainable. So that is regarding energy .

For petrochemical, it ’s a very competitive fiel d. It’s competitive , a lot of manufacturers in India, international as well as local. So this is a cutthroat competition , and so everybody gets a small piece of cake, some big , some small .

So we are selective where we feel we are competitive. So recently t here were projects on HPL. HPL , Reliance is ongoing. So we get a share out of these projects. We got a good share in HPL project , and Reliance is ongoing . We have got some orders, some are underbidding. And so , this market will also – it’s a project busine ss. You can ’t predict the timelines. It happens when it happens. But I feel it will continuously happen .

Another market in engineered or the segment is mining, which we are now entering. So this is an interesting mar ket which we were away for long-term. A nd now , we are planning to make those white iron in our foundry itself for those things . So we are localizing the pumps, and that will help us to be more competitive and get a bit more share in the mining market . And, hopefully , also export it into some As ia-Pacific regions in the coming years .

And last but not the least is , water project business. And I talked about vertical turbine pumps and things. So water will be ever green market, it will always be there. And as I said, in water market, we were more

into dealer business, not into project business . So that is another area , which we will be entering with products introduction. And the first one, we ’ve already got split case, and now the vertical turbine, and then we ’ll have to look for much bigger tubul ar casing pumps and all those things in the coming months and years.

Dhavan: Got it. And sir, just last one is, out of 800 megawatt of power plant, what would be the opportunity size of pumps for your site? And how do you see the opportunity size of the p ump storage for the hy dro business? And the last one is, given that the order book is ■1,200 -odd-crore , out of that the engineer business is roughly 60% -odd, which means roughly ■200 crore comes from the engineer business right now in the order backlog . How do you see this order backlog based on the visibility you mentioned, plus the pipeline, plus the new products? This ■200 crore of order book, what kind of order book growth do you expect in the next three years’ timeframe?

Rajeev Jain: Our orders on han d is almost ■2,400 crores . Half of it is the normal business, and half of it is nuclear, ■1,200 crores and ■1,200 crores . Out of ■1,200 crores , nuclear I mentioned, almost ■250 crores is what we are planning next year . Yeah. And the remaining ■1,200 crores is the normal standard business, project business, all put together. So that is the pipeline of orders on hand, which we have. So next year, with nuclear happening, I think , we are expecting a good revenue growth also with this pipeline of our orders on h and.

Now , what was your other question?

Dhavan: Basically, excluding nuclear, what kind of growth do you expect from the engineered segment? I think engineered, excluding nuclear is ■200-odd-crore kind of the order backlog?

Rajeev Jain: No, it ’s much more. It ’s much more. I don ’t know where did you get your figure ■200 crores from, because the standard business is very short delivery items. Those go in 8 to 10, 12 weeks . So the major ity of

■1,200 crores would be the project business. So it would be maybe 60% to 70% of that would be the proje ct business.

Dhavan: And out of 800 megawatt of thermal power plant, how much is the [Indiscernible] [0:52:25] .

Rajeev Jain: Normally it would b e ranging 3% to 4% of the total investment in this plant .



Unidentified Analyst: Hi sir, one question from my end. Two questions actually. Which are the brands that KSB globally competes with which are not present in India , and because of the increasing ec onomy ar e they planning to enter India?

Rajeev Jain: I don 't see any international brand , whic

h is not present in India.

Unidentified Analyst: Okay . Okay. A nd second question was what would be our segment wise market shares if y ou are okay sharing the nu mber?

Rajeev Jain: It's difficult to estimate segment wise . In different segments, somewhere we are in the leading position, somewhere we are not. So it is a bit diverse depen ding on the different segments.

Unidentified Analyst: And for what percentage o f your revenue would we be the market leaders?

Rajeev Jain: Come again.

Unidentified Analyst: For what percentage of our revenue wou ld we have a market leadership? So in what percentage of our reve nues are we the market leaders?

Rajeev Jain: You are doi ng too much analysis. As I said, in some segments we are the leaders . And the leadership could be in energy segments. It could be sometimes in different segments. Sometimes it could be in the distillery industry . It could be various segments.

Unidentified Analyst: And as per you, w hich is a bigger entry barrier? The dealer network or the technology , which is required to get the right quality of firms? Which is a bigger entry barrier for a new brand to t ake market share away from you?

Rajeev Jain: Whic h is the biggest entry barrier? There could be again, it 's a very general question. See, it could be brand acceptance. Once you have to for standard business, brand becomes very important. Not only the brand, the brand image is built on the product quality, th e relationships, what the dealer network has, the aftermarket support, the quality, everything .

And for project and engineered business, it 's provenness, proven and track record. And also, yeah, the qualification, this becomes. So in different segments th ere are different requirements for a brand to enter that market . So I would simply say that if your brand is trying to enter

into Indian market , it should reflect on what it is their core strength. You cannot have just enter the Indian market and , say, I have a pump and I will start selling here . That doesn 't happen . So, one should if an international brand is trying to enter , they must have be having some of their own core strengths , and that core strength they should use and then look at the market barriers and try to overcome that . That would is what I would recommend in case you are planning to bring in a new brand .

Unidentified Analyst: Thank you .

Manish : Just it was fascinating to hear then always from you the products that you keep developing each y ear. J ust wanted to understand like you also mentioned in the PPT 350 service centre s, one main warehouse which is there across . Could you also help us understand what is the strength of the dealers that you have in the country? How much do you keep adding every year in that?

And one other thing is like moment you appoint a dealer, the inventory with the dealer is like with whom? Like it is the dealer 's inventory or is it with the company which is showing it up? So if you could just highlight.

Rajeev Jain : Yeah, what is us for dealer business? We say it 's a win -win strategy. Dealers are entrepreneurs, better entrepreneurs than us. We are sometimes playing safe, but dealers are entrepreneurs who put their money and they know how to rotate their money and ge nerate wealth, much better sometimes than us . So that 's why I say it 's a core part of our business. We look for dealers who have that risk -taking ability, who are able to put their finance and who have a good appetite. And that's why we have long -term deal ers, because KSB gives them the comfort that we will support you, the business will become your generation to generation, keeping moving forward and we keep on adding the product basket . What does the dealer need? He needs more and more products so that he gets a better acce

ssible market.

So I would say that our core strength in keeping a long -term good relation with dealers is fair policies . We have very good clear policies, policies o f territory where they will act; policies of in which great category th ey are ; policies of, I would say, supporting them and very transparent policies. And , of course , the promotion and the pride of being associated with a brand like KSB is a part of that portfolio .



Yeah, s o our core strength has been to add these products y ear-after-year in different segments and fill up their needs. Because even after developing so many products, when I go to a dealer meet, I am amazed at the request which keeps on coming . But I would say they are also amazed at the way we are also introduc ing that product. So earlier when I used to go to a dealer meet, there used to be demand. But now they worry that I give them the product and then ask business from them . So, now, it's a good collaboration.

What was your other question?

Manish: What 's the strength of the dealers or exclusive dealers? I don 't know how you classify them. I have no idea.

Rajeev Jain: In our terminology, dealers are one who keep the inventory themselves . For us, and I said win -win is because we give them a standard product a nd they do the customization. They will meet the customer requirements of parameters, little bit modification, trimming of the impellers, whatever is required . And that is where they do their value addition and they keep the inventory. For us, KSB, for our factories, it becomes a standard business, less ove rheads, and much better output.

Manish: What is the streng th of the dealer network today?

Mahesh Bhave: 1,100.

Manish: 1,100. These are exclusive dealers?

Rajeev Jain: No, no, i t's a mix of exclusive. In some segments, industry segments, building segments, these are maybe more exclusive. But in agri and domestic, which is a very, I would say, vast market, and there are many players in this, the dealers can be having multiple products, but most of the t ime not overlapping products . So, let's say , if we have a dealer, it would be for agri business, not for domestic busi ness, and the other way around.

Manish: And just one final thing on this entire service thing. Are you actually or maybe you already do t hat. Do you actually have some sort of mobile or network connectivity with a pump that is being supplied across? So what are the sort of problems that are coming across to that extent you actually have?


Rajeev Jain: Yeah, in today 's world, this has become the need. And we have a device called KSB Guard. This KSB Guard has sensors which are fitted onto the pump bearing housing, and they are connected at the local site . And we monitor them centrally from Pune. We have a team of people who monitors them, moni tors the performance of the pumps, tells the customers when they need to do replacement or maintenance. So this is the in -thing today . This is something already, means , it's getting more and more popular, but with in -house maintenance teams sometimes it 's not easy that we put , this because there is in -house available things. But I see the demand of this getting much more . So all our pumps which go from our engineered factory in Shirwal , they will have a KSB Guard.

Manish: Thank you so much.

Mohit Surana: Sir, my name is Mohit Surana from Monarch Networth . I have a few questions, sir. So first is, last quarter you mentioned about increasing your capacity in the valves segment . Have you already done that and by how much percentage, if you can mention?

Rajee v Jain: I cannot do quarter to quarter capacity increase, it 's a long -term thing. Capacity increases happ

ens by maybe adding space, adding machinery, and of course with internal improvement measures . So the internal improvement measures by lean manufacturi ng, by all those theories and practical things, this continuously happens. So redoing the layout, and value stream mapping, all these aspects keep on happening continuously .

So the measurement of how much capacity is increased, one can see from the output of number of valves made, and that we are seeing, that we are continuously doing that. That also happens by outsourcing contract manufacturing route, the low end of the product, we don 't make ourselves, we get it made outside, an d the critical testing we do in-house .

So those are the short -term measures, which we do contract manufacturing could be a permanent long -term as well. But the real capacity increase happens when we invest in a new bigger location with machineries and all those things . Those are l ong-term strategies, those are always under review for the 5-year, 10-year planning. So a s and when we finalize that, and as and when we make a conclusion, we'll share it with you.



Mohit Surana: Sir, next question is regarding the MIL control, our sister concern, they are into control valves . Are we also not producing control valves? I just wanted to understand that the parent company has two sister concerns in India. Why not consolidate into just one, or rat her than two separate entities?

Rajeev Jain: What is the benefit of consolidation that we are not getting today?

Mohit Surana: Sir, similarly, what 's the benefit of keeping two entities separate ? And the business is the same.

Rajeev Jain: Yeah, but you are asking why not consolidate, so I want to kno w what is the benefit, because they 're running perfectly fine under KSB management . So if you can suggest some be nefits, then we can look at it.

Mohit Surana: Sir, but are the products different or is it the same in terms of the valves that is being manuf actured?

Rajeev Jain: You mentioned it is control valve , so it has to be different .

Mohit Surana: Okay. Understood, sir. Understood.

Rajeev Jain: So I would appreciate if you tell me what are the benefits of consolidating keeping it in one, then definit ely it would make a business case to do that. But otherwise, things are running fine and the factories are doing well . So unless we see a benefit, it doesn 't make.

Mohit Surana: Understood. Sir, the next question is regarding the entity that you acquired Bharat Pumps and Compressors . If you can give some insights…

Rajeev Jain: We did not acquire the entity per se . We only acquire d the technology, the drawings.

Mohit Surana: Understood.

Rajeev Jain: And those are running well. As I mentioned earlier, tha t we already have an orders on hand of ■20 crores. And this will grow multiple times, because there 's a huge install base, 500, 600 pumps . Plus, we are upgrading the product range. Plus, we have the nuclear business there for install base. I mentioned the word reciprocating pump. We developed t hat reciprocating pump. We are trying to get it approved with the NPCIL . So huge opportunities for us on that BP&CL.



Mohit Surana: Understood. Sir, lastly, you talked about nuclear energy. The orders that we last received was in 2018 -2019, which is still being executed. Now, we have an ambitious goal of increasing the capacity from 7 gigawatts to around 21 gigawatts over the next 5 years . Just wanted to

understand, if you can give some insights on what 's going on with the
NPCIL orders, when can we expect n ext orders for new nuclear power
plant reactor coolant pumps? I understand …

Rajeev Jain: I would also be very keen to know that . Myself would be very ke

en to
– wish I could answer that or wish I could know that. Because I feel
very embarrassed in every in vestor call when I come and tell you
those orders on hand will go next quarter, next quarter . But to give
you an assurance, nothing is wrong with those pump. Pumps are made
much better, I would say, than the past ones, maybe because the kind
of testing and things have gone. They have done everything possible .
And it 's been come out very beautifully if you come to our factory
sometime. And the casings and all have been supplied, t he motors,
everything is ready.

So I feel a bit awkward to answer or give a co mmitment when it will
happen , because it takes two hands to clap . And, today , we are ready
and that 's why you see the things are changing. There is private
participation now which is happening and that is the reason that the
government is looking at speedi ng up these things . And, I think ,
maybe the pace at which it happens in the past will not be the same in
the future. My opinion, it will definitely speed up and change.

Mohit Surana: Got it. So the last question if I may squeeze in. Regarding green
hydrog en, have we started supplying some pumps towar ds that
segment and what is it?

Rajeev Jain: Yes, I think green hydrogen, our Group KSB has a good order
booking and that is the advantage with a company like KSB. You get
the technology, you get the head star t, same like FG D, same like
supercritical boiler feed pumps . All these head starts which KSB gets
in India is because of the parents ' company 's developed technology.
And s ame is valid for green hydrogen. We already have some orders,
small business, but we have been successful in this because the
product range is available .
But we intend to participate more and more as the demand picks up
locally , which would happen in the next 2, 3 years. But these would be
much smaller pumps. We intend to localize them als o so that we
become much more competitive . And this is definitely an area which

we have a good opportunity based on the parent company 's
technology, provenn ess, and strength where we are.

Mohit Surana: Understood, sir. Thank you.

Rajeev Jain: Thank you.

Unidentified Analyst: Sir?

Rajeev Jain: Please. Thank you . And please let us know which pump manufact urer
you are bringing to India.

Unidentified Analyst: Yeah. Sir, so if you probably look at your numbers, if exports have
declined, I believe your domes tic looks to be having grown at 18%. So
am I right on that number for 9 months? And if that is the case, then
do we expect that this momentum to continue going forward? And
second question, if you can share the order intake number, I think you
gave the bre akup. But if you can please share the order intake number
for 9 months and 3 months, it will be helpful ?

And just to continue from that nuclear thing, I believe that the additional orders which we were expecting, that tenders which were likely to be float ed, maybe if you can share the status on that ? Thank you.

Rajeev Jain: Okay , I'll start from the third question, nuclear orders.

Unidentified Analyst: Yeah, tender which I think…

Rajeev Jain: Again, answer would be the same, your information is as good as mine.

Unidentified Analyst: We also don 't have any information .

Rajeev Jain: I also don't have any information, because the information which I may have may not be the right one . Unless the tender is issued, I can 't comment on it.

Unidentified Analys t: Yeah. So tender is still not [Indiscernible] [1:10:22] .

Rajeev Jain: And one should understand is that when your first site itself is delayed and they have also ordered the Kaiga one. So the next site which would come, whichever comes would be required in maybe 5 years



down the line . So there is no hurry to raise that tender. And , again , it depends on the speed at which all these power plant comes up.

Your second question was on order intake . Yeah , order intake in the last quarter, in the last 9 months of this year has not been very strong, I would say . It is compared to last year. But there are many factors we spoke about it, the general economic situation, the election scenarios and the various aspects.

But moving on, I feel we have good inquiry bank and good things . So if I look at it, order int ake, it would be maybe a single -digit growth, 8% to 10 % over last year.

Mahesh Bhave: I think you wanted the number, which he already mentioned actually, ■1,200 crores.

Unidentified Analyst: No, that is order hold you mentioned .

Mahesh Bhave: No, that is order hold, ■1,200 crores plus ■1,200 crores.

Unidentified Analyst: Order inflow …

Mahesh Bhave: That also was presented.

Unidentified Analyst: You sai d order book of ■1,100-odd-crores and then you showed a slide where order intake percentage.

Mahesh Bhave: Yeah, so order booked is order intake . Order booked, that is order intake. That is order s in hand, that is ■1,200 crores plus ■1,200 crores, nuclear and non -nuclear.

Unidentified Analyst: ■1,100 crores is order booked. Okay. Okay.

Rajeev Jain: ■1,100 crores is the orders on hand . That is what we have said. Order intake, I mentioned to you, is around 8 % to 10 % more than the last year.

Unidentified A nalyst: Last year 9 months.

Rajeev Jain: Last year 9 months. Single -digit. As I mentioned, the order intake has not been as high , because of the various factors, but I think …



Unidentified Analyst: But that is also a function of your exports not growing. I was trying to understand more from domestic , because some math calculation shows that domestic has grown 18 %.

Rajeev Jain: No, no, domestic has not grown 18%. I don ’t know which figures you are…

Unidentified Analyst: You said 12% revenue share of expor ts, I probably just calculated because last year 9 months was 18% revenue share.

Rajeev Jain: Domestic has not grown 18% . I wish it was 18%. So don ’t confuse the numbers. Let me summarize for you. Order on hand is ■1,200 crores. Clear? And orders export i s 12% of the total revenue. And order intake is slower than what we had planned this year . But moving on, it will be good with the new product additions with the market picking up in the coming time. We should see a healt hy order intake growth as well.

If you look at our order intake this year, when I say it ’s not healthy, it is also considering the fact that I have not considered nuclear order of Kudankulam this year. We normally keep that out of our order intake of our analysis. If you consider nuclear o rder intake, then we have grown healthy order intake.

Unidentified Analyst: Thank you, sir.

Unidentified Analyst: Sir, while the pillars of growth for your company, for our compan y is standard business, Supreme Serv as well as Solar, which we are talking about now, the valves business and the nuclear business, in addition to that, you ’re also saying that there are certain products which are in pipeline which have to be put in the market soon, including reciprocating pumps a nd FGD and the firefighting.

So my question is that, do you think that you ’ve been a little more conservative on the margin, the blended margin side, where you ’re guiding that it could be constant over the next year or maybe next 2 years or so? Because the service business is something t hat can probably add to the margin profile, maybe from 14.5 % to somewhere around 16 % or 17 % or 18 %, if you wish to guide on that. Why are we so conservative on this ma rgin profile, the blended on

es?

Rajeev Jain: I don ’t think we are being conservative. 13 % to 14% EBITDA is a very good EBITDA . So I don ’t think we are being conservative. And I also clarified that we are looking for aggressive growth. This



aggressive growth comes out of a mix of engineered business an d standard business and SupremeServ busine ss. So if we are going to grow in solar business, we don ’t get EBITDA of 14% in solar business, for example. If we grow in FGD business or engineer ed project business, I mentioned supercritical power plant, there it is not the same . If we grow in petrochem ical business, the API business, that the EBITDA is not the same level.

So when you mix it up all these things, we want to achieve 14% and balance this EBITDA. I think it 's a very – considering the fact that we want to grow aggressively, it 's a very reaso nable good target for us .

Unidentified Analyst: So can we put in a number of maybe 14 %, 15% CAGR growth on the top-line, and maybe net profit margins of somewhere like 11 % or 10% kind of a range, is it possible? Should we do that over the next 3 years or so?

Rajeev Jain: Of course, of course.

Unidentified Analyst: Okay , sir. Thank you for answe ring my question. Thanks a lot.

Unidentified Analyst: Hi, sir.

Rajeev Jain: Hi.

Unidentified Analyst: Sir, y eah, I know that we are majorly a product supplier t o installers in the solar pump side of it, but we are hearing certain execution and installing delays on the installers part of it, or like, I was trying to understand, could you give a colour on how the exact thing works? Like the tender comes out, and is the farmer responsible for paying for the pump, or is it the government who 's already giving an entire subsidy? Also, is there pushback amongst fa rmers in accepting solar pumps?

Rajeev Jain: No, nothing of that sort , I think , we may be having some initia l teething issues, but nothing serious. I think those installations are getting completed and there could be normal teething issues , but nothing of a concern per se .

Unidentified Analyst: And the entire process from tendering to how it flows, could you gi ve us some colour?

Rajeev Jain: Yeah, tendering happens, we get awarded the LOI , and then our installers have to go to the farmers for them to select KSB and



nominate KSB, then the order, work order comes out through the department , and then the installer or we supply the pumps . So that 's how it happens. So it 's not only that we have to get the LOI, it 's after getting the LOI we have to work with the farmers, with our installers to get our pumps preferred by them and then our installer is also networked to be very, very effective and efficient to kind of convince and do their networking both with the farmers and with the departments to get the work orders .

Unidentified Analyst: Sir, just one last follow -up, are your ins tallers solely working for KSB?

Raje ev Jain: We are trying to do that . We are trying to get our installers , who are solely working, not always because we are in this business, we are not the first entrant . So it 's taking time , but our endeavour is to have installe rs who work with us and deve lop. B ut it is not true that we have on ly exclusive installers for us.

Unidentified Analyst: Thank you so much.

Moderator: Yeah, with this we have come to the close of the session . Thanks to the manage ment for giving us an opportunity to host the analyst meet, it was a pleasure and honour to host the top management of KSB, so thank you very much , sir, and thank you everyone for attending the session . With this request, sir, any pa rting remarks?

Rajeev Jain: No, that ’s all , thank you for your very detaile d ques

tions and
appreciate that you take so much interest in our busin ess very much.
Thank you for joining us.

Mahesh Bhave: Thank you.

Moderator: Thank you.

# Call: Mar 2025

05th March , 2025
The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C -1, Block G
P J Towers Bandra -Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB
Subject: Transcript for the Institutional Investors Meet .
Dear Sirs/Madam,
In continuation to our intimation dated 20th February , 202 5 and 28th February , 202 5 enclosing herewith the Transcript of the Institutional Investors Meet held and participated on 28th February, 2025.
Kindly take the same on your records.
Yours faithfully,
For KSB Limited
Shraddha Kavathekar
Company Secretary
Encl. as above
Mail to : (Head Office) KSB Limited (Formerly KSB Pumps Limited), Mumbai - Pune Road, Pimpri, Pune - 411 018. (India)
Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R-Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635

KSB Limited (KSB)
Institutional Investor Meet
February 28 , 202 5
 MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer
Presentation
Unidentified Participant: Hi, welcome you all to the Q4 and CY '24 Institutional Investors
Mahesh Bhave: Meet of KSB Limited. Today with us, we have on the dais, Mr. Rajeev Jain, Managing Director; and Mr. Mahesh Bhave, Chief Financial Officer and Ms. Shraddha Kavathekar, Company Sec retary. We'll start wit h the detaile d presentation for the management , which will be followed by Q&A. Over to you, sir.
Good morning all. Thank you ICICI for arranging this. So I'll start with a cautionary statement as usual. This presentation may contain certain forward-looking statement relating to company's future business development and economic performance. Such statements may be subject to number of risk s, uncertainties, and other important factors such as, but not limited to, competitive pressures, legislative and regulatory developments, global, macroeconomic, and political trends, fluctuations in currency exchange rates, and general financial market conditions, delay or inability in obtaining approvals from authorities, technical developments, litigation, adverse publicity, and news coverage, which could cause actual developments and result to differ materially from the statement made in the presentation. The company assumes no obligation to update or alter forward-looking statement, whether as a result of new information, future events, or otherwise.
Good. So, today, we start with a KSB Group at a glance. We thought of sharing this so that you understand worldwide, what is KSB as a brand, as a company, as a group. So KSB is having around 300 locations around the world. You can see the world map. This is where KSB 's production assembly sites, and sales and service sites are involved.
Global presence, 37 production sites in 18 countries, around 3,500 worldwide service staff, service workshops around 190, additive manufacturing centre one, and we have spare part warehouses for you, we can see, and nine foundries in three continents.
So KSB Group companies over 60 countries. You can see this, our

very strong KSB's presence in America, in Europe, Middle East, Africa, and Asia-Pacific. So this is some historical KSB through the

years. So it started in way back in 1871. And some of the milestones, that 1890, we can see the Frankenthal started with 12 people, and become a public limited company in 1887. So another milestone acquire five German companies. You can see the first outside Europe, thing in Argentina. We started way back in 1941 and further milestones and sales and production companies in all continents in 1950. Workforce, of course, rose to 11,000.

This is a BOA compact, globe wall is launched to the market 1989, and of course, further milestones in '14, '18. '23, we can see SupremeServ monitoring delivery, transparency, and reliability for pump operators. So this is KSB management, KSB SE. We can see Dr. Matthias Schmitz, who is our Group CFO; Mr. Kannefass, who is our CSO; Dr. Stephan Timmermann, who is our CEO, and Dr. Stephan Bross, he's our CTO. That is the Chief Technology Officer.

Coming to KSB India at a glance. So KSB India, KSB Limited established in 1960, headquartered in Pune, Maharashtra. And you can see the network. We have six manufacturing plants, six service stations, 350 plus service centres, and 22 warehouses, four zonal offices, 14 branch offices, and more than 1,100 dealer network.

We have associated company, KSB MIL Control. This is acquired in 1997 and headquartered in Kerala. KSB Tech Priva

te Limited is a captive unit providing engineering and IT services to the group, and this is headquartered in Pune, Maharashtra, established in 2005. And, of course, we have a licensing office in Bangladesh.

You can see the photographs of our plants. This is Pimpri, Pune, where we have industrial as well as standard pump. Shirwal a state-of-art energy division plant near Pune. Water Pump Division in Nashik. This is our standard pump factory. And Vambori, we have a backward integration. This is in Vambori, near Ahilyanagar. Coimb atore this a valves division in Tamil Nadu. Coming back to Pune again at Chinchwad, our SupremeServ division where we have a central warehouse and service backup. And MIL, we discuss associate company in Kerala.

A few milestone for KSB India, as we discussed, established in 1960. Foundry, in Va mbori near Ahilyanagar, we started in 1974. Chinchwad plant, we started in 1978. Valves division in Coimbatore we started in 1987. Energy pump division as we discussed, it is a state-of-art energy pump plant. We built this in 2017 recently. KSB

Tech starte d in 2005. MIL , as we sai d acquire d in 1997, and water pump division in 1994.

KSB Limited Board of Directors, Mr. Gaurav Swarup who's the Chairman. Dr. Stephan Bross, we have seen, he's a Non-Independent and Non-Executive Director. Dr. Matthias Schmitz, he's again Non-Independent and Non-Executive Director. Mr. Jain who is with us today is a Managing Director. And we have four Independent Directors, Mr. Ulhas Yargop, Mr. U. C. Muktibodh, and ma'am Sharmila Roychowdhury, and Mr. Vishal Kampani.

This is the senior management of KSB Limited. Mr. Nitin Patil, Vice President Nuclear Business and Operation; Mr. Mohan Patil, who heads HR; Mr. Jain, of course, Managing Director; myself, I'm handling Finance; and Mr. Sunil Bapat, Vice President of Solar Business and Sinnar operations; and Mr. Prashant Kumar who heads Sales and Marketing.

Moving ahead with financial performance. So, total employee strength is 2165 as of 31/12/2024, and quarter ended, as you are aware ■726 crores, and the year ended with ■2,533 crores. And PBT level, you can

see ■938 million and ■3,220 million .
So a very good growth story, I would say. You can see the CAGR revenue from operation with very robust 20% growth. We ended at 25,331 million. Profit after tax, again, a very robust CAGR 25%. We ended, December '24, ■240 crores. And EBITDA level, you can see again a very robust 18% CAGR, and we ended with ■350 crores.
So value creation for investors over last five years, again, a good story. Net worth, you can see ■14,251 million. Again, a good growth. EPS, you can see ■13.84. ROCE, this is with cash and bank balance. So it is, again a good story of 23.42%. And if I take out cash and bank it'd be around 29% to 30%.
Dividend, again, what we declared, yesterday is a 200%. Again, a good steady and robust growth story. Inventories, you can see good improvement. You can refer the DIH. That is number of days. It is reduced from 96 to 83. Lot of efforts in all plants, and that has resulted into a good control over inventories. Receivable this is also under control. You can see 74 days, even including solar. We are maintaining this very well. Cash, good improvement. You can see $323 crore as net cash position as of December end.
 Some of the business highlights. So fields of application for our products, we are into energy, building services, general industry, petrochemical and chemicals, mining, and water. So these are six market areas and 21 submarket areas where we are operating. Order intake with nuclear, again, a very good story of CAGR, 19%. You can see '

24 it's ■27,035 million .
Orders in hand, again, a very good thing, and you can see around ■967 crores without nuclear, and nuclear is around ■1,200. So overall, ■2,200, and ■50 Cr orders in hand. A same slide where you are interested a segment wise . And you can s ee standard business is growing to 51 %, which is giving us lot of opportunities. 16% is engineered, SupremeServ 14%, and 19% is valves , which is also growing very well.
So some of the success stories, few segments which we'll be discussing today. Solar, you can see order intake is very steadily growing as well as sale. Sales, we have done $183 crores in 2024. Successful development of DC motor, MNRE approvals for our solar products, successfully qualified for MNRE tender under PM-Kusum scheme. 7,000 plus system order received from Maharashtra, Uttar Pradesh, Gujarat, Haryana, and Rajasthan, and recently qualified in three states that is Meghalaya, Tripura, and Madhya Pradesh. 5000 plus systems are installed so far, dedicated solar organi sation and installation teams.
Moving to another success story, SupremeS erv. So this includes the Spare Part business and service. So we can see very good growth in SupremeServ sales, and we ended in ■233 crores in 2024, and many prestigious and important orders.
Valves business another very good success story . You can see the CAGR 21 % growth, and many products which we added here. We have added compact ball valve launched for MEA market. We have new Ecoline Steam Traps , low emission valves , we qualified and a full bore for ged. So these are new introduction.
As I said good CAGR even in order intake as well as sales. We reached first position in GGC domestic valves in 2022. Order based development, range enhancement, certification, qualification to meet customer requirements, capacity enhancement measure through contract manufacturing for low end products, efficiency improvement measures through semi -automation, flexibility, and hybrid sales, and
 implementation of identified cost saving measures, inventory control through standardi sation.

So we have certain very, very important certification, success story . Coim batore is TSG Manufacturing License . So KSB Limited Coim batore achieves prestigious TSG Manufacturing License for the state administration for market regulation that is SAMR. And this is for PR China making major breakthrough in expanding export capabilities for pressure piping components.

Another, in the mechanical seal, we have again very proud to announce that this is Avant -Garde Systems and Controls . This is a very prominent consultant in general industry has officially approved KSB Mechanical Seal.

Navy business update, products for naval ships. So we have a KSB Itur who is supporting us technically and on license front. So we have AU monobloc and KM ND. So this is for Indian Navy, Mazagon Dock yard, Cochin Shipyard, Indian Navy, and yeah, these are the customers. Mechanical seal, again, a very good story. You can see mechanical seal order intake is rising 2024. This is $13 ,065. And you can see the production also and the locali sation 92% of component seals are locali sed and 90% import is reduced.

Firefighting pump update, another a very good segment. You can see, ETN, FXM two models tested and found okay, and remaining three models will be assembled and tested. Application for alternate manufacturing location that is AML is already submitted to FM and UL by KSB Germany. Another is with WKS 125 1450 RPM. That is Horizontal MSMO is developed and released in the market for sales. And you can see the order intake December '22 and December '23. And of course, December '24, you can see the steady growth. Another success story, BP & CL.

As you are aware, we have acquired this technology, and you can see the numbers is already, payback can b

e achieved in next two years. So order intake in '23, achieved is 42 Mio and order intake in '24, 162 Mio. Nuclear business update. As you are aware, a very positive news in this budget also. So we can see the order intake from '18, '19 to '24. It's a very steady order intake and 2,700 million is 24 order intake, which includes of course Kudankulam order.

Aftermarket is also very steadily growing. You can see a good growth and 235 million we achieved in 2024 in aftermarket in nuclear. Some



of the ESG and CSR updates. So it's a feather in cap that third -party assurance for GHG Emissions, Zero Waste to Landfill, that is ZWL and Zero Liquid Discharge, that is ZLD. So these are few environmental goal, what we have achieved.

Yeah. In, Kade, near Pune, we have this skill to employability. So KSB Care Charitable Trust and KSB Limited have been supporting tribal woman in the Khed region near Pune to provide them skill sets so that making them employable. So total, you can see 182 girls have been impacted and trained in the PCB assembly operator and beneficiaries are employed, and they are earning around 13K to 15K salary.

So this is a very good scheme. So Y4D is an NGO. This is Annual Day award, what we got for KSB Limited. Yeah. So that's it for today's presentation. We also would like to run, we are entering into domestic market where we have started some of the advertisement which we released in East Zone initially. Now we will be going for North Zone. So just to give you an idea.

[Video Advertisement] .

Mahesh Bhave: Yes, so we are open for question and answers.

Question -and-Answer Session

Unidentified Analyst: The payments are also delayed. So that is leading to, I mean the pace of execution has reduced. At least this is what we hear from the industry in general. So how has been your experience? If you can break it up into which subsectors are doing well and which subsectors are not doing that well from the project side?

Rajeev Jain: Government business, we are mainly in solar. That means directly doing the business with government sector. And in solar, I think the business and the potential and the growth is quite good. Yeah, there are challenges in terms of payments, the receipt of payments. But there is a process there. You have to finish the installations, get all the documentation, certification complete, upload it on the portal, and then it becomes really actual receivable. So that itself today for us is a bit of a learning curve.

We are understanding the whole process and strengthening that thing. But once it is done, it is the payments are happening even though I would admit that it is slow.



Unidentified Analyst: Excluding solar, if we see, the large projects like, water supply, irrigation, and even on the industry side, are there any delays that you are seeing in execution where your EPC contractor would have told you that please supply with a lag?

Rajeev Jain: We are not much present in the Water segment in the project site, irrigation. We are mainly in the dealer business, in the standard business. The project business is more focused on energy site and refinery and petrochemical. And industry, yes, but that again is through dealers. We don't do directly with the government sector. So that's why our exposure to government business is more on the solar and nuclear energy as well as petrochemical refinery. So I wouldn't be able to clarify on that point related to water projects.

Unidentified Analyst: And just last question on the nuclear side. Today, the pumps that we'll be using for the primary island, for the nuclear island, those pumps, are they indigeni sed here or we are still in the process of doing that?

Rajeev Jain: 100% indigeni sed.

Unidentified Analyst: So even fo

r the reactor island, all the pumps are…

Rajeev Jain: 100% indigeni sed.

Unidentified Analyst: Liquid, sodium pumps and all.

Rajeev Jain: 100%. KSB's strength is that, we have been in this business for decades, and this localisation has happened in the step -by-step phase. And for the latest orders, we are supplying 100% in indigenous.

Unidentified Analyst: Thank you.

Unidentified Analyst: Hi, if you can quickly update us on the status of nuclear power execution, what is the status? How much are we likely to book this year and next year? That 's my first question.

Rajeev Jain: Yes, I keep giving this information in every Investor Meet. Hopefully, this year, I may avoid that I should answer this next time. ■100 crores is what we have planned, two pump sets. And the status is the test bed where it has to be tested is progressing. The casing was supplied some couple of months ago that is being welded, and the test bed should be ready by end of March. And once it is ready, the hydro test will



happen, and then the pumps will be tested in the coming months. The motors are being dispatched in this month, that means today itself.

So, I would say that we are pretty confident that we should be able to supply two pump sets, pump sets, pump with motor in this year, and that's what we have planned.

Unidentified Analyst: And what is the plan as of now for next year?

Rajeev Jain: Next year should happen four pumps minimum at least, sure.

Unidentified Analyst: And the second question is related to capacity utilisation. What is the capacity utilisation for us across plants? And do we have enough capacity for growth next year?

Rajeev Jain: Yes. Capacity, I would say capacity utilisation is quite healthy. I would rate it, between 85%, 90%. This is very healthy at each locations now. At most of our older locations, we are almost covered, all the ground coverage area except for our new plant in Shirwal. Even in Sinnar, the last shed is being built, which will be completed in couple of months. And then we would have hardly any space for further expansion. So capacity utilisation wise, we are quite good. On the readiness for capacity for growth, also we are investing in our plants in Shirwal and Sinnar, I mentioned.

Shirwal, we are building. We took care, taken a land. We are building the shed and expanding the capacity there. Sinnar, we should complete this shed in this year, as I mentioned. Apart from that, we are upgrading our machineries, old machines, replacing with the new four axis, five axis machine, which will be high end and multi -operation machines.

We have ordered also machine for mechanical seal manufacturing. So all this will enhance our capacity, machining capacity and machine building capacity. On the manpower front, yes, we are continuously taking in skilled young naps, apprentices, and other replacing with the people who are retiring.

So, yes, for the present situation, we are very well prepared not only for next year, but all the coming years because there is going to be good investment in nuclear in the coming years, and we need to have the readiness prepared in terms of machines first. And all those CapEx is being done in these years.



Unidentified Analyst: Sure. Thank you sir, and best of luck.

Rajeev Jain: Thank you.

Unidentified Analyst: Yeah, hi. Good afternoon.

Rajeev Jain: Good afternoon.

Unidentified Analyst: In thermal, I understand we have a strong opportunity to supply pump sets. So have you started, receiving any inquiries yet?

Rajeev Jain: Yes. That's a change which has happened, compared to the previous years. In the thermal sector, the supercritical plants were normally BHEL was the successful EPCs, and BHEL makes their own pumps.
So we had less opportunity there. Except for FGD, we could not supply much. But recently, L&T has won three projects, and there are other EPCs who are bidding and successful, also in JSW project, West Bengal.

So there is good amount of projects coming up and with the government announcement on to set up these plants in the next five years. And the first inquiries have already there. Now the technical bids have been submitted to L&T, and the finalisation should happen in the next quarter. So this is a new avenue of business which has opened up for the thermal sector.

Unidentified Analyst: Per megawatt term or if you could talk about like an 800 megawatt p er unit, what could be our opportunity for thermal?

Rajeev Jain: Very difficult to quantify such things. Normally, for this kind of plants, we offer boiler feed pumps and condensate extraction pumps and some pumps for balance of plants. If you ask me, maybe a ballpark figure of ■50 crores or something would be for each plant, but it depends on our hit rate and success rate on what different plants we get. But just as a figure which we would be satisfied or targeting would be this much.

Unidentified Analys t: And our valves business has done quite well in this quarter in terms of growth and in terms of margins. So is there a one -off in the margins, or how do you see the growth progressing for valves business for coming few years?

Rajeev Jain: If you would have seen our presentation, it's not only in this quarter. 21% CAGR year -on-year for four or five years. So it's a remarkable



success for valve business. Valve market is a bigger than pump market. And with the products we have developed, with the capacity, internally efficiency, improvement with our success with the OEMs and the dealers, we have been able to grow this business continuously. And believe me, there is no onetime effect there. It's all day -to-day business and regular business, recurring business.

So we're confident because the valve market is a huge market and our share is not big enough. There are many players. Normally in a valve market, it's a very scattered and lot of players. But, if we maintain our good sales network, our dealer network, and our product range, I think this helps us to grow and we are still targeting the same amount of growth year -on-year. And not only growth, it's a profitable growth. It's one of our best profitable divisions, giving profitability almost at 14% to 15% EBITDA in there.

Unidentified Analyst: Good to know. Thank you for your time.

Unidentified Analyst: On the industrial side, if you could talk about which end users are the ones where you are seeing traction. We understand petrochemicals refining is your stronghold. If you could talk in bit in detail about that, that's one. Second, if you could talk about the exports opportunity that you are seeing given that we are seeing a lot of opportunities from the other industrial companies as well.

The third question is if you could talk about the resi pumps, we saw the advertisement that what's the kind of market share that you have and kind of growth one should expect on that side?

Rajeev Jain: In which one?

Unidentified Analyst: The residential pumps.

Rajeev Jain: Residential, I'll start off with the third question. And the intention of showing you this ad was, KSB is a well -known brand in industry, and also in power plants and all other segments. But in the Residential segments, the Domestic segments, we are not one of the leaders, and this segment offers us a good scope for improving the business. But this segment requires a different kind of approach and more branding and reaching the households. It is a different segment, and that's why we have intentionally sho wn that we are now going in for TV ads, making ourselv

es visible in this segment. And this segment gives us maybe around ■250 crores , ■300 crores, but the potential is huge to double it or triple it also.

So this is segment , which we are focusing on as a standard business where we brand the products KSB and come out with a comprehensive product range. The product range is so comprehensive that it has to be customi sed, locali sed to the region's requirement, and that is what we are coming out continuously. And this scope is one of our focused target segments for growth. And it's not only products , we do brand labe lling, cables, panels, motors. So it's a complete basket of products which we are doing.

So and that will continuously receive our attention and focus. Not only this advertisement, we just finished our Dealers Conference in Goa where we invited our top 150 dealers. So KSB is focusing a lot on this segment, which has been for decades our strength. 50%, 55% of our business comes through this standard business segment, which is mainly through dealers and OEMs. So we are now also, as I mentioned earlier, we are now also putting a focus on promotions specifically in the consumer segment.

Coming to the industry segment, yes, KSB traditionally has been very strong in the industry segment. There are two types. One is the refinery petrochemical, which is the API products and the normal ones, which is the non -API. So the API, this is very project driven. If there are projects announced, for example, HRRL project, the Mongolia project. So we have done quite fairly well with EPCs there, for example, mega engineering, so doing and also Haldia Petrochemicals. So such projects, whenever they come, we are pretty good with that. And I think more and more projects are expected in this year compared to last year. I feel the CapEx and the announcement and the movement of these projects will be much better in this year.

Exports also, with our continuous development of not only the products, also the foundry qualification for NORSOK and other requirements. We are upgrading our foundry. So that is making us much more qualified for many customers. And within the group also, the focus is to have these products out of India as well as China. So this gives us an opportunity. The Middle East market is one market for growth on this petrochemical segment.

On the export side, the U.S. is having a big boom in the energy segment demand, where we are bidding for a lot of boiler feed pumps through our subsidiary and company in USA. And coming to the normal general industry, that's our normal segments are the pulp and



paper, steel, sugar, distillery. And I think for a brief period, the distillery had slowed down, but I see that it is picking up again. And with our range in the pulp and paper as well as increasing our range in the steel market, so we see a better outlook this year compared to the previous year. So this business, we normally do through our dealers. And our strength has been that we are continuously adding products to the portfolio. The network is already there.

So as and when we add products, we of course, get a better accessible market, and hence it helps to grow our business in this segment.

Unidentified Analyst: One more question on the margins. Many of your peers are kind of talking about supply chain getting tighter import , because of the currency related cost inflation. How do you see the supply chain and the cost? If you could also, along with that talk about people cost, that's something that we are observing is rising in most of the industrial companies. And consequently, how does that impact the profitability margin trends?

Rajeev Jain: On the commodity side, I think it is quite stable. If you see, w

e are not
very import dependent, very, very less dependency on import. Most of our supply chain is local, and we seek quite a good stability there for some months. And, hence, I would say that the supply chain costs, material costs are quite well in control. I don't see a concern there , since also we have very less dependency on imports. We only imports very, very few, some components for pumps, for sheet metal, and some F GD linings. Other than that, all are sourced locally. And, the supply chain in India is developing with over time as a lot of companies are coming to India, moving away from China. Same is with our group, who is also developing supply chain base here.

You know that our foundry also for cast iron, we have closed it step by step. We have come out of the cast iron business and almost 1,100 patents and the 3,000 metric tons of business. We have given it to other foundries here, and we did not have any issues. So I see the supply chain quite stable and nothing of a concern. People's cost, yes, I would say. This is an area where the growth and the special skill sets and that's a challenge which we are facing and we continue to face there. The demand is quite good in terms of the growth , which we are doing.

In fact, if you see, in the last three years, we have almost recruited more than 350 people apart from replacements. I'm not talking of people who are hired because of replacements. 350 positions is

additionally created, because of our growth. And that is just KSB as a company. So you can imagine, means how the industry must be facing this challenge , because it's not only about engineers or qualified people coming in. It's about the skill set and the experience and the readiness to do those jobs.

So that I think , but it's a work in ongoing. We are taking measures, developing, participating with also skill set companies and working closely with them to get a good input or pool of people to which we can hire. And this, and if you ask me today, still we have 150 positions which are open in the company. So that is an indication of how difficult it is. And one of the common topics in our company is recruitment and hiring, and I always get a feedback from our functions , it is taking too long. But, that is the situation today.

Unidentified Analyst: Thank you so much.

Unidentified Analyst: I have two questions. First is on the solar pump side. If you could please clarify the scope of work over there. Are you just supplying pumps, or does it include the modules and the EPC component of it as well? And the second is on your focus in the residential segment. Can you maybe flesh out your go -to-market strategy a bit more? What are the geographies you're targeting within the country? Where does the dealer penetration stand and what are the strategies are you pursuing to grow that business? Because I think you highlighted it as one of your most important growth engines for the company.

Rajeev Jain: So, the first question was solar. Solar, no , we are not supplying the pumps only. We are participating as an integrator. So that means we supply the complete pump and the accessories including the PV panels. And after completing a supply of almost thousand unit s sets, we have also qualified to participate in tenders independently. The initial approach was through a consortium partner. But after developing a reference of thousand, now we participate directly as an independent participant, which where we supply 100%, and we have qualified for that.

So and our future strategy is also to participate as an integrator. But that doesn't mean that we don't participate with integrators. So somewhere, wherever the integrators require only pump sets, we also supply to them. So it's both, but we are focusing more on the integrator side , because p

ump sets only make 15 % to 20% of the whole value. So the potential today is much higher in those integrated sets. And subsequently, over a period of time, I think those pumps will



when the install base we build up, that volume will increase, and that may become a potential. That is one.

On the domestic front, I already mentioned, I think it's basic, the piece the four piece. Promotion is one thing , which we were always thinking what was the right way. But now, TV media and all is so much required for this domestic business and in the B tier cities also. So that is one which we have make it as a part of our strategy. Network is very important. So we reali sed that in the earlier things this was an add on business. Used to have a agree or something business, and domestic was a add on business. So we are going away from that, and we want dedicated and focused dealers who are more in this segment. And when you look for such dealers, they are more of distributors, because they should have a very good secondary retail partners, and they should carry good stocks. So we are looking for, when you say also place, we are looking for dealers who are distributors and also ensuring that our 22 warehouses across the country have enough availability to cater to this market.

So it's nothing very special strategy. I think whatever normal marketing gurus teach us, that same thing which we are following. But the difference is that we are more focused there. We are looking it as a separate segment, separate from our other engineered or technical segments. This is very consumer, which is depending on speed, availability, and of course, competitive price is always there. But more importantly, it is the branding. The brand sells, and that is where we are trying to position ourself much more.

Unidentified Analyst: Yeah. I have two questions. So just extending the first one that the previous participant asked about PM -Kusum on the solar side. So you mentioned that you're working as an integrator, but are you also doing the EPC work like some of your peers are doing right now? And if not, then are we planning to enter that category?

Rajeev Jain: Yeah. Not yet. We are not entered into that EPC thing. But maybe in future, once this market gets saturated and exhausted, I would say that is some area we could look at. But today, we are not looking at the EPC route today.

Unidentified Analyst: Okay. Got it. And on the cells and module side, some of the peers are also planning to manufacture themselves. Is that in our plans as of now?



Rajeev Jain: No. Not yet. We are not looking it. We are still not a very big player s. We are as I said, last year we did ■180 crores in that segment. So unless somewhere it becomes a four digit big figure, then it would make sense. You would have that critical volume to kind of look into backward integration and assembling those things.

Unidentified Analyst: Okay. And comin g on to this additional point of PM -Kusum , if you can just throw light on what the competition is like and what are the margins there like, we are also seeing that the subsidy which is coming is divided with both states and the centr e. So how many states are we working in right now , and what could be that number and what are the major issues we are facing , while penetrating these different state and working with the state governments?

Rajeev Jain: I think we had it in our presentation. First of all, the potential is good, PM-Kusum, at least till the next three years, till '27. As I recollect or as I am informed, out of 2 million, 1.2 are installed. So there is still 800,000 pump sets yet to be ordered and installed. So a huge potential is there for the next three years. The states where we are pa

rticipating,
is Maharashtra, Rajasthan, UP, Haryana. These are the segments where we are participating.

Recently, we got qualified in Madhya Pradesh, Tripura, and other Northeastern states as well. So that is a good sign. And so as I said, the potential is good. The challenge, I would only say one is working capital. That is the biggest challenge is being faced , because the process is, it's not only supply, it's installation, it's working, then certification in uploading onto the portal, and then your clock starts for getting the payment. So that is a bit much longer cycle. And but the suppliers of the PV panels and others, we have to make the payment within seven days of what we buy. So we are financing this business, and fortunately, KSB has a very good financial standing and strength that we are able to sustain this long working capital cycle. So that would be the major challenge.

I don't see yet a challenge in the supply chain as yet. I don't see that because maybe our share of business is not very big, and we can manage this. But as the business grows , but I'm sure the supply chain also will is investing and also building up capacities. So as the time goes on, I think these issues will be addressed.

Unidentified Analyst: Yeah. Just additionally on that PM -Kusum competitive intensity and margins, is it significantly different than our other business?



Rajeev Jain: No. Margins, we are quite, this business has given us good margins. I would say not on the same level as product, but not very far away also. It may be 1% or 2% here and there from the product business. And that was our concern when we started this business, and that's why we went in very, very cautiously in this business. But maybe a bit to a surprise, the business has been quite profitable and not affected our margins to a great extent very slightly, but that has been compensated by the volume, which we have been able to target.

And also, the challenge, of course, is the five year maintenance. But with our network, which we have, we don't see that as an issue because we do that business for years and years with our service network and our partner network.

Unidentified Analyst: Okay. And just last question. If we see KSB two, three years down the line, what would be our major two or three growth drivers for us in the medium term?

Rajeev Jain: Good drivers would be standard business. When I say standard business, its business through the dealer network where we keep on adding products and going to newer markets, whether it is food and beverage, whether it is non -metallic, whether it is green hydrogen, whether it is railways. So every new segment through our dealer network, firefighting, which is a huge market where our share is low. So all these markets which we deal through our dealer network is an area of growth and considerable growth , because the network is there, they only have to be given those products so that they can get more accessible market. So I see that as the biggest pillar of growth, the standard business with the product range and the new segments, new technologies, which we are going into.

The second is the Aftermarket SupremeServ. In this SupremeServ, we have the mechanical seal business as an add on compared to the past. And you saw that we are already done 22 crores, which is very small, but almost we have sold more than 10,000 seals. So we are having a good exponential growth there in SupremeServ.

Second is BP&CL business, the one which we acquired. Last year, we did a turnover of ■16 crores at a very healthy margin. And this year, we are targeting double it. So this business and all these examples, which I'm giving is add on business. You know that we have supplied 400 FGD pumps in the market. Those pumps have not yet been commissioned due to the slow implementati

on.
 But in one or two years, those pumps will also get commissioned, and that will be a very running counter for spare parts because due to the nature of that application. So I feel this the SupremeServ business also should grow much faster than our overall company growth, I would and that is what we are targeting, which is not only in terms of growth but on a very profitable growth and makes our overall company profitability quite decent.

Next is valves. You have seen that healthy growth also in valves. So that is another segment which we are investing and banking on, and taking it to a good level. And of course, growth would be nuclear and solar. Enough is mentioned on that. But I'm focusing more on the recurring daily business. To me, that is more important than opportunities which come for three, four years and then it vanishes. So I'm focusing more on that, but nuclear will be there for another decade, two decades. It will be continuous with all those, new Bharat reactors, which are planning to come where KSB has a very 100% market share. So this is a very good where the private sectors are entering. So that I see as a big potential in the coming years, but that is not three years. It's going to happen in the next five, 10 years also. And solar, I mentioned already, the Kusum Yojana is at least there till '27. Then we'll have the Component C, Component A, a part of the business which will be growing. So that is an outlook for the next few years.

Unidentified Analyst: Thank you very much.

Unidentified Analyst: Couple of questions. Last time, you had mentioned on water and wastewater as being one of the growth areas. But this time, you have not mentioned that at all. So just curious as to what are you seeing in that particular segment?

Rajeev Jain: Where is the question coming from? Yes. Water and wastewater is definitely especially wastewater is definitely our growth segment. I may have missed out to mention, but our business is consistently growing in that segment. And we are targeting more than ■100 crores of business, especially in our submersible sewage pumps this year, if not more. So we are localising the products. We are adding products. If you must have seen some posts on LinkedIn and other social media, we have come out with the vertical turbine pumps.



So that is an addition to that segment where we have not been present for so many years. So plus the big size split case pumps. So step -by-step, we are entering into the project business of water, but only with the products. So that s egment, I think will also deliver. We have a bit of a conservative target. I mentioned only ■100 crores, ■110 crores, but I feel the potential is much higher. It takes time till we start making entries into customers.

They knowing our products, they get the confidence. But if I look at the next three to five years horizon, this segment will also grow much faster than the other segments, but definitely a segment which we are focusing on.

Unidentified Analyst: Got it. And in terms of the order book, when we look at it ex of nuclear, while you mentioned that the outlook is very good, this order book has sort of come down on a year -on-year basis. So just wanted to

understand whether we should read something into that or, how does it
fit into the outlook which is better for next year as compared to the
previous year?

Rajeev Jain: Yes. I think, you're right. The order on hand for the non -nuclear has come down primarily due to a bit of slowdown last year and a good sales, what we have done in last year, as you see. But from the first two months, I can say the trend is different, and we are having a good incoming orders in the first two months, which we feel is a good sign for the economy

and our business and should also continue in the coming months.

So I would only mention that a bit of slowdown in last year is behind us. And hopefully with all the strategic measures which we are doing, we should have a good healthy order intake.

Unidentified Analyst: Got it. And lastly, the DSO increase, is it largely related to the solar Kusum business?

Mahesh Bhave: Yeah, yeah. As I mentioned, this is mainly due to solar because in the initial year or so, maybe, three to four days around.

Unidentified Analyst: Got it. But if it is just related to that particular branch of the business, then are you sort of capping it at some level that this much receivables we are allowing it to go, but beyond that, we would?

Mahesh Bhave: Now, as Mr. Jain discussed, we are at very small kind of a portion. So that is not, right now affecting much.



Unidentified Analyst: Got it. Thanks. That's all from my side.

Unidentified Analyst: Thanks for the opportunity. My first question would be on the solar. You mentioned that it was ■180 crores in revenue about for CY '24. What can we expect for CY '25 and '26? That's the first one. And second is that are we expecting any tenders from MNRE t his year?

Rajeev Jain: Yes. The tenders from MNRE, the state tenders keep on coming. So there is as I mentioned, still a scope for 800,000 pumps to be installed. So I'm sure different states are coming out with different schemes. So the potential is there . And ■180 crores was last year, and we are looking at a very healthy growth year. I can't estimate the figures, but it is going to be good with good numbers, which we are targeting internally.

And when I say good, it is more than our normal growth. This is the segment which we are focusing. And we see the potential and the inquiries and the tenders coming. So the business is it's not something which is a bit of a doubt. I guess, in solar, it is more about implementation. It's only about implementation and finding the right partners to implement it, complete it, make it work, complete the documentation, and get the payment. So business is there. It is only how fast we can implement it.

Unidentified Analyst: Also, in the valves section, someone already asked, but I just wanted to hop again on the EBIT margins. So the margins are growing for the last couple of years. Will we see margin growth further in this or is this sort of like the peak expectable margin for the next couple of years?

Rajeev Jain: Yeah. I think this is a very good margin, EBITDA of 14, 15. I would say 13 to 15 is the range which we will be there. We are not expecting it to increase, but we are definitely expecting the growth to be maintained in the same way because it's not only domestic, but we are growing also in exports there, more and more tenders. Last year, we had a big order from Poland, and we are getting, we will get overseas orders. Finland is one. So there are good orders coming in. So I see a big scope for growth, but the margins I think, we are already at a good level.

Unidentified Analyst: Okay. Thank you so much.

 Unidentified Analyst:
Mahesh Bhave:
Unidentified Analyst:
Rajeev Jain:
Unidentified Analyst:
Unidentified Analyst:
Rajeev Jain: Just one question on the corporate overheads, like the employee cost is 12% odd rate of the revenue on a full year basis and 4Q and even on a whole year basis, it did around 16% year-on-year growth, when your top line was lower than that in terms of growth. So is it something to do with nuclear also where you're not capitalising it or inventorising those on the overheads? So when the execution or the delivery of pumps happen, actually the margin see a bump.
We are certainly inventoris

ing related to what is allowable as per the accounting norms that is on production side. But the sales side, of course remain in the expense part. Secondly, as we discussed, we are into many strategic businesses or projects. So that headcount remains initially, and the realisation will take few years to happen. So that keeps a kind of a burden on headcount actually or personnel cost.
So just last one year, what was the addition? Over three years so mentioned, but last one year, how much was the addition in employee?
Average 125 people eve ry yea r. And as Mahes h mentione d, it is more for readiness for the future also.
Thanks.
Hi. So, can you just elaborate a bit more on what you said that in the last two months, the order inflows have started picking up.
Exactly, especially the non-nuclear part that you spoke about, any colour you can add in over which sectors, how is it happening? And do you sense that, this has got a potential to continue for a few months? Because this is where the entire, if you look at capital good industry, there's a lot of question marks that have been raised off late. So anything you can add.
Yeah, for us what is different is, is the product range which we are adding continuously. And the measures which we are taking helps us to get into much more markets. It it's not about playing in the same markets. And that's why I said the order intake improves because our accessible market increases. And also as I said, we are seeing a good investments also coming or signs of coming up in some segments.
And basically, it's a combination of two things, the addition of product range and also some segments which are growing up especially Wastewater is one segment which is coming up.
 Domestic, I already mentioned, our share is low, and we are growing, or we intend to grow. And then about building services, which was a bit low last year. But again, it has picked up because we are participating more and more in firefighting pump sets, which is a segment.
So, again, to just answer to your question, the order intake gets better,

because of the continuous measures and the product introductions in the new segments which we enter. So we get a better coverage of the market, and that helps us apart from the fact that there is definitely a better optimism compared to last year.

Unidentified Analyst: I have two parts to my question. And congratulations, you have very good numbers. And it sounds like a very strong business in India. My question is what keeps you awake at night? What are your concerns going forward? That's one part. Second is your parent company. What kind of help you get from your parent? And other than dividends, do you make any other payments to them?

Rajeev Jain: What keeps me awake in the night? I get very sound sleep in the night. I sleep very soundly. Even my wife complains that if she gets up, I don't, I don't have a concern for her. So I sleep very soundly because I think we have a great team. We have a great business, and all is running well so far. Thank God. But, to answer seriously, nothing is a major concern as I see today. I see the market developing well. There is a good export potential and we are developing, we are showing our readiness very well and preparing ourselves for the future. So if you ask me, no major burning topics, which I would be concerned. It's only I would say if I would have a wish, I would say the implementation of nuclear projects, if it could be faster. That would be my wish, which is then I wouldn't have to answer this question every Investor Meet. That is something which I would wish for. But otherwise, in general, no major burning topics.

The second question was on a parent company. Great support. I feel this is KSB strength. It's a one -st

op-shop for all the products. If boiler feed application comes, KSB is the first one. If, FGD application comes, it is the first one. If nuclear applications, the biggest reactor coolant pumps, KSB is there. So this comfort what we have with our parent company that they have the products for all applications and their willingness to localise it is the greatest strength which we have.



And with that strength and that product basket, which we have the comprehensive, I think no other pump supplier in India has as a comprehensive product basket as we have and which is being localised. In fact, I mentioned to you mechanical seal business, navy marine business, we are going ahead. You must have heard about Mazagon Docks and winning or being successful with the ThyssenKrupp for the future submarine building in India.

Those pumps are coming from Germany. Those will be in future localised. So anything which comes as a new avenue, the potential and everything is there in KSB. So great support, and I feel that is a very strong foundation. What are the payments to them? We pay royalties, of course to them, which is very natural. And we also pay them the service charges, IT charges, like whatever is done on a group level.

If they have SAP platform, if there's which is going to change to S/4HANA. So we are a part of the team and group team, and accordingly the costs are allocated. And yes, whatever special technical support we need, those are kind of provided, IT charges because we are all bound together with the common IT systems and infrastructure. So whatever is our share, we share that in a very transparent and a reasonable way.

Unidentified Participant: That's the last question for the day. And we'd like to thank the management for giving us the time to host at the Analyst Meet.

Rajeev Jain: Thank you. I hope we have answered all the questions. I think, but yeah. Since we are short of time and there's one more? Okay. Last one now.

Unidentified Analyst: On the industrial, you mentioned that, last year the order inflow was weak due to probably lesser inflows from large projects. So like, probably, that piece of the business would have two parts, like to have project driven large pumps and then you would have relatively smaller medium pumps for regular supplies to industry where probably maybe customisation. But so if you can just provide like, what was the reason for a bit of slowdown over there, and how do you see it going forward?

Rajeev Jain: Yeah. As I said, less projects announced but recently, this as I said, HRRL, Mongolia, Haldia Petrochemicals. So lot of projects are being announced. Investments are being announced. So much better now, with from the second half onwards and continuing now. So I see plus



exports. Exports also, especially from Middle East, projects coming in. So I see much better, at least the traction of projects.

And on the non -project side, the ones which we sell through dealers, I think a bit of a revival in the distillery side investments and steel sector and cements and all those things, the investment, the CapEx is there. And, yeah, we do this business through our dealers as well as OEM. So from my viewpoint, I see a better situation with our enhanced product basket. We see a better situation for ourselves in this.

Unidentified Analyst: Thank you.

Rajeev Jain: Thank you.

Unidentified Participant: Yeah, that's the last question for the day. And, thank you for attending the session. Any closing remarks before we close it?

Rajeev Jain: Nothing much. Thank you for your very, always deep dive questions. It is good to your perspective as well. And thank you, keeping us alert and awake with your questions. Thank you very much.

Mahesh Bhave

: Thank you.

## Call: Sep 2025

28th August , 2025
The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C -1, Block G
P J Towers Bandra -Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB

Subject: Transcript for the Institutional Investors Meet .

Dear Sirs/Madam,

In continuation to our intimation dated 18th August , 202 5 and 22nd August , 202 5 enclosing herewith the Transcript of the Institutional Investors Meet held and participated on 22nd August , 2025.

Kindly take the same on your records.

Yours faithfully,
For KSB Limited

Shraddha Kavathekar
Company Secretary

Encl. as above

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Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R-Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635

KSB Ltd.
Q2 CY 202 5 Institutional Investors Meet
August 22, 202 5 11:30 AM IST


MANAGEMENT: Rajeev Jain - Managing Director

Mahesh Bhave - Chief Financial Officer
Nitin Patil - Vice President, Nuclear Business, Operations: Pimpri and Shirwal Plants
Sunil Bapat - Vice President, Operations: Sinnar, Solar Business, & Foundry
Shraddha Kavathekar - Company Secretary

ANALYSTS: Mahesh - LIC Mutual Fund
Ashish - Sundaram Mutual Fund
Nidhi Shah - ICICI Securities
Kunal Sheth - B&K Securities
Dhavan Shah - AlfAccurate Advisors
Shiv Chanani - Baroda BNP Paribas Mutual Fund
Mohit Surana - Monarch Networth Capital

Presentation

Unidentified Participant: Hi. Good afternoon. Welcome you all to the Q2 CY '25 Institutional Investor Meet of KSB Limited. Today we have with this on the dais Mr. Rajeev Jain, Managing Director; Mr. Mahesh Bhave, Chief Financial Officer; Mr. Nitin Patil, Vice President , Nuclear Business, Operations: Pimpri and Shirwal Plants; and Mr. Sunil Bapat, Vice President, Operations: Sinnar, Solar Business, & Foundry; and Ms. Shraddha Kavathekar, Company Secretary.

We'll start with the detailed presentation from the management, which will be followed by Q&A. Over to you, sir.

Mahesh Bhave: Good morning, all. Thank you. We start with a cautionary statement from company side. Well, this presentation may contain forward -looking statements relating to the company future business developments and economic performance. Such statements may be subject to number of risk, uncertainties, and other important factors such as, but not limited to competitive pressures, legislative and regulatory developments, global macroeconomic and political trends, fluctuations in the currency exchange rate and general financial market conditions, delay or inability in obtaining approvals from authorities, technical developments, litigation, adverse publicity and news coverage, which could cause actual developments and result to differ materially from the statements made in this presentation. The company assumes no obligation to update or alter forward -looking statement whether as a result of new information, future events, or otherwise.


With this, we start overall glance. As all of you aware, we have four companies in Asia West Region. KSB Limited established in 1960, and you can see the Pune is our flagship IPD plant as well as corporate office. We have six manufacturing plants, six service stations, 350 plus service centr es, 22 warehouses, four zonal offices, 14 branches, and 800 plus authori sed dealers.

MIL Control , this is also in the manufacturing of control valves . This is in Kerala, manufacturing location. KSB Tech Private Limited, this is established in 2005, and this is a technology centr e, a captive centr e for all group company. And we also have a Liaison office in Bangladesh. This is overall set up.

Now moving to a manufacturing facilities, as I mentioned, Pimpri Pune is our flagship plant. This is in Pimpri. We have a state-of-art energy pump division plant at Sh irwal, which we'll be discussing further in the nuclear presentation. Water Pumps Division , Nasik this is a standard pumps factory in Nasik. We have a backward integration foundry in Wambori, Ahmednagar . Valves f actory of KSB Limited, this is in Coim batore. We have a SupremeServ After Sales D ivision in Chinchwad , and MIL we discussed.

So this is KSB Limited Board of Directors . Mr. Swarup , as a Chairman ; Dr. Stephan Bross , he's a Non-Independent and Non-Executive Director ; Dr. Matthias Schmitz, Non-Independent and Non-Executive Director ; Mr. Rajeev Jain , Managing Directo r who is with us today. And we have Independent Directors , Mr. Ulhas Yargop ; Mr. U.C. Muktibodh ; Ms. Sharmila Barua Roychowdhury ; and

Mr. Vishal
Kamapni .

This is the Senior Management Team , Mr. Mr. Nitin Patil , Vice President, Nuclear Business, as well as Pimpri and Shirwal Plant Head who is with us today. Mr. Mohan Patil , Vice President , HR. Mr. Rajeev Jain , he is with us. Myself. Mr. Sunil Bapat , who head Solar Business, Foundry as well as our Sinnar plant who is with us today. And Mr. Prashant Kumar , who heads Sales & Marketing .

Financial performance, we have number of employee s 2,170 t his is of June 2025. And you can see the number as again a growth in revenue compared to last year, as well as growth in profit from ■1,483 million to ■1,607 million .


A very steady consistent growth . Revenue from operation, we can see CAGR 16%, P AT CAGR 20%, and EBITDA with CAGR 18%.

Value creation for investors, net worth you can see even June 2025, it's consistently, it is ■14,737 million now. EPS is again consistently growing. ROC E, you can see a very good value creation 23. 42% as of 2024, we close at December. And dividend also, as you know, this is 200%.

Net financial position, again maintained. You can see ■316 crores is the position as of June 2025, so consistently maintaining the cash position.

Some of the business highlights, as you are aware, we are into six major market areas : energy , building service, general industry, petrochemicals and chemicals, mining, and water , and of course 21 submarkets.

Order intake development, you can see this is a n average order intake on a monthly basis, and you can see consistent growth. And specifically in this first half of 20 25, you can see it is ■2,896 million . This is the order intake growth what we have in the H1. So H1 order intake is ■17,381 Mio.

These are orders on hand. This is nuclear and other than nuclear. And again, you can see a very good orders in hand. 30th June, we having ■13,836 million without nuclear and within nuclear, we are ■13,131 million . So total orders in hand as of June 2025, ■26,969 million .

Top 10 customer, few changes. Otherwise, the OEMs, L &T order which we got in the last quarter. OEMs like Thermax, ISGEC , Megha we c ontinue to business with them and some of the dealers. And there are good addition of even valves dealer this time. That's a good sign.

Export performance, we have been discussing. This is maintained.

This is order intake performance. So we are maintaining this around 15%, which is a good percentage.

Yeah , I hand it over to Mr. Nitin Patil for the Energy and Nuclear business presentation.

Nitin Patil: Yeah, g ood morning. I'll take you through the highlights of the Nuclear business. I'll cover these topics : facility , KSB India's Nuclear Journey , the products which we offer and the business overview.



This is the photograph of our Shirwal factory . If you see our Shirwal plant was established in 2017, more than 100,000 square meters. Recently we have also added some more area into that. It is best -in-class state -of-the-art factory, one of the best in pump industry worldwide, I would say. It is also certified as Platinum rating as per the IGBC Green factory norms. The shop is equipped with evaporative, cooled and forced circulation system, which gives a dust free and a comfortable environment for the workmen.

We also have a rooftop solar plant of 1 megawatt. In addition, we recently, I think some time back, we started with open access group solar, which combined together takes us to about 80% of green energy for our Shirwal plant. Here, I'd also like to mention that we are one of the first factories in Maharashtra to have a rooftop as well as open access solar, as per the new regulations which were released in last quarter of la

st year.

Proud feeling is we are one of the first plants outside of Europe to get a 3 Star MBK rating, which means made by KSB certification where the quality person from our princip als, audit our plants and ensure that our processes are in line with the processes designed and intended.

These are some glimpses of our shop floors ; assembly shop, test field , and machine shop. These are some of the latest machines which we have commissioned there. The philosophy which we follow for this critical business is most of the core operations are done in -house, which ensures best -in-class quality.

As far as testing in pumps is concerned, we have all the facilities which are required, probably we may be one of the only one to have all the kind of testing which are required for a pump, including the routine test as well as special tests wherever they are required.

Main segments catered through this plant are nuclear power, thermal power plant and oil and gas industry.

This slide takes you through the KSB India's Nuclear Journey where we started in late 1970s through an agreement with Department of Atomic Energy, KSB Germany and KSB India where the technology transfer happened. And over the years, we have progressively locali sed the pumps from 220 megawatt to 500 megawatt and now to 700 megawatt for the latest order.



Two highlights in this slide is we are the only pump company now having the ISO 19443 certification, which is important to nuclear safety certification. I think other than us, only one other company has that, other company non -pump company. We also in 2022 acquired, BP&CL technology, which was also helps us in Nuclear business where it opens up new areas like reciprocating pumps for us.

So this is our reference for main coolant pumps. If you see, all 220 megawatt PSWRs after Narora are equipped with our pumps, 540 megawatt or 500 megawatt Tarapur and the latest 700 megawatt four plants which have come up Kakrapara and Rawatbhata have our pumps. GHAVP 1&2, as you all know is under manufacturing and Kaiga 5 &6 also is under manufacturing.

These are some quality certification, which we have for the plant . ISO 9001, ISO 45001 and ISO 14001 . And in addition, as I said just now ISO 19443, which is for the nuclear safety.

This is the photograph of the award of certification for ISO 19443.

This slide takes you through the fact that KSB has products for every nuclear application. Though we have been mainly present in pressuri sed heavy water reactors, but our princip al has the technology for every kind of nuclear reactor, it may be pressuri sed water reactor, boiling water reactor, SMRs, and whatever the technology may be . And we have access to that technology subject to the regulatory approvals.

This slide take s you through the main applications in which we have, reactor coolant pump as you all know, we are executing some orders for that. Then emergency cooling and residual heat removal pumps, safety injection pumps we have few orders for those, reactor water clean -up, volumetric control and then in secondary water it is like feed water, main condensate pumps, etc.

I think Mr. Bhave's slide also had this figure, wherein our order on hand for the Nuclear business is ■1,313 crores. Only highlights is in recent past, we got the Kaiga 5&6 orders , and the n we also got a Kudankulam order, which was a breakthrough order I would say, one of the first orders for the light water plants in Kuda nkulam . And then, we also, I think, recently also announced our entry into an export one order through our princip als for Critical Safety Class 2 Pumps for a nuclear plant in Europe.


So what is India's nucle

ar roadmap if we see ? Eight reactors are under construction, amounting to 6.6 gigawatts. 10 reactors have been, I think we have recently also heard the news that the government has sanctioned 10 more reactors. So the target which NPCIL has taken for themselves is around 22,480 megawatt, which is an increase from current 8.6 gigawatt I think. So long -term goal, I think as announced by our Prime Minister is around 100 gigawatt by 2047.

Also some announcement, which were interesting for us are ■20,000 crore allocation for small and modular reactors, which was announced in the recent budget and also, they are talking about five indigenous SMRs by 2033 . Also, there is a talk of Bharat Small Reactors , which are kind of a replica of 220 megawatt P HWRs, which India has and that it is being talked about that private sector participation will be there in these plants.

However, for the BSRs to happen, I think some legislative changes are required as per Atomic Energy Act as well as Liability Act. And then there was also announcement of NTPC also getting and NTPC also has a joint JV with NPC IL as well as they have their own subsidiary for Nuclear business and their target is to have 30 gigawatt. So what we feel is KSB being the most experienced player in nuclear pump domain, we see this as a very positive for us.

So if I see, based on the announcement already made, what is the landscape for us for the next three to five years if we see, so the state 10x700 megawatts are coming up, so the opportunity for us is, this is the overall opportunity size around 40 pumps of main coolant pumps. Then, the primary island also has various different pumps like shutdown cooling pumps, safety pumps, fuel handling pumps. These are around more than 350 pumps. And then Turbine Island also has boiler feed pump, condensate and these are only the main pumps which I have mentioned here.

And what is also we are looking at is this Bharat Small Reactors where the pumps will be similar to what we have supplied in our 220 megawatt reactors that is RSR 350, which are required four pumps for unit. Exactly, we will have to see how the developments happen and how the numbers shape up. In addition to the main coolant pumps four per unit, we will have around 34 pumps of the main critical Primary Island pumps as well as then Turbine Island pumps. So this opportunity also we are looking at and as and when it comes, I think we will be there.


So that's it from my side, so thank you. My colleague, Mr. Bapat , will take over.

Sunil Bapat: Good morning. I will take you through the Solar segment update. So first the solar journey for KSB, we started in 2021, the late entrance into the Solar segment with non -SECI business especially. Then in 2022 we started building up the organi sation for the PM Kusum scheme and parallelly the product certifications from the MNRE that is in 2022. Then 2023, we developed our own PMS M motor and then we got a breakthrough of getting qualified for the PM Kusum as a empanel led vendor.

And then we started getting the orders, first order we got late 2023 that is from the UP government, with the order intake of 2023 was almost ■89.3 crores. And in 2024, with a good order intake of almost ■1,989 million we got orders from Maharashtra, from Gujarat, then from Rajasthan and Haryana. These are the four states from where we got good orders and accordingly we started expanding our ins taller and the service network and the zonal as well as the plant level organisation.

Now coming to the highlights, if you see the order intake from 2021, we already seen in the slide. Now YTD June, if you can see we are at ■125.1 crores. In sales, we are almost ■134.3 YTD June. So far cumulatively we have got the orders of 13,227 systems from various states. Out of that 10,613 systems are installed in the field. There is a focus as already mentioned we already launched our PMSM motor, now we are having th e backward integration with the controller, our own controller.

With earlier learnings we improved our deliveries to four to five weeks to the sites. Then the presence in the market in various states you can see in the green and the yellow states there are four states where we already participated, we are expecting the tender to open and get the orders.

Then we have Pan India level 32 installers more in the Maharashtra, almost 17 to 18 installers in Maharashtra with 132 authori sed service centr es to take care of the warranty requirements, which is a five years warranty for the scheme and to take care of every beneficiary that is every farmer, we have launched our own project monitoring software. So that tracks the progress of each order what we get from the farmers.


Looking at the infrastructure, we have all the related infrastructure in the plant, so the solar simulator where we can test our systems, then we have our DC motor, PMSM motor assembly line, then we have our pump assembly line, these are the installations, few of the installations you can see in the states . And the initiatives what presently we are working on is basically optimi sing the capacities and the streamlining the supply chain.

Basically, we are focusing to improve the processes of installation and the post installation. This is very important and then as already mentioned, the backward integration focus is already there. So I mentioned about the four states where we already participated and there are another couple of states from where we are expecting the new tenders and we would like to participate in all these states.

So I think there is a good outlook, if you look at the different states and the different tenders which are coming up. I think that's all from solar update perspective. Thank you.

Mahesh Bhave: Thank you, Mr. Bapat. So just few updates . On ESG, renewable electricity versus grid electricity and you can see the progress. Quarter two, 2025, 68%, we have achieved renewable share, which is a very good progress. And you can also see the chart of -- plant wide chart in this. CSR, a few activities again impact creation, Y 4D F oundation, which is into skill development for employability of tribal women where KSB is working and helping them. And you can see their comments. We got a CSR award in education and skill development for 2024 project.

This is awarded by PCMC CSR Cell, and the project was Don Bosco ITI. 40 students, they are trained for the vocational, training skills. So thank you. This is all on presentation and the forum is open for question -and-answer.

Question -and-Answer Session

Unidentified Participant: To start Q&A, please raise your hand , before asking your question please state your name and institution name.

Mahesh: Hello. Sir, my name is Mahesh from L IC Mutual Fund. W hat was the contribution from nuclear and solar last year total and, three year down the line, what kind of contribution can come from these two segments?


Rajeev Jain: In our sales revenue?

Mahesh: Yes, sir.

Rajeev Jain: The sales revenue last ye ar was around ■190 crores. Solar , solar was ■190 crores , nuclear, we have still yet to invoice, which we are planning this year. So it will happen in this year onwards. What you saw was orders on hand, which are long -term contracts and we are expecting two pumps.

Nitin Patil : Yeah , we are expecting, to start invoicing two pumps this year. But, however, it also depends on the readiness of the test bed, which is in last stages of completion.

And the pump is to be tested for the endurance testing for 500 hours which will take a month or so. So considering that we have projected in our forecast that two pumps will be invo iced but it also depends on the readiness of the test bed.

Mahesh: And sir, three years down the line, I mean these both segments can contribute 20% plus kind of revenue?

Rajeev Jain: Yes, we are. I can't comment on the percentage wise but both these segments will continue to have a better share of the total revenue. Because the growth in both these segments is much higher compared to our normal things for the next three to four years. As you know, you have seen nuclear's orders on hand, almost ■1,300 crores. So this is a good pipeline of orders. More is expected, as the projects get materiali sed.

But having an orders on hand of ■1,300 crores, which definitely will convert into sales in the next two, three years, and solar business growing at th e rate of what you are already seeing, we expect them to have a good, much better share than today , yes. Whether it will be 20% or higher or lower, I can't. At the moment, we'll have to check it out.

Mahesh: Sir, last question. You showed the opportunity in terms of nuclear number of pumps. Is it possible to quantify in terms of rupees how much opportunity will be for us?

Nitin Patil : Yeah, I think normally, two units together are around ■500 crores to ■600 crores.

Mahesh: Thank you.


Ashish: Sir, this is Ashish from Sundaram Mutual Fund. Just one thing from my side, like what Mahesh asked, right, that contribution from solar nuclear sector will be more than 20%. Will it have an impact on the working capital requirement given that solar generally will have a higher working capital? And if you can little bit elaborate how is the working capital for nuclear and will it impact our return ratios once the working capital starts to increase? Thanks.

Rajeev Jain: For the nuclear contract, we have a milestone payment in the contract. So that is very -- that is, I would say very reasonable. And, so far in our nuclear business cycle, we are cash positive. We are maintaining that. And in future also, we expect the same trend on these things. And so nuclear, we don't expect any issues related to the working capital, so far.

And on the solar business, yes, your point is right. When we started this business, it was a bit alarming for us or quite higher compared to our normal business. But as and when this learning curve, we have got through the expectations on the documentation requirement, the process, it's getting better and better, I would say. And we are taking steps. And in a couple of, months, I think this all should be streamlined that we should be in a much better situation.

But yes, the working capital requirements and the cash -to-cash cycle for solar business will be always there, but not as severe as we thought. And it is quite manageable with KSB's financial situation. And we don't expect yet any borrowings or anything of that sort. We can still manage from our internal accruals and cash flow. This is our plan.

Ashish: So just clarification in solar, your net working capital more than 120 days?

Rajeev Jain: Yes, today, but I feel it is not right to take today's example. We want to correct our process internally. And as I said, the process of all this collection and uploading those documents and all, we have got a good hang of it now. And once we do that, we expect it to come down below 120 days once we complete our portion and I guess the issue was mainly in Maharashtra, but in other states it's much , much better , it is.

And even the central bodies like MNRE are pushing all the state governments to expedite it. So there is a good focus from the central side as well.



Ashish: And sir, on our growth perspective, right, ex -solar, growth seems to have started to come down. Is there anything on concerning around the growth, right on the non -solar business, so to speak, on the standard pump, engineer pump, et c. If you can elaborate on that. And just one more thing on the nuclear side, are we seeing -- though we are one of the preferred vendor for nuclear pumps, are we seeing some increased competition or you see similar what it was a year or two year back on the competition front?

Rajeev Jain: Yeah, for nuclear I'll give it to Nitin.

Nitin Patil : Yeah, I think as of now we are the approved vendor for the primary coolant pumps. But however, as you are all aware, one of our competitor has a development order. It is based on how that pans out, I would say.

Rajeev Jain: Yeah and as the whole market grows and the nuclear market is huge, there will always be a need for bigger supply chain. So I think, even if that happens, we expect KSB to be having a major share in this business. So, I feel it's a very good opportunity for KSB for nuclear. And the size of this business, how, as Nitin has showed, it's a huge and with the measures, with the policy changes, all those happening every week, things are going to be different in the coming years with private participation.

And whatever I feel competition comes in, I think KSB is in a very comfortable position in terms of experience, knowledge, provenness, and that will help us to have that majority share in the future. As far as solar is concerned …

Sunil Bapat : Yeah, solar, I think the growth perspective we don't see anything, the possibility which it takes down because we see the opportunity still is there when Component B , 20 lakh pumps out of that only 8 lakh pumps, 8,40,000 pumps are installed so far. So more than 50% still there, plus Component C is there where all the present electricity operated, diesel operated pumps to be replaced with solar. So going forward for next five years, I think there is good opportunities in solar.

Ashish: So actually I was trying to ask is…

Rajeev Jain: Yeah , yeah. I'm coming to that. I thought, coming to the non -solar portion, if I would say last year, the situation we did not have a very comfortable order intake. But if you see this year's order intake, we

are in a very good position of the first six, seven months and the growth, if you exclude nuclear, if you exclude solar has been almost 15% in even non -nuclear business.

And when I say non -nuclear business, where does this growth come from? A lot of water and wastewater projects where we have added our products. Building Services, another segment which is growing quite healthy.

Industrial always, with its projects in distillery, sugar, all that continues to grow. And apart from the fact that, you must have heard about the supercritical power plant. So that business has revived and we were the first, we have got the first available order and so all these things augur well fo r the company in the non -nuclear also.

So this year has been a, I would say a very healthy growth and this gives us a very good orders on hand. You all saw in the orders on hand situation as well, that we have grown from ■1,100 crores to ■1,300 crores alm ost same as non -nuclear. And I think, the next five, six months we'll see also a continuity in that aspect, with not only from domestic market, but also from the export market.

For export market specifically for the gas based power plants in U .S. and Saudi , we are getting projects where we are participating in U .S., in spite of the tariffs, I would say , we are still successful and that has not affected our business so far.

So a combination of domestic as well
as export is helping us. Standard business, I mentioned coming from these three segments. And not to mention, not to forget, I would say is also our aftermarket SupremeS erv. With that business is also continually growing as and when we established the BP & CL business also. So all around, I would say this growth is as healthy, the non-nuclear, non -solar also in this year particularly, which is a good base for our future revenues.

Nidhi Shah : Nidhi Shah from ICICI Securities. My first question would be on nuclear. So I wanted to know that the export order that we booked in this year, what is the value of that export order?

Nitin Patil : We are not disclosing that value because of the non -disclosure agreement with the end customer.

Nidhi Shah : Is there any scope to get more export orders from this particular project or other projects?


Nitin Patil : Yeah, that project has many more tags to come, but it depends on as and when they are ordered.

Nidhi Shah : A little more on, you know the export scenario. Could you talk to us about what is it like in the export market, will you be bidding separately or would you be [indiscernible] [0:34:20] like L&T bidding orders outside and so we are supplying [indiscernible] [0:34:25] or are we looking and bidding separately?

Nitin Patil : No, we are not bidding separately. It is through our princip als and they decide, when they have to offload the orders. The main pump, they still manufacture for Europe and Western world. And our focus is mainly India. But as and when such opportunities comes, we will participate from here, but through them.

Rajeev Jain: Your question was related to nuclear.

Nidhi Shah : Nuclear. And the two pumps that are open to operationali se this year, are you expecting to book revenues in opening Q3 or in Q4?

Nitin Patil : So it actually depends on the test bed preparedness. So I cannot comment exactly. But this year, that's what our fo recast is.

Nidhi Shah : So if all goes well and we do operationali se these two pumps in CY '25, then what are we expecting CY '26 to look like from a nuclear standpoint?

Nitin Patil : Once the first pumps are cleared, because the first pump undergoes an extensive testing of 500 hours as well as NPCIL, the customer has an option to opt for another 500 hours, So total 1,000 hours testing if they opt for that. So after once that is done, I think, every year, four to five pumps we would, we are in a good position to do that because out of the eight pumps are on hand for [indiscernible] [0:35:44], I think our four or five pumps are nearly complete. And we are now pacing it out, considering the movement in the first pump testing.

Nidhi Shah : So you also mentioned on the oil and gas business that we're seeing a lot of traction in exports, especially, the U .S. and the Middle East. So what are some of the key drivers in those markets and what are we expecting the demand in those markets to be like in the next two to three years?

Rajeev Jain: Yes. The key growth drivers for us has been our strength in competitive manufacturing and the availability of those products



manufactured in India, a good competent project management. And this is an provenness of doing those past recall of orders. And a good support from our parent where they support us, through a global organi sation and give them the comfort or gives the customer a comfort of, being by our sides and doing these projects jointly. So all these factors help us to bring a KSB Global in front of the customer.

And in the future, I feel as and when the opportunity today, the opportunity of gas is today in these proj

ects, specifically in U .S. and Saudi and through Spanish EPCs also TR, TSKs [ph] [0:37:17]. So we started getting businesses, and I think this will continue to grow. Oil and gas, I would say is a quite competitive market. A lot of players and a lot of vendor list requirements.

So those through our Middle East organi sation and in joint partnership also, today, what is happening in Middle East, a lot of local value addition, local manufacturing is requested. So this is the strength of KSB that we work together and we supply the pump. They do the packaging locally. So all these options are available within KS B, which gives us a good chance of meeting the end user requirements.

Not only in terms of price delivery, but as I said locali sation which is a big, actually in Saudi, this is being insisted on. And we have a very good base companies, legal entities with facilities in those countries. So that is also helping our business.

Nidhi Shah : What I primarily understand from this is that, not only are you getting export orders from your principal, but also from KS B Global, as in basically your EPC players, that you partner with as well as KS B Global. Now does KS B Global expect to increase its manufacturing within Middle East given that there are these domestic requirements or would it be the case that for at least the next two to three years that we see that most of these products come from India and then as you said they are packaged over there?

Rajeev Jain: I think KSB globally is working on the strategy as per the requirements of those markets. If the requirements of those market is, local business should be more and more and order, so all the entities within KSB, the KSB central organi sation, KSB India and KSB local organi sation, we work together to ensure that how we meet the end user requirement. And this will be more and more how it will be. Earlier it was be maybe supply from Germany, supply from India complete, but that is shifting to having more content locally.


Still, ensuring that and that is the change I see but this is where we are adapting our self and building up our local organi sations there, so that the business is within the KSB Group.

Kunal Sheth : Hi, sir. This is Kunal from B &K Securities. Thank you for the detailed presentation, especially on the nuclear and the solar side. My first question is regarding, in one of the charts you had shown that our average order monthly run rate in terms of inflow has gone up meaningfully. So, I just wanted your view on how much would you attribute it to the market growth and how much it is led by KSB initiative in terms of new product addition? And a related question there is that any major new product additions that we are working on non-nuclear, non -solar side that can drive the growth.

Rajeev Jain: Yeah. As a general statement, I would say the market is growing, let's say 8% or 9%, KSB's growth is much higher than that , in the non - nuclear and non -solar also. It would be in the range of 12 % to 14% already. So that means, we are growing better than the market in those segments. And I mentioned those segments also.

Now what are the product editions? This is a continuous feature, that where we are growing. For example, a Firefighting business, I may have mentioned earlier, Firefighting business we had a low share, but today that business is growing because of having newer products, and as well as certifications. This is a market which works on without certification and UL &FM certification.

So we are getting those certifications, getting ourselves qualified and our share of firefighting business is growing. Secondly, if you talk of Navy business, Marine business, where we were not there. Today, we are getting qualified for those business as well and

started making
pumps and generating order intake in that segment also. That business is also, I would say requires qualification approvals. In fact, starts from the foundries. So all that process we got the license from our

company in Spain, which is more into this Marine business. So that business is also growing.

A third aspect Mechanical Seals business, which is a part of our aftermarket business, where we have now achieved a good amount of locali sation, almost 90% we have invested in machines. So this business, the seals which we are making in pieces today almost 9,000 numbers and this will grow exponentially , because this is totally a new vertical.



BP&CL opportunity, which is happening step -by-step because, for our customers, we are doing that first time and they are seeing the difference. And as and when the supply goes, for example, you have seen in the news maybe reciprocating pump, we have supplied now to GAIL Pata, I think. So these are first time supplies where we build up PTRs, we build up references. So that that is moving well, and once that is established, and these conditions are fulfilled, then the business grows considerably.

If I talk of product additionally, I think we have mentioned that vertical turbine pumps for Water business, you see a lot of water business projects going to come up in the future, and those vertical turbine pumps which are required, which has been added to our portfolio. That will help us to participate in more water projects, specifically with customer EPCs in India. And, a good future, potential with river connecting projects and all these projects which are expected in the future.

What else should I say? Distillery continues, as and when the project comes, those projects will continue. So overall, I see the product additions, whichever we are doing, and it is being done in all our segments. Wherever the gaps are there, we are filling up those gaps and I would say the range is so comprehensive. I doubt whether anybody else in India has that kind of range, which we have. And sometimes I myself lose account of the products, which we have. And but I think that is we have achieved a lot, but still a lot to be done, because we have that complete acquisition of BP &CL and lot of products are still not yet explored.

So I think this will continuously happen . And as that happens, what it helps us, I did not mention about one product, a vertical sump pump called Estigia. Now, these products in itself may not have a huge potential, but what it helps is it helps us to complete the package. And this has been the change. And we are participating in more and more projects now.

Another segment which I missed to mention is mining. Mining was done through our plant in GIW. And we had a only foundry there, which used to make this white iron material. But now our foundry in Vambori is qualified to make that white iron plant, a material, and it is locali sed. So the result is that, we have got orders now recently, and this share of mining business will also grow as we become a locali sed player. We are developing a vertical pump, also for the global market for mining.



So many products as I think additions are happening in all these segments, which will give us a base in our non -nuclear, non -solar also. What the Nuclear business helps is a foundation load for a long -term. And these ups and downs in the market are kind of mitigated by this continuous backbone of Nuclear business, which happens. It's a matter of time, but it happens. And this gives us time to kind of develop new products.

And solar has been a potential where we entered a bit late, but now having kind of almost crossed that learning curve, we feel it's a good decision we took and I hope that we can leverage that and to grow further. But having said that, these businesses are there when the opportunity comes, but our daily bread and butter business will be as it is with addition of products.

Kunal Sheth: Sure. Thank you for that. My s econd question is relating to nuclear. You mentioned that one of your competitors have got the development order. So usually what is the cycle time between somebody getting a development order to getting a commercial order because that competitor believes that they will be able to commercially qualify next year. Is that possible?

Nitin Patil: That I cannot comment, what they believe in. But, I can definitely say that the qualification process is long and lengthy . It's not easy to make the first pump completely indigenous, they on their on your own technology and then prove it. So it's not that easy. I think, if I can recollect, even, we also required some time. Though we had all the technology with us, we required because we were making it after so many years again.

And our princip als also, whenever they have a new pump development, they take I think the timelines are far, far higher, I would say.

Kunal Sheth: Thank you so much.

Dhavan Shah: Hi, sir. This is Dha van here from AlfAccurate Advisors. So my question is the base business, if I exclude the solar pump revenue from the first half, it is more or less the stable growth , despite , there is an increase in the order book. So when are we expecting the execution of these orders? I mean, largely it is 12-month kind of the execution, so second half could be a bumper. Is that assumption correct?



Rajeev Jain: Yeah. I think Solar business, if you take last year and this year, it is on the similar level , and yes , we have a good orders on hand and we are expecting a good second half as well I would say.

Dhavan Shah: Secondly about the Solar business, there are listed players in the space who are just servicing solar business. They are doing roughly the revenue size is almost similar to us, despite they are just having the one category, and we are having the multiple pumps. So what are our thought process over here in Solar business? Still we are doing roughly ■200 odd crore kind of the revenue. And the focus is there in the Kusum. Kusum 2 is also going to come. So how do we see this business can go up from ■200 odd crore to how much maybe within two or three years? And they are also doing roughly 20 odd percent margin, so if you can also help us to understand are the margin is also in the similar lines with them or how is it?

Sunil Bapat: Yeah, on the growth perspective , as I already mentioned the component B is already there more than 50% still to be installed, so there is a great opportunity. And component C, as I mentioned, many pumps which are operated on the electricity are to be replaced. So we are very positive on the growth in solar definitely. If you have seen YTD figures, we are almost ■134 crores and we already have good order board, almost 2,500 to 3,000 systems so far with us and we are expecting the orders from other states as well where we have participated. You mentioned about the service part of it.

Dhavan Shah: The overall size of the Solar business, how do we see that will pan out? Because I think pricing is almost the same, I mean government has given the same pricing.

Sunil Bapat: Now, yeah, from the Phase 1 to current tenders, the pricing are coming down. If you see in Maharashtra, 3HP pump set complete system was around ■2,05,000, which has come down almost 10% so far. So pricing is reducing almost in every state. So this is the scenario almost in every state where we face the pricing issues.

Dhavan Shah: But w

hat should we do to scale up this business from ■200 odd cror e to ■1,000 odd crore?

Sunil Bapat: That is what I mentioned. We are participating in almost every state. Earlier we started with consortium, now we independently participating in every standard. So far we have not tried for component C, we have participa ted in Telangana now, for component



C where I said the replacement business. So that is a big, big business what we foresee now.

Component B is already there, but we want to explore the opportunity in component C to take this ■200 crore to a good healthy figure.

Rajeev Jain: Yes. Our approach in Solar business was a bit cautious because of the underlying working capital requirements and to have those learnings of this business, unlike our competitors who have been much more aggressive in this. And today we can say that all those learnings, those supply chain, those capacities, organi sation building up has been almost completed. Not complete, it will be ongoing, but we are at a good stage now. This gives us a confidence to grow much faster than the last two years and we are aiming high. We are aiming a much better share of this business in the future, and our approach will also be in the same mo uld, that we will look for bigger volumes as and when the business tenders come out.

Business is expected from Haryana, Rajasthan, MP, Telangana, all these states, and we are prepared. We are prepared with our organi sations, and we're definitely will be there much. Our approach will be more aggressive than the past ours. Compared to our competition, we have a little bit different approach that we try to work on this business through our internal cash because we don't look to go overboard by growing much higher and then doing the borrowings. So this has been our approach and we'll be continue to do that. We will continue to develop this business out of our internal cash.

And hence, but we see the good scope to grow and, as I said, we will try to get a better share in the future, but not very aggressive so that we need to borrow outside and then fund our working capital.

Dhavan Shah: And last question is on the nuclear side. I think you mentioned that if the site is ready, then we will supply two pumps. So how do you see the site progress? Is it in line with our expectation or …

Nitin Patil: It's not the site. It's the test field the test bed which the customer is building. The testing, the test bed is being built at Tarapur , near Mumbai and the site is in Haryana. So the site is separately, once our pumps are ready, we can invoice, we can send and bill it. So that's not concerning.

Dhavan Shah: Yeah. Two pumps will be supplied this year. That is for sure.



Nitin Patil: Subject to the test field being completed because there are some teething troubles, where the power connection as well as some piping activity is yet to be done. But the pump has been installed in the test bed for testing. And as I said the testing is extensive testing and being done for the first time in India. So it's subject to that getting cleared from that.

Dhavan Shah: Sure. Thank you.

Shiv Chanani: Hi, sir. This is Shiv Chanani from Baroda BNP. I have three or four questions. I will request you to be a little patient with me. First is on the broader opportunity that you outlined both on the nuclear as well as on the non -nuclear side from next three to five years. What does it entail from a resource perspective, both let's say a physical capacity, man power and things like that? I mean how do you think about it? Do we need to augment it in a meaningful manner or we are good with the current capabilities that we have?

Rajeev Jain:

No. I think, for everybody, I guess, it's all about augmenting, building up capacities, not only capacities, skilled capacities. This is the challenge, which we all have when we are taking all those steps. For example, if I give you a nuclear business today, we have not yet had any revenue. But if you see the size of our organi sation, more than 100 people, because this competence doesn't build up overnight. It takes years to do that.

Same is in solar, as I said, that learning curve taking people from those backgrounds, they learn by experience, they come with experience. So both way it happens. So that is happening. All those, for example, mining, we go into a new field. It's always a mix of our own people learning the tricks of their trade, as well as taking people outside who are experienced in this. And then manufacturing is another thing which is also learning by being on the work directly. But what we are also doing is participating with various ITIs and those skill development, institutes and participating with them and ensuring that we have a good opportunity or a good pool of people where we can take them and of course retain them as well.

Even in our Sh irwal plant, when we took people to work on machines, and we never thought that we will have attrition there also. So this is a new thing, which we are facing that, even in the blue colo ured we have those attractions. And these are changing times. So the challenge and you believe me, when we discuss business, we discuss this aspect also today, and it is not taken for granted , because we are introducing



policies of supporting employees for higher education, building up their things. So manpower and having the right organisation is the biggest challenge, which is not visible outside.

But believe me we face it to retain employees , and fortunately we don't have a high attrition rate. If you see our attrition rate, in spite of being in manufacturing, is still single -digit around 9% to 10%, whereas the industry can be above 15%. So I feel we are doing taking those efforts to retain. But having said that, our organi sation has a mix of experience and young like our cricket team or now it's more young. But you see all us, we have spent years in the industry and we try to build up the next level also with this and I think that is where KSB has a very good, I would say, bench strength plus a mix of youth and experience.

That is on resources and capacity wise, we have capacities in our Sinnar plant space. The shed is being built, and the fourth shed will be ready this year. In Sh irwal, which Nitin is handling, there is extra plot which we are building up now, which will be ready by March. And the machines are being upgraded. As I said, the aging machines are being replaced with much more high you call it three axis, four axis, five axis, multiple operation machines. So this investment is continuously being done over a period of time to support the growth I mentioned almost a ■120 crores , ■130 crores or maybe more now is being invested every year to ensure that we upgrade and upscale our people.

Shiv Chanani: Great. Second one, you mentioned about, the MBK certification 3 Star rating. What does it mean for that entity or for t hat facility within the KSB ecosystem?

Nitin Patil: Apart from a personal satisfaction that we are in line with the Group's quality norms, it also opens up opportunity whenever in a group company wants to offer a pump from our plant. That certification reinforces their confidence in our plant. I can say that our princip als factory in Frankenthal is also not yet 3 Star certified. So that gives us confidence that we will be able to do whatever business comes for export especially , and our colleagues, do look at that perspective also.

Rajeev Jain:

So out of the 35 sites globally which we have, 34, 35. Only three sites have 3 Star. And Sh irwal is one of them.

Shiv Chanani: Which are the other two?


Rajeev Jain: One is in, Pegnitz and one is in Luxembourg for our sister valves and one is in Pegnitz . So it's kind of a good achievement and it also means that the audit takes place from the German quality cent re. They come here every year annually. So ensure that the processes which are there globally, the best practices are followed. So it's something which gives a reconfirmation reassurance that, and to a customer as well, where they think of a KSB brand image and what is KSB Group's involvement in our all local operations. So this is an assurance that we ensure that we follow those same processes globally.

Shiv Chanani: And sir, a connected question is that, let's say compared to maybe five, seven years ago to now, how does the parent look at the Indian entity? Because over the last five years, and correct me if I am wrong, we have built significant capabilities within the Indian entity, both from a KSB Global perspective as well as the other internal capability, other product capabilities. So is there any perceptible difference that you see the way the parent look at the Indian entity compared to maybe five years ago?

Rajeev Jain: I think the parent company always looked at KSB India as one of their key entities outside Europe as a manufacturing hub. So that, as a part of internal supply chain , as one of the key hubs. And coupled with the great Indian market growth that has been like reassured or reconfirmed. And their approach five years back also and today also, maybe today the difference is that in five years back we had to make a little bit more justification in getting the product licenses and doing that.

That process has become a bit easier, because the products we have come out with and the market growth. So then see the need that they need to give India many products. For example, mining, which five years back nobody thought and they would ask how much is the mining market size here in India and why do you need to locali se? You can buy from there. So today it was easy to see from the growth and the India's advantage is that compared to our overseas , I think the product development process is much faster.

Even though I would not admit it very openly in front of my principals, but that is recogni sed by them. That, the product development from the concept stage to the first prototype, we are much faster. For example, mining pump we did it in six months and the vertical pumps also coming out in six months to one year. So, they see that the speed and the flexibility which we have gives us much speed in the market and that has changed.



That means, they are more intent to source and make India as the hub with our tech centre, KSB Tech, they are offloading more and more new development projects. So, the work is shifting to India as well as supply chain. So those are the changes which are happening and what it means for us is getting more and more products to address more market. Whether it is mechanical seals, whether it is marine market, whether it is firefighting, whether it is mining, all these things are happening now very fast and helping us to enter those market.

Shiv Chanani: So sir, this exports which is 15% of our revenues, let's say over a five year time frame, can it be meaningfully different from what it is?

Rajeev Jain: Actually, if I say to you, you should not only look at that 15%, you should look at the absolute number.

Shiv Chanani: Yeah. Absolute number.

Rajeev Jain: Absolute number of exports. That is growing very healthy. But si nce our domestic is growing much higher , solar and other things, so that get camouflaged in that percentage.

Shiv Chanani: Yeah.

Rajeev Jain: But absolute numbers export is growing very healthy. We may cross ■400 crores, ■450 crores. We were in the range of ■350 crores, I think till last year, many years. So that is also growing quite well. And I think export is , it will happen all since we are adding new products, having a competitive manufacturing cost posit ion, all these factors and with a global network. And the willingness as I mentioned about Saudi example , for example that the market demands locali sation, but that doesn't mean that we lose that business. We collaborate and we still participate in that.

Shiv Chanani: So can that be let's say, just to put a number, a ■1,000 crores kind of a number in five years' time or what will it take for it to be there?

Rajeev Jain: What will it take? It is our own efforts and will and the faster we develop and I don't see that number impossible or not possible. I feel, those numb ers will happen, whether it'll happen in five years, three years, or seven years, difficult to say. But, what I can say is that it will constantly grow. It will constantly grow. The supply chain will come to India or China on those competitive countries because these two are pure manufacturing.


And the other units most probably will be more assembly unit. So I think, there is only less options for the group to source the castings or the components from.

Shiv Chanani: And sir, just last question from my side. I think if I'm not wrong, we had done this acquisition around two years back, BP &CL. So what are the learnings from that acquisition and does it encourage us to do more such, inorganic growth in the future? Thanks.

Rajeev Jain: Learnings , a very good acquisition. When we started bidding for it, we kept a very, very low price. And the auction went beyond imagination. But today, we look back, it was a very, financially also very , we may have already recovered the money whatever we spent in these two, three years, I would say and so much potential in future. The only thing which we struggle is with the drawings. The drawings are very old, and it is not electronic form, it's all paper. Many dimensions have been corrected, changed, but no proper record. There is where we are struggling and that is taking a bit of long time.

That to convert those drawings into and somewhere the actual parts have different dimensions than these drawings. So these things happen when it is a bit of unorgani sed or not structured properly. So those are the -- which is consuming time, but from a business, it's been a great deal. And if such opportunities occur in future, we are definitely exploring it whatever new business, and we would repeat it in case such an opportunity comes.

Shiv Chanani: Thank you so much, sir.

Mohit Surana: Hello, sir. My name is Mohit Surana from Monarch Networth Capital . Sir, just one question on the nuclear power side. As we know the potential is pre -project activities, the nuclear power reactors are around 10 units. Currently, two are under construction. By 2032, the total capacity that is envisaged by the Indian government is roughly around 22 gigawatt from the current nine gigawatt.

At what stage do you think NPC IL will be giving orders for the 10 units which are under pre -project activities, which may flow through to our order book as well? Because, we have only five to seven years from now on, to have those products ready and delivered?

Nitin Patil: I think, I would say the tendering is already a bit delayed, so it should happen in next few months or next few quarters, I would say.


Mohit Surana: Understood, sir. So the next question is with respect to the TV commercials that you launched last quarter, and I think that was with respect to the residential pumps. So if you can give us some insights on what has been the traction over the last one quarter and what kind of growth do you expect going forward?

Rajeev Jain: Good question. That has also been my question to my teams because in such business you end up spending a lot of money on this TV commercials and you always question yourself on the financial feasibility. But yes, I would say I am satisfied that we did this because wherever we did this, we increased our share. And today out of our business residential, agriculture has gone down bit because of shift to solar maybe and also the slowing down, but domestic business has increased comparatively to the last year more than double -digit means around 12 % to 14%. So it has given us motivation to do it more. We started off with doing it only in the East zone.

Now we have expanded it to the North zone and also we are trying to do it in South with the different languages. Because in South, what happens is even the commercials you make, you can't just copy paste it for South. The dresses and the language, everything has to be redone. But North, we could combine it and we are doing that for North. Now, we're already done. It's in the phase of implementation and we plan to introduce in South as well as West. So we will continue that because that is a very important part of the business because it's somehow consumer business.

And, unless you show it on your TVs or households, that recollect value or recollect doesn't happen.

Mohit Surana: Sir, in terms of just percentage of the total business, what do you think this business can be , I mean residential business in terms of total over the next two, three years maybe.

Rajeev Jain: Yeah. Today it is almost, I would say 8% to 10% of this business. Now taking as a percentage again, as I mentioned is not a correct indication because our business grows with solar and nuclear who are the big boys in this business. And then this business percentage maybe still remain 10 out of that. But the value wise, if it grows, it is quite good for us. We want to -- let's say if you ask me, we want to double it in the next three years where the potential is there. Because it's a huge market and KSB again never thought with its technology leadership



and a quality leadership, we would be one day doing residential pumps.

But believe me, we have started doing a good amount between ■200 crores, ■250 crores comes out of this business. And this is a part of our strategy also to double it. And the potential is there because a lot of urbani sation is taking place. Our market share is low. And if we put the KSB Brand more and more , today we are recogni sed a lot in the industry and the higher end. And if we bring in the consumer side, it will definitely give us a break.

Mohit Surana: Understood, sir. Just one last final question. With respect to the two set of pumps that we have already delivered to NPC IL, are the payments on milestone basis? Have you already received the payment, most of the payment for those two pumps? What about the pumps that we are already manufacturing in …

Nitin Patil: We have not delivered. We have sent the pumps to the testing, test bed where they are building. The pumps after testing will be delivered to the Gorakhpur , Haryana site. However, we have very good milestone

payments in this order and as Mr. Jain just now told, we are cash
positive in the complete nuclear business per se.

Mohit Surana: Sir, for in anticipation of the approval, you also mentioned that you
are already manufacturing another two set of pumps. For thos

e are we
getting some milestone advance?

Nitin Patil: Yes, the milestone payments are staggered, considering the approvals
of documentation, receipt of raw material. So I think we are well
covered, there.

Mohit Surana: Understood, sir. Thank you.

Nitin Patil: Yeah , thanks.

Unidentified Analyst: Hi, sir. I'm [indiscernible] [1:14:09] Investment Managers. S ir, do we
see an opportunity in the pump storage space?

Rajeev Jain: This is an opportunity where we are not there today. And, a lot of
projects being announced by the PSUs, and HPCs and other projects
where the storage projects are being invested. There are companies in
India, Green Co and Reds who are all doing those projects in India.
This is an opportunity , and it is in our strategic discussions as an

opportunity and you're right. This also could, this will grow. This
business will also grow And there are opportunities for us.

We have not the complete product range for these things, but we have
some persons, maybe I can't estimate, maybe 50%, 60% of the pumps
products is where we can participate. But this is a very sketchy
information or a very overview information. But this is something
which we have started exploring, started the initial visit to the
customers, understanding it and yeah in future I think we'll participate
in it more.

Unidentified Analyst: Okay. And, in second, so in utility pumps, what is generally the
winning factor among large players in like getting orders?

Rajeev Jain: When you talk of utility means the …

Unidentified Analyst: Like the water in general.

Rajeev Jain: The cooling water and yeah , if it is a high flow pump, efficiency plays
the biggest role. Today everybody looks at the energy consumption,
power consumption. So they expect efficiencies of pump in the range
of 85% and plus. So whatever our old range of products are there, we
are trying to upgrade them to higher efficiencies. So I guess that is one
of the major things plus a complete product range.

When you go in for this utility or the water business, the range of
flows can vary a lot. So a complete , a comprehensive product range
from a small pump to a big size mixed flow pump, the complete range
is very important. And that is what is also in our thought process of
how do we complete the range and not only complete it come out with
efficiencies which are competitive in the market where the customers
can optimi se their power consumption end users as well as the motor
ratings, which play a big part in the capital cost can also be
harmoni sed.

Unidentified Analyst: Okay. And last , what is our criteria for appointing a dealer or like has
it evolved over time?

Rajeev Jain: Criteria for dealer, yeah we have. If you ask me, we have a proper checklist or evaluation f irm, but important is their financial strength capability, a bit of a mindset business in doing pump business, because it's not like a consumer product. In this pump business, you have to have a mindset of the pump going wrong and you have to do the servicing also.



And so having a service mindset to support the customer, to stock the spare parts, their capability and the re the financial as well as the entrepreneurship comes in. And you can't , it's like selecting a candidate when you recruit somebody, and you can't say that you have selected the right candidate. We may seem in that interview that we have selected or in that, but even if we appoint a new dealer, like, we have to every year evaluate it and see how they perform.

And our criteria is that a dealer should not be in their comfort zone. Even the top dealers, we push them to run that extra mile and show a growth from the last year. So

if they sign an agreement with us for an X volume of business this year, and even if it is high, we definitely expect them that next year they should sign the delta higher.

Unidentified Participant: Thank you. We'll take the last question for the day. We at ICICI Securities would like to thank the management and the attendees for being here today. CMD only , if you like to say some final words before we close the day.

Rajeev Jain: I'm the MD only, the Chairman is Mr. Gaurav Swarup . You have upgraded me, but just jokes apart, because we have a company where we have a Chairman and he's the Chairman of the Board. Thank you for asking this question. I guess, I can only say this year has been a much better great year for us compared to the last year in terms of order intake.

Last year order intake was not so good, but the sales was quite good because of a good orders on book situation. But this year, I'm much more happy, satisfied that the business is flowing in for all quarters. And, the icing on the cake has been the L &T order, which has helped us to load our Sh irwal plant for the next year sales also. When we have these orders like Kudankulam for nuclear, they are also running very well, the kind of approvals we are getting.

So it's been an all -round growth for us in the order intake and the new segments which I mentioned, which we are entering new, like mining, like firefighting. These are all the strategic moves for the future. So I'm pretty confident that, when we have this all around growth and in all segments, even if one or two segments, you must have heard about FGD segments. Nobody asked this question, but F GD segment suddenly overnight has vanished. It was a bit of a surprise that the segment which was booming suddenly crashed because of the government regulation.



But something else , this is KSB's strength that we have all segments and today we got this L &T supercritical and we are expecting much, much more with the next five years what is being invested. So FGD business goes, something else comes. Nuclear business will continue to come, but it will go in its space.

There we don't have the pressure. There we feel that, slow and steady wins the race, but on the day -to-day business, with the exports, we are getting now acceptance with the Supercritical for Sh irwal plant. And for S innar, all those new segments, I feel the future outlook is quite good on all segments and, I feel it will not only be nuclear or solar, it will be all those segments which will take us forward in a stable and a consistent way.

Unidentified Participant: Thank you.

Rajeev Jain: Thank you for all of you coming and asking so, very detailed questions. It shows that you all have done a good homework and studied all our things. So it keeps us also alert and prepared that we that we are able to not only superficially answer your questions. I'm sure if we just give you superficial answers, you would not be so satisfied. We go into the details as you want us to and as your questions are. So thank you and keep this up. Thank you.

# Call: Nov 2025

21st November, 2025
The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C-1, Block G
P J Towers Bandra-Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB
Subject: Transcript for the Institutional Investors Meet.
Dear Sirs/Madam,
In continuation to our intimation dated 10th November, 2025 and 17th November, 2025
enclosing herewith the Transcript of the Institutional Investors Meet held and
participated on 17th November, 2025.
Please note that the above will be uploaded on the Company’s website
www.ksbindia.co.in .
Kindly take the same on your records.
Yours faithfully,
For KSB Limited
Shraddha Kavathekar
Company Secretary
Encl. as above
M
ail to : (Head Office) KSB Limited (Formerly KSB Pumps Limited), Mumbai - Pune Road, Pimpri, Pune - 411 018. (India)
Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R-Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168
1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635

KSB Limited (KSB)
Institutional Investor s’ Meet
November 17, 2025
Page 1 of 45 MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer and Vice President of Finance,
Controlling & DTC Head
Prashant Kumar - Vice President, Sales and Marketing
Raja M - Valve Segment Head and Coimbatore Plant Head
Rajesh Kulkarni - Aftermarket SupremeServ Head and Chinchwad
Plant Head
Nitin Patil - Vice President of EPD and IPD Operations and Nuclear
Business Shraddha Kavathekar - Company Secretary and Compliance Officer
Presentation
Shraddha Kavathekar: Thank you. Hope you all have had a good insightful plant visit, and
KSB welcomes you at its state -of-the- art plant, Shirwal plant. Every
meet we have been bringing our segment heads to you, especially the
Nuclear one. This time we have brought all , main all other important
key aspects and segment heads here.
So,
we have with us , Mr. Rajeev Jain , no introduction required, our
Managing Director . Mr. Mahesh Bhave, our CFO, V P of Finance,
Purchase, DTC Head . And we have with us , Mr. Raja from Coimbatore
plant. He is our Valve Segment Head and Coimbatore plant Head . We
have with us , Mr. Rajesh Kulkarni. He is our Afterm arket SupremeServ
Head , Chinchwad plant Head . And we have with us , Mr. Prashant
Kum ar, our Sales and Marketing Head , VP of S ales and Marketing .
So,
we welcome you all and we start with our first presentation. I
request , Bhave sir , to come on the stage.
Ma
hesh Bhave: Good afternoon, and welcome, all. I hope you had a good plant visit .
So, as usual we start with a caution ary statement regarding forward -
looking statements. T his presentation may contain forward-looking
statement relating to company ’s future business development and
economic performance.

Such statement s may be subject to number of risks, uncertainties and other important factors , such as but not l imited to competitive pressures; legislative and regulatory developments; global, macroeconomic and political trends ; fluctuation s in currency rate and general financial market conditions ; delay or inability in obtaining approvals from authorities ; technical developments ; litigations ; adve rse publicity and news coverage. These could cause actual developments and results to differ materially from the statement made in this presentation. The



company assumes no obligation to update or alter forward -looking statement, whether as a result of new information, future events or otherwise.

We move ahead with the KSB as a snapshot, you can see on the screen, KSB Limited established in 1960, headquartered in Pune, Maharashtra.

You can see we have six manufacturing locations, six service stations, 350 plus service centres , around 22 warehouses, four zonal offices, 14 branch offices, and 800 plus authorized dealers.

The downside you can see KSB Tech Private Limited, as most of you are aware it 's a technology centre and into IT and engineering services unit, which is providing to the group companies and this is also headquartered in Pune.

We also have a MIL Control s, which is our associate company established in 1997 at Kerala. A nd we will see the manufacturing plant also going ahead and it is into valves . And Bangladesh, we have a Liaison Office in Bangladesh.

Moving ahead, you can see Pimpri, Pune , our headquarter and flagship plant that is into Industrial Pump Division. Water Pump Division , we have a factory at Sinnar into standard pumps mainly. Shirwal , where right now we are meeting today. This is as rightly mentioned by Shraddha , this is a state -of-the-art newly established plant into Energy Pump Division. Vambori , we have a F oundry in Ahmednagar , that is Ahilyanagar now.

Coimbatore , we have Valves D ivision , and Mr. Raja is with us to talk about it. SupremeServ, Chinchwad loc

ation, Mr. Rajesh is with us today, so we can talk more about it. And MIL , as we discussed, this is Kochi which is into valves manufacturing. We can see the B oard of Directors, Mr. Gaurav Swarup, Chairman; Dr. Stephan Bross, who is a Non-Independent and Non-Executive Director ; Dr. Matthias Schmitz, who is also a Non -Independent and Non-Executive Director ; Mr. Rajeev Jain, Managing Director , who is with us today. Independent Directors, Mr. Ul has Yargop ; Mr. U.C. Muktibodh; Ms. Sharmila Ba rua Roycho wdhury; and Mr. Vishal Kampani , and you can see their experiences, they are all stalwart and quite experienced in their respective fields, so which is really adding the values to the board.



Senior management team from left , Mr. Nitin Patil, Vice President of EPD and IPD Operations and Nuclear Business ; Mr. Mohan Patil, who Heads HR; Mr. Rajeev Jain, Managing Director ; Myself; Mr. Sunil Bapat, Vice President of WPD Plant and Solar Business ; and Mr. Prashant Kumar, Vice President Sales and Marketing.

Moving ahead, finan cial performance, employee head count 2,206, as of 30th September. Revenue, you can see again a sustained and very good growth from ■18,067 million to ■19,117 million. A nd so, as in profit before tax, we have grown from ■2,282 million to ■2,485 million. Again , a very robust and steady, you can see revenue from operation, with CAGR of 20% continue to grow . Profit after tax , again , with a very good 25% CAGR what we are growing steadily . And EBITDA , again , with 19% CAGR. So, very steady and robust and sustainable growth we can see from these charts.

Net worth , again , you can see a very good number ■15,371 million , this is as of September YTD. Left hand down the side , you can see ROC E, this is with cash and bank balance, which is again 23.45% continue to be a very robust number. Right hand side up, you can see EPS, September end declared results, it is 10.73. And dividend, which is for 2024, that is 200% .

Net financial position, we continue if you see with nuclear , the upper hand bracket, we can see around ■300 million, ■299.3 million , so we continue to maintain our net financial position, liquid cash. Business highlights , as you are aware the market segment, Energy,
Building Services , General Industry, Petrochemical and Chemicals, Mining and W ater, so we have six market areas and 21 submarkets.

A quick glance at order intake, so generally as we provide this, this is a monthly average and you can see a very good growth, that is ■254 crores, that is a monthly average for YTD September 2025. And this is , as I mentioned , steady and driven by below segments, that is Supercritical; Conventional Energy; Export, we have a good growth in Export, th ese 9 months ; and Water Waste Water .

Coming to orders on hand, again, a good growth story, you can see without nuclear , we are ■13,254 million; and nuclear alone, it is ■13,138 million. So total , it is ■26,392 million. This is orders on hand. Again, a very robust situation what we have.



10 top customers, you can see few additions, L &T, we have addition and we have a couple of dealers like Swastik T rading, who has been added this year . And Haryana Renewable, Solar also as you know, we have this time a government customer from Haryana.

A good export performance , as I mentioned, which have been our discussion in last couple of Investor Meeting , so you can see YTD September ■390 crores, and we are 17%, which is an export percentage to total OI. So, again, this is a good export performance in this 9 months. I would like to give the mic to Mr. Prashant Kumar to present on overall
Sales and Marketing segment. Thank you.

Prashant Kumar: Good afternoon, everyone, and thank you, Mr. B

have. S o, I will be
taking you through regarding the order intake as well as what are the sectors which we are concentrating for our business growth in future,
which is this year as well as for the future. B ecause most of the time, as Shraddha was talking, we always look from KSB 's perspective, people talk more about nuclear . So, we thought this time we will tell you what is without nuclear .

So, this is what Mr. B have talked about, we have got six market areas, basically Energy, Building Services , General Industry, Petrochemicals and Chemicals, Mining and Water. And, basically , I will take you through all the segments, what we are doing and what exactly we want to do and what are the growth stories where we 'll be concentrating for the future.

This is the order intake trend, means if you look at this, this is basically give you an idea of what is the order intake with nuclear and what is the
order intake without nuclear. So, the yellow highlights which you see is the order intake that has come without nuclear. So, there has been a growth of 16% CAGR of a non- nuclear busi ness year -on-year and that also gives a comfort that we are not only dependent on the nuclear, but we are also dependent on standard and project segments, which form
the core and the largest share of our business.

This is how the various segments, the six segments which we talked about, the market areas, this is how exactly is the sales share. So, you can see that the W ater is the one, which is the biggest of the lot of all the segments that we cater to, which is 29% of our sales. General Industry constitutes around 23% of our sales ; Energy constitutes about 18% of our sales ; Building Services , 8%; Petrochemical and Chemical , 21%; and Mining is 1%.



In this business or in this six segments if you look at, W ater, General Industry and Building Services is more from standard perspective ; and Energy, Mining, as well as Petrochemicals are more coming from the project business. These are the various customers also whom we are catering. So in W ater, we have Veolia, Wabag, Voith.
In General Industry , Therm ax, of course, with Praj and ThyssenKrupp.
In Energy, Larsen & Toubro has, as Mr. B have talked about, this is one of the biggest order which we got this year ; and Thermax and ISGEC are the OEMs to which we supply our energy pumps. In Building Services , we have been working very closely with most of the consultants and the contractors and also the builders like DLF, Voltas, Shapoorji .
In Petrochemicals , we have been doing business with most of our PSUs as well as Meg ha and Petronet LNG .
And in mining, which is our new baby, we have started this business only about 2 years back and we have started working with customers like ArcelorMittal, Hindalco, JSW. So, I will first talk about E nergy. So, basically, if you look at this picture, means this is we a re talking of a growth from 458- gigawatt to 780-gigawatt and this is what, is the ambition that government is looking at. And , I will be more concentrating on the thermal part , because this is one business which we have been concentrating and this has also been one business for which we got a big order this year.
So, you can see that nearly 43- gigawatt of thermal capacities are going to come up, which actually will mean that there will be more super critical power plants that will be coming up. People like Larsen & Toubro, JSW, NTPC, these are the people who will be coming up with more and more requirements in next 4 to 5 years and this will be the one growth story that will be there for KSB for the future as well. This has been our growth story, when you look at from the energy market trend. We have not only this time concentrated in the domestic market, but we have also been working with export market. We were also

quite successful in U.S. market, where we got thre e or four big projects. And this is the product portfolio, which you can see is what we manufacture for the Energy division.



Next is the W ater, and as I said, the W ater is one of our biggest segment that we have. So, why Water becomes the biggest segment , as the population grows, this requirement of water will not go down. So, you will require water for drinking, you will require water for sanitation, and you will also require recycling plants and desalination plants , because water is going to be a scarcity in the future. And this is why, this business is one business which definitely we see will be there and we don' t see any dow nside coming in.

And typicall y when you look at India, where we are having very less desalination plants or we have now started concentrating on Tier 2 and Tier 3 cities for typically waste water treatment. This offers a good business opportunity for KSB in the future.
So this is the trend that you see here. I'm only talking right now of Waste W ater division, basically, I 'm not talking about irrigation.
Somehow irrigation was not very good this year , because of the extended rainfall, but Waste Water is one division where we have been growing quite successfully. The reasons for this is, of course, the infrastructure growth, followed by the introduction of the new products that we brought in, typically like Vertical turbine pumps , or Sewatec, or even our KRTs with K35

motors , which are giving us a robust growth into this area.

So, you can see that we have been working with a lot of municipal corporations and we were quite successful with few of them this year. Followed by even people like Wabag and Voith, and they have come up with the industry requirements as well, especially for Reliance, so we got big orders for Reliance for both Nagothane and Dahej for their both plants. Coming to the Building Services , basically, this is one segment which we definitely feel will be the future like the W ater. As we move more towards the urban infrastructure side, buildings also will be coming up, so will be the metros, so will be new hospitals and accordingly the airports as well.
So, in this segment, I ’m not talking about hydropneumatics or those aspects, but I ’m more talking of firefighting which we see as our Sunrise segment for the future. If I’m asked how exactly you look at the firefighting business out of – this is close to around ■625 crore of a business and close to around 12,000 units are being sold annually.

And the firefighting market is being divided into two, listed as well as unlisted. When we say listed, this means it is with UL and FM requirements, basically UL/ FM means the insurance is done, this is the insurance part and for having that insurance, you need to have a product which is with UL/FM certified. And, most of, whether you talk of Amazons , or you talk of data centres, you talk of airports, this requirement is becoming more and more stricter and people ask for UL and FM. So this market is graduall y increasing.
When we talk about non- listed, as we grow, so has our fire norms become more stricter. It is now becoming very strict that each building above six floors required to have fire systems in place. And that is how this unlisted market also is likely to grow and that is how we see this business coming up in the future.
If you see our business growth in this segment very specifically, means so I’m talking from 2021, we have grown at a CAGR of close to 50% and we see this growth continuing even for the future as well. I’ll just come to the next slide , where we talk about the new products that we have brought in. And, as I said, UL and FM will be required more an

d more as we grow up. So that is one of the reasons why we have also worked upon and brought new products , which are UL/ FM certified and that helps us to have a competitive edge in the market as compared to against our competition.
We have also brought this MFMO, which is a multi -stage vertical execution pump, usually when you look in cities like Mumbai , or Hyderabad , or Bangalore, where the space scarcity is quite high, having a big pump house is not an easy solution. And there , people look for a vertical installation rather than a horizontal installation . And that is why we have brought this product as well. We have also brought remote sensing monitoring people like to have things on their apps rather than doing it physically. So this all the digital innovations, which we are doing. And last but not the least is definitely the I E5 motor, it is considered as one of the most efficient motor that is available. And introduction of these motors also helps us to have a good advantage in the market as compared to against competition. Then comes to the General Industry , of course, this is always the backbone of any organization and for KS B, this has been one of our forte for years together and it will remain as our forte for the future as

well. If you look what exactly is driving the industry, the demand is primarily coming from the infrastructure push. So iron, iron steel, cement, these are the sectors which we see on a growth trend.

The second sector where we see a lot of things happening is definitely the ethanol and that is how with the requirement of 30% of blending.

We see this growing and we have been quite successful in this particular distillery business , where we have supplied close to more than 1,200 odd pumps in last 2, 3 years. And we see this trend still continuing for next 2, 3 years, until unless we see a stoppage coming from the government side.
One thing that has changed a lot in last few years is the data centres. I mean, this has been one area which has come up in a big way in India . And we see a lot coming up in the future also and we are ready with our product range to cater to this data centre requirements. And we have been successful as well, where we have supplied the pumps , especially for this Tata project in Sanand and we are quite hopeful that for the further projects which are coming up in Assam as well as in Dholera and other places, means we will be also getting more and more requirements.
And the industry has grown at a CAGR of 8% and as I said before, it is primarily coming from distilleries, paper, as well as from the steel and metals.
In this segment, I have already talked about firefighting, but then I will also talk about the new initiatives that we have taken. And, first, I will take you to Marine , means these are the sectors which we introduce very recent. Maybe recently means 2 years back. And we are seeing a good growth coming into from these segments , which also helps us to bring a growth into the General Industry business.
KSB India was not very present into this industry, but with the Make in India concept coming in and more and more indigenization of the ships and things happening in India. This is one sector which we see will be definitely propelling the growth strategy for us in the future. And these are not very standardized pumps, these are all kind of tailor made and we're looking at the space requirements, you have to be very clear on, you have to fit into a specific space only, and that is how we have been working on these segments and the applications that are coming up with Marine.


Commercial ships yet not a big business in India, but again, with Mr. Modi 's vision and we are also seeing now commercial ships also h

ave started coming up in India, but still it' s a long way to go, but we are ready even for this segment as and when this starts propelling in India.

These are the product range that we have introduced for our Marine business , the monobloc pumps , or basically ILN, and we have got three pumps tested. Because in Marine business , the requirement is that you have to type test the pump before it goes for your approval. So, we have already done the type testing and trust me, this is our long broad process and it takes a lot of time and efforts to get these activities done.
We have more or less got approval from all the government agencies as well as all the ship builders who are manufacturing these ships. And we are quite sure that with the p rivate shipyards also coming, this will help us to further improve our market share into this business.
We have also been partnering with the OEMs like who manufactures the refrigerations and the HVACs for these systems and we have got good orders also from these players. Next is the new technology, means we are not only just talking about the old single -stage or multi- stage pump. W e are also talking about new sectors where we see the growth coming in the future. First is green hydrogen, we have started working on this, we supplied our first pump to Larsen & Toubro for their 1- megawatt prototype green hydrogen plant. And, now, as the L &T's new requirements are coming up, we are quite sure that this business also will definitely gain momentum.
Train business, the Etaseco which we introduced uh last year, just to give you an information, we have close to sold around 400 pumps this year as well, typically to the OEMs like Siemens and ABB.
Wind power is one sector which we are looking at for the future, means we are still not ready for it, but we are quite sure that we will be ready for it very soon and this also is a big business that is predominantly present into the coastal areas especiall y in the southern part of India.

And last is the life science applications and as the population will grow, the requirement of the food will go, we will be getting more towards packaged food and breweries and those kind of things. So, we have
developed the pumps also for these applications and they are kind of supporting, helping us also to get into the primary part of the process
plants, which helps us also to increase our numbers into this business.


Coming to Petrochemicals and Chemicals, nothing this year was not
that great for this industry, specifically , when we talk about from
refineries, the expansions were not that big, but definitely 2026 and 2027 looks quite positive with the new expansions coming up in Reliance as well as BPCL Bina, uh IOCL Panipat for m aleic acid and
HCL Mumbai refinery expansion. So, we are quite sure that this
definitely will also help us in 2026 and 27 for this. This slide is only just to give you also an idea that apart from the products that were available for us for this particular segments we have
also, we are now developing a BB1 pump type for this particular segment and also the VS4 type. Of course , these are all a bit technical
for you, but this will also help us in offering the complete product basket. And this also is helping this year in the exports market, which
has given us quite good business this year , especially , in this particular
segment.
Coming to Mining, as I said, this is a new baby, only 1% of the sales is coming from this sector. But this new baby has started crawling and
gradually it will stand on its feet. And the reason for this is definitely
the introduction of the new products that we are now started manufacturing in India, earlier it was coming from U .S., especially
GIW or South Africa. But, especially , this LCC, we already have
developed the sizes, we have got order

s for it. VMD, we will be making
this pump, which is a vertical pump for mining industry in India, and it will be supplied to the world, so we will be the plants catering to the
world requirement of KSB from India. And we see this as a good opportunity for the future. So, if you look at all my market segment discussion, we mainly talked
about products, which is one P of our business. The second P is , of
course , the place , and as Mr. Bhave talked about, I will just talk about
our trusted partners, that is the dealer network and most of our business that happens is through our dealer network, which is close to about 800 plus dealers catering to the standard business as I tal ked about
especially Water, General Industry, and Building Services .
And, definitely , Raja will talk about valves as well as Rajesh will talk
about SupremeServ , how the dealers are helping to grow this business.
And as we are growing, our network is growing, it is helping us to cater to the industry as well as it brings in a lot of accessibility to the market,
otherwise it becomes very difficult to cater all part of India setting in
Pune.


The last part is, of course, the promotion. You cannot just rely on the
products and then just the dealers . We do a lot of promotional activities
to talk about what KSBs all about. We have been doing medias. We have been talking about doing digital. We are participating in lot of exhibitions.
Even last Friday, we were at Calcutta for Industrial Plumbing
Association Meeting , which was considered as one of the biggest kind
of exhibitions for the Building segment, especially for the plumbing
activities. So it 's not just only products, we are talking of products, we
are talking of network development and we are also promoting KSB as a brand to everywhere.
So, with this, as India is growing for $30 trillion economy, I mean, that is what the goal is. Definitely , this will offer more and more
opportunities. And, since , we have brought in lot of products, which
definitely helps us to cater to more and more market requirements. We

are quite sure that this will help us to grow and this will definitely provide KSB an effective edge for any sectoral headwinds. That was it from my side. Thank you.
Raja M: Thank you, Prashant. I'm v ery nice talking to you today here. Before I jump into the business, I thought I 'll give you a small perspective about the Valves Division , and then the business outlook and then the technology, what we are adapting and how we are taking on the future.
So, this is the plant that' s located in Coimbatore, which was established in 1987, and here we make the SIC CA brand, which is the German design valves, which we make in this plant. The total permanent employee strength is 325 and it 's spread over 28,000 square meters. As we reiterate the SIC CA, we make wide range of gate, globe and check valves, which are towards the energy market and the general industry. So this is the genesis of the plant. This was started in 1987. I think the takeaway from this slide would be that we have been continuously looking at the market and developing the products that is required to the market , so that we consistently are aligned with the market requirements. So, we started off with a smaller size valves initially, and then we moved on to the bigger size low pressure, then we moved on to the high pressure bigger size, and now , we are continuously working on the market requirements as we go forward.


This is the product genesis, the sizes as you would see, it 's moving away from the smaller size. What we see in the market today is both in the general industry and the power plants, the bigger power plants, the size of the valves requirement is going up higher, and we are geared up to beat the size ranges that are required for the general industry and the power market.
Just a glimpse of few valves, so the biggest size that we do, I would just give you a weight range of almost 5 to 7 tons on the smaller size up to 18 tons is what we have handled so far of a single valve. This gives us that sort of a reach to the customer that the customer can look at us from a 0.5- inch range, up to the 48- inch range.
This is one more snapshot, how we cover all the ranges, starting from the class rating, which decides the application criticality in terms of high pressure and high temperature versus the size , which can handle the volume of the requirement. So, we have been continuously growing.
The green segment that you see has been the last 2 years where we have been consistently growing on the bigger size ranges. A few success stories, I would say, we had a major order which we executed for Hyundai, which is for Orl en's project. This is a huge project of 260 valves, which are all of bigger size, which called for a new development, which we could do it in 12 months' time with the full development that 's involved. I think that reinforces our belief that we are geared up to the market in terms of both development and also in terms of capacity and other requirements.
And, proud to say, the Chinese market is one big market for us in the exports, and they came up with the TSG certification, which is an entry, if you have to supply to them, I think we were the one of the first valve plant that could get this certification. It brings in its complexity , because the requirements are not very clear , and you know Chinese requirements, the other things have to be complied to before we do it, and we did it first time , right , when we had the audit, and now we have the certificate for that.
Prashant highlighted this. I think 50% of our valves business comes from the dealer segment. And we believe they are our extended partners who reach out to all the nook and corner of the markets, with which we are able to grow consistently, and we have 46 dedicated dealers who only handle valves. So, this gives us a reach, which is required for us in terms of the market penetration and also look at the new markets that we need to grow on.


The industries that we are present today, I would say, Energy and General Industry where we are very concentrated today, and we are slowly getting into the Oil & Gas , right? We have not been significantly present, I think, you are getting into it now.
And just to give you the growth of the valves business, I think we have been growing at CAGR of 22% on the order intake and

21% on the sales over the last 5 years. I think this has been basically driven by the consistent order intake and sales that we have been able to do and a lot of range that enhancement they talk to you about. We have been having a product basket , which the customer can rely upon a single stop shop for the size ranges. That's helping us . And we also have an agile supply chain , which is predominantly spread which helps us to know supplement the growth plan that we have.

Technology adoption, the valves market is very tough, the delivery is the first one and also to handle the complexities is the second one. So, we look at our own best practices in terms of the lean. So, we have created a hybrid cell , which can help you to mitigate the risk of the product mix changing in the market between low pressure and high pressure.

We are also investing continuously on the bigger size valves handling, including the imported grinding machine that 's helped for the valve seating arrangement. We also invested on laser technology for the welding technology which is overlay, which is a heart of the valve , I would say. So, this all is done in terms of improving our throughput and also th

e capacity and consistency with first time , right ?

We also take a lot of digital initiatives , because we are present in the project business and OEM business , and the requirements of all the customers in terms of the quality requirements, quality assurance plan and also the final documentations are totally different. So, we have to adapt to the requirement that 's how we can differentiate ourselves from the competition. So, we do what is important to us to respond very quickly, automate the routine processes and eliminate the hard copies.

I think this has been our approach, which has helped us to really reduce the cycle time that 's required to handle these requirements of the customers.

Supply chain strategy, I'll talk to you about this. I think, we are continuously enhancing the vendor base Quality, we are also proactively investing on capacity by additional patterns that is required



in the foundries. We are also looking at strategic alignment on the bought out like the actuators and gear boxes, which helps us to be competitive in the market.

Quality. We have a four -pronged technology, typically we have an incoming inspection, we also have in process and final. What we have also built in is the vendor quality management , which takes care of the new vendor development and also maintaining the consistency of the quality through proact ive alignment with the vendors. So, this is actually helping us to complement our growth that we are looking at in terms of our valves business. We give a lot of emphasis on safety as KSB India , and so do the Valves Division . So, we look at a lot of proactive measures and we also look at the requirements which are supposed to be complied and we also participate in the local domain in terms of understanding the best practices and we also are getting recognized for the initiatives that we take.

ESG. It's in KSB India 's guideline that whatever we do has to be aligned to ESG. So, we have been doing a lot of efforts in terms of moving to 100% solar , which is helped us to know avoid the carbon footprint and we also are consistently doing practices that will help us to reduce the energy wastage.

We also wanted to differentiate ourselves in the market , because in the valves market , GGC is more like a commodity market. We should look at more towards solution rather than a product. So, we look at engaging our customers into knowledge in terms of understanding our product, USP's of our product. So, we have a Valve Learning Centre that we have created which was originally incepted for the knowledge for the incoming new people. But, now, we have extend ed this to all our dealer front -end and also to our customers. This gives us a connect that is very important in terms of looking at a solution rather than just a product.

The plant is equipped with continuously working on increasing on the capacity, which we do by our own efficiency improvements, and also lead concept implementation.

We also have lot of initiative that we take in the local domain for CSR. The first is a skill development, which we have provided and simulation welding technology to the local Industrial Training Institute, which will help us to create the talent pool in the domain. Look at the core processors, where we don't have people today taking the offering. So, this help us to really create that base for the talent pool. And we also work with the local schools, whatever support they need in terms of infrastructure. This is more towards giving back to the society from where we operate.

All these does not happen without the people, so we have lot of extensive, I would say, every diversified employee engagement programs, which helps us to keep the team that's behind just to be motivated.

Way forward, we will continue to focus on the four quadrants we do. The new market, as I mentioned earlier, we have been strongly present on the General Industry and Energy, now we are getting into Oil & Gas. And we are also getting into General Industry, where there is a non -IBR requirement, it's a huge market that we have seen, so we are getting into those markets.

For getting into the new markets, API Monogram is required, so we are working on an API Monogram , which we will be getting in 2026. And also to the Saudi Aramco business, which is for the export. So these two certifications are, what we qualifications, what we will take forward.

New products, we are looking at expanding our base in terms of bellow seal valves, which we are not present and knife edge gate valves and metal seated ball valves. I think these all have come through the customer requirements that we h ave received over the few years, and we are trying to build up as we have been doing in the years before.

Manufacturing strategy, I think, we are continuously focusing on an efficiency and throughput improvement and that 's the only we have been growing so far. And, we also looking at adapting the smart and latest technology, which I explained to you about the laser technology that we have adapted and capacity will be a continuous process that we will do as deem to meet the customer requirements. And that 's it from me. Thank you.

Rajesh Kulkarni: Good afternoon. I'll take you through SupremeServ overview. As Prashant explained, we have got so many products in our product basket. There are so many initiatives as far as the products are concerned, which are coming, which are already there. So, it's very important to have these products to be served properly, the end users who are using these products, should be really satisfied using our products.


So, this is what we are here for. SupremeServ is a brand name which was given in 2018 for the aftermarket business, once any product is sold, then the entire life cycle of that product has been taken care by SupremeServ . This was created in 2018 with a special focus that it has to be focused properly to give a proper justification or a vision to the customers.

So, broadly, in earlier times it was only giving some services to our customers or supply of the spare parts, but it 's not the way now we operate at. What are these various initiatives ? What we take care? I'll just explain in next few minutes.

Our location, you have seen this beautiful plant in Shirwal . Before inception of this plant, all these pumps which are manufactured in Shirwal . Now, those were manufactured in Chinchwad. As we moved from Chinchwad to Shir wal, we have got that plant available for us and we thought that why not to really make this plant dedicated for Supreme Serv activities, for the after market activities.

So, this plant which is based at Chinchwad basically was a plant of manufacturing, which is now converted into Supreme Serv activities.

The total area of the plant is close to 15,000 square meter where we operate from. What is available in our plant in Chinchwad.

So, these are the various things which are based in the Chinchwad plant, we have got central warehouse which is taking care of the standard spares distribution. We have got seal manufacturing which is available in Chinchwad. We have got reverse engineering laboratory, I'll explain in the future slides, what is it all about? The seal repair centre, a dedicated machine shop for the various activities of aftermarket. Of course, the office area. T hen, the boiler circulation repair laboratory. And the biggest re pair centre. These are the various things which are

actually located, which are t he various particles of SupremeServ which are based in Chinchwad.
We call this as SupremeServ tree. If you se

e in this tree there are many
fruits , which we proudly take care and which have the various verticals which we focus on right from retro fitment to pump spares , right , from reverse engineering to reciprocating pumps and, right , from the MIL valve, which we replace to the in- house repairs.
We will go quickly what we do slide by slide. These are the two things , which are a new addition to whatever we were doing earlier, one is the

optimization services ; and the second one is BP & CL pumps business for aftermarket.

What are the offerings of the after market ? What are the offerings of Supreme Serv? B roadly, it can be categorized as Spares, Services and Digitizations . In Spares , again, there are two sub- parts, one is the standard spares , which are required for our standard pumps ; and the second one is engineered spares. In Service, what we give to the customer, mainly it is repairs, retrofit, replacement and the other services, which will come in the later slides. In Digitization, we have
got tools to help the customer to really identify the problems well ahead once it fails or how to optimize uh the operation of the pump. Let's go one by one about the first big vertical of S pares. Engineers
spares are those spares which are really required for the engineered pumps and the genuineness of the spares is far more important. These
are manufactured with our stringent quality norms in either in Shi rwal or in our other plants to supply it to our esteemed customers.
As Prashant also explained about the big network what we have of our dealers, most of our dealers are our authorized service partners also. As
these standard pumps are rooted to the end users through our dealers, it's important to really cater to these end users with the spare part supply
and with the services what they require. And these are also rooted through our service partners. We have actually got 76 different service partners for the industrial spare parts , and for the submersible, those are more than 200. So, all the pumps which are going in the market are properly catered by all these service partners , which we have across the country. When it is important to serve the customer, it is important to serve them with proper spare part supply also. So, we have got a very big
warehouse in our Chinchwad plant, which is called central warehouse.
The total area is close to 2,500 square meter and the bin locations, the various spares which are kept in the warehouse are close to 14,000.
This is mainly to increase the speed of manufacturing to supply to our end users. All these spares from our warehouse are the standard spares , which go to our service partners and then to our customers. Mainly, this is the mother plant, this is the mother warehouse, and all our service partners they are actually storing the necessary spare parts with them. So in this way, the distribution is flawless and then it is speedy to.

We have got the new entrant in the family called mechan ical seal , it's a very important part of any pump. We have got the seal manufacturing facility as well as repair facility in our works in Chinchwad. We are expanding this actually the repair centre as well as the 5 Axis machine, which we have recently bought. It's r eally speeding up the mechanical seal manufacturing line.
Then about the S ervices, we talked about spares, when we talk about Services, there are various initiatives what we take to help our customers. These are those, right , from repairs, if you see the entire life cycle of a pump once it is sold to a customer right from the beginning, installation, commissioning, till the entire life cycle of the pump, the end user always needs support from KSB and with these initiatives right from the rep

airs, the retrofit or modification, the replacement, field service, revers e engineering, et cetera., with help our customers to run these pumps without any problem, which are those I'll just explain. First is in -house repairs. If it is required t hat the pump cannot be
repaired at site, sometimes it requires major overhauling, sometimes it requires major repairs, then we bring the pump back to our works to repair it. We have got these six different repair centres across India. The
biggest one is in Pune , and then one in each zone close to the customer
to repair th e pumps in- house with us.
Once the pump is sold it might be required that we need to retrofit or
modify the pump to suit the requirement of the customer, may it be for changes of the parameters, may it be change in the metallurgy to suit to
the process of the customer or for efficiency increase of that particular pump. So , we take care of these retrofit and modification jobs.
Once the life cycle of the pump is over, it is necessary to replace the pump also. So Supreme Serv takes care of replacing the old pumps with
the new pumps, not only the KSB pumps, but majorly the competition pumps as well. What we do is , at the same footprint , where the existing
pump is located, we match through our engineering services that the new pump is designed in such a way that there is no major modification of piping or civil which is required at site and the replacement thing is done without any pr oblem.
In the same line, we also do take care of the LSTK contracts , which is
called Lump Sum Turnkey, which involves everything right from some
small civil foundation to piping to instrumentation, of course ,
replacement of pump and then commissioning and handing over.


Then, the field service support , the backbone of Supreme Serv, we have
got 40 plus service engineer working continuously at site. This mainly
is for installation, commissioning, troubleshooting or any modifications
at site.
Some few examples of v ery prestigious project of flow line
displacement pump in ONGC Kakinada , where on a floating platform
the engineers were working 24/ 7 to run the pump and to make that
happen on time.
And a new vertical called reverse engineering, here, we have got
various 3D cameras available with us for scanning. We not only scan
and reverse engineer, but sometimes we change the metallurgy, sometimes we change the parameters of that particular product what we take to improve the performance of that product or even that pump.
There are cases that recently we have reverse engineered a complete pump and supplied it to the customer and it is running without any problem. This is mainly for those customers who are facing huge problems of getting the spare parts in time or those are imported or they are not getting support from OEM , et cetera, wherein we help the customer to
reverse engineer those parts and to supply it to them. The boiler circulation pump in a super critical or subcritical power plant, this is a very important product, it 's a big product called boiler
circulation pumps . And the repairs of such pumps is very critical, it
cannot be done at site, especially the rewinding. So, we have got a
special laboratory of repairing these boiler circulation pumps in Chinchwad, where we not only take the pumps from India, but there are
one, two cases where we get these pumps even from Malaysia,
Indonesia to repair these pumps. In optimization services , there is a data logger what we install on a
pump, that means it 's just like a cardiogram taking the health of a
human being. It's a cardiogram , which is taken by this data logger and
we analyse it properly, and then suggest s the customer what should be
the remedial action to improve the performance of that particular pump.
Mr. Bhave also informed about the MIL valves actually, there are

huge
number of this automatic recirculation valves , which are installed at
site. We take care of replacement of these walls with our own MIL
valves , which is giving long life to the customer about these valves . So,
we not only take a care about the pumps, but some auxiliaries of the pumps as well.

BP & CL, Bharat Pumps & Compressors Limited , we acquired this
company, the technology knowhow in 2023 earlier, and then we started this business, the entire range of parts and services what we cater for on our own pumps. This has been done for the BP & CL pumps also. T his
acquisition really helped us to get a good installed base of BP & CL, a
new product called reciprocating pump, where we are now developing the competence of supplying the spare parts and the pumps to our customers.
This was about the part supply and the services what we provide. It’s
important that the customer should have the digitization services also, everything works on mobile now. So if it is available, the health of the
pump is available on the mobile, it will be far better. So KSB G uard is
one of the product, which is a small online monitoring system, which gives the details of the pump, what is running about the temperature, about the vibration, about the running hours right on the mobile of any customer, and i t helps the customer to know the health of the pump.
In case if it is going to fail, there is a pre -intimation given to the
customer that the bearing temper ature is rising, so please shut out the
pump, do something. This helps the customer to really increase the life of any pump.
One more tool , which we have is a Sonolyzer , it’s a mobile app, you
just take the mobile close to your pump and with the noise of the motor, it judges what would be running inside the pump and how can you improve the efficiency of that pump. So, the analysis can be given to
the customer, and then the customer can run the pump efficiently.
So this is in all as we are really focusing very hard on these aspects,
spares, supply, digitization. Our focus is really to have a self -sufficient
team. So we have got every team member right from sales to controlling
and right from manufacturing to the warehouse. So, slowly , we are
focusing on this aspect very well.
As this plant is big one, we have got the initiatives for energy and health also, as Raja also explained, we have got the rooftop solar system installed in the Chinchwad plant and majority of our power is generated inside. The result here you see, actually, we are growing at 18% or plus in last
few years, mainly with these initiatives which we have recently taken.
We are very sure that this growth will continue further. These are some

sales figures which are done only from our plant , in Supreme Serv plant ,
as this is only from the warehouse, from the reverse engineering or from
the repair centres what we do.

Way forward what we are going to do in the future is, we will really expand our service partner network. As our standard business is far too bigger, it’s important to have all these pumps which we supply in standard market to be catered properly. So, we will really expand our network.
People , performance , passion, were our three pillars, so people are
really important for us. Their training, not only training of inside people,
but training to the customer is far too important. So, we will really focus
on the Supreme Serv Academy, wherein we are going to build a proper
training centre for our own people as well as our customers. There will be some development in infrastructure in our own plant. And through our digitize services, what I explained and coming more, w e will really
focus on the speed of what we give it to our customers. So, this was from my sid

e about the aftermarket business, our motto is
to really grow higher, faster, stronger and mainly together. Thank you
so much.
Question -and-Answer Session
Shraddha Kavathekar : I request the management team to come forward , so we can start the
question- and-answer.

Unidentified Analyst: Yeah, to start off just wanted your colour on the export strategy,
currently , it’s around 15% of sales. And we have entities all over the
world, right, the global entity. So, if we have to look at it, can you throw
some more colour as how the parent is looking at the Indian entity for
exports ? For example, the order in the Middle East where we supplied
from here . And so, is it looking at as a cost offset , because we can ’t we
are only assembling over there or it ’s Europe and China, I me an, cost
pressures or change in strategy. So, we get some export related from
how the parent is thinking about it ? Or the India entity obviously as
well. But, yeah.

Rajeev Jain: Yes, KSB, has a global manufacturing network and the business globally supplied mainly in the regions. So, especially , plants in Europe, China, India, Brazil, the group ensures that the loading of all plants is adequate. So, it is we have a n internal supply chain metrics, where we are allowed to export to some locations , where China is allowed to

export to some location, where Brazil. So, they maintain a quite a bit of balance that all plants are given an opportunity to export.

So depending on that, India also has some particular products which they are allowed to export. And you mentioned about oil and gas and that is one of them. Since we have a complete comprehensive product portfolio in oil and gas, we have started exporting to these regions, but export is not as simple to get into this region, you need to be on their AVL, approved vendor list , qualification of plants. So, there is a long process, also you need to have PTR.
So that thing is started and China is also coming up with AP I plan. So it will be who performs better, customer acceptance, it also depends on factors, which EPC is successful. If Chinese EPCs are successful, they may prefer Chinese pumps . And if there are other EPCs from India, for example, L &T or somebody, then they are preferring.
As a road map for group perspective, they are encouraging KSB India, China, Brazil, all factories to increase their share of business, and it is continuously increasing.
Unidentified Analyst: So just a follow -up on this, the Indian plant got that Level 3 rating, which was the only plant in emerging markets for that rating, right? Rest two plants are in Europe. So that also does that open up markets for and because there are no other plants in the emerging market related, I mean with that rating, so for the high precision parts . So…
Rajeev Jain: Of course, if you have seen there was a slide on USA business.
Unidentified Analyst: Yes.
Rajeev Jain: And this business came up this year. As the gas power plants in U .S. started , the acceptance, not only from the customer, from the group as well that they allowed India to export directly. It's another thing that the tariffs came up and little bit, but still we have got orders, we are continuing that. S o it is effective partly of the business, but having that Level 3 or the best certification of this plant helps us to get better acceptance within the group as well as with customers.
Unidentified Analyst: So export should grow robustly from around…
Rajeev Jain: Yes. Export should grow definitely, because step by step more and more acceptance is happening. We are developing references. So, I see no reason why we should also grow in that.


Unidentified Analyst: I have more, but …
Rajee

v Jain: Yeah.
Unidentified Analyst: Good afternoon. So my question is, sir, we grew very fast in last 4 years. But in last 9 months, growth has tapered down, right? We grew by, I think, probably 7%, 8%. And the pumps were especially very slow. Of course, the order book has grown at 22% in last 9 months. Can you please explain the weakness? Why there was weakness and this sector was weak in the last 9 months? And does this high order intake give us enough confidence that we go back to the double -digit growth trajectory?
Rajeev Jain: Yeah, I would like to clarify here, there is no weakness per se. There is a good order s on hand. It's only a matter of delay of this nuclear order.
In the order book is sitting, the orders from Gorakhpur, Haryana project and also Kudankulam project, which due to the nature of that business

is a bit slow. We expected this to happen in this year, but it may not
happen in this year, a very smal l portion may happen this year. S o that
delay has a bit of an effect in this year sales revenue, but I think in the last quarter we have also a good backlog.

So I would say that this little bit slow down compared to the previous
years where we grew at 15 % to 17%, can be attributed mainly to the
delay in dispatching this nuclear pumps, for the nuclear pumps.
Unidentified Analyst: My second question is solar pump. I think you' re guided for global
presentation , €107 million, right? €107 million by CY '27 for solar
business. So what is the order…
Rajeev Jain: How much did you say?
Unidentified Analyst: €107 million, I think.
Rajeev Jain: €107 million by 2027.
Unidentified Analyst: Yes, by 2027. Yeah , I think so. The presentation is there on the website.
Rajeev Jain: Okay . Okay . Okay .
Unidentified Analyst: My question is, where are we right now and what is the order book of solar as we speak?


Rajeev Jain: Yeah. I think solar business is growing well. There is continuation of
the PM-KUSUM scheme also announced. And we are doing well. I
would say we would, let 's say , grow from our last year at least 50% of
the business. We are being careful here not to go too aggressively,
because this business involves a lot of working capital and involves a
lot of long period for cash to cash cycle.
So, we are doing it in a step by step way, but we have made new entries
into new states in No rtheast. W e are getting making entries . We have
got entries into Madhya Pradesh. So, we are expanding our business
which was predominantly in M aharashtra, we are doing it Pan -India.
So, the future is good and whatever strategy we have made, we are well
on track.
Unidentified Analyst: Sir, do you have the number for the order book for the solar?
Rajeev Jain: Are we allowed to give what numbers?
Unidentified Analyst: Order book for solar in the current order book.
Rajeev Jain: It will be somewhere , order book would be around, let 's say, I would
say more is on the sales revenue, order book is converted into sales revenue. So, we should be able to do something similar
more than ■250
crores or something like that.

Unidentified Analyst: Understood. My last questions on the nuclear side. So, w hen we expect
the dispatch of the Gorakhpur and Kudankulam and the and the Kaiga,
if you can give some guidance, would be helpful.
Nitin Patil: Yeah, I think last time we had said that we were hopeful to deliver few pumps in this quarter. But however, the
progress at test bed has not been
as we expected. So most of the things are ready, but some last minute
issues remain. So, especially , related to electrical power and some
auxiliary connections which are not in our scope of work.
So having said that, I think, we are hopeful that the pumps should start
somewhere in next month or first half of January. And then after that it
is test

ing of 500 hours, customer has an option to increase it to 500 hours more. So, I think next year first half we should definitely
see. I
know we are telling it – I think we are changing the dates. However,
I'm still hopeful that for few of the pumps of Kudankulam, we will
deliver this year. T hat progress is good there. We will deliver few of the

pumps of Kudankulam, but the numbers may not be very great, but the
deliveries will start.
And Kaiga is still on , because the manufacturing clearances have been

given. So, the main critical items, the manufacturing has started, but it
will be only after we complete the deliveries of Gorakhpur.
Unidentified Analyst: Understood, sir. Thank you.
Nitin Patil: Thank you.
Unidentified Analyst: Hi, sir. Here, sir. Sir, my question is on Supreme Serv. We've done a lot
of work on Supreme Serv over the last few years. Is there a number in
mind that we work with in terms of can SupremeS erv become, say,
15%, 20% of the revenue over the next 3, 4 years ? And given that it 's a
better margin business, I 'm assuming, could it have a positive rub- off
on the overall margin of the company?
Rajesh Kulkarni: At the moment, total Supreme Serv would be close to 16% , 17% of the
total business. And with these initiatives , surely , we will grow further.
The way the standard industry is growing, it will be really challenging
for us to meet that percentage , because, for example, say , submersible
pumps, those are quite big in number . But in that ratio, the spare parts
may be sold, may not be sold, but as you correctly told, yes, there are future plans to really grow it , say, up to 20%.
Unidentified Analyst: Hello? Yeah. Because, historically, we've also talked about that the nuclear pumps and the FGD pumps
are much more service intensive. And therefore, once that start to come up the SupremeServ contribution can go up
meaningfully and profitability also. So, So, can it also have a
rub-off on profitability and can nuclear and FGD contribute
meaningfully to the S upreme Serv business?
Rajesh Kulkarni: Yes, it will surely at least nuclear for sure, but with the FGD norms coming up now, FGD we are slightly
hesitant whether it will really give us those results or not. It can start , say, after 2027 onwards, roughly.
Unidentified Analyst: FGD or the nuclear?
Rajesh Kulkarni: FGD.
Unidentified Analyst: FGD. Okay. Sure. And sir, my second question is regarding the
engineering part of the business. While standard pump has grown over
the last few years quite fast. Do you see engineering pump business

contributing to the growth growing faster, given the fact that now we
have seen a lot of petrochemical plants, especially , on the E nergy and
the Oil & Gas side, we have seen a lot of spend coming up? Even when
we see engineers in they are talking about a lot of plants coming up. We, ourselves, spoke about lot of new plants coming up.
Also, thermal power is picking up quite meaningfully. So, one, do you see engineering business growing faster than the
standard pump business, one? And is theoretically, I believe that engineering business should be higher margin business
than a standard pump given that it is customized, but in LED , does that happen?
Prashant Kumar: I will answer your first question. Yes, engineered pump business
definitely is likely to grow as compared to what it has been past few years. As rightly said, yes, both in Petrochemicals as well
as in E nergy,
we see a big thrust coming because of the new thermal policy that has
been announced where we are talking of more than 43 gigawatts coming up. And same is with the Petrochemicals , where a
lot of refineries are
having some expansion. So, definitely , we see a growth coming up in
these

engineered pump. But, definitely , this doesn' t mean that the
standard pumps will take a dip. Standard pumps will keep on growing
at the pace what we have been aiming for and we are sure that growth
will remain.
Coming to your second point, unfortunately, I disagree with your point that engineered pump business is more profitable
business. If you look
at any of the engineering industries, including Larsen & Toubro, who were one of the biggest engineering conglomerate in
this. This is not
having a big impact. But, yes, it helps you to put the pumps at various places, and then, it i s Rajesh's job to, at what that into
a SupremeServ
business. But that is not as profitable as is the standard business. Because standard business is more dealer business,
where we have a better control as compared to dealing with EPCs or …
Unidentified Analyst: Hello? Yeah. So I have two, three questions. First is on the valves. I think, you mentioned that we have
applied for the certification for the Saudi Aramco, and there is also API certification. So, right now, that business is served by
whom KSB parent and after the certification, is
that going to come to the KSB India. And how do you see the oral opportunity for that business? Because Saudi Aramco is a
very big
player, so how are the other players who are supplying that valves to

them right now and post the certification? How much incremental

business that can come to the Indian entity? And how do you see the margins and all these things if you can help us from this ?

Raja M: Yeah. If you really look at, I cover that in two phases, the first one is API Monogram , just to give you an update, I think we are targeting to get that done in the first and second quarter of next year. And that 's an entry requirement for us to apply for Aramco approval. So, our approach towards API is not only Aramco, Aramco is the major thing, but like what you rightly pointed out, there is a huge competition, there are already existing players. So, we have to find our own core to take the segment that we can look at from Aramco, but we are also looking at other EPC majors and also the oi l and gas companies in Saudi, which is what we would like to venture in once we get the monogram.
So, today, I would say we are not very significantly present there. And there are other requirements which will unfold, like, today they want a localization there in terms of as facility there. So, we are now looking at the first level right now, but the market is big and the margins also is a challenge like what you said , because of the early entrants available.
And, we are looking at that AP I Monogram as a stepping stone for us to get into the Aramco mark.
Unidentified Analyst: Understood. And if I look at the base business, I think the order info growth was there in the last quarter, order book was also strong, excluding the nuclear, but we haven' t seen the execution in the third quarter. So, how do you see the numbers maybe from FY '21? Because that is a low base post -COVID, we are seeing the 18 %, 20% CAGR, but if we compare it with the 2023. I think there is hardly any growth in terms of the top -line numbers.
So, how do you see this order book execution? Because product wise, I think we are more or less rightly placed across all the portfolios. Now, in terms of the numbers, when can we see the execution will go up as well as the order inflows?
Rajeev Jain: Yeah, if I read the figures correctly that the growth is at least 8 % to 10%. It may not be as high as the previous year. So that statement that is hardly any growth is maybe not correct, I think the growth is lesser relatively to the previous year. Yes, this growth is a mix of standard business as well as engineered business. So, I would say that the standard business is quite okay, quite well, a little

bit setback this year is because of this extended monsoon, which has affected a bit of our agri business and other business es.


And, I would say also the new segments which we are going needs a lot of approvals, certifications, which is happening. For example, firefighting, we need to have UL & FM certification. So, all these things step by step happening and that is why till these things finish, then the business starts really rolling over. All the new products which we come, there is a cycle. So, I see that the coming quarters or the coming time in the next years should be having with the orders on hand which we have, should show a good traction of growth compared to the previous quarters or years. Based on the orders on hand situation which we have already shown.
Unidentified Analyst: Sure, sir. Yeah, thank you.
Unidentified Analyst: Questions on nuclear. So, how are you planning to increase the nuclear TAM in the coming years?
Nitin Patil: I forgotten what the full form of TAM , please.
Unidentified Analyst: Total addressable market.
Nitin Patil: Yeah, sorry. So, we are already present in all the required pumps in a nuclear power plant. As new plants will be finalized, we will increase.
However, we also have got this BP & CL technology now. So that also

increases a part of the addressable market. Meaning , earlier , we were
not addressing reciprocating pumps, that will be addressed now. By us
that is available now.

So, as the plants will come up, I think as the plants get finalized, we will
address, but however to – since we are already present in all the pumps,
except one moderator pump, K SB has the complete range. So, as they
get finalized, I think we will look that that should get converted into our
order book.
Unidentified Analyst: And also, sir, you have already got Gorakhpur 1 and 2 and Kudankulam
and also Kaiga 5 and 6. We also have other projects in pipeline which
are at various approvals which is Gorakhpur 3, 4, Chutka 1 and 2, and
Mahi Banswara. Do you have any idea on the timelines of orders when you can expect?
Nitin Patil: The exact timelines are not known. We are we are being told that the
tender , issue of tender should happen anytime. But that we are hearing
from quite some time. So, exact , I think, we don' t have. But I think,
what fillers we have got is the tender should come before December.

But that only once it comes, we can be sure because it is left to NPCIL
to issue the tenders.
Unidentified Analyst: That only for Mahi Banswara, right?
Nitin Patil: No, what we understand or whatever we know of is there will be a fleet tender.
Unidentified Analyst: And also, sir, what kind of initiatives has been taken by the NPCIL to
fast track the process?
Nitin Patil: Fast track the process, I would say the documentation approval has
picked up, especially for Kaiga. And if we see Kuda nkulam, I just to
clarify Kudankulam , we do not have the order for the main pumps.
These are emergency pumps package. But if we see the NPCIL 's thrust
on Kudankulam , they are quite uh quite fast, I would say in approving
various documents and approving various vendors, they are quite fast.
So it comes whenever the pumps will be on critical path for their projects, NPCIL does come up to that challenge and help us.
Unidentified Analyst: Okay . And sir, just last question, what is the refurbishment requirement
for PCP and auxiliary pumps, I mean, like how frequently are they replaced and what kind of market size can we see in that?
Nitin Patil: Unfortunately, our PCPs are so good. So it's not much. Only thing is
we have entered into mechanical seal business of PCPs. That is the only
part which normally gets replaced in a primary coolant pum

p. PCP is
designed for 40 years. N ew PCPs, the design requirements are up to 60
years. So other than these wear parts of bearing and seal, nothing is
normally and we say to be changed.
Unidentified Analyst: Thank you.
Unidentified Analyst: Good afternoon, sir. A couple of questions. Just continuing on the
nuclear side. So, sir, in nuclear, even flow serve is , we heard that flow
serve is entering the space. So, from 2 to 3 years' perspective, how do
you intend to maintain your market share as and when the competition starts coming in, so what steps will you take to
maintain your market share?
Nitin Patil: So, I think we should already have a head start with the fact that KSB
is the only major player worldwide having produced a primary coolant pump. So, I don' t know when the last the name , you said when they
have produced the last PCP. So, I think that should give us a head start

with the fact that we are currently producing, we currently have the
orders, we are delivering and the infrastructure required we have. So,
for any new player it should not be easy way I would say.
Unidentified Analyst: Secondly, when we speak with the in the channel, so the general
feedback that we get is KSB is more stronger in the process industry
side, whereas Kirloskar is more strong in the Water Waste Water side.
So this is the general feedback that we get. So, two things, like why is

it the case? And secondly, what KSB is doing to increase our presence
or strength in the W ater segment ?
Prashant Kumar: Just to answer this , yes, we are present in the process and we are also
present in the secondary part , which is when we can talk about water
and everything. What we have done in last 2, 3 years is I talked about
the various products. We have got introduced the horizontal split casing
pumps which was about 5 years back. We are seeing a good numbers
coming from that. We have introduced vertical turbine pump, we have
now got higher size of submersible pumps, especially KRTs, w e talk
about 350- kilowatt and more.
So, we have also got into that league, where we are also considered as
one of the player who can offer a complete solution when it comes to back kind of thing. So with this, I think we will have a complete basket,
we are offering a complete basket which helps to get into the path .
Unidentified Analyst: The reason we were not that strong in this segment, is it because there
was some technological gap in the product or the complete product range wasn 't there with us. That was the reason that we were maybe
second to Kirloskar in this segment, W ater segment.
Prashant Kumar: I will say that we were lacking a bit on the products that were required
for this market. And, now , we have more or less come out of that
particular requirement and we know what exactly required and we are
keeping now to with those products to the market.
Unidentified Analyst: So, if I see from CY 2017 till CY 2024, s o the gross margins have
reduced by around 900 bps. But if I see on a EBITDA level, the
EBITDA margins have been quite steady in all this 5, 7 years. So what
would be the reason for , firstly , the gross margin is , was it due to some
product mix change or anything that you would highlight ?
Mahesh Bhave: A gross margin is of course, as we know, it 's a product mix and in fact
this year gross margin is better off , because of the favourable product

mix. And when we come to EBITDA , it depends on the interest income
and other factors.

Unidentified Analyst: For last 7 years, if we compare the period that I mentioned, 2017 to
2024, the gross margins have reduced from 54% to 44% , 43%. So
around 10% dip, right? But on a EBITDA level, we see the EBITDA s
are steady in the ran

ge of 12% to 14%. So, my question is why was so
big dip in the gross margins for all these 7 years?
Mahesh Bhave: I would not say it 's a big dip, because you 'll have to also compare
comparatively with the numbers also. It doesn 't go only on a percentage
basis, in absolute number if you see, so I would not say this is a big deep
kind of a thing. And product mix, as we discussed, that always affect ,
because just now we discussed about engineering, standard and Mr. Prashant also explained in engineering business, how things are
evolving, he gave an example of L&T. So , these are all reasons mainly
related to product mix actually. And material component and all those
things.
Rajeev Jain : Maybe I add one point. I think there' s one thing which we have also
done is internal efficiency improvement in the plants. So that means
better capacity utilizations of the plant. The same plants , which we 're
delivering X turnover, now they are doing 2x turnovers. So, a lot of
internal efficiency improvements which has helped us to control our OpEx.
And that's why if you see overall with the growth, which we are
handling and as Mahesh mentioned that i t has when you do that growth,
it comes, you go into new segments where you have to take strategic orders sometimes to make entries and those product mix affects it, but luckily with our better internal management of capacity utilization, efficiency and al l. We are able to maintain a healthy EBITDA level .
Unidentified Analyst: Thank you, sir .
Unidentified Analyst: Yeah. Hi, sir. A question on fire fighting segment, we are expecting
growth in that segment, just wanted to understand what will be our market share in that category ? And as a percent of total sales, what will

be the contribution from the segment?
Prashant Kumar: Right now , we will be in a single -digit, when I talk about the market
segment, but definitely we will like to grow more and bring it to the double -digit. Regarding its percentage wise in terms of sales, I think, it

will be close to around 2% roughly, I 'm just giving a very rough
estimate, but roughly it will be around 2%, 2.5% range.

Unidentified Analyst: And we are expecting t o…
Prashant Kumar: We are expecting it to grow to a different level. That is what we are all working at right now. It will be a very forwarding statement if I give
you a number on this. But definitely , we are looking for increase in the
numbers and increase in the percentage.
Unidentified Analyst: And the second question is on Mining segment. How big is that
category and what will be our market share, understand when new into
it?
Prashant Kumar: Right now, as I said, we are the baby just born, so it will take a long
time for us to get to different levels where the other players are right now. You ask me the present share, we are hardly maybe 1%, or maybe
slightly l ower the target.
But yes, with the introduction of the products, we also want to get into
a different level and then give a push ourselves hard to get more and
more business into this particular market. It's a very niche market, it 's
not dominated by too many players. But, yes, there are few who are
quite, who had a start quite before. And that is where we have to see
how we get into those marketing.
Unidentified Analyst: Understand.

Rajeev Jain: These markets like somebody mentioned water project business, firefighting, mining. These are businesses where KSB was not so
focused on earlier. And this business means addition of products,
qualifying them, to bring them to an acceptable level. So, this process
has more or less happened, an d is continuously happening. And, we are
beginners in this mining area. Firefighting, I wouldn' t say we are
beginners, but our share compared to other competitors is less.
With KSB 's entrance, I think t

here is a good s cope for us to go into a
double -digit market share. This is what we want to do at the end of the
day. And it will not happen overnight, it is a matter of 2, 3 years, w hich
means the being the product brings the customer acceptance, make the
sales organization, make everything. So, I would say this is a journey
on which we are there and we are investing today, so that this will
become a part of our business like we have other segments, agri and

industry and building service. So this will become a strong pillar maybe
in couple of years in this space.
Unidentified Analyst: Got it. Thank you.
Unidentified Analyst: So, just on the boiler feed pumps for the super critical thermal plant ,
which you have received from L &T, given the nature of thermal plant
site, these would be more 2- year, 4-year long lead. So for you also
similar execution cycle would be there. And second on that, in terms of
for your order inflow visibility, because L &T further has orders.
Prashant Kumar: Yes, these pumps are usually, you don' t have your lead time of close to
12 to 14 months from the date of placement of orders and getting the approvals. And definitely we see a positive scenario, because L &T that
sources have got 8 units of Adani for which the boiler feed pumps will
come for ordering either this quarter or maybe next quarter. So,
definitely the visibility is there and that is why I said next 4, 5 years

look quite positive , especially considering the super critical.
Unidentified Analyst: Export piece of it, export till now has been growing pretty well even this year, I think it would have outperformed domestic for you this year, right? So given whatever globally things are happening, do you see this momentum continuing and export outgrowing the base business , except nuclear ?
Rajeev Jain: Yes. I can confidently say , yes, s ubject to geopolitical situation. That is the only hurdle which we will have, otherwise no other hurdle, we will grow. If the tariffs come back to normal, then it will go faster. And so ,
I don' t export is something where it is our strong point and it has to break those walls of resistance of customer acceptance, sometimes our internal preferences of some plants, cost structures and things like that. So I see a good journey.
Unidentified Analyst: But your balance sheet, we can see inventory and data have been increasing, right? So how do you see that going ahead?
Mahesh Bhave: Inventory, in fact, overall efficiency, I think we have improved if you see the number of days. W orking capital, yes, as we have been talking due to solar business, a cycle of working capital , as Mr. Jain also mentioned, cash to cash cycle. That is definitely on the higher side. So, as we are bringing in this new type of business, which are having more working capital requirement, that is definitely and we will have to have that higher working capital t o support this business.


Unidentified Analyst: Does this also have nuclear , becau se that would be in WIP, right? So when you deliver it ?
Mahesh Bhave: Nuclear , yeah, small , because nuclear has – this is a business where we get lot of advances also at each stage, so that compensate more.
Unidentified Analyst: But those would be lying in inventory, not in receivables, right?
Mahesh Bhave: More or less.
Unidentified Analyst: Okay . Thanks.
Unidentified Analyst: Hi, sir. Sir, on nuclear side, sir, last quarter you mentioned that we plan to, I think send two pumps for installation, that got delayed, so it won' t happen this year, right? It won't or next year.
Nitin Patil: Yes, I think once the first pump qualification test is completed, after that, I think the execution will be faster.

I think you have gone through the plan today around four pumps are ready with us now. Once the first pump is completed, then the next cycle will be faster. And then, again , the qualification test will be repeated for Kaiga. Until that time delivering the GHAPV, it will be I think I would say smoother.
Unidentified Analyst: But testing has not started yet. I find it as still not started.
Nitin Patil: Not started , because as I said , two challenges of electricity connection, though it is in a power plant, but the 6 -megawatt motor electric connection approval has not yet been given. And there are some remaining interfaces where NPCIL is to do some piping and cable. I know some of my colleagues may have answered to you during the shop visit, but normally we ask our people to be guarded and they are purely technical people. So, please, excuse us , if somebody else has given you some other message, but what I am saying is true . Thank you.
Unidentified Analyst: And sir, last quarter, I mean there was heavy rain across the country. So project business work impacted, agriculture business was impacted, that's why the growth was slower. Is it a right way to look at?
Rajeev Jain: The solar business where we have installations, those get affected. Agri business got affected. So these are business which are very much monsoon dependent on these things. And maybe indirectly some other reasons also happened, but these are direct impact comes on these two.


Unidentified Analyst: So these should actually come to this quarter or maybe next quarter.

Rajeev Jain: Yeah, these are seasonal kind of business, not solar . So solar , yes, fourth
quarter we are picking up Maharashtra government is aiming for a Guinness book of world records in this month. So, they are also pushing
us to do as much installation as much possible. So, it should help us and
due to the nature of the cycle last quarter is quite okay for agriculture.
This is a good quarter.
Unidentified Analyst: Sir, last question, I mean this plant has received a 3 -star rating, I mean
in the global. So I'm not able to understand, sorry, my ignorance, this
is for a manufacturing, this is for processes, for what? I mean what …
Rajeev Jain: This is for a complete process manufacturing products. It's a
comprehensive certification. And it takes care of all these aspects. It is
done by a KSB external team. They come from Germany, they audit the
plant. And they do the audit of the complete manufacturing processes,
overall quality processes and everything involved in this. And then they
give this star rating, which is our internal benchmarking. And that 's
how we get this Level 3 certification, which is only two or three
companies in the group have got.
Unidentified Analyst: So, it also depends upon the suppliers , because in the plant not much
we do manufacturing.

Nitin Patil: They also audit suppliers. Actually it is end -to-end, including the
documentation, the manufacturing, the quality level, and including the feedback from the customer. So it is complete end to end process. The
main intent of that is since most of our pumps are designed in by
Germany. So, the design intent also is seen when they are auditing the
process , whether the processes are in line with where they were
envisioned to. So, I think from that perspective it is the good thing. And for us , it is a
proud feeling that we are at the top in the group as well. So that is a
good feeling. And for the customers also it gives a feeling that we are
at par with our principle.
Unidentified Analyst: So, is it forever or is it every year we are doing?
Nitin Patil: No, no, no. I think they audit every 2 years. So getting it is just tough,
but retaining also will be tougher.


Unidentified Analyst: Sir, first of all, thank you for the discussion on the non- nuclear side of
business. So my first question is with respect to the non -nuclear
business, as the first question was the first 9 months we have seen a
slower growth, 107% [ ph] [1:39:27] . So what 's the sustainable level of
growth we are targeting in the non- nuclear business for this year and
maybe for the next year ? Can you give us some guidance?

Rajeev Jain: In general, I would answer that is in our strate gy that at least minimum
double -digit if not more. And if we look at it , it should be more than
double -digit. This is what we think is sustainable with all the measures
which we explained, do you see, I'll repeat them again, so many new
segments we are going into firefighting, mining, mechanical seals, water project business, water waste water.
Last week , if you are active on social media, you must have seen we
participated in the plumber association conference, a nd that gave us a
good visibility of our business in Building Services . So, all these
segments which we were not so predominantly present in the earlier time, we are very active now. And so, I don' t see any reason for a
minimum double -digit, but double -digit could also be a bit
conservative, I would say better than that.
Unidentified Analyst: Sir, this quarter we have also seen some margin dip.
Rajeev Jain: Margin dip. I thought that was …
Unidentified Analyst: I mean, I 'm just particularly about this quarter. I understand the revenue
growth was a bit on the softer side , mainly , because of the extended
monsoon. But I mean, the margin dip, was there a particular reason for
that?
Rajeev Jain: But as I know, there was no margin, the gross margin is …

Unidentified Analyst: No, I'm talking about the EBITDA margin. I mean, it was slightly, I
think…
Rajeev Jain: EBITDA margin is also on a consistent level, I would say, 13% to 14%.
This is something similar.
Unidentified Analyst: Around that level.
Rajeev Jain: And as I said, this is our range which we want to m ore important is the
growth top- line and keeping this EBITDA margins on this level. This
is we have explained earlier also that we are looking for top- line growth

with a very good EBITDA margin s. So, we wouldn' t see EBITDA
margins of 15 %, 16%, no. If it happens with nuclear, that would be
good, but we are aiming that for a top -line growth mainly and having a
consistent EBITDA in these ranges.

Unidentified Analyst: Right. Sir, in first quarter, you had mentioned that we are operating at
close to 85% kind of utilization and we are in the process of doing some debottlenecking, because we have some scope for that. I wanted to have
an update, are we looking at further capacity expansion from here or we are still in the process of debottlenecking? When would we go for the
next phase of capacity expansion?
Rajeev Jain: Yeah, good question. I think this is what we have been debating
internally. There is internal push to have capacity expansion and we
debate a lot and we have an exchange that let 's try to see how much we
can extract more out of our things and valve is a good example. I think
in your presentation maybe you must have shown how we have introduced those value stream mapping and increase the flow.
So, yes, first of all, you must be seeing that in Shir wal, we are
expanding, the land we had taken, that 14,000 square meter, that will be commissioned by March next year. The fourth or fifth shed in Sinnar ,
which got delayed a bit, that will be also commissioned by March 2026.
So, these will be two capacity expansions which will be happening very
soon in the next 4, 5 months.
The question of further land and everything, I think it is in discussion,
but nothing decided yet. It is still decision, but we are e

valuating our
internally de -bottling and seeing if we can extract more, then maybe it
can be done after some years. But at present, no decision in this.
Unidentified Analyst: Understood, sir. Sir, last two questions, we used to give our revenue
figures for mechanical seals , because that was a segment which was
growing very fast for us within the SupremeServ segment. Is it p ossible
for you to share again the mechanical seals revenue and what kind of growth we have achieved this year?
Rajeev Jain: Yeah, we can do that. Mechanical seal numbers look good in the
quantity. In the value, they are not as big. So, when even Rajesh presents
it internally , he presents the number. Why? Because in mechanical seal,
we are starting off, we are mainly in the standard business. We are not
in the engineered API seals. When that happens, the numbers will be
good comparable to the other industry level. But , today, these numbers

would be smaller compared to others, but it is important that we are
putting the foot firm and we are not rushing into it these things. Mechanical seal is a different type of business, very service oriented,
speed is very important. So that dynamics we are trying to get inside
our organization. It cannot wait till like a pump, a customer may have a
standby pump and they may wait 1- day, 2-day, 3 days. But in a
mechanical seal, it 's a matter of hours. So that culture to bring in an
organization, so it 's that way.
But to answer your question, the numbers, we can share it with you, no
issues at all, but I would say it would not impress you right now. Give

us some more time then we'll make it and present here.
Nitin Patil: A lot of our seals go into our own pumps. So how do we show that needs to be checked.
Unidentified Analyst: Understood. So the last q uestion is with respect to fire fighting pumps. So, within the firefighting pumps, there was a recent stock exchange notification that we have got some certification. Was that the only step left for us to gain market share in this business? Because, until now, it has been insignificant part of our busi ness.
Nitin Patil: This is one of the steps.
Prashant Kumar: One of the steps, yeah. It's not the step. I mean, it 's one of the step and it will keep on happening, I mean, we 'll keep on adding products, we 'll bringing them more into your UL/FM listed or non- listed, I mean, this is how the process will keep on happening even for the future as well.
Unidentified Analyst: Understood.
Rajeev Jain: So, share market has two categories. Listed and non- listed. Listed is FM and U L; Factory Mutual and United Laboratories, you got international. And the non -listed is without these things which follows the local . The market in non- listed maybe today 80% or 70% , and this would be 20%. But this listed is growing , as international company comes up with market [list] [ph] [1:46:15] . So, we felt the need that from the future perspective, we should have the list. But there 's a big chunk of market , which is in the non- listed and as we explain, this is a step where we are bought in product, we are adding product. So step by step, networking, dealer network, customer approvals getting on [indiscernible] [1:46:35] and t his whole process,

which takes a couple of years. And that will very, very [ little gain] [ph] that should both in this listed as well.

Unidentified Analyst: Understood, sir. Sir, just one last if I can chip in. So, with respect to the nuclear power business, two pumps we have already delivered, for which we are waiting for the approval. W e have the capacity to deliver four pumps in a year. So does that depend on NPCIL approval will be already received when the two pumps are delivered . But

for the next four pumps, can we deliver as and when we make or we have to wait for NPCIL 's go ahead on delivery.
Nitin Patil: You see these pumps are going to the test bed, which is built by NPCIL. So the first pump has gone, other pumps are ready with us now. So as the pumps testing gets completed, they will be sent to the site and then the invoice , the sales will happen. So, once the first pump is tested, then the main qualification tests are completed, then the routine tests, which is I th ink 24 or 50 hours will remain. T hat will be the only hurdle. Once the document approval for one project happens, there is no further hurdle.
Unidentified Analyst: So for the balance 14 pumps, you can send as and when your product is ready.
Nitin Patil: No, only the one point here is the Kaiga project will again have a qualification test as these today. So it has to be again tested for 500 hours. Because it is a new project, new tender; s eparate project, separate tender. So, we will have to again qualify for the pump that is not a critical issue for us. But as the process we'd like to continue that. A nd after that process, again, the next seven pumps will be smoother.
Unidentified Analyst: Understood, sir. Thank you.
Unidentified Analyst: So, my question was regarding the market share, as you mentioned, there are six markets in which KSBs present. If you can broadly mention, what is KSBs market share in each of the customer segment?
Rajeev Jain: Very difficult. Energy , we are the leaders.
Unidentified Analyst: Non-nuclear.
Rajeev Jain: Also nuclear. Here also we are number one and conventional energy has been traditional forte of KSB. And you have seen there is a boom in the energy market. So, there is where we are very optimistic and looking forward for those years , because KSB traditionally and , today also is

the leader in both conventional as well as nuclear. In nuclear, you' ve
seen we are the only approved so far manufacturer for the main pump.
And in the conventional boiler feed pumps, you see the L&T order, we have got this. So that is one. Industry has been traditionally a good strong point of KSB. It's very
difficult to – statistics are not so much – we can make an estimate, but
I would say in the industry, we are within the top three, I would say. It
could be first, second, third, it 's something a matter of doing the
statistics. These are two segments where traditionally we have been
strong. The third segment was the agri segment, where we have the submersible borehole pumps , where we were the leaders, then we went back, but
now we are coming back again, we should be within, let's say , top three
or four. And valves also be in particular segment in gate , globe , check,
we are the leaders in the E nergy segment. So there are pockets where
we are the leaders.
In segments , where we are not in the top three or not the leaders or the
market share is low is already mentioned is in the project business, for
example, in Building Services related to fire fighting, then Mining. So
these are segments where we are now putting our more presence, felt step by step. Petrochemical is a project business. The market share can
vary year to year. One year we may get a lot of projects or we may get
nothing. So, it depends because the petrochemical market, there are a
lot of players, four, five internationa l players in the Indian market. And
the market share can vary depending who gets the project. S o, this is
how the situation we would say. Overall, we would say that our market
share in pumps would be somewhere 12% to 15% is something on an
average, on a broader scale.
Unidentified Analyst: Got it. Second question, sir, was on data centres. So Kirloskar B rothers,
they mentioned that they have this framework contract with Amazon as a hyperscaler, where

ver Amazon sets up its data centre, they are
included in the approved vendor list and they are one of the participants in the tender. So, similarly , because of our KS B parent advantage, do
we have such kind of benefit when it comes to hyper scale the data?
Rajeev Jain: Yes, yes. This is our parent company are very much into this business.
And whatever international OEMs, we call them, they are there, we get that leverage out of them, then we get on those things. And, we are
working closely with our parent company, we have created a separate cell called an OEM cell , where the team is dedicated to find this new

technology and also data centre. Data centre is one of the smallest sub-
segment which we are focusing on, but it has a very good potential. And
we are adapting our products also to their requirement. The products
also have to be – because these are OEMs, you have to – they have their
particular equipment and specifications.

So, a standard product which we have has to be upgraded to their
requirement. So, this process is continuously going on. And you will
see, we can present next time our share on this data centre, because I
see a good interest, we 'll be having a special slide on data centre next
time on this.
Unidentified Analyst: Sure. Thank you, sir.
Rajeev Jain: But yeah, please two, three questions.
Unidentified Analyst: Absolutely. Sir, the first question is on the nuclear side. With the
visibility in hand, how do you see the execution of the current order book of nuclear ? Across all the four projects what we have in the order
book?
Nitin Patil: I think GHAPV after once the first testing – you can take your seat.
GHAPV after testing will pick up, and Kuda nkulam in any case is on
fast track. So both are going. Kaiga, by the time GH APV, is completed,
Kaiga will also get ready. Documentation wise, Ka iga is still 70 %, 80%,
I would say roughly completed, remaining document needs to be approved by our customer. So once the first pump starts, I think , we see
continuous smooth progress on all the projects.

Unidentified Analyst: But, is there any time period in mind up by which we need to by when
we are planning to execute all the order s in hand?
Nitin Patil: The delivery extensions which we have officially received for GH APV
are 2026 and 2027. Four pumps by made of 2026 and remaining by four
pumps of 2027.
Unidentified Analyst: Understood.
Nitin Patil: We feel, we should definitely be able to do it before that, and after that,
Kaiga will start.
Unidentified Analyst: Understood. And sir, second question is on the Valves Division . If we
see that we have grown at very healthy rates for the last couple of years. And first, I just want to understand what has led to that strong growth

and do we expect such growth to sustain going forward on the valves
side.
Raja M: Yeah, like how I covered the growth, if you really look at we have been
increasing our product basket in the existing e nergy market and the
general industry market. I think that has been helping us to do. Growing
at the same rate, that 's why we are looking at the new markets, like oil
and gas, which we showed to you, and also there are some competitive markets which we are getting into A SME valves, which I presented to
you, which are in a very competitive range.
This is requir ed for us to increase the top- line, but we 'll have to wait
and see how overall margins can come, because some are competitive
markets, some there are niche markets. So, we are sure that we would
be able to maintain this growth.
Unidentified Analyst: Understood. Sir, next question is on the SupremeServ, what we
understand is that it 's currently 20% of the business from the parent s,
what we saw.

So I just want to understand how has been the progress
so far, let us say if there is any data or KPI you track like value addition per pump on the SupremeS erv site or the number of pumps that you' re
addressing today on SupremeServ versus 5 years back. Or any other
KPI which you look at whether the SupremeServ is running on track or
not, if you' d like to share.
Rajesh Kulkarni: Yeah, there is an internal system, a CRM system called C4C in KSB,
wherein each and every pump which is installed with the customer, that is tracked. So, there are different categories, T ype A, T ype B, T ype C.
A, for example, is the engineered pumps which are installed with the
customer. So the pump type, pump serial number, the details of the
pump and the end user details, those are available with us. Using this
data, it is we are really going ahead with all our offerings of aftermarket with the end users. So , this strong tool is giving very good results to us
and we are developing this tool to automi se many things in the future.
Unidentified Analyst: Sir, b ut then how are we progressing like are we addressing more and
more of the installed base or are we supplying more and more parts per pump, how are we increasing on that basis if over last 3, 4 years, this is
what I 'm with this data and automated system what we have made .
Rajesh Kulkarni: Yes, with this system now almost each and every pump, which is
installed has been tracked. The data is available. How many spare parts
or services are given on that pump? So based on this historical data, we

approach the customer proactively to offer our spare parts, to our
services and then push for the orders to get more business.
Unidentified Analyst: Understood. Sir, two questions for you is, one is on the solar pump site.
You mentioned that these are higher working capital, but just wanted to understand, are these also good in terms of ROC considering the margin profile they offer.
Rajeev Jain: In general, answer yes , but this fluctuates. This fluctuates based on,
because these are fixed term contracts. And this fluctuates if the PV

panel prices go up or down in the market, s o that affects the profitability
a bit. So, I would say, the time we started and the time today is a
difference, let 's say the margins have gone down by a couple of points.
But, we see that , again, the prices are going down. But, today, we feel
satisfy that this margins are comparable with our pump product business, not very far away. So that 's why we see it as a good strategy
to continue to go and do this business.
Unidentified Analyst: Understood. And so , the final question is to you is that if you can just
help us understand how important is India in overall scheme of things for the parent and what are the KPIs for the top management team , what
parents look at ?
Rajeev Jain: Yeah, India plays a very important role in the overall scheme of the
group. You see we have a dedicated 300 engineers here at KSB Tech.
So, they are looking at a good amount of outsourcing their work. This
plants, the investment which have been doing continuously. So, every
year, our investment in KSB Limited is growing. At one time , it was
■80 crores, ■800 million. Today it has gone up to ■130 crores . So
steadily this is growing. We are getting a better share out of the group
investment budgets. S o those are given priorities.
And, yes, all the new products which we are getting, you see, I feel
would say, I would use the word infamous. I am infamous in the group
for asking and getting those products , because they worry me that
whenever I go to Germany, I will ask a new product. And this is the
support we are getting, that last month also we go t approval for two new
products, w e are expecting more. So, the support has been fantastic.
And they recognize, India is a growing mar

ket, and they see the potential. And so, we feel satisfi ed with the parent strength of knowhow
in the products, and also the investment approval support they are giving, it is great. What was your second question?


Unidentified Analyst: Sir, finally, the KPIs on which the top management team is evaluated by the product?
Rajeev Jain: KPI is given mainly for the Indian market. So, it is as you see in the
performance, they see. I mentioned it that they expect the minimum double -digit growth in our top- line and maintaining an EBITDA of
what we have consistently over a period of time, 2013, 2014. And yes, continuously increasing the dividend year after year.
Unidentified Analyst: Understood. Thank you, sir.
Rajeev Jain: Yes.
Unidentified Analyst: Thank you, sir. KSB is around 30% of revenue from the SupremeServ
segment. So is there any service gap between them and us? And can we
reach like 20 % or 30% in coming years?
Rajeev Jain: I didn' t fully get your question. Now, 30% service agreement.
Unidentified Analyst: So this 30% is a revenue mix from the service.
Rajeev Jain: Yes, yes . Okay . The group has a target of this SupremeS erv business
should be at least 30% if not more . In fact, have more 3 5%. Bu t as
Rajesh explained, in our case, the product mix is a lot of small, small pumps, submersible, domestic. So which the group doesn' t doing,
group is more into the industry and energy and other pumps. So, today, we are hovering between 15% to 20% , but we have a KPI
that we should go beyond 20% , 25% , 30% also in one day. And I feel
as we supply super critical power plants, as we supply nuclear, nuclear
will not be much, but mechanical seal business should help us. So, as
we supplied more and more engineered pumps, this ratio will definitely increase because the ratio of these business will become more and more .
So I would say, to reach that 30% , 35% , it may take quite some years,
but we are happy as long as there is a good absolute value growth, because everything in SupremeServ is a good benefit to the bottom -line.
Unidentified Analyst: Sir, what is the contribution from the S unrise segment as we speak?
Rajeev Jain: Very less, I would say, less than 5% today of the total thing, but it would
be not fair to see it today. If you ask this question, maybe 2026 or 2027
more appropriately, then I think we can say it in a much better way,

because I think this is the graph of establishing that business and I would say that step by step we should increase our share much more. So , today, it’s less than 5%, but definitely we want it to be a much more evenly distributed segments.
Unidentified Analyst: Can you like also touch upon the margin profile of these new emerging segments, like how are they?
Rajeev Jain: It would be mixed, mechanical seal, good margins, definitely, no doubt.
Mining, good margins, because this thrives on spare parts. 80% or 70% is spare parts, 20% on this. Firefighting, it ’s a system, it ’s not the pump. And system is bought out, so the margins cannot be high. It’s more – would be a systems margin l ike we have for solar business. S o when you do product business, the margins are good.
So, I would say mixed margin throughout this segments, and that ’s why we overall maintain a good EBITDA level by having these some very good margins, some on a normal level. And maybe if nuclear also happens, those business will be at a better mar gin. So, it’s always a mix of some s egments having a better margin.
And SupremeServ, Nuclear, Valves, these are at good margins. And system, solar, and firefighting would be at a normal level, but these are all business are interrelated. If you wanted to do good in Building Services, we have to be present in fi

refighting. We can’t be only in one segment. So, that’s why overall, I would say, the return which we always target is that EBITDA level what we have.

Unidentified Analyst: Thank you.
Shraddha Kavathekar: So, sorry to dis continue this good question- answer -session. Thank you so much all of you for taking out time and visiting our plant. I also thank ICICI team for supporting the arrangements . And, thank you so much Senior Management Team for taking out the time.

# Call: Mar 2026

2
3rd March, 2026
The General Manager The Manager
The Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India
1st floor, New Trading Ring, Limited
Rotunda Building “Exchange Plaza”, C-1, Block G
P J Towers Bandra-Kurla Complex
Dalal Street, Fort Bandra (E)
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 500249 NSE Symbol: KSB
Subject: Transcript for the Institutional Investors Meet.
Dear Sirs/Madam,
In continuation to our intimation dated 11th March, 2026 and 17th March, 2026
enclosing herewith the Transcript of the Institutional Investors Meet held and
participated on 17th March, 2026.
Kindly take the same on your records.
Yours faithfully,
For KSB Limited
Shraddha Kavathekar
Company Secretary
Encl. as above
M
ail to : (Head Office) KSB Limited (Formerly KSB Pumps Limited), Mumbai - Pune Road, Pimpri, Pune - 411 018. (India)
Tel. : +91 20 2710 1000 Fax : +91 20 2742 6000 Visit us at : www.ksbindia.co.in
Registered Office : Office No. 601, Runwal R- Square, L.B.S. Marg, Mulund (West), Mumbai - 400 080, Tel. : +91 (022) 2168 1300
Zonal Offices : Chennai • Kolkata • Mumbai • NOIDA CIN : L29120MH1960PLC011635


MANAGEMENT: Rajeev Jain - Managing Director
Mahesh Bhave - Chief Financial Officer
Shraddha Kavathekar - Company Secretary

Presentation
Moderator : Welcome you all to the CY 2025 Inst itutional Investor Meet of KSB Limited. Today, we have with on the dais, Mr. Rajeev Jain, Managing Director, Mr. Mahesh Bhave , Chief Financial Officer and Shraddha Kavathekar, Company Secretary. We'll start with the detailed presentation, which will be followed by Q&A. Over to you.
Mahesh Bhave: Good morning, all. So we'll start with the institutional investor presentation. A cautionary statement regarding forward- looking statement. This presentation may contain forward- looking statements relating to company's future business developments and economic performances.

Such statements may be subject to a number of risks, uncertainties, and other important factors, such as but not limited to competitive pressures; legislative and regulatory developments; global macroeconomic and political trends; fluctuations in currency exchange rates and general financial market conditions; delay or inability in obtaining approvals from authorities; technical developments; litigations; adverse publicity and news coverage. This could cause actual developments and results to differ materia lly from the statements made in the presentation.

The company assumes no obligation to update or alter forward -looking statements whether as a result of new information, future events, or otherwise. So, with this we start a snapshot of KSB India. You can see on the screen, how really KSB India established. This is in 1960 where industrial pumps division started in Pimpri, followed by 1974 our foundry we have started. 1978 we have started Erstwhile PPD energy division which is now converted into a SupremeServ after sales business unit. 1994, we started our Water Pumps division that is on Sinnar. 1997, we started MIL. In fact, it is taken over by KSB Group. And KSB Tech, it's a tech centre engineering unit which is started in 2005. It is in Pune City. And Shirwal, we have started 2017. And another milestone is BP&CL technology which we acquired in 2023. So KSB Limited, as I mentioned established in 1960 and headquartered at Pune, Maharashtra. We have six manufacturing plants, six service stations, around 350 plus

service centres, 22 warehouses, four zonal offices, 14 branch offices,
and 800 plus authorized dealer.
So this is the overall setup. KSB Tech as I mentioned, is a tech centre, which is situated in Pune City. KSB MIL Controls, which is acquired in 1997, and this is into manufacturing of control valve and having a plant in Kerala. Bangladesh, we have a liaiso n office. These are some
pictures of this is a Pimpri headquarter and industrial pump division.
Shirwal, Satara, you can see the state- of-art plant, which is recently built
in water pump division in Nasik, Vambori foundry unit. Coimbatore valve division, Chinchwad which is as I mentioned after sales which we brand as a SupremeServ division and Kochi MIL factory. So introducing our Board of Directors of KSB Limited, Mr. Gaurav Swarup, who is the Chairman. Dr. Stephan Bross, Non- Independent and
Non-Executive Director, he is the CTO of KSB Group, Germany. D r.
Matthias Schmitz , Non-Independent and Non- Executive Director. He is
CFO of the Germany G roup.
Mr. Raj eev Jain is with us today, M anaging Director. Mr. Ulhas
Yargop, Independent Director is carrying a rich experience from
Mahindra Group. Mr. U. C. Muktibodh who is I ndependent Director
and who is ex- nuclear specialist and ex -Technical D irector from
NPCIL.

Mrs. Sharmila Barua Roychowdhury, Independent Director. She carries
a law degree and a lot into social activities. M r. Vishal Kampani,
Independent Director is a finance

wizard associated with KSB since
2024. Introducing the management team from left, Mr. Nitin Patil, who
is Vice President, IPD and EPD operation and nuclear business. He's
the COO.
He's the C hief Operating Officer of nuclear business for pumps. Mr.
Mohan Patil, V ice P resident, HR. Mr. Rajeev J ain, M anaging D irector,
myself as a CFO. Mr. Sunil B apat, who heads our WPD and F oundry
operation and who is the COO of solar pumps business and Mr.
Prashant Kumar , Vice President, Sales and Marketing. So financial
performance, EBITDA, you can see a good growth from ■350 Cr to ■387 Cr as of December is our year end and this 31
st December 2025.
Revenue also we have grown from ■25,331 million to ■26,957 million and profit before tax you can see again from ■322 Cr to ■352 Cr. A
good steady financial performance, which we have been plotting here, revenue from operation, you can see 17% CAGR . You can see
EBITDA, again 17% CAGR.


Profit after tax, 22% CAGR, a very steady profitability ratios. Net financial position also robust. We ended at ■283 Cr and our nuclear,
which is a long gestation project, which is also showing a very positive cash balance. Further few ratios, which are again net worth, you can see 16,128, it is steady growth in net worth. EPS is 15.2, ROCE you can see it is in the range of 23, in fact it is 24 if we take out the labo ur impact
which is a one -time impact which happened last year and dividend is
declared as 2 20%.
So business highlights, the applications where our pumps and valves are used mainly be categorized into six market segment, E nergy ,
Building Service, General Industry, Petrochemical and C hemical,
Mining, and water and we have around 21 sub markets. Order intake,
so this is upward trajectory you can see 14% CAGR. So this is average order intake per month, you can see it is around ■249 C r for this year
2025. And steady, and this is mainly driven by supercritical
conventional energy export, water wastewater, c ommercial building,
Supreme Serv service. Again, order in hand, very good positive and
robust situation. You can see without nuclear, we are at ■13,032 million and nuclear is ■12,816 million to overall ■25,848 million orders on
hand as of December 2025. Overview of order intake, just a pie chart which shows where are we. If you see the 2025 chart

around 48% is standard pump, engineered pumps
would be around 19%, SupremeServ around 15% and valves is around
18%. So overall bifurcation of order intake actually. So, again, another good performance on exports, CAGR of 22% and you can see in 2025, we have 17% export which is the highest overall. So talking about solar business, 112% order intake CAGR. Some of the major highlights, we have started in -house manufacturing
of solar controller making ourselves more competitive and technical leader. First central warehouse which we have started in Chhatrapati SambhajiNagar and supply chain diversification of the key components
that is what we have achieved. And you can see the product range what we are offering into solar business, which includes solar controller as we discussed and HBCN, BPN, UMA and UPF and so on and so forth. Energy conventional, as you are aware that we got first super critical
power plant order. Another milestone is locali sation of LUV, B oiler
Recirculation P ump.
This is again a remarkable achievement . And we also received export
order from USA. And here also, you can see we are growing with 14%

CAGR. And, you can see the important products like HDA, CHTR, HG,
CHTD, YNK, into energy division. Talking about water and wastewater, again a very good 30% CAGR growth. And we received first order that is for our Sewatec vertical turbine pump.
These are the new product actually and we launched B Pump which is
another

milestone that is Vertical Turbine Pump in this year and breakthrough orders from M unicipal Corporation of Kolkata, Amr itsar and Navi Mumbai in this segment. And you can see the product range,
Amarex, Amaporter, KRTU, Se watec, Amacan and VT P ump.
Firefighting, another segment, which last two, three years we have been talking as a sunrise, but now it is already there and you can see the growth in this segment 68% CAGR. Major highlights include Etanorm, we received FM /UL certification for this. This data centr e we got this order which is approved firefighting
pumps and so this is a starting because you know the growth in data centr e business in India.
And we have received the order for major commercial building for our airports, metros, AIMS, etc . The product range, Gamma, Etanorm,
Helio, MFMO. So talking about ESG and C SR. S o we continue to
highlight this important segment. You can see 59% is GHG emission reduction what we achieved and eco -friendly packaging we are almost
there and green energy generation is 65% what we achieved.
Sustainability assessment 84% again is a good number and we identified key 71 suppliers and 59 audits which we completed and we are of course targeting , targeted was 80% which we already surpassed.
Zero waste to landfill that is another milestone and we won a MCCIA Sustainability Award in 2025. CSR highlights, KSB continue to work
on all field in CSR. You can see the photographs, welding lab. So this is basically a skill development which is started in ITI. Wayanad School in Kerala, this is a reconstruction after the flood in Kerala.
Digitalization of the schools in Nigdi, Pune near to our plant. You can see hydraulic and pneumatic simulator in this is an ITI again a skill development project. Skills for employability of tribal women, you can see the photographs and ITI Satara, again a soft skill trainings. Yeah, this is again another very pride certification, great place to work as many of you must be aware and getting this for a manufacturing company is itself is a milestone and you can see we are among T op 50
large manufacturing. So, we are leading here which is again I think very
important achievement.


This shows our employee engagement and our efforts towards the employees. So, I think this is overall presentation and we are open for question- and-answer session.

Question -and-Answer Session
Kunal: Hi, good morning. Kunal from 361 Mutual Fund. J ust if you can give
us a brief rundown of how are you seeing trends in terms of domestic demand, which are the key sectors contributing? And follow -up to that
question was because of the disruption that we are seeing in The Middle East, what are the kind of supply chain issues or any procurement issues
that you are seeing or expecting?
Rajeev Jain: Yeah. Good morning and I think an expected question on the present scenario. First of all, the growth drivers for this year in the domestic, yes, energy as we presented P ower segment, especially the thermal

power plants, which are coming up of different users, NTPC as well as Adani as many other projects, JSW. So, energy projects in the thermal
power plants is a big growth driver for this year.
Apart from nuclear also, nuclear will continue and with the initiatives seen recently on the changes which are being done, I think this will open a lot of opportunities in the coming years. So, I would say energy leads
the way with infrastructure , infrastructure in water, waste water. I think
that is one of the other segment which is opening up a lot of opportunities for treatment plants, linking projects river linking projects. So with our expanded portfolio, pump portfolio that is another segment which we are seeing as coming up and lot of inquiries and lot
of projects where we feel this will be also a growth driver in these coming years as well.
And the third

, maybe I have to single out is the building segment,
infrastructure related with these metros, hospitals, hotels and all these infrastructures. So commercial building services is another segment which is very attractive and where we are a bit gaining market share slowly a nd steadily where we were not so much present in the past.
These are three segments which come to mind, of course, all segments throw up opportunities that way, but these three segments is where we are looking forward to. Of course solar I did not mention, because solar
we have already mentioned in the past and solar we'll have to see after what comes up in the KUSUM 2.0 scheme and, but we continues to put
our efforts there, and we think we will grow also this year compared to the last year in the solar business.



Coming to the present geopolitical situation and the supply chain. Yeah,
I wouldn't say that we are not affected that that impacts has started
coming a bit in the supply chain, especially in the foundries where there is restriction of the LPG and the gas supply, our furnaces are gas fired. So those supply chains may get affected, but that we are mitigating, because we also hav e electric furnace. We are mitigating that risk, but
it's not only about our foundry, it's also about other foundries, third party fo undries. So, we expect if this situation continues for some more
weeks and months, then we would have issues related to our supplies of castings, especially castings and then of course it affects indirectly affects other sectors also.
So, that is one impact. The other is of course our supplies, our exports to Middle East region. That is also we are trying to mitigate and try to find another way. But that is also under review and discussion. So, our exports to Middle East may get hampered temporarily because of shipments. But of course, we are working on that to find alternative routes and ways to make our goods reach there. So, these are the two first things which come to mind about the immediate impact on our business today.
Kunal : Sure. If I may add one more question. If we look at the presentation, you have shown water, wastewater, firefighting, solar, all of our three of them have grown at a significantly higher pace than what KSB has grown. So would it be right to assume that large part of our growth in the last two, three years has come from actually new product introduced by KSB. And so if one were to understand what part of growth has actually come from new products and what part of growth for KSB has come from the market growth. How would one define it or understand it?
Rajeev Jain: Yes, I would say a major part has come through the new products, be it solar, be it water, wastewater, firefighting. The percentage you see high, because I think the base has been very low. We have not been so actively involved in those businesses. For example, firefighting now, we have got the UL and FM listed for our end suction pumps. We are going in for further products. So this market we see as a big market growing and so, the other market is data centres which are coming up, green hydrogen. So all these new products what we are bringing out and with that entering into new segments. This is definitely helping the growth.


And I would say percentage wise, maybe I would just say majority of
the growth is coming from these new segments whether it is these segment, whether it is SupremeServ products, whether it is solar. So all that growth majority is coming out from the new initiatives which we have taken.
Kunal : Sure. Thank you so much. I will fall back in the queue.
Mohit Surana: Good morning, Mohit Surana from Monarch. Sir, one question is with respect to NPCIL orders. Roughly half of our orders are coming from NPCIL. And last quarter, you mentioned that

the test bed at Tarapur plant is almost near to completion. Any update on that? Have we received any confirmation on the approval of the first two set of pumps that we have already delivered?

Rajeev Jain: The latest, this is especially the latest. Today, this is morning's news. So that's why I say it's latest, because In every meeting, I little bit am apprehensive how I will answer this question. So the latest is that we are going to start the testing on 22nd March, because the test bed is ready. They are doing the software checks and the initial checks. So, 22nd is the date they have start given and I have also been invited for the testing. So, I will be going with their Managing Director, engineering also and we will be witnessing that test.

So, it has got the management attention. I was in NPCIL meeting their CMD and the senior team and they are all focused on that. They are also very much aware of it. And it has got that attention and definitely I feel March we should start the testing. The testing itself will take some time because the first pump has to go through a rigorous testing of 500 hours and with whatever starts and stops and things like that. So, the first one would take time, but once that is completed, then the future ones would be much faster than the first one. So, I hope at least minimum two, maximum four pumps we should be able to invoice in this year if all goes as per plan.

Mohit Surana: Perfect, I think that's a good news. If I may pitch in with another question with respect to the Q4 results. Q4 is seasonally strong for us every year, but this time, top line growth was 7% to 8%, whereas we did well on the EBITDA side. I just wanted to understand what's the reason for a modest growth on the top line and what's the reason for the EBITDA margin expansion in Q4 and is that sustainable?



Rajeev Jain: Yeah, top line in our planning, we had these nuclear orders in our forecast, in our planning and that unfortunately did not happen. So, that spills over to this year. So, I would say the top line of a modest 7% was limited due to the fact that the nuclear sales revenue which were planned did not happen. I would mainly give that as the one main reason.

And of course, project orders, there are sometimes these hold, but this is a part of business that you have some orders delayed and customers not lifting. I wouldn't say specifically that. It would be mainly the nuclear orders, which got delayed or postponed to this year.

On the EBITDA side, I think what could happen was also the product mix, what we could deliver last year. For example, Kudankulam, we could deliver something, some of that order. You remember Kudankulam, we have got that order worth almost ■280 crores, ■290 crores. We had also planned a big top line there, but it happened only ■30 crores or ■40 crores. But that was a good profitable orders which happened plus DMD orders which is also good profitable orders. So I would say aftermarket and nuclear orders, what ever they happened last year, they added to the profitability of the company and helped us to keep a good profit level.

Continuing in this year, as I said, nuclear orders have spilled over to this year. So, we are all very keen that at least this year it should happen major part. And profitability with a good mix of aftermarket and nuclear orders, I think it is quite sustai nable that these orders. The only concern is the commodity prices, which I did not mention earlier. But with this market geopolitical situation, we would there is a chances of the spike in commodity prices. And this is something which we will have, we are watching very carefully and that may be the only, let's say today's external impact which may come, but we will have to act accordingly on that.

Mohit Surana: So what are the chances that we may be able to pass on the rising cost to the consumers

?

Rajeev Jain: Yeah, of course, it is very natural that for our standard business, which is 50% of the business, we can pass on this increase. But the remaining 50% is project business. So except the nuclear business where there is a PVC clause, there we are safeguarded . But the other nuclear business, other project business, domestic business that would be maybe 30, because export business you also gain by the exchange rate. So export business and nuclear business are bit taken care. Only the domestic projec t business also would be having a bit of that issue, but I would



say as long as most of the equipments have been ordered, bought outs and everything, then and we don't have PVC clause with our suppliers. So that also the risk, I would today evaluate it as low risk for at least this year.

It is only the new order, new businesses which may get finalised. We will have to be very, very careful at what levels because those businesses are without PVC and those are long deliveries. And how this thing shapes up in future, we are not very clear at the moment till this thing. Hope I have answered.

Mohit Surana: Understood. That was very helpful. Thank you.
Unidentified Analyst: Have you got anything especially on the Mahi Banswara tender? We expect it to be a single tender, we expect it to be a fleet model?
Rajeev Jain: There is some discussion going on, which is not yet officially out, but all the options are being considered, I think. But that is a high priority project that is. So, I don't know nothing officially has come out. There are various news also that it could be fleet, it could be separate, singled
out as a fast track project. But nothing official yet on that.
Unidentified Analyst: Second question is it possible to quantify the PVC towards in terms of revenues?
Rajeev Jain: Today, in this year, ■50 crores to ■60 crores. So, in this year, so maybe not very big. It is maybe, yeah, I would say 3% of our total turnover or something.
Unidentified Analyst: Is it possible to quantify the solar execution in CY '25 and also possible to share the CY '24 number? And the last bit, is the growth in the solar contingent on PM Solar KUSUM 2.0 approval I am talking about for
CY '27 forward, you say CY '26 is covered, is the CY '27 growth is contingent on the KUSUM 2.0 approval? Is that right assessment?
Rajeev Jain: Yes, first CY '24 I think it was ■189 crore. Last year it was ■245 crores. This year we are planning much higher, more than ■300 crores. And yes, your point is right. It is dependent on KUSUM 2.0 where the category of that replacement is also going to be very predominant, replacing existing electrical pump sets with solar. I think category B or C, I don't recollect properly. That would get more major impetus on financing.


Apart from that, individual state schemes are also there where we are
participating. We are, we have got new businesses in Northeast especially and MP market, Haryana, Rajasthan. So those are areas with the things are continuing. So we expect this year als o a healthy growth
in that. CY '27 onwards, we presume that this KUSUM 2.0 Yojana, this
will continue. There will be similar there have been announcement in the budget and as well as later on. So, maybe the mix may change
instead of integrator business, i t would be more of replacement. And
with our dealer network, we feel we have that reach and the installer base. The values and all or the things we have to see, but we feel that we can, where our share is today low, we can also reach that business as well.

Unidentified Analyst: Understood. Thank you and all the best.
Dhawan : Hello . So Dhawan this side from AlfAccurate Advisors . So my question
is, if we look at the ex -nuclear order book, this year, we did roughly we
ended

up with ■1,300 odd crore kind of the order book, which was ■960 odd crore s in CY 2024. So there is a strong order book growth of
roughly 30 odd percent. But if we look at the revenue, revenue is hardly in the single digit. So I think majority of the business is like the execution time frame is between six to 12 months. So when can we see the revenue can mirror the order book growth? And also, if you can help
us to understand out of this current order book, how much is the project business right now versus the last year?

Rajeev Jain: Yeah. M ajority is this project business, which consist of the main
reactor coolant pumps. This is what the major part. Apart from that, there is auxiliary pumps, which are there in the primary cycle, which is a part of it. So and the third constituent is the aftermarket, where we do
at the end user level, where we go and do the spares business, the replacement pump business. That is maybe ■30 crores to ■50 crores per year. That is a small portion
compared to the project business. Now, how this order book situation will convert into sales revenue? This will happen starting this year, from this year to in the coming years constantly, at least for the next t hree
years, I see it. There is a business from NPCIL, there is business from Kudankulam .
So, our parent company is participating there and they also offload some of that business to us. So, these are the three major customers where we are doing the nuclear business. Of course, there is other customers like DMD and end user business, which we a re continuously doing. But that

is not very major when we compare to that. So, the revenue I mentioned
earlier, it should start this year with the testing of the pump and more RCP is going.
So, value wise, we will have. Kudankulam project also substantial portion will get converted into revenue this year and next year. And once this RCP's and the auxiliary pump start, then the revenue will happen also in next year and '2028 also. And the order intake, I think both for Gorakhpur, Haryana as well as Kaiga projects, these orders are

also getting finalis ed for the auxiliary pumps. The Gorakhpur Haryana
is with BHEL, they are ordering the pumps, other pumps. And the Kaiga project is with Megha E ngineering, which has also come
at the final stage now. So all these businesses will get finalis ed and the
revenue may come in 2027 or 2028. So I've seen a good amount of
conversion in these three years, 2026 to 2028. And for the future projects, as we heard Mahi Ba nswara and other projects, and if we are
successful there, then this would have the continuity beyond that. But nuclear business, I think for the next decade from here, it is a good potential and opportunity f or KSB, where we have a range, complete
range.
We are one company which has all the pumps required in a nuclear power plant. And so, this gives us a good opportunity to participate with all EPCs as well as MPC.

Dhawan: In ex-nuclear, we did roughly ■2,200 odd crores of the revenue in pump
business. So this is largely, there is no nuclear revenue in the last year,
right? So on that basis, if we exclude the nuclear part, is it fair to assume that we can do roughly 15%, 20% of growth in the P ump segment in
CY 2026 because we have the order book in hand and that will be
largely executed during this year?
Rajeev Jain: Yeah, we are aiming for that kind of growth in this year based on our order book position.
Dhawan: And in terms of the margins, if you can help us to understand because the product mix is changed, right? So, the high value margin or the
product, how is the proportion right now versus the last year? And how do you see, how it will be changed because this power business and everything will go upright, the nuclear will also come into the picture? So how do you see the overall margin accretive business as

a proportion of the overall order book or the revenue mix? How it will be changed?


Rajeev Jain: Yeah, to explain this thing very transparently to you, see, 50% of our
business is dealer OEM business, standard business, we call it. This
year-to-year remains same. The margins remain same, the good margins
because of low fixed cost and having a distribution channel and high turnover or a fast turnover gives us good profitability and a good cash flow for this. Then there is other portion, we call it aftermarket
SupremeServ, which also year -by-year we are growing.
This also is the most profitable portion of our business and helps us to offset some of the low margin orders which we take for project business or engineered business as we call it. Valve business growing at a healthy rate 15 % to 18% and having a good profitability, 13%, 14% is also
contributing this.
So, the only thing which becomes and plus nuclear as I said will continue in the revenue, which is also a reasonably good margin. The challenges in the engineered business where there is high competition in refinery petrochemical API business as well as co al fired thermal
business. These are the two businesses project engineered business where there is very high competition and a big orders where everybody is focused and desperate to fill up their plants and take these orders.
This is where we face also a price pressure. But these businesses bring
a lot of aftermarket business in the future. So, we definitely have to invest in it for the long- term continuity. So, to answer your question, I
think these things will keep on changing, but overall with this mix, something pitches in and we want to maintain our healthy EBITDA level of around 13%, 14% which we are there. We are more focused of growth in the top line and keeping this EBITDA level at this level of 13% to 14%. This has been my message in the previous things also that to keep a good EBITDA but focus more on the top line, so that we can get market share and all the opportunities which the market is offering today without bringing or compromising on our present EBI TDA.

Dhawan: And in December, the nuclear revenue was ■30 odd crore s, you
mentioned?
Rajeev Jain: Yes, yes.
Dhawan: Okay. Which led to the higher margins?
Rajeev Jain: Correct. That helped us to have a good profitability in the last quarter.

Dhawan: Understood. Thank you, sir.
Rajeev Jain: Thank you.
Nilesh: Hello. Yes, hi, this is Nilesh here. Hi. A couple of questions from my side. We have been seeing your exports and I remember a few years ago, you had absolutely zero visibility of exports. And now we are
seeing at 17%. So what has changed over years in terms of your parents are able to source from you? And how do you see as we go forward? So, this is first question, then I'll follow -up with the other.
Rajeev Jain: Yeah. Exports has always been our priority and we have been talking
on it in our board discussions also. This topic comes up every time because India with its very competitive position and having a big product portfolio, there is a good opportunity to export to other markets also. So, yes, there has been a good support from the group to allow us to export into new markets and continue to do that. If I have to give examples, let's say, talk about submersible borehole pumps where we do business i n India. And we started last year exports to Africa region,
which we were not doing earlier.
So, we almost did seven to eight crores of exports with our submersible
borehole pumps, dealers together with that region. We made an entry first time after many years. So that is a Africa market for developing our submersible borehole pumps, which has started. The second opportunity came in the U .S. with our gas fired

power plants and our
boiler feed pumps. Those business, we got almost $5 million to $7
million. We got also some equal amount got cancelled also because of
the tariff.
But now, with the tariff back at same level as others, we are back in contention. If everything, this situation a bit improves, then we are in a good position to continue that business. Apart from that, API business, Middle East, with our product developme nt, we have got new customers
like ADNOC and many other customers where we have started entering into this business as well. So, to summari se, I would say that our
additions in the product portfolio and also our support from the group, our internal marketing and with our efforts, I would say the team's efforts, we have been able to grow the export business. One important also aspect is the quality.
Quality is very , very important and this is very critical. Q uality of
painting, quality of packing, these are small , small things where we

usually falter and this is something which always an international buyer
gives a lot of importance and so that mindset culture change is also happening. I wouldn't say that we are perfect there. I t is happening. We
have put external inspection agencies.
So, step by step, we believe our acceptance or acceptability will improve for our standard and other business. And with our vast range of product business, product portfolio, we have a very vast range. To give example today, we started mining in our foundr y, mining product
for years. We were not doing in white. Now, have started getting inquiries from Australia and Indonesia also for this business. So, as in when we bring out products, the market is changing from that Western world to the Asian, they look for products from Asia. And we are there with those products developed. So, it's a market which is forcing us to change and the group also supports that. So, I think this
export business, the only challenge would be the geopolitical situation, the relationships with the countries and things like that. But from a competitiveness point of view and the support, I think we are very much there now.

Nilesh: So, where do we see exports could be 30% over next few years?
Rajeev Jain: That percentage is very risky to say because we also grow in domestic
market. So, if I have to do 30%, then I have to nearly double the
turnover.
Nilesh: If I exclude nuclear, can still that be a 30% of that?
Rajeev Jain: Yeah. Right now, we are trying 25%, I would say. But 30% in a good
year is also possible. But it will take some time. It will take some time because as I said on time delivery and quality is still work in progress. Deliveries have to be and those on time deliver ies can be done with our
internal efficiency improvement, automation, digiti sation.
Because in an export, four to six weeks is all gone on the ship. And this is also a challenge which is there. So, we will take some time to reach that kind of efficiency and the systems we have now S/4HANA being
implemented. So, I would say, it will take couple of years to reach that. I wouldn't be very ambitious there understanding the ground realities which are there on time delivery and quality.
But definitely a big way we have come today but to be reaching that level, we will have to be really the best in that business.

Nilesh: Again on exports, so major exports is done through your parent
company or your marketing arm globally or you do marketing from India and approach customers directly?
Rajeev Jain: Transaction wise, it is done through our KSB companies, transaction wise. So, it is inter -company, 70% to 80%. Some big projects we take
on directly, transaction wise. But marketing wise, relationship building is we have a dedicated export department and even

at management
level, we are involved because many decisions have to be taken on strategic level. So, there is an internal marketing team, dedicated export team which travels. We have lot of group meetings. Tha t is the plus
point of KSB tha t you have readymade global sales network, which is
supporting and helping us. Some inquiries just land on our table out of opportunities. We don't have to go and search for it.

So, it's a combination of a global sales organisation as well as our local organisation, which is travelling and making those relationships and reaching out in these locations.
Nilesh: And lastly, on exports only, does the margin would be better than the domestic market?
Rajeev Jain: Yes. I would say it has to be from a related party transaction. It has to be and but, yes, the price levels are much better outside than in India, I would say, definitely. And plus, when you get a lot of when the currency depreciates, it gives us also an advantage to be competitive. So
definitely, I would say margins are better compared to the domestic market.
Nilesh: The next is on the data centre and the thermal power plant. Will you be able to quantify like per megawatt of data centre, what could be the opportunity size? And per megawatt of thermal power plant, what would be the opportunity size in terms of value, if you can?
Rajeev Jain: Difficult for me right now to quantify. I would say, normally, pumps in a thermal power plant is 3% to 4% of the total size of the power plant and same would be in any maximum up to 3% to 5% in any project would be the quantum or value wise of the pumps, which are there. So,
huge potential for thermal power plant. Today, the customers in their decision making, the first thing they ask us to show is their our capacity and our readiness. And once they are convinced, then they start negotiating. S o, it's all about capacity today.




And luckily, we have our Shirwal plant, which is where we have
invested. So we are doing that. And in data centre also, we are step- by-
step data centre and this green hydrogen, electrolyser. We are building up our business. More than us, I think our parent company, Germany,
they are very much into that data centres and so their experience, their references, their association with global players is helping us to get better acceptance and participate in that [indiscernible] [0:48:03].
Nilesh: And in case of thermal, we are in all category, boiler feed, fire water, cooling water, everywhere we have a…
Rajeev Jain: Except cooling water.
Nilesh: Except cooling water.
Rajeev Jain: Cooling water, vertical cooling waters, we are not there. That historically, we have never but in the other pumps, boiler feed, condensate, heater drain. Now, the recent case, there is an boiler circulation pump. And so we are in the final stage of approv al. I would
say that these pumps were always supplied from overseas. And KSB has been a pioneer in localising and bringing that thing. So we are optimistic that this boiler circulation pump, which was so far an imported pump, also we will be successful in getting business.

And the localisation has already been approved. It's a matter of now
clicking on some orders and now bringing that also to the portfolio.
Nilesh: Including super critical?
Rajeev Jain: Including super, all these are super critical only now, because today, the earlier was 660, now more and everything is changing to 800 megawatt. So all of them are super critical.
Nilesh: And lastly, if you can spend some time on the two businesses, reciprocating pumps and the mechanical seal business, how do you see? Because we are not seeing any real growth happening in both the space.
Rajeev Jain: Yeah, I think you are very deep into our business. It's good to hear that those questions, because those questions I also ask my team. Reciprocating pum

p business we acquired from BP&CL and it was good acquisition. Initially, we thought to sell it off, luc kily we did not
and we decided to build it ourselves. We made the first prototype on our own and it has been approved by NPCIL also. So we will be participating in all the future requirements and the one on the table is as

I mentioned is mega engineering. They are going to finalise that as well
as the other things.

So, in NPCIL where this pump is required is definitely now as we finalise, we hope to get some share. We supplied one pump already to GAIL, Pata and so that pump is not yet commissioned. We recently got also a good order from Numaligarh Refineries for complete unit. With that unit order and once we supply it, the big challenge for us in all this business is getting EIL approval. So, once we have these pumps commissioned, then we will be on all PSUs vendor list.

So I would say this business goes, especially API business goes through a big not a learning curve, but a gestation period till you get those approvals. And we are halfway through it. And this business in '27 '28 should flourish much better. Today, we are in the stage of sowing those seeds of getting, putting that and having the approvals.

Next question was on the mechanical seals. Mechanical seals, it is growing. It is a very good business for us. Today, we have, if I have to give a figure, around ■15 crores of it is business. It is a starting and because we are not into API seals, we are m ore into non- API seals. So
that business is growing healthily. Almost we manufactured 9,000 to 10,000 seals in our plant in Chinchwad. We have invested in a machine, Mazak machine specifically for that,
which is running three shifts almost an investment of ■7 Cr on that machine alone. So the non- API mechanical seal has been quite a good
growth and having being manufacturing those pumps ourselves, it becomes easy to kind of create your own installed base with that seals. So, as and when we create this installed base, this business will grow, I would say, much faster than our pump growth also.
Nilesh: You said ■15 crore or ■50 crore?
Rajeev Jain: ■15 crores. So, it's still a small baby. It's but it is a big, big future ahead because this is a very high profitable business. And as I mentioned, we are not into an API seal which is more value wise, much more bigger and attractive. That is that busin ess we are not there yet.
Nilesh: But no acquisition opportunity in API?
Rajeev Jain: I'll keeps on discussing. We keep on talking about it. There are partners with which we are. So, it's a topic under discussion. I wouldn't be able to say more than that. But, yes, all these options are open.


Nilesh: Thank you, Rajeev.
Rajeev Jain: Thank you.
Dinesh: Thank you. Yeah, afternoon sir. This is Dinesh here from Union MF. So, while you mentioned nuclear as a decadal opportunity, is it some way possible to quantify the size of opportunity both globally and in India? And could you throw some light on the competition as well, both global and India perspective?
Rajeev Jain: If I talk of global, I think it's a good opportunity for KSB Group as well. Our Frankenthal plant, which was downsizing, which was not downsizing, but the workload was reducing. Suddenly, there is a good hope of this SMR business, and they are investing i nto a big test bed
also for specifically that. So a lot of investment coming up. And as you know, KSB is the leading pump supplier for these nuclear business apart from the people who already make themselves, that means the reactor companies li ke EDF, and they make those pumps themselves.

Apart from that, KSB as an individual supplier has the maximum share. So KSB Group is very much looking forward and for this business and they are the

y have secured orders as also on these things. So good opportunities and good traction there in the nuclea r business for the group. And same for us in India also. And I think, as I mentioned, when
you take both the nuclear island and the turbine island, both we have a complete range of pumps. And it's a comprehensive range where we are now the reciprocating pu mp also is a part of our range.
With BP&CL technology also, our range is complete, I would say. And there may be one odd, two odds pumps like can motor or something, which may not be there, but that also, maybe in future, it may come with us also. So, as a range, we are completely there as a reference PTR installed base, it's there. So, the aftermarket business is there.

To quantify it into per annum, yeah, it could be up and down, I would say, in a good year. In a good year, it could be ■300 crores, ■400 crores maybe per year. So it will vary. It could vary from 100, 150 to 300 per year, 300 maybe more, depending on how t he fast the business develops
or comes up. But today, if you see, we have an order on hand of ■1,300 crores, which we feel we will deliver it in the three years. So, but it depends now how fast the next orders are finalised.

And that way, that speed can be maintained. And I also mentioned to you that Kudankulam and Paks, these are additional customers where we are continuously getting the orders apart from nuclear. So difficult to quantify, but maybe 300 to if you want to figure somebody, I can give a ballpark, it could be more also. But I am just judging it from today's orders on hand situation.
Dinesh: Thanks for the answer. Next, you mentioned data centre as an opportunity. So within data centre, there is only the firefighting pumps that we are into or are there any other categories?
Rajeev Jain: All pumps, all the category of pumps because you see cooling pumps, especially cooling of the heat generated inside that data centre. That is a big subject on that dissipation of that heat. So HVAC system or whatever is there, since we are there also in t he building service market,
we have developed all the products and also the HVAC system. So I think all the pumps required for data centre is something which we have in our portfolio. It is adapting to the OEMs technology or the process or the system. It is how fast we can adapt it and also participate there.
Dinesh: And when you mentioned 3% to 5% is the pumps cost of the total data centre or thermal power plant, this includes the entire bucket of pumps that we deliver to them, right?
Rajeev Jain: True. Correct.

Dinesh: Thanks for the answers.
Rajeev Jain: Thank you.
Unidentified Analyst: One question with respect to the finalisation of orders you mentioned about NPCIL, the new orders. So in the past, we have the NPCIL issued tenders for pumps for Gorakhpur Haryana as well as Kaiga. Even going forward, we expect similar tender approach or the private companies who get the orders, they can reach out to you directly for these reactor coolant pump orders or will it be a tender approach?
Rajeev Jain: For the 700 megawatt, for the 700 megawatt 12, the power plants which are coming. The reactor coolant pump, I think will be in the scope of NPCIL for the 700 megawatt. And all the other pumps will be with the EPCs, whether it is mega, whether it is BHEL, whether it is XYZ. So, those will be procured by the EPCs. And for the private sector, which is entering into this market, I think the pumps that is not yet been

decided. But I think most probably the pumps will be in the private party's scope.

The guidelines and the requirements will be still governed by NPCIL. But they will be procuring the things. We have to wait and see, but that is what my information or thing is right now.
Unide

ntified Analyst: Understood. Thank you.
Unidentified Analyst: I have one question. So, the government approved the Jal Jeevan Mission extension from 3 lakh to almost 8 lakh crore now. So, just wanted to understand because KSB mentions it has a top three player in water pumps. So, what is our exposure specifically to the scheme and overall water pumps? How much comes into the revenue and the immediate benefit will be there from the allocation? Thank you.
Rajeev Jain: Yes, this was a very positive, it's good that you mentioned that. It was a good announcement which came up and with that scheme, all the submersible borehole pumps, the water transfer pumps which we are doing government business in different states. Now, t hat gives a good
opportunity in states I think Bihar and all MP. So, I think this business will continue and I don't have quantifiable amount of how much that business is, but it is a good opportunity because we are doing business
and we have the product basket for doing that.

So that investment in that Jal Jeevan Mission, I think will also give us opportunities for growth. And as I mentioned in my earlier statement that water wastewater business is going to be a huge growth segment for us. We have identified that and brought ma ny products in that
segment. If vertical turbine pumps, we never used to make, now we are making that, got good orders also for that. Horizontal drive motor pumps, Sewatec type, we have got orders.
We were only making those submersible sewage type pumps, but also the split case pump, now we have a much bigger range. So all these steps which we have taken in the last two, three years is helping us to grow in the water segments. And somebody asked us a question, what
is the growth in these new segments or the new products? And majority of this growth is coming due to all these product additions and supported by those market segment, water wastewater growth specifically.

Unidentified Analyst: Yes, Thank you. And just wanted to confirm the revenue from nuclear for the year because there was a slight mismatch when you stated it after the initial slide.
Rajeev Jain: It's very difficult to give a figure to a nuclear revenue. It could be anywhere between ■100 crores to ■200 crores. It is something as a figure which I have got.
Unidentified Analyst: No, sir. For the current year, CY 2025, I was asking.
Rajeev Jain: CY 2025, see we have January to December. Our sales recognition is from January to December. So, that's why I said our year ending is December. So, curren t CY 2026, I would say. CY 2025 was hardly anything, ■30 crores to ■ 50 crores.
Unidentified Analyst: Okay, okay, that's what I was asking.
Rajeev Jain: That's ■30 crores to ■50 crores.
Unidentified Analyst: Thank you.
Rajeev Jain: Yes, please. I think you have been delayed by that.
Unidentified Analyst: No worries, thank you. Any progress on the river linking side as to you mentioned in your comments that there is some movement there. So, what will be the kind of opportunity?
Rajeev Jain: I think those businesses specifically from EPCs if I talk like for example, L &T. L&T is in Chennai, they have a water division and they will be participating and they projected to us a big amount of business to come and they asked us to be prepared with the pumps. So, those things, I think will happen in this second half and next year as well. Amount of business again difficult to quantify, but I would say that in the past, we were not participating in this project. In the water business, we we re mainly with irrigation, submersible borehole pump. That scenario has changed today. We have got our big products also, big sized products and that is helping us to participate in with EPCs and water contractors like L &T, Wabag , many infra companies who are there in this business.

We are now known to them and we have got those beginning orders. And I think once we establish our customer network and references, we can grow much faster there.


Unidentified Analyst: One other thing on nuclear side. Other than Kaiga 5 and 6, for the other three projects like Gorakhpur , for Rawatbhata and for Ku dankulam , the ordering for primary cool ant pump is still pending.

Rajeev Jain: No, all is ordered. KSB got the orders for G orakhpur, Haryana and Kaiga. Kudankulam that has been supplied by the Russians.
Unidentified Analyst: By the Russians and for Rawatbhata also for expansion?
Rajeev Jain: No, that is not yet ordered.
Unidentified Analyst: That is not yet ordered. So, apart from Mahi Banswara and Rawatbhata, all the primary coolant that is for the plants that are under construction is already ordered. For these two ?
Rajeev Jain: Yeah, for Mahi Banswara and Rawatbhata, I don't know which unit you are saying. Those will be ordered next year. The tendering may be ordered this year, but I don't know. I 'm just giving a safe figure that all those new tenders will come out this year. But ordering, I think will be happening in 2027.
Unidentified Analyst: And just going back to Jal Jeevan Mission 1, how good this business was for us or if you can give a perspective in terms of numbers also that was it a meaningful thing and now with the changes, will it be a meaningful thing?
Rajeev Jain: I am sorry, I don't have the figures with me. But I can only say that this, with the new product additions which we have been doing, this business will, we should get a better share.
Unidentified Analyst: Okay.
Rajeev Jain: Earlier, we were doing mainly the submersible borehole pumps, but now, and other tenders which come out in these schemes, we will be able to do much more business. So our share should improve in the coming year.
Unidentified Analyst: Okay. And last question is on the thermal side, what would I mean, if you are able to say that, what would be your market share on the thermal power plant side in terms of pumps?

Rajeev Jain: Share, again it's a project business. It's either 0 or 100. It's something now boiled feed pumps today, which is our main forte, we were successful. So, with all the business coming up, if I were to put a figure,

if that answers your question, then I would put a figure of 50%, for
example. It would be my boiler feed. Same is for condensate extraction. Cooling water pump zero. And other miscellaneous pump maybe 15% to 20% is something which we would put in a thermal power plant. This
would be there. This is put a percentage. Value wise boiler feed pumps are quite big compared.
Unidentified Analyst: So, apart from BHEL, if others win it, there is a potential market for you as well, right, for L&T, JSW and all?
Rajeev Jain: Now, specifically, L&T as a EPC contractor, JSW with their own power plants, JSW with Toshiba. So, these two customers private, BH EL
doesn't . BHEL only may buy in future with us. Earlier they used to buy
FGDs, which they will continue to buy wherever it is sanctioned. And now, we have an opportunity of the boiler circulating pumps with them.
So, these are two opportunities with BH EL.

Otherwise, they make all other pumps. And with L &T, and JSW and
Toshibas, we have opportunity for a ll except the cooling water pumps.

Unidentified Analyst: Perfect . Thank you very much.
Rajeev Jain: Thank you. Yes, please.
Kamlesh: Hello. I'm Kam lesh from Asian markets. Y ou touched upon solar, you
started manufacturing. So, just wanted to check what all has changed in terms of the business which we used to do earlier and how now we are looking at that business from manufacturing point of view. Also wanted to understand

the profitability profile of that business as well as working
capital profile. I understand is it more of a government focused business
than how these things look in the overall scheme of things. Thank you.
Rajeev Jain: Yeah, to give you a very , again a clear and a transparent perspective,
we entered solar business hesitant to enter because we are basically a
product driven company and the systems business was not very
comfortable because of these questions which you raised. But the
market move was very much oriented towards solar and we felt that we
cannot keep out of it. And it's good that we did that because today, you see lot of agribusiness being converted to solar.

So when we started, our share of manufacturing was very less, was only
the pump portion. Step by step, we added the motor, DC motors, which we started making ourselves. Now we have added the controller, which

we are making ourselves. So our share of that whole package has
increased today, if you ask me, maybe 30%, 35% from initially 10%.
The big share is of the PV panel, which at present we don't intend to go in that field because you need big volumes and big space, big investments for those things. So, we have kept a strategy of what we can do and digest those business, what we can do wit hin our existing
resources, within our existing manufacturing capacity. We are doing that and that I mentioned is almost ■300 Cr today. And on the profitability and cash flow, yes, it's not similar like our normal pump busines s, it is something which we ar e monitoring. But I would say that it would be let's say, three to four points below our other business. This is what it is. But with the lesser fixed cost than the other plan things. So, and plus this market is growing and developing and it could not be fair to be out of that market. So, till today, we feel it's a good addition, a wise decision that we took and good sustainable for future. Yes, on the working capital and the cash flow, it has been a challenge specifically from Maharashtra.
Other states, it has been good cash flow. But Maharashtra due to whatever reasons, the cash flow has a bit been behind. So we are addressing that issue. It was a learning curve, big learning curve because the payment becomes receivable only after you have uploaded all the things report, installation, satisfactory performance in that portal.
The portal acknowledges it. That day, it starts the thing. So, our team had to get over that mindset of just dispatching it and installing it. So, that documentation took time.
So, I would say that last year has been a learning curve which today we are much better. So, step by step, it's our internal goal and target to reduce that working capital also. I f you ask me, it is a difference of four
or five days between the working capital of normal business and solar business. So, that is a big sum which we want to bring it at least to one or two days maximum.

Kamlesh: Sure. So, last year, you said, it's ■300 crore s revenue, right?
Rajeev Jain: Last year it was ■240 crores, ■245 crores to be precise.
Kamlesh: So, what kind of growth you are envisaging on this growth?
Rajeev Jain: At least 20% minimum, 20% to 25%. Solar, it is normal, I would say.
So, we are expecting at least minimum ■300 crores this year. Of course,

it depends again on the decision- making. These are predominantly
government customers.

Kamlesh: Yes.
Rajeev Jain: All state governments and so it is something which comes with its speed and pace. Some state governments are very fast and doing it like Maharashtra. But we'll be dependent on that. But if everything goes as per plan, we have budget ourselves, budgeted at least minimum 300 per year.
Kamlesh: Okay. Thank you.
Unidentified Analyst: There a

re ASMR approved under nuclear energy mission. Have you heard something from the government on those pump tenders for that?
Rajeev Jain: Yes, that is at an initial stage the government and there are discussions ongoing on these things, SMRs and they are doing that. But for us, we are not yet involved or started. Our parent company is quite advanced in that field. They have already got some orders and tied up with some
international big bidders. And I think we'll move into it step- by-step.
But today only our parent company is participating in this.
Unidentified Analyst: My second question is, does the primary coolant pump differ materially between PWR and PWHR technology pressure. PWR which is the upcoming light expected to be the upcoming technology so, but it differ materially or it is almost similar?

Rajeev Jain: In my information, there is not much difference. But I would not be the right person to answer that. But I as far as my knowledge goes, maybe you park this question for the next meeting, I'll invite the nuclear experts and we can.
Unidentified Analyst: My last question. When does our supply of pump commence, is it linked to the first pour of concrete by any chance?
Rajeev Jain: Yes, of course. The first pour of concrete is a good sign that the project has started, because in a nuclear project, the site clearance for all the test and seismic and all those things have to be cleared. So the first pour of concrete is a very good sign of the project now moving ahead and which is I heard is happened for a Kaiga.
Unidentified Analyst: Yes, that's what we are asking for?


Rajeev Jain: So, may be Kaiga project may move ahead of the other one is chances
are there.
Unidentified Analyst: The Gorakhpur is still waiting, right?
Rajeev Jain: Still waiting, I think, but it is also almost cleared. We will have to see when that happens. I am not updated yet on that. But what I understand is, Kaiga is moving much faster than Gorakhpur.
Unidentified Analyst: Understood. Thank you and all the best.
Unidentified Analyst: Again, continuing on nuclear, so far you largely had a 100% market share on RCPs, if right my information is correct. Now going forward, I am assuming NPCIL must be thinking of diversifying the risk of a single supplier, right? So, any progress on their developing a second vendor or somebody else coming in, you think future projects might be 50-50 for you and somebody else?
Rajeev Jain: Yes, definitely, NPCIL is looking for alternative suppliers. So, I think there are development orders given and there are companies which have approached and which have discussed with NPCIL. So, yes, those vendors, if and when they are approved, will be a competition to us also.
Unidentified Analyst: Any your guesses on very slightly…

Rajeev Jain: Very difficult to say, because this development process is an extensive process and it depends on how NPCIL views it and what kind of things happen. Unless the final product comes out, it is never complete because this is the most critical product. If it was any other product, we could give a timeline. But it totally depends on how the company which makes that pump and also how NPCIL finds it acceptable. It's a mutual development together, right. And so, we'll have to wait and see how it happens. But yes, specifically in the future long- term, the NPCIL is has
the plan to have more vendors, which is very normal and we will have to face that competition.
Unidentified Analyst: Sure. Secondly, SupremeServ, right, last three, four years between 8% to 9% of total revenues is what

the SupremeServ revenues have been.
Rajeev Jain: No, no, that is SupremeServ revenue today almost is 15%.
Unidentified Analyst: 15%, okay, because last year was ■233 crores, if I remember right, that's about 9% of revenues. Maybe I've got some numbers wrong.


Rajeev Jain: No, maybe in SupremeServ, we include replacement pumps also.

Unidentified Analyst: I see. Okay.
Rajeev Jain: The pumps which you replace. See, when you do aftermarket, you do spare parts or you replace the pumps also. So, if you consider all that and you take out the valve business also, then the percentage is almost 15%, because valve, you don't get much replac ement than spare part.
Unidentified Analyst: And this number, where can it go? I mean, is there a potential or is there a limit?
Rajeev Jain: No, no, there is no limit. Sky is the limit. And that's what we say to our team. So, because there are so many things and I feel, as we mentioned, reciprocating pumps, PSUs. There are so many things which we took from BP&CL also, the ammonia high pressure pump. So there are many
opportunities, but this business happens very slowly because you need to find one order, you supply it, you get a PTR, then you get approved with all PSUs and then you supply that.

So, the business will grow quite well in the coming years when we are establishing our PTRs, getting approved by EL, getting approved by PSUs. So if you ask me a figure, 25%, 30% is something which we want to grow because you see, we are going into mining. Mining is a very
predominantly 70% of mining business is aftermarket business. So, now
thermal power plant these are coming. So all kind of business are very attractive for aftermarket business.
FGDs, we have supplied, unfortunately, FGD that stopped suddenly overnight, but otherwise that would have been also a good adder. But considering the fact that we have a dedicated division, dedicated team, the opportunities not only for replacement, spare parts, but also improving the performance. Today, companies are going in for energy efficient solutions. So that also is our forte and initiative. So, no, I don't see that 25% is also ambitious.
Unidentified Analyst: Lastly, is the aftermarket little more crowded from a competition point of view? Do we have kind of many, many people locally also doing this or, I mean, what's your pitch?
Rajeev Jain: I feel competition is much lower in aftermarket compared to the new business. Normally, everybody rushes to a tender new business which is readily available. Aftermarket takes a lot of time and efforts. It takes cons, you don't get an enquiry in the first visit. It starts with an

opportunity or a lead which you take to convert it. So aftermarket, but
the customer values your product, your solution very much than only the price. So that is why I say the it totally depends on what solution we provide and what kind of service we give.

And I also mentioned about mechanical seal going into that business. So that is also very service oriented business. The customer, if a mechanical seal is leaking, he will not negotiate the price. He will only say, when can your spare part and engineer com e, I want it today. If it
leaks now, you can get your price if it is available in the next few hours. So these are opportunities where your own it depends on your own organisation and your own service and readiness.
So, that is why I say that competitiveness is much more in the new business. And aftermarket, there are many players. And there are also many players, but customers would segregate not only on price, but many other factors.
Unidentified Analyst: Thank you.
Unidentified Analyst: Rajeev , you spoke on mining pumps because earlier, we were not there
in those slurry pumps, I believe, right?
Rajeev Jain: Yes, correct.
Unidentified Analyst: So what is the status in terms of development and how do you see. I think it is still a back end, right, because we don't see much happening over next few years.
Rajeev Jain: I would say quite progress has been done.

What is the progress done is now our foundry is certified and started casting this white iron. We have been certified by our company GIW in USA. They have certified it and they will be also sourcing castings from this foundry. It is due to the tariff that it, but we have got a small order now starting.

South Africa is another country which has started showed interest of sourcing under its under discussion. So this is in respect

to sourcing of components, some major components from there. For our domestic market, we have developed the generation two pumps now under
development. And KSB India is the one who is doing the development already. And by the end of this year, hopefully those products will be approved or ready for release. It is done in phases.


Vertical pump for the mining market is only made in India now. It is
KSB India is the global supplier for this vertical pump. We have got some export orders and we have started doing that. So a lot has happened. And as we progress, as I mentioned, there ar e enquiries from
Australia, Indonesia. So the market forces will see that they come to the most competitive source and also the nearest source. For Asian market, we become an option.
In the domestic market, we have got orders now. Recently, we have got some orders from customers. And it's a different market because we are a late entrant. People don't want to give up their share or customers. So it's a very cut throat competition. Plus also like mechanical seals, it depends on how strong we are in the aftermarket. So you may buy a project, but you will have to ensure that you do aftermarket also.

So, I would say, to us the progress is satisfactory. It is the investment which we have made in our foundry and our product development. We hope this business will continue to grow. The order book position is maybe ■15 crores, ■20 crores is something which is there. It's not big
when you compare to the other thing, other segments. But I feel it will grow year -on-year as we increase our installed base and also we grow
in our exports.
Unidentified Analyst: Thank you.
Moderator: Thank you. So, we'll now close the event and we would like to thank the management, attendees here for coming to the event. And we'd like to thank the management for giving us a chance to host the event. And so that's it. Lunch is available outside. So, w ould you like to say a final
words for the closing?
Rajeev Jain: No, thank you. It was very good interacting with you. I think the questions were very deep and it was good that I could also refresh myself with your questions. So, please keep continuing asking these questions and we'll try to be as transparent and open a s always. Thank
you.